

UPL Ltd. (UPL)

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"UPL Limited Q1 FY -23 Earnings Conference Call"

August 01, 2022

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MR. MIKE FRANK – COO, UPL LIMITED
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Moderator: Ladies and gentlemen, good day and welcome to UPL's First Quarter FY 2023 Conference Call.

As a reminder, all participant lines will be in the listen only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch tone telephone. Please note that this conference is being recorded. I now hand the conference over to Ms. Radhika Arora . Thank you and over to you ma'am.

Radhika Arora: Thank you Inba. Good morning and good evening to everyone. Thanks for joining us today for the first quarter results ended June 30 th, 2022. On this call, we will be referring to a presentation that is available on our website. And we take it that you have read the Safe Harbor Statement given in the presentation .

From the management team , we have with us today Global CEO - Jai Shroff, but he is down with a bad throat so I would apologize on his behalf that he won't be able to present today. We do have our Group CFO - Rajendra Darak, President and COO – Mike Frank , Global CFO - Anand Vora, and Global Chief Supply Chain Officer - Raj Tiwari. We are also joined by the Head of our India business, Mr . Ashish Dobhal .

We will start with an overview and financial update from Mike and Anand and followed by the Q&A. With that, let me now hand it over to Mike. Mike, over to you.

Mike Frank: Thank you Radhika, and hello everyone. It 's been a fast and exciting first six months for UPL . Best of all has been working with our amazing team around the globe , as we hope farmers become more successful , with a commitment to reimagine sustainability in everything that we do. We continue to operate in a highly volatile and uncertain world , and we take pride in the agility of our team, strong customer relationships, unique backward integration, and our supply chain resilience to address these challenges head on . Our strong results in the first quarter demonstrate this competitive advantage.

I would like to also highlight two important achievements for the last quarter :

First, we 're excited about our recently announced collaboration with Bunge for the creation of Origeo in Brazil, which is subject to any trust approvals. This innovative company will increase productivity, profitability, and sustainability for farmers in five states of the north and northeast region of Brazil.

Secondly, after extensive trials, we have also launched the first Flupyrimin -based insecticide in India to protect rice yields by controlling brown plant hopper and yellow stem borer on rice,

making it an important milestone with regards to our collaboration with Mitsui Chemical Subsidiary 'MMAG'.

So, now turning to our performance highlights in Q1 :

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We have experienced strong growth across the Americas, in particular, as the favorable market conditions and strong commodity prices allowed us to improve gross margins in Brazil and we grew both in terms of volumes and price in the US market. Our team in Europe faced multiple challenges, including unfavorable weather conditions, the impact of product bans, and of course the war in Ukraine, as well as the overall devaluation of the currency. Despite all those challenges, we did see healthy growth in our European businesses. In India, the application timing was impacted by delayed planting.

So, moving to the financial results :

Our Revenue as well as our EBITDA for the quarter have both grown robustly by 27% and 26% respectively versus Q1 of last fiscal year. The growth in revenue was led by significantly improved price realizations, coupled with a healthy volume increase, despite the multiple challenges. Our contribution margins stood at around 44% enabled by 18% higher product prices offsetting the

inflationary input and freight costs. Our EBITDA margins lowered slightly because of increased investment in SG &A. The key driver for this SG &A increase was related to employee costs, which saw an increase of approximately INR 214 crores. We intentionally increased our headcount versus last year in the areas of R&D, our NPP BioSolutions business and in our southeast Asia business where we're transitioning that business to a B2C model. Let us now talk about the performance of our regions in the quarter :

In Latin America, we achieved a strong 38% growth led by our herbicide portfolio and through improved pricing. The growth was mostly led by Brazil, driven by a robust demand for post emergent herbicides, and strong price realization. Argentina and Andean countries also contributed to overall growth of the region, mostly driven by herbicides. As another highlight in Latin America, our NPP BioSolutions business achieved a strong double-digit growth in Mexico and the Andean countries. In North America, revenue grew by 47% in this quarter, due to higher volumes as well as improved price realization. Our performance was supported by high commodity prices, with strong growth in both US and Canada despite challenges, which included the drought in western US, where we have a strong NPP BioSolutions business, this did impact that part of our business in Q1 in that specialty crop market.

The pre-emergent herbicides have led the growth in the region through a mix of volume and price. We also successfully launched our new three-way herbicide in soybeans called 'Preview'. I visited our US field technical team last week, and the field results are looking fantastic. We expect 'Preview' to really start ramping up in the next crop season. In Europe, we grew by a robust 13%. This strong performance has been achieved through increased volume growth and higher price realization. Among major countries, growth in France was led by NPP BioSolutions, Central Europe grew through a mix of volume increase as well as price. The European business achieved this growth despite multiple challenges which I mentioned earlier, including the devaluation of the Euro by around 6% against the INR versus last year.

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In India, we achieved a moderate growth of 8% much impacted by the delayed planting of key crops. Regarding crop protection, our NPP BioSolutions portfolio delivered strong growth, in addition, we are pleased that our Flupyrimin-based sales have started in the last quarter. Among other businesses, Advanta's growth has been led by strong demand in corn and canola portfolios. Due to the recent start to the monsoon season, we are now seeing significant product applications in the field, which will set up for a strong Q2.

The rest of the world delivered a 31% growth in revenues driven by significant increases in volumes and supported by improved price. Significant growth in Southeast Asia, Australia and New Zealand were led by insecticides and fungicides despite the supply constraints. This was helped by the PT Excel acquisition in Indonesia, further strong growth was also achieved in Western and Central Africa, largely driven by our insecticides portfolio. Sales in China were negatively impacted by unfavorable weather that affected key crops and by channel stocks, while Japan performance was impacted due to the devaluation of the Japanese yen.

During our capital markets day presentation in May, we emphasized the importance of our Advanta business. For this reason, we would like to share the financial details of Advanta for the first quarter. Advanta had a strong performance with revenue growth of 28% led by field corn in India, canola in Australia, and field corn and fresh corn in Thailand. We also saw an

improvement of 20 basis points in contribution margins driven by improved pricing and product

mix, and an overall EBITDA increase of 28%, impacted by higher investment in SG &A to pursue our B2C strategy.

As part of our reimagining sustainability efforts, in the last quarter we hosted the 2nd OpenAg Symposium in partnership with the University of Oxford, and the Oxford India Center for Sustainable Development, and discuss the role of global agriculture on the path to net zero. Also, we have launched our first ever Africa sustainability report, showcasing UPL's commitment to farmers and food systems across the continent.

Before I head over to Anand, on our Global CFO, I would like to highlight that we are poised to deliver strong growth for the year. Considering this positive outlook, we are revising our FY 23 guidance to 12% to 15% growth for revenue and 15% to 18% growth for EBITDA. Our strong Q1 performance anticipated robust demand for our portfolio of solutions for the rest of the year. We will also be very diligent with SG &A, as we are experiencing inflation across our various SG&A components. Lastly, and very importantly, we are also laser focused on the working capital management front and delivering a strong net cash flow for the year. While Anand will get into the details on working capital and net debt, I would like to emphasize here that we remain committed to deliver 80 days of working capital by the end of the year. Finally, I would like to congratulate and thank our team for their resilience, dedication and unified focus in delivering such strong performance in this quarter despite challenges on several fronts.

I will now turn it over to Anand to take a deeper dive into the financial performance.

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Anand Vora: Thank you, Mike. A warm welcome to all of you who have joined us today. I'll begin by discussing the key financial highlights for the first quarter and then take you through the detailed financials. At the outset, I'm delighted to share that we have delivered a solid all-around operational performance during the first quarter marked by robust growth in both revenue and profitability. Delivering such a solid performance against the backdrop of challenging macro environment and significant input cost pressures vindicates the robustness of our business model, and, more importantly, our team's ability to adjust and deliver superior performance in a dynamic environment.

Talking specifically about our year-on-year performance on the key financial metrics in Q1. We ended the first quarter with revenues of over 10,800 Crores, reporting a robust growth of 27%, of which 6% came from volume growth, 18% from price increase, and 3% due to favorable exchange impact. Almost all major regions delivered double digit growth, and as Mike alluded to earlier, we are confident of a strong performance in Q2 including in India, which had seen muted growth in Q1 due to the delayed monsoon. Contribution margins were higher by 7 basis points on the back of improved margins in our herbicide portfolio, and improved margins in our Latin American markets. SG&A expenses rose by 29%, as the company invested in building teams, and capabilities to grow its differentiated and sustainable portfolio, strengthen distribution capabilities, and normalization of overheads post COVID. However, it's heartening to see that we're still able to keep our EBITDA margins intact and deliver a strong EBITDA growth of 26%.

Strong contribution and EBITDA growth led to a 29% growth in net profit after taxes, minority interest and exceptional cost. On the finance cost and other income, let me share with you certain details. As you would have seen, the finance costs in Q1 are lower by INR 88 crores, this reduction is largely on account of gains on hedges taken against advance orders. Overall interest cost for the quarter has gone up to 478 crores on the back of increase in the LIBOR rates and the

base rates in most of the countries. As regards other income for the quarter, we had an expense of INR 124 crores versus INR 41 crores in the same quarter of last year. This again was largely on account of the mark-to-market loss on receivables and payables across various geographies. Therefore, the net exchange gain year-on-year for the quarter has been INR 183 crores.

Tax for the quarter was INR 59 crores and we expect to end the year as per the guidance of 12% to 15% of expected tax rates that's the ETR. In the same quarter of previous year, due to losses in Brazil in Q1 on account of foreign exchange impact and recognition of certain deferred tax assets in our Swiss subsidiary, we had a net tax credit of 152 crores. Furthermore, minority interest in the first quarter of this year rose significantly due to the superior performance of our global business. Despite the increase in tax and minority interest, we reported a net profit growth of 29% to 877 crores, while the earnings per share grew by 33% to INR Rs.10.76.

The first quarter also witnessed an increase of INR 5,608 crores in net working capital on a sequential basis. This was primarily on account of four major factors, 1) we saw a robust growth

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in sales of 27 %, 2) there was a conscious reduction in factoring quantum by almost INR 3,000 crores sequentially in Q1 FY 23 as compared to INR 619 crores in Q1 FY 22. This was done largely to optimize the interest costs in certain geographies, which saw a disproportionate spike in factoring premium. As a result of this, the receivables, and net working capital were higher by 28 days. 3) Inventory is higher by 10 days due to the build-up in inventory on account of strong demand and uncertainties around the supply chain.

However, notwithstanding the reduced factoring and the forex impact of INR 588 crores, the increase in net working capital would have been lower at INR 1,931 crores vis-à-vis the INR 5,608 crores, reflecting actually a reduction of 11 days year-on-year.

The net debt at the end of first quarter stood at INR 26,480 crores higher by INR 7,574 crores as compared to the March 2022 levels, primarily due to significant increase in working capital as highlighted earlier. However, adjusting for the reduced factoring of INR 3,000 odd crores and the forex impact of INR 1,093 crores, the implied increase in net debt on a sequential basis would have been lower at INR 3,392 crores vis-à-vis INR 7,574 crores. Accordingly, the implied net debt would have been around INR 22,300 crores as of June 2022 as compared to 26,480 crores as is reported. Going forward, we expect the working capital days to be in line with our guidance of 80 days by the end of the year. This would lead to a significant release of working capital in second half of FY 23, enabling us to manage our net debt position effectively by the end of the year. Further, as Mike highlighted, we have revised both our Revenue and EBITDA growth guidance for FY 23 upwards by 300 basis point and 500 basis point respectively, considering the improved performance. On this optimistic note, I would hand over back to the operator and we can start the question-and-answer session. Thank you.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question-and-answer session. Our first question is from the line of Prashant Biyani from Elara Capital. Please go ahead.

Prashant Biyani: Sir, what would be the mandate of our JV with Bunge and why to form a new JV after Bunge's investment in Sinagro?

Mike Frank: Hello, Prashant. I'll take that question. So, this is the second venture that we have entered with Bunge. We see them as a very good partner for our business in Brazil, they have an extensive soybean trading business as you likely know and they are very strong particularly in the country

of Brazil. The opportunity we have with Origeo is, in the five states where that business is focused, largely those are large growers that are not served by existing retailers in that region. And so there's not a significant overlap between our Sinagro business and the geography where the Origeo business is being focused. And so, this is an opportunity for us to take an entire portfolio to these large growers and work with them in a way that not only brings them solutions, focusing on sustainability and yield, but also a complete package including the buying of their grain on the back-end, which helps from a risk management standpoint. So, it's a very unique

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model and we're very excited about this opportunity to really grow our business in that region of Brazil, where we don't have a significant presence today.

Prashant Biyani: Sure. So, secondly, while Europe is going through a very unfortunate gas crisis, but business wise, it would be beneficial for Agchem players or it may be loss of business due to lower agriculture activity?

Mike Frank: Yes, so Prashant, the agricultural activity continues across Europe. Obviously, there has been an impact with the conflict in Ukraine, as well as hot dry conditions across much of Europe over the past month, especially. That being said, we continue to see opportunities for our portfolio in Europe. Our NPP business is exceptionally strong in Europe and so we've seen good growth of that business in several countries. But, the gas situation, I would say is not impacting agriculture, and not impacting what farmers are doing in the field. And therefore, our business continues to evolve and we're having good momentum there.

Prashant Biyani: Sir, would we have any nutrient-based products, which can be placed against fertilizers, because fertilizers have become quite expensive now, so it may be an opportunity for those nutrient-based products to be sold?

Mike Frank: Yes, absolutely. And it's a very exciting part of our NPP portfolio, where we have Microbials and other nutritional products, which really help growers create stronger roots, and ultimately manage some of their increasing cost that they're seeing with fertilizer, maybe I'll ask Ashish to provide some color to this situation. We have a very strong portfolio in India and we've expanded it recently. So, Ashish, maybe you can highlight some of the opportunities and products that we are selling in India and how they are helping farmers with managing their

overall fertilizer costs.

Ashish Dobhal: So, fertilizer scarcity is a big, big problem in India, and I think we are very well equipped for it. We have perhaps the biggest biosolution portfolio in India starting right from the time when soil is prepared, we have micro enzyme base product, which actually helps to absorb more fertilizer and other nutrients from soil. We have products like phosphate solubilizing bacteria, which can promote the level of plant-absorbable phosphorus in the soil. Fertilizers is one thing, but we also have a huge challenge on the kind of heat wave that we are seeing in India, and we are very well placed for that, as we have certain abiotic stress products, which are very established products, then we have the full range of products which can help to counter the fertilizer shortage. In addition to this, we also have liquid fertilizers, which are having a good macro and micro-nutrient mix.

Moderator: Thank you. We will take the next question from the line of Girish Achhipalia for Morgan Stanley. Please go ahead.

Girish Achhipalia: Is it possible to guide a range on interest cost, because we are saying that 80 days is a networking capital at the end of the year. Obviously, your expectation or interest cost would have increased,
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given what is happening. So,

if you can guide on that range. Secondly, what is the net debt reduction guidance. And does it include the share buyback or is it excluding the share buyback amount that you've already spent in Q1?

Anand Vora: Thanks Girish, this is Anand here. On the interest cost you are right, there is a spike because of the increase in LIBOR, or SOFR, and we have seen corresponding increase in base rates across most countries. And we expect at least at the interest cost level, I'm not talking about finance cost, the interest cost to be anywhere in the range of around US\$ 300 million. And on the net debt guidance, we have told at the beginning of the year, we are looking at US\$ 400 million reduction. As Mike also alluded, we are committed to rein in the working capital, and we are at least at this stage maintaining our guidance, but we will keep you updated as we move forward quarter-on-quarter. All efforts are being made to see wherever possible to reduce the working capital and the net debt.

Girish Achhipalia: So, is this US\$ 400 million gross of the share buyback or net of the share buyback?

Anand Vora: It's gross of the share buyback.

Girish Achhipalia: Okay. And if you can guide on the CAPEX, because your run rate on growth is a surprise on the upside. Is there any upward guidance to that and I also see exceptional items, insurance claim worth close to INR 600 odd crores. So, if you can provide any color on when this money would be received?

Anand Vora: So, as far as CAPEX, we are not changing the guidance, we are retaining our guidance or what we had said at the beginning of the year, capex for the year would be around US\$ 325 million. And as far as the insurance claim is concerned, these are large amounts and insurance companies are taking a bit of time. But we are confident of getting this claim, either in this quarter or by the end of next quarter. So, that's the plan as of now. That's what we hear from the insurance companies.

Moderator: Thank you. Our next question is from the line of Abhiram Iyer from Deutsche Bank. Please go ahead.

Abhiram Iyer: I had a similar question sort of mirroring on the net debt reduction. Now, obviously we are targeting US\$ 400 million net debt reduction over the year. And it's gone in the opposite direction because of the lower receivables factoring. So, is it fair to say that towards the end of the year, the reduction might potentially come from the reversal of this lower factoring or would this come through a different avenue in terms of paying down debt from our cash flows?

Anand Vora: For this quarter, at least, we did the assessment, and we chose to go for the borrowings rather than factoring, but we'll keep assessing the situation. Typically, as you know at least in the beginning in Q1, Q2, and Q3 the working capital keeps going up, and then in Q4, we have the drop in working capital, as we see the collections coming through from Latin America, as well
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as from the European and US markets. So, that's the trajectory, if you look at last five years, you will see the working capital going up, quarter-on-quarter and then it drops in Q4. As far as factoring is concerned, we would like to maintain it at the same levels, because what we are seeing is that increasingly as far as the rating agencies are concerned, they don't give us the benefit of factoring although almost not a single dollar of factoring is with recourse, all our factoring is without recourse. So, clearly, and also as far as delinquencies is concerned in terms of our receivables, it's a very low ratio and further we also take credit insurance. So, we will

now see as we move forward, the arbitrage opportunities that are available, how much higher are the factoring costs. As I mentioned, also in certain geographies, in Q1, we saw the factoring cost shoot up, and so we decide

d to go for plain vanilla borrowing. So, we will continue to keep evaluating. But as I said, we will also work towards the net debt reduction target what we had guided for the beginning of the year.

Abhiram Iyer: Got it. And just a sort of a quick question on your perpetual bonds. What's the company's current status on the same, is it to be called at the first date or is it a decision that should be taken later and maybe only at the step up date?

Anand Vora: Well, by definition they're perpetual. So, we'll wait closer to the after five and a half years, when there's an interest reset and we will take it up with the board and decide as to how we want to deal with it, whether we would like to continue or discontinue. Some of the rating agencies, even if we continue after five and a half years, do not give us the benefit of 50% of it being treated as equity. So, we will take a call when we are closer to the date, which is at the end of five and a half years, where the interest reset is to be done.

Moderator: Thank you. Next question is from the line of Antonio Luiz Gomes from Ninety One. Please go ahead.

Antonio Luiz Gomes: I just had a couple of questions regarding your financial policy. You mentioned the US\$ 400 million net debt reduction and as you've mentioned the receivables factoring, you're looking to keep it stable. I was just wondering on the equity, any dividends or share buybacks you are planning on going forward and what kind of free cash flow you're looking at overall, towards the end of the year. Thank you.

Anand Vora: Thanks, Antonio for joining us. So, Antonio as far as share buyback is concerned, we've done it at the beginning of the year. And given the regulations in India, we cannot do one for the next from now, and therefore at least for this financial year, statutorily we cannot do a buyback, not that we have any intentions of doing a share buyback again, having just completed one. As far as dividends, we do have a policy which is put up on the website, we typically declare anywhere between 20% to 25% of our PAT as dividends. And that's a policy unless there is, at the end of the year based on the financial results and the cash flow, the Board decides then we may change the policy, but I don't see that happening. That's been a consistent policy for many years now.

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And whatever free cash we have, goes to reduce our debt besides whatever is the budgeted Capex and the other budgeted expenses. So, that's broadly our financial policy on free cash flow.

Moderator: Thank you. Our next question is from line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: So, just a couple from my side. First is on the guidance. Just wanted to clarify whether this 15% to 18% EBITDA growth guidance is on a US dollar basis. And should we take the FY 22 base of EBITDA as \$1.368 billion, would that be the right assumption to make?

Anand Vora: Abhijit we must go with INR, as that's our reporting currency.

Abhijit Akella: Okay. So, it's on INR basis okay. And second, on the balance sheet front, this guidance of 80 days for net working capital, the last part of presentation showed a net working capital days of 69 days, as of March 22. So, how should we read that, is there a 10 day increase in net working capital that you're talking about and the other thing I just wanted to check was on Latin America, last quarter we had guided it to about single digit revenue growth for fiscal 2023. But it seems to be growing considerably faster than we had anticipated which probably puts pressure on the working capital. So, how do we sort of manage that situation. Thanks.

Anand Vora: No, so you're right, we delivered 69 days and it would be our endeavor to keep improving on the working capital cycle, we always give a bit of a conservative guidance a

nd therefore we have

always, even last year we had guided for 80 days or around those levels. And we maintained that, the business model which we follow and for the business of our size, we will rather be conservative than to overshoot our guidance. But as you have seen, last year also, we delivered much better numbers on working capital and that endeavor to keep reducing our working capital year-on-year is something which we continue doing.

Mike Frank: So, obviously coming out of Q1, which is a smaller quarter for us. But we clearly have significant momentum in Latin America with overall growth of 38%. So, as we increase our overall guidance on revenue, we would expect that Latin America will be greater than the single digit growth. And so that would be our expectation. Now, there are parts of Latin America, where working capital is quite efficient, and other parts, such as Brazil, where our working capital is not quite as efficient. So, we're working with our teams there and with our partners and we're looking for ways to improve the working capital efficiency. I do believe that we will be successful in doing that to an extent this year, although it'll likely be a multiple year journey.

But, depending on where our growth is, it does have an impact on overall working capital. So, that would be the color on our Latin America growth.

Moderator: Thank you. Our next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

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S Ramesh: My first thought is on the stupendous performance in Latin America and North America and to see the ground level data point and commentary, we have been talking about, hearing negative news on the weather and the expensive cost of chemicals and fertilizers. So, what has exactly driven this growth, in spite of all the challenges and is there any inventory you have pushed to the trade which explains the volume growth. And secondly, what is the current status on your credit rating?

Mike Frank: Yes. So, maybe I'll start with the Latin American, North American business, and then Anand you can talk about the credit rating. So, generally speaking coming into the planting season, in the Americas, the weather was generally in a good situation, again other than, I would say some parts of Mexico, and then the western part of the US where it's been extremely dry. So, the crop got planted, the row crops got planted, and our portfolio performed very well. Now, look the entire market was strong. So, as the rest of the industry will be reporting over the next several weeks, I would expect that there's overall strong market growth across the Americas. I do think our performance is going to be on the high side, both from a price and volume standpoint. And, you talked about product cost, there's no question of course, including with our portfolio, that the prices are higher, of course our cost are higher as well, when you look at the grower margins, based on strong commodity prices for row crops, generally across the Americas, the income statement is going to be strong, margins will be strong for growers across that region. So, that's how it's played out. In terms of inventory, look I do think there was probably a little bit of incremental buying this year in anticipation of a strong market and with everyone a bit concerned about product availability. When we look at our portfolio, in particular, we believe that channel stocks are in a good position and so with our core products in the marketplace, we think that we are well positioned from a channel stock standpoint. And on top of that, we've got a number of new products that we're launching, over 80 products in total, around the world, and some very significant blockbusters that we're launching in Brazil and the US. So, we are very optimistic, we're going to continue to see strong growth for the rest of the year

across that region. Anand

maybe you can then pick up on the credit rating question.

Anand Vora: Thanks, Mike. Ramesh, that's something on which we are engaging with the rating agencies, we are extremely conscious of our investment grade rating. And if you do a simple calculation of Net Debt to EBITDA, we are well below two, which is the threshold for investment grade rating, and we are well below that. Having said that, each rating agency has a different model, some of them add back the non-recourse, some add back certain amount of cash, which is on the balance sheet, they only consider part of the cash on balance sheet as free cash, the others, they consider it as a part of the business requirement, and so on, so forth. So, there are different formulas. So, we keep monitoring the situation, we work hard to make sure we remain at investment grade rating, and we keep engaging with the rating agencies on a regular basis.

S Ramesh: Thank you. So, if I might just squeeze in one more question. In terms of your guidance are you expecting normalized weather for the rest of the year, what is the risk to that in case of any

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commodity price deflation, would that have a negative impact on your margin as you cut prices, some thoughts on that?

Mike Frank: So, based on our guidance, I would say we are expecting reasonable weather throughout the key growing areas. That being said, much of Q2 and now even parts of Q3, we do have orders in hand, supply chain is working hard to deliver against that opportunity. So, we wouldn't anticipate price pressures necessarily in Q2 and Q3. Look at some point if grain commodity prices come down and grower margins are challenged, that would be a different scenario. That's not what we're seeing right now, we're seeing grower margins being strong. And so, look, it's a dynamic marketplace and at this point in time we're still in an inflationary environment from a both cost of goods standpoint, as well as in terms of SG&A. And again, grower margins based on commodity prices, have supported this the current market dynamics.

Moderator: Thank you. Our next question is from the line of Surya Patra from PhillipCapital. Please go ahead.

Surya Patra: In the Americas, we have reported very strong growth. So, is it possible to share what is the volume rise and what is the price rise in North American and Latin America. And secondly,

whether this growth is to some extent contributed by the operational challenges, that your European peers would be currently facing, whether you have realized any benefit of that competitive advantage?

Mike Frank: Yes, thank you for the question. So, as we provided in the materials, overall the volume increase was 6%, price increase 18%. I would say, specific to your question. In North America, it was heavily weighted towards volume and in Latin America, it was heavily weighted towards price. And so there was some difference between those two markets. Volumes were, less of a contribution in Latin America and we did see really strong herbicide, insecticide fungicide movement in North America. And so our volumes, there were quite strong. So, that's just from a volume versus price perspective. Looking, we haven't seen any impact from an operating standpoint, across our competitors. Supply chain continues to be a challenge, including freight and logistics. The resiliency of our supply chain is clearly one of our competitive advantages. As I talk to our customers especially some of the global retailers and distributor companies that really understand the impact of global logistics, we are viewed as a company that can be extremely reliable in delivering products and that has given us a competitive advantage. And so that's an advantage that's going to be durable, but specifically with respect to the European competitors, we haven't seen

anything specific at this point in time.

Surya Patra: Sure, sir. Sir, just an extended question on this. So, how should we look at this gross margin scenario, see while the prices have gone up by 18% and there is a favorable currency factor, still, the gross margins Y-o-Y have remained flat. So, how should one see the gross margin panning out moving forward?

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Mike Frank: So, if you kind of zoom out on the situation and look at our portfolio, last year about 30% of our portfolio sales were differentiated and sustainable products and about 70% were post-patent. As we look ahead and look to say over the next five years, we believe the evolution of that mix will move more towards a 50:50 mix. As we see the performance in our portfolio today, we can see that cost of goods impact has a much lower overall impact on our differentiated and sustainable products and so that part of our portfolio is extremely durable. If we see commodity prices change going forward, obviously the post patent part of our mix is impacted at a higher rate based on cost of goods, as well as commodity prices. And so that part of our portfolio will be more dynamic as the markets evolve, and the differentiated and sustainable products, which is our fastest growing segment overall, if you look over the next three to five years that part is less impacted by this volatility in cost and commodity prices.

Surya Patra: Okay. So, just a quick question on the NPP BioSolutions, it has performed strongly this quarter across various regions. So, can you share what is our cumulative number for the quarter?

Mike Frank: Yes, so we don't break out by segment on a quarter-by-quarter basis, we provide that guidance on the year and so, we guided for the year that we expect our mix will be approximately 31-32% towards the sustainable and differentiated products this year. Q1 is a smaller quarter for that part of our business and so I would say there is not a lot to read through based on how Q1 played out. That being said, just like Ashish talked about, from an India perspective there is a lot of interest and growers are looking at the significant portfolio that we do have in BioSolutions and we continue to add to that portfolio from an innovation and a collaboration standpoint. So, yes we're very excited about that part of our business. We're leading in that whole sustainability front right now, and we are looking for more collaborations going forward. And so we do expect that we'll see good growth in that part of our business, as the quarters evolve. And like I said, the first quarter is not a significant quarter, specifically globally for the NPP portfolio.

Moderator: Thank you. Our next question is from the line of Vishnu Kumar from Spark Capital. Please go ahead.

Vishnu Kumar: Want to understand on the ground level measures that we are actually doing to bring down the working capital base or be it the debtors or even inventory or the payables, because it appears that we are growing the fastest in the market which has the highest working capital base, so this is becoming a circular reference every quarter for us. So, how do we really break this or at least on the ground are we doing something different, so that at least that going forward working capital days could slightly come off, if you could help us understand on this?

Anand Vora: Mike, maybe you can start and then I will chip in?

Mike Frank: Yes, perfect Anand. So, look, it's a very important question and we do have a lot of focus on this specific area with all of our teams on the ground. And we're working closely with our customers, and we are looking for opportunities to look at our portfolio, again as we look at our differentiated and sustainable portfolio, where margins are strong. We continue to want to have

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terms, which really benefit those products and allow us to grow that part of our business, exponentially. As we look at just the margin profile of our entire business and, just like in any businesses there's parts of our portfolio that are lower margin and so as we think of our business going forward, we're going to be more discerning on payment terms and credit that we provide on the lower margin part of our portfolio. But again, this is going to be evolutionary in nature, not revolutionary. And so it's, something that we're very focused on, as Anand and I both mentioned, we're committed to getting to 80 days of working capital by the time we get to the end of the year, and our teams are working hard to make sure that we deliver against that. Anand Vora: Thanks. Maybe, we have Global Head of Supply Chain Raj Tiwari, he can share some of the initiatives which we are taking on inventory management, he can share that. Raj over to you.

Raj Tiwari: Yes, so on inventory front, in the first quarter, we have a bit of higher inventory levels as compared to last year. It's basically because of the fact that India saw muted growth, and we are building the inventory for bigger Q2 and Q3 looking at the growth momentum that we have, and as you have noticed in the previous years, that generally we do that build up and then in the Q4, you'll find that our inventory comes down dramatically, and we are confident of delivering on the inventory days guidance what we had given earlier.

Raj Tiwari: On the specific measures, we are running a project specifically on inventory measurement wherein we are looking at building the inventory at technical level and not at formulation, so that we can be closer to the market and when the demand comes up, at that point of time, we can quickly formulate and serve the market especially for LATAM and in the US. And as I mentioned during our annual investors meet, we are targeting a 10% reduction on the inventory days as compared to last year end and that I'm confident that we should be able to achieve.

Anand Vora: Thanks. So, to your question Vishnu, there are several initiatives being taken. And as also Mike mentioned in his initial remarks, we are really working hard to make sure that we manage and see how we can improve on our working capital and there are several initiatives being taken both on the receivable and on inventory side. So, it's a clear focus area, and we are quite confident that we will be able to bring some positive changes by the end of this year.

Vishnu Kumar: Got it sir. And just on the commodity prices on one side, we are seeing some softening. And secondly, we are taking price hikes, wanted to understand that next couple of quarters should our margins expand and also a connected point, if crude were to stay stabilize at 100 or say closer to 90, then is there a possibility of a faster working capital release, because as of March we were probably at 100, 115 when we closed and assume if it ends up slightly lower then should we see the guidance of US\$ 400 million net debt reduction go up slightly. This is a hypothetical question, but at least directionally is it as possible?

Mike Frank: Yes, so on commodity prices they did spike up three or four months ago. And, of course we've seen at least in most row crops, those prices have come back down. Generally, the prices are very strong and as I mentioned earlier, grower margins are still supported, based on both current

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and future commodity prices. In terms of our margin expectations, we do expect an increase in margins for the year again depending on what happens with cost of goods. As the quarters play out, we'll see how that evolves, but we would anticipate a little bit of a strengthening of margins as the year plays out and especially as we look at Q2, Q3.

Vishnu Kumar: Got it sir. And one more

question if I may, in Brazil we've been growing pretty fast as one of the previous participants was also asking if our European competitors are not able to supply in the market, do we have a significant headroom for growth in this market or we are more or less there from a medium-term angle if you could just give some direction on this?

Mike Frank: We are not anticipating that there's going to be significant shortages, but look we've got a very strong portfolio in Brazil. We have our OpenAg farm, where we are focused specifically on UPL products in both soybeans and corn. Over 70% of all the inputs on this research and demo farm are UPL products and so we have a portfolio that really spans across both crops. And on that farm we're seeing yields much higher than average yields and so we're very confident in our portfolio. We are launching new products this year, like evolution, lifeline zinc, which is one of our important herbicides. So, as the market evolves, and if certain situations happen with our competitors, again we'll use our agility as one of our core strengths to take advantage of any opportunities.

Moderator: Thank you. Our next question is from line of Tarang Agrawal from Old Bridge Capital. Please go ahead.

Tarang Agrawal: Three questions from my side. One, while the Brazil is the biggest for production market and we've been doing reasonably well there, but it is also a sizable portion of your business now,

which brings in a reasonable amount of concentration risk, whether it's geography or purely in terms of balance sheet. So, how should we see this, sort of getting hedged over a span of next 2-3 years, do we anticipate this part of the market to contribute lower than what it does right now and if so, what are the steps that are going to be taken to sort of address that, that's number one. Number two, if you could give us a sense on what your working capital cycles are across the major markets that you operate in. And number three, the fire incident at Ankleshwar, did it have an impact on your business in Q1, if so if you would give us some qualitative sense as to how it impacted your business, that's it thank you.

Mike Frank: Okay, while we answer that in reverse order, so Raj why don't you take the market and then Anand you can take the working capital cycle.

Raj Tiwari: So, this fire was in a plant which is used to make Monocrotophos and there is a very small impact, basically in the India business, as Monocrotophos is India based. Out of the total requirements of Monocrotophos for the year, around 50% of the volume we already had in hand. So, it's only about 50%, volume loss of business, which is quite small.

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Anand Vora: Thanks Raj. And so Tarang on the working capital by region, we generally don't share that data, because it depends on multiple factors such as we do, or we don't do factoring in some markets, and then further, the terms vary from each market to market and then within that also the crop terms vary. So, it depends on what sort of weather, what cropping is done and that determines the working capital, because in certain markets it has to be based on the default crop terms in certain markets. So, it varies from market to market. Over to you Mike.

Mike Frank: On Brazil, so if you look out over the next two or three years, the reality is we've got strong momentum in Brazil, but also in many regions outside of Brazil. So, I wouldn't anticipate a material change in the mix of our business from a geographic standpoint, in the next two or three years. And so with our NPP business, that really has a global opportunity for us and probably weighted very heavily on Europe and so, we do have a number of layers of growth that we are aggressively pursuing, outside of Brazil. That being said, our Brazil business and portfolio is extremely

strong and so we're going to see strong growth in that market though, as well.

Moderator: Thank you. Our next question is from the line of Rohan Gupta from Edelweiss. Please go ahead.

Rohan Gupta: Sir, the question is on our reduction in receivables factoring per se. Just wanted to understand that the reduction in factoring, which are the primary key markets where you have reduced the factoring and where do you see that going forward?

Anand Vora: Thanks, Rohan. So, Rohan, currently at least, we have reduced factoring in Latin America, where the interest costs have gone significantly higher. So, we are monitoring the situation, at least I don't see the costs coming down over next one or two quarters. So, we will probably compensate for that by doing more factoring in other markets like US and Europe, that's the plan as of now. Let's see, how the interest rate behaves as we move forward.

Rohan Gupta: And sir secondly, definitely not only just to improve our cash flows but factoring also protects you against any payment failures. So, do you see that in this Latin American market where you have reduced factoring leads to increased risk of bad debts and further increase in overall working capital cycle overall?

Anand Vora: So, we looked at those aspects, and based on that only we took a decision that it's better to go plain vanilla loans instead of going for factoring because we looked at the track record over the last three years, and we have extremely low, bad debts. So, we were quite comfortable and considering that the interest cost have gone up almost three times more, the CDI what we call in Brazil, and some of the other Latin countries, the basic bank rates, they have gone up almost 300%. They were 4% to 6% and now they are in the range of 12% to 15%. So, it makes sense to reduce the factoring quantum in these certain markets.

Rohan Gupta: And just last from my side. So, on the upward revision of the guidance for Revenue and EBITDA, can you just give some more color that this is primarily driven by what? Are there certain markets where you are seeing higher growth versus few months earlier?

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Mike Frank: Yes, so Rohan, I would say again, we're likely to see very strong growth across the Americas, in Southeast Asia, in Australia, in India, and Africa. All those markets will contribute to our growth and give us confidence in the revised guidance that we issued today.

Moderator: Thank you. Ladies and gentleman in the interest of time, we'll be taking a last question that's from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: My first question is on the FMC contract. So, where are we currently, and when are we expecting material benefits from this particular collaboration. Thank you.

Mike Frank: So, maybe there are two aspects to that one. One is from the supply chain standpoint, the other one is from a commercial standpoint. So, Raj, will talk about the supply chain piece of it later. On the commercial side, we have started commercializing C TPR in a number of markets, as we look at the next 24 months, we have the opportunity to commercialize in more and more markets. And so for FY23, this will not be a material part of our business. But looking at FY 24 and beyond, it will become a more important part of our business. But Raj, maybe you can also talk about it from a supply chain standpoint.

Raj Tiwari: Yes, thanks. So, Rohan on the CTPR on the supply chain side agreement. We have already commissioned the plant in the last quarter, which is Q1 of this year, and we have started, already commercializing supplies to FMC.

Rohit Nagraj: Thanks, Sir. Second question again, harping on the working capital, so, the higher working capital, is it also function of gaining market share from competitors or is it purely based on the other factors that

at we have elucidated in our discussion. Thank you.

Mike Frank: So, specifically we are not using let's say, our balance sheet to try and gain advantage over competitors and so we're not going out with extended terms or something like that, to gain an advantage. In fact, we're being very diligent with how we position our products. That being said, with our increase in volume of 6%, it's likely on the higher side. So, I do believe we are gaining share in the marketplace, we really think it's based on the strength of our portfolio, our go-to-market approach, and the relationships that we've established with our customers. And again, given the resilient supply chain that we have, we're getting the benefit of that, when customers are looking at alternatives, and they're deciding to de-risk their business by partnering with us and so those are the advantages that we have, I would say, in our business right now.

Rohit Nagraj: Alright, got it. Just one last clarification on revenue growth guidance of 12% to 15%, what is the volume growth that we are considering?

Mike Frank: So, again coming out of Q1, we saw about one quarter of our revenue increase was from volume and about three quarters from price, if you ignore the currency impact. I would say that ratio will likely make up our growth as we look ahead to the whole year. So, there'll be a piece of it a

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quarter to a third, that will be volume related, and two thirds to three quarters that will be more price related.

Anand Vora: Okay, thank you very much everybody, for joining us on this call. If you have any follow up questions, feel free to either reach out to me or to Radhika. We'll be happy to answer your questions. Thanks once again for joining us on the call.

Moderator: Thank you, members of the management. Ladies and gentlemen on behalf of UPL limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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MANAGEMENT : MR. JAIDEV SHROFF – GROUP CHIEF EXECUTIVE
MR. RAJENDRA DARAK – GROUP CHIEF FINANCIAL
OFFICER
MR. MIKE FRANK – CHIEF EXECUTIVE OFFICER OF
GLOBAL CROP PROTECTION
MR. ANAND VORA – GLOBAL CHIEF FINANCIAL
OFFICER
MR. RAJ TIWARI – CHIEF SUPPLY CHAIN OFFICER
MR. FAROKH HILLOO – GLOBAL CHIEF COMMERCIAL
OFFICER
MS. RADHIKA ARORA – HEAD OF INVESTOR
RELATIONS

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Moderator : Ladies and gentlemen, good day, and welcome to the UPL Limited Q2 FY '23 Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Radhika Arora. Thank you, and over to you, sir.

Radhika Arora: Thank you. Good day, everyone. Thanks for joining us today for the results for the quarter and half year ended 30th September 2022. On this call, we will be referring to a presentation that is available on our website, and we take us having read the safe harbor statement.

From the management team, we have with us today Group CEO, Jai Shroff; Group CFO, Rajendra Darak; CEO of Global Crop Protection business, Michael Frank; Global CFO, Anand Vora; Chief Supply Chain Officer, Raj Tiwari; and our Global Chief Commercial Officer, Farokh Hilloo. We will start with an overview from Jai and Mike, followed by a financial update from Anand. With that, let me now hand it over to Jai. Over to you, Jai.

Jai Shroff: Thank you, Radhika. It's a pleasure to talk to all of you, and good evening, good morning. I'm delighted to share the excellent performance of our business with all of you, we had a robust 18% growth in revenue and 35% growth in EBITDA. We are encouraged with the growth in all key markets except Europe and the above 20% growth in all these markets, which shows the ability of our team to really focus on improving margins.

The EBITDA improvement is a key focus area for us, and the company is focusing on cash generation in the following quarters. We have committed to reduce our net debt by \$400 million through cash generation from operations. We also have announced a strategic realignment of our businesses where we have separated our Advanta Seeds business and our AgTech business in India to really show the true value of these businesses. We have got marquee investors like ADIA and TPG, Brookfield and KKR to invest in these businesses and to show how valuable these platforms are.

Today, Advanta is one of the largest seed companies in Asia. And so is our AgTech platform, one of the largest platforms. The net cash generated through this strategic alliance will be about \$260 million, which will go towards debt repayment. Altogether, including the share buyback, we are talking about a net reduction of \$650 million by end of 2023.

Looking at the second half of the year, we remain in a position to continue our growth through price improvement and volume growth. Given the backdrop of the challenging year we had, we believe that UPL will continue to grow towards the rest of FY23.

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In line with the global governance standards, we have had some long -serving board members who have contributed significantly towards the growth of the company , some of them will be retiring and making way for new board members. I want to thank each one of the Board members for contributing towards the growth of UPL . Also, there will be introduction of new members , Carlos Pellicer and Raj Tiwari, who will join the Board of UPL. With that, I would like to hand over to Mike.

Michael Frank: Thank you, Jai, and hello, everyone. I'm pleased to share our Q2 results, which have seen strong improvement versus last year, despite continued uncertainties and volatility in the current macro - economic environment. I'm really proud of the discipline of our sales process led by our on -the- ground agile team, our strong customer relationships and supply-chain excellence that have helped us deliver this performance, despite headwinds from global in

flationary pressures,

geopolitical uncertainties and unfavorable weather conditions in key markets. So , in Q2, we continued with our strong growth, supported b y improved price realizations in herbicides and tailwinds through strong Ag commodity prices. The key regions, as Jai mentioned, that drove the growth in this quarter were Latin America, North America, India, and our Rest of World region.

In fact , each of these regions posted a growth of 20% or more versus the previous year. We have achieved very strong margin improvement in Latin America which comprises nearly 50% of Q2 revenue, thus leading to overall margin accretion. We also continued wit h our strong performance in North America supported by our growing product offerings and through effective key account management with US distributors. Europe had flat revenue due to euro devaluation and other macro challenges. However, given the current e nvironment, we believe our growth in the region has been impressive in euro terms, which has grown about 13% versus the previous year.

Moving to the financial results. I'm pleased to report our strong performance led by disciplined pricing, with increases across most of our portfolio, and that has led to significantly improved contribution margins. Our revenue has grown by 18%, as Jai mentioned, and EBITDA is up by 35% on a year -on-year basis. Our contribution margins grew by 27% with margins now around 43%, which is an impressive 290 basis points higher than last year, again, driven by our multipronged approach of improved pricing, our focused product mix, and portfolio rationalization. This has all helped us in improving business quality, specifically in Latin America , which was our major region for the quarter.

So led by strong improvement in overall contribution margin, our EBITDA margins improved by 278 basis points versus last year, helping in strong bottom -line expansion of 28% year -on-year despite higher finance and hedging -related costs. In terms of market access, we continue to build on our capabilities and continue to hold strong positions as a preferred partner. For example, with Orígeo, now approved in Brazil, we see th e opportunity to expand our market penetration.

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For year -to-date, as you can see, we've increased our overall inventory levels as we anticipate a strong second half. We've been very disciplined in our approach of timing our sales closer to the application season, working in partnership with our channel to ensure we meet the demand as it happens. We anticipate a significant reduction in our inventory levels as the second half of the year evolves.

Taking a quick look at regional performance for the quarter. In Latin America, we achieved a strong 20% growth led by our herbicide portfolio and improved pricing. Brazil was the key growth region driven by robust demand for post -emergent herbicides and strong price realizations. This was further supported by Evolu tion, which is our new product in the fungicide segment. We also had nice growth in Argentina and Andean countries to provide overall lift for the region this past quarter.

In North America, revenue grew by a strong 24% on the quarter, led by improved pr ice realization in our herbicide segment and strong grower demand and channel support. All of this despite dry weather conditions in Western USA, impacting specialty crops and the rice market. As I mentioned, in Europe, our revenue was flat versus last ye ar due to the euro devaluation. However, in euro terms, we achieved impressive growth despite the challenges of unfavorable weather, product bans and the ongoing conflict in the region. Among key sub -regions in Europe, growth was strong in Germany and in many Central European countries.

In India, our Q2 growth of 22% was led by herbicides, primarily glufosinate products, new insecticide launches in Paddy and cott

on crops ; NPP Biosolutions and the crop establishment segment. This was supported by improving pricing in key products. Going forward in India, we expect the market to be supportive with favorable pricing of key crops, such as rice and wheat. We are confident of our strong growth in the second half, driven by newly improved Flupyrin in rice and a new three-way mixture herbicide for sugarcane along with NPP Biosolutions and seed treatment products in key rabi crops of wheat, potato, and cumin.

In the Rest-of-the-World segment, we delivered 21% growth, driven by significant volume increases and improved price realizations. Strong growth was achieved in Southeast Asia and Australia as well as Southern Africa, driven by our broad portfolio in those regions. Among other major markets there, Japan was flat despite significant devaluation of the Japanese yen against the INR.

We remain committed to our reimagining sustainability initiatives under which we have launched the Gigaton Carbon Goal. And this past quarter, we launched it in Rwanda, Kenya and other Western and South African countries in collaboration with the FIFA Foundation, which was after our successful launch in Europe in Q1.

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Before I hand it over to Anand, our Global CFO, I'd like to highlight that we are well poised to deliver strong growth for the full year on the back of our strong order book. We, therefore, maintain our FY'23 guidance of 12% to 15% growth in revenue and 15% to 18% growth in EBITDA. Our strong first half performance, along with anticipated robust demand for our solutions portfolio and product optimization in H2, will further support our guidance. We are confident of delivering our second-half growth on the back of increased market share and improved realizations.

Further, we shall continue to be diligent with SG&A, despite being in an inflationary environment across various expense items. Lastly, we're also committed in the last part of the year towards efficient working capital management, which will help us in reducing net debt for the year, as Jai just mentioned.

I'd like to further congratulate our team for their resilience, dedication and unified focus in delivering such a strong performance in this quarter despite the challenges on several fronts. I'll now turn it over to Anand to take a deeper dive into the financial performance.

Anand Vora: Thank you, Mike. A warm welcome to all of you who have joined us today. I'll begin by discussing the key financial highlights for the second quarter and first half of the year, followed by an update on working capital and debt position. At the outset, I'm very happy to share that we have delivered a strong all-round operational performance in the first half of the financial year '22 to '23, marked by robust top-line growth and significant improvement in EBITDA margins.

On the performance of quarter 2. Our quarter 2 revenues were at INR 12,500 crores, representing a healthy growth of 18% primarily led by better price realization as the key crop prices continue to remain strong. The price increase of 21%, exchange benefit of 4% was partly offset by the negative volume variance of 7%. More importantly, it is heartening to see that our contribution margins improved by 290 basis points to 42.6%, leading to a robust growth of 27% in contribution profit to INR 5,324 crores.

As Jai alluded to earlier, the improvement in contribution margin was on account of our conscious focus on driving quality growth by shifting the product mix in favor of high-margin products, rationalizing our product portfolio and negotiating better credit terms. Robust growth in contribution margin, coupled with efficient OpEx management, resulted in 35% growth in EBITDA to reach INR 2,768 crores.

SG&A expenses, as a percentage of sales, remained steady. We continue to invest in building team

and capabilities to grow our differentiated and sustainable portfolio and bolster our go-to-market and product innovation capabilities. Finance costs increased by 80% to INR 644 crores, primarily due to significant increase in benchmark rates globally. Within the finance cost, the interest expense grew to INR 535 crores this quarter versus INR 284 crores in Q2 of last year.

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The increase in benchmark rates by almost 400 to 800 basis points across different geographies over the same period last year, attributed to the sharp increase in interest costs. Overall, despite the increase in finance costs, hedging costs and FX impact, the strong growth in operating profitability, coupled with lower tax rates helped us to deliver robust net profit of 28% at INR 813 crores.

Moving on to H1 results performance. Consolidated revenue grew north of 20% to INR 23,300 crores, improved product realizations, which were higher by 20% and favorable Forex rates helped led to this growth. Volumes are flattish in H1, as our emphasis on quality growth meant that we had to forgo certain orders of low-margin products with extended credit terms. Having said that, we are confident of delivering healthy volume growth in the second half of the year, led by the strong demand outlook.

On the operating -profitability front, we delivered EBITDA growth of over 30%, with margins expanding by 140 basis points to 21.9%; improved realization and efficient cost management aided us in delivering a better margin profile despite various external factors. Effective tax rate for the first half of the year stood at 12.2%, and we shall remain within the guided range of 15% to 18% for the full year, as mentioned earlier.

On the whole, our net profit during the first half grew robustly by 29% to INR 1,690 crores, despite higher interest costs and hedging costs. As regards to working capital, as you are well aware, due to seasonality of our business, the working capital increases through the year and decreases substantially in the last quarter. Ending H1 with higher working capital, especially the inventory levels, which were primarily higher because of the following reasons: 1) we had robust sales in H1 and a strong demand outlook for H2; 2) the uncertainties in supply chain and logistics; and 3) our decision to sell closer to the season and thereby offering lower credit terms on sales to improve the receivable days.

As a result of these factors, we have seen an increase in working capital of \$962 million, in INR terms, about INR 8,495 crores in the working capital versus the beginning of the year. However, against this increase, the net -debt adjusted for buyback and dividends, which are money given to the shareholders by end of H1 was \$734 million, in INR terms, INR 7,500 crores, implying a cash generation from operations of \$228 million in H1.

Going into H2, we typically have seen 75% to 80% of cash conversion of the increase in working capital, which happens in H1, which should translate into cash flow of \$750 million to \$800 million, roughly about INR 6,100 crores to INR 6,500 crores in H2. Further, in addition to the reduction in working capital, we received \$75 million, approximately INR 600 crores in October on account of settlement of our insurance claim in Chile and South Africa.

Taking these two factors, the release of working capital and the insurance claim plus the incremental profits of H2, will lead us to deliver the reduction of \$400 million in net debt, as we UPL Limited

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had guided at the beginning of the year. Moreover, the net fund inflow of \$260 million from the recently announced restructuring of business should facilitate a further debt reduction, taking the total debt reduction for the year to \$650 million. It's worth noting that this stated debt reduction of \$650 million

is including the buyback of shares of \$150 million done at the beginning of the year.

So, in summary, the net -debt position as of March '22, of around \$2.5 billion, would be reduced by approximately \$650 million, less about \$150 million of share buybacks, so roughly about \$500 million, thereby, taking the total net debt at the end of the year to approximately \$2 billion. With this expected reduction in net debt, the net debt -to-EBITDA ratio would stand below 1.4 -times by the end of the financial year. With that, I ask the operator to begin the Q&A session. Thank you.

Moderator: Thank you. We will now begin with the question -and-answer -session. Anyone, who wishes to ask a question may press star and one on your touchtone telephone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have the first question from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

Moderator: It appears that Mr. Ramesh dropped from the queue. We move on to the next question. We now invite Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: So just wanted to get some clarity on the net -debt guidance for the end of the year. So we are talking about \$650 million of debt reduction compared to the levels of last year's March quarter, which I believe was about \$2.5 billion. So is \$1.85 billion, the target that we should be looking at by the end of FY'23? And also, just wanted to confirm if the guidance includes any significant increase in factoring that you might be looking forward in the second half? Or you think you can more or less get there without the substantial increase in factoring?

Anand Vora: So, Abhijit, as I mentioned, yes, \$650 million would be the debt reduction, gross of buyback of that about \$150 million. So roughly, we are talking about a \$500 million reduction in debt from the \$2.5 billion at the beginning of the year. So, we are targeting a net debt level of around \$2 billion or a little bit lower than \$2 billion by end of the financial year.

On your second question, which was on factoring, as we had said at the beginning of the year, we would target to remain around the \$1.6 billion level, which was what we did last year. If at all, it could go up by about \$50 million to \$100 million more, but it will certainly be lower than the increase in sales or the growth in sales that we would have. In other words, our growth in factoring will be lower than the growth in sales, but we are trying to work towards seeing that it will be at the \$1.6 billion level, which is the same level as last year.

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Abhijit Akella: So, just to understand, as of September, the receivable sold was INR 6,671 crores, which is something like \$800 -odd million, and that will increase to about \$1.6 billion by the end of the year?

Anand Vora: That's right.

Abhijit Akella: And in terms of the cost of this factoring at this point in time, I mean, do you believe it is favorable enough for you to significantly increase the factoring in the second half? How do you see that situation?

Anand Vora: Yes. So, as we had mentioned at the beginning of the year, we will be curtailing our factoring in some of the geographies where the costs are significantly higher as the benchmark rates have jumped significantly, for example, in Brazil, the benchmark rates have gone up by almost 800 basis points over that of the last year. So certainly, we will reduce our factoring in those regions, those countries, but we will compensate by increasing our factoring in countries like US or Europe, where we still get money at LIBOR plus 150 basis to 200 basis points. And this is almost equal to the cost of borrowing, which we do otherwise on working

capital. So virtually, we are

getting a non-recourse risk-free money at the same price that we get as of working-capital funding.

Abhijit Akella: Sure. That's helpful. And then just one last question for me before I get back in the queue. Just on the volume growth for this quarter, it was about minus 7%. I understand we've strategically decided to focus more on driving higher margin sales with better quality of credit periods and everything. But is there some apprehension that we might be giving up a little bit of market share in some of our markets?

Michael Frank: Yes. It's Mike here. I'll take the question. So no, we're still very focused on maintaining and growing our market share in all of our key geographies. Again, as we commented, we are timing our sales to channel and to customers closer to the market. And so, we are anticipating that we'll see more volume growth in the second half, but our teams are very focused on ensuring that we maintain and grow our core market share. It's one of the attributes, I think, as UPL, we've got a very strong portfolio. We're launching over 80 new products this year. So, it all augurs well to, I think where we'll end the year better from an overall market share perspective.

Moderator: Thank you. We have the next question from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Mike, on the gross margin improvement that we got in this quarter, if you can just probably spend some more time on what the major factors driving the improvement in the gross margins? And our contribution margin and how should we look at the contribution margin improvement for the second half of the year?

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Michael Frank: Yes. So, as I mentioned, the gross margin improvement was primarily really across our portfolio. But from a meaningful standpoint, it was really in our herbicide segment. And I would say it's underpinned by the strength of our supply chain and the efficiency of our supply chain relative to the market we compete against. And so we saw the opportunity to take appropriate price increases where we could. And overall, that's why we saw the incredibly strong margin improvement in Q2.

Now going into Q3, we think the trend will continue. The growth on a year-over-year basis may not be as strong in Q3 and Q4, but we anticipate we'll continue to see margin expansion in both quarters ahead of us.

Nitin Agarwal: And secondly, on the overheads, any comment on how's -- has there been any easing off on the inflationary pressure on freight and other expenses?

Michael Frank: Yes. So I'll take part of overheads and then I'll ask Raj to talk a little bit about freight and other logistic costs. So, about half of our overheads are employee costs. And so, obviously, the inflation on employee costs have run higher this year. And with inflation around the world that trend will likely continue. We're very focused on managing overall headcount numbers,

managing all of our controllable SG&A where we can and so I think we're seeing strong discipline from an overall SG&A management perspective. But we will continue to see SG&A growth as we anticipate in the second half of the year.

Raj Tiwari : Yes. On logistics, actually, the prices have come down significantly. However, when we talk about the landed price in the respective countries, the currency depreciation has taken a lot of savings out of logistics. So yes, in US dollar terms, there has been a lot of lowering of cost in freights.

Nitin Agarwal : Okay. And secondly, Anand, on the Forex losses that we sort of report below the EBITDA line, what are the nature of these Forex losses? These are all realized losses or these are notional losses?

Anand Vora: Well, part would be the cost of taking the forward cover and large part would be the mark-to-market.

Nitin Agarwal: Okay. And is there

any particular currency against which these, because the count of losses is pretty high this quarter.

Anand Vora: We did see some impact coming because of the euro depreciating, the Japanese yen depreciating. There was an additional cost because, as you know, we hedge our advanced orders that we get. So there's the cost of hedging there. But yes, largely, I think, otherwise, the Brazilian Real was okay, we did get some impact there also. But as I said, some of these are mark-to-market, so they will be reversals as we move into the following quarters.

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Moderator: Thank you. We have the next question from the line of Jay Shah from Capital PMS. Please go ahead.

Jay Shah: Congratulations for a great set of numbers. I just wanted to understand that since there is a lot of China-Plus-One tailwinds that are happening across the world. I just want to ask management in terms of derisking the supply chain. How are we trying to derisk our sales from these geographical uncertainties? Are you focusing more on procuring from, say, countries like India, where you can have at least a visibility of the supply chain better so that we can fulfill the contract? Are we doing something to derisk the supply chain from our end?

Jai Shroff : Yes. So UPL is probably the most backward-integrated player globally in our sector. And over the years, that has been a continuous process. We also have built a very strong supply network in India over the last four or five years and are one of the largest buyers from the chemicals manufacturing companies in India.

So this is a constant process. And if you look at it among our major global peers, we would be the least dependent on China. So, while we are not completely independent, we don't want to be completely independent. China has a strong manufacturing platform.

So, while we keep reducing our dependence as a single source out of China, we are constantly building capacity in India and also working with Chinese companies to add capacity and specific partnerships. We think we are pretty balanced as far as our supply is concerned. But as UPL continues to grow, we keep adding capacity and a lot of our Capex does go towards backward integration on key raw materials for our industry.

Not only for the AgTech area, our specialty chemicals platform goes a lot into other sectors, like pharma and other sectors, which are also growing in India a lot. So that's a constant effort from our side.

Jay Shah: Okay. Got it. So just following up on that, so when you say that you're buying a lot from these Indian companies and you have a good base in India, how does the chemical synergy and the technology work? Does the R&D department of UPL work with these vendors? Or these are all generic in nature and the technology is available to everyone? Like when you say specialty, so then how does the specialty technology -- how do the vendors get access to, like do we have a...

Jai Shroff : Very close. The vendor development activity doesn't happen in one meeting. It is years of working. So, we have years of partnership. So UPL is one of the largest buyers of specialty chemicals in India. And in fact, if you look at the top 10 specialty chemical companies, UPL would be the one of their leading customers.

So, it's an ongoing, very close relationship with them, where we work on technology improvement. We also look at their carbon negation, help them with their waste treatment, energy

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reduction. We work with them across the platform to help them to be more competitive and share the benefits of all the efficiency and technology development.

Mod erator: Thank you. We have the next question from the line of Visnu Kumar from Spark Capital.

Visnu Kumar: My first question is on the price increases. In the fourth quarter of double -digit numbers what

you've been doing? Have we reached an end to the price increases? Or is there some more still pending?

Michael Frank: Well, yes, so if you look at it, firstly, if you step back and look at the broad Ag marketplace. Because of a number of reasons, including lots of weather challenges in North America and Central Europe this past year, with heat and lack of rains and then too much moisture in parts of Southeast Asia and other regions as well as the conflict in Ukraine, I mean, the anticipation right now is ending stocks for key grains are going to be near record lows, which is why we're seeing very strong prices for grains and food products.

And we believe that, that's going to continue. It's going to take more than one normal crop to rebalance those ending stocks. And so grain prices are high. Feedstocks to produce ag -chem products has also been high. And so that's led to the inflationary nature of our business and our ability to price into the marketplace. Whether we're at the peak of the price, it all depends on how things evolve from here. I would say, right now, we believe we're in a stable environment where most of our feedstocks have stabilized from a cost standpoint over the last several months. Again, I think from a pricing perspective, if you do it just on a year -over-year basis, we can anticipate price increase for sure in Q3 over last year's Q3, and again, we would expect it in Q4. Now whether there is additional upside in pricing, I think that will depend on what happens to grain prices. And also what happens to feedstocks from this point forward.

Visnu Kumar: Okay. At least on feedstocks, has the softness that already started? And would that mean we will keep it with us as margin or we will start passing it on to the customers, let's say, if the market probably becomes a little soft?

Raj Tiwari : This is Raj here. Of course, there is some softening of prices in the feedstock. But actually, when we talk about the prices on the ground in the respective countries, this softening is not reflecting, because of the currency depreciation largely except for US. .

But reality is on - the ground, it has not been able to convert and therefore, the customer doesn't get the benefit of a lower cost because of the depreciation in the currency. So that's one and also the interest cost, the cost of capital has actually gone up and that is also impacting. So that's where the status is.

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Visnu Kumar: Got it, sir. In terms of the volume decline of 7%, is this more to do with Brazil, where as you are highlighting that we are taking some corrective steps? Or is it across the -- all the regions? If you could just give some -- a bit more understanding on this minus 7% decline?

Michael Frank: Yes. So it's not across all regions. It's primarily in Latin America and even more specifically, it's in Brazil. Again, where we're timing the movement of our products into the channel, close to the use season. Again, we'll see the impact of that benefit in Q3. If you look outside of the Americas, our volume growth was in the mid -single -digit range. And so we did see volume growth outside of the Americas, but in the Americas, that drove the minus 7% across our portfolio.

Visnu Kumar: Got it. And one final question on the working capital again. My question on the pricing was essentially trying to ask that a lot of the working capital demand this year has been, because of the price growth and we have to fund for that. So , if we are more or less done say, in terms of price increases and let's say if the current commodity prices sustain , then a lot of working capital could get released next year and you may not require so much in terms of the working capital. Is that right understanding for next year?

Also, additional question on this. Any incremental changes that we have done in Brazil, like what we understand on this

volume, low margin, high working capital days you're giving off. Anything that we can anticipate as a positive surprise next year or anything that is currently ongoing in terms of reducing the working capital load that we are currently taking in this region?

Anand Vora: Visnu, I mean, I thought this results itself a positive surprise with the margins that we have made. But having said that, looking into the future, I think we are very conscious. The entire leadership team, business, finance, everybody is conscious that this sort of working capital is unsustainable, and we are taking several measures to reduce the working capital.

Like you saw that you have seen a bit of inventory buildup, which has happened in by end H1. But that's basically because we are going to supply closer to the usage. We have shared with you our joint venture with Bunge, where that's another step where we will see a reduction in working capital. So , several measures are being taken and in almost all regions to see how we can bring down our working capital.

So while price, of course, if it comes down, there will be a less, but then I guess it would be also

the volume will continue to grow as we grow our business. So there are measures being taken and we are working towards seeing how we can bring down our overall working capital as we move forward.

Moderator: Thank you. We have the next question of the line Abhiram Iyer from Deutsche Bank. Please go ahead.

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Abhiram Iyer: I just wanted a bit of clarification on the net -debt reduction. You mentioned that basically, the target is US\$ 650 million. And whereas from the perspective of factoring, this is going to increase from the current levels of US\$ 800 million to around US\$ 1.6 billion. So I mean, I'm just trying to figure it out from, say, the rating agencies perspective, which includes factoring assets one way or the other. I know it's non -recoursed, but would this mean that effectively the combined level should actually be higher than what they are currently?

Anand Vora: What do you mean combined levels will be higher? The factoring on a year-to-year basis will be the same. Last year, we were at US\$ 1.6 billion, and this year also will be around the same levels .

So, there will be no incremental factoring if one has to look at from March to March

Abhiram Iyer: Got it. And there will be no currency effects there because of the shift in geographical segments for factoring that you mentioned?

Anand Vora: No. We look at it in dollar terms only.

Moderator: Thank you. We have the next question from the line of Rohan Gupta from Nuvama Wealth Management.

Rohan Gupta: Sir, first question is on our volume decline, especially in current quarter and we have seen almost flat volume growth in the first half while the entire growth in top line has been driven by the price increase. But despite that, we have been able to improve the EBITDA margin by almost 140 basis points that, if my understanding is right, that is mainly driven by the improved product mix and when we see the prices stabilizing or declining , we see higher margin growth and EBITDA margins will be much higher than the current level?

Michael Frank: Yes. Rohan, it's Mike here. So yes, your understanding is right. I mean obviously, on a first -half basis, our volumes are about flat maybe down 1% and so the growth in our business and the growth in EBITDA is attributed to the price increases. I think on the second part of your question with regard to, if we see raw material decrease in cost, will that have a positive margin impact on our business?

Like again, I think it depends on the timing, and it depends on the product. Some products which are extremely competitive and are priced on a cost -plus basis, today and in the future, if the costs come down, then prices will come down and percent margins will be maintained, but

not absolute

margin will kind of fall in line. As we sell more and more of our product portfolio in differentiated and sustainable products, those products are less likely to be cost -plus and they're really priced on the value that they generate and so they'll be less price -sensitive.

So it will be a bit of a mixed bag. But I would say if feedstocks come down or raw material costs come down, I wouldn't anticipate that would be a long -term opportunity for margin expansion.

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Maybe in the short term, as the market adjusts, there could be some benefit, but not in the mid - to long term.

Rohan Gupta: Okay. Got it. Sir, secondly, in terms of our guidance. So once again, flat volume growth in first half, while you have mentioned that the company is doing the rationalization of product basket and focusing more on the upstream product and high value -added product. So does it mean that when we started giving the guidance for the -- I mean, in Q1, we were looking at 7% to 8% kind of volume growth.

However, the pricing growth has been separate and that has been driving top -line growth. So do we still look at the full year volume growth in the range of 7% to 8%? Or do you see that the rationalization of product basket will continue in second half as well?

Michael Frank: Yes. No, good question. Look, I think on this full year, we would anticipate volume growth in the mid -single digits. So that would be more where I would expect to see volume. Again, if you look at the first half, there's really only one country where we've seen volume decline, which is in Brazil.

And again, we believe that a lot of that is going to be made up in the second half. So yes, I think don't misread into the volume story, you really need to look at the whole -year picture. Again, I think from a total -market perspective globally, if you think about the product that gets applied

on the ground, which is what really matters we're likely going to see maybe 3% to 4% increase in the total global marketplace from a volume perspective, at most. Again, there's been many markets that got impacted because of the weather conditions. And so it may not even be that high overall. And so, we would anticipate to have volume growth in excess of the global market.

Rohan Gupta: So, we can safely expect that full year volume growth should be mid-single digit irrespective of the Brazil going down?

Michael Frank: Yes. So again, we would expect to see overall volume growth across our entire year in the mid-single-digit range.

Rohan Gupta: Got it. The third question is on this debt level and cash level. So, post the realignment which you have just mentioned, I mean, across the various business verticals which you have created now, how the debt and cash will be positioned, sir? And the net-debt level which you are talking about, I understand you are talking about the UPL level. So how the debt level and cash will be distributed among entities which we will be creating now?

Anand Vora: We are looking at an overall group at this stage, and we are committing based on the overall group level. If you see while we have just segregated, UPL Corp was always a separate company, where 22% stake was with ADIA and TPG, which as you know in the restructuring, we have now pushed it down to UPL Cayman. Advanta and was well a separate division, but not separate UPL Limited

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entity and UPL SAS, which is the sustainable agri solution is our India business was again a division. But again, we will overall look at the group level and our commitment to rating agencies is at the overall group level.

Rohan Gupta: So Advanta and UPL SAS will be having no debt and no cash?

Anand Vora: They will have some debt, some cash, but this all would be consolidated at UPL Limited level because, as you know, we will continue to own 91

% of UPL SAS and 86.7% of Advanta Enterprises.

Rohan Gupta: So, just one last question from my side, and I'll come back in queue. There's an acquisition of Kudos Chemie, the INR 237 crores kind of spend. A little bit more on this, what kind of revenue can this acquisition generate and is it part of the specialty chemical side of the business. So, do we see that in your restructuring con call, you have mentioned that Specialty Chemicals business also will get a thrust from the management?

So, it is something in line with that and this acquisition of Kudos Chemie, which is primarily in, I think that in specialty chemical s beverages and pharma ingredients, not related to our agrochemical intermediate business. So are we looking in that direction that a lot of more investment can happen in these kind of opportunities?

Jai Shroff : Yes. so exactly we look at our manufacturing platform, part of UPL, it's about a \$2 billion manufacturing platform, which caters to crop protection and specialty chemicals. Over the last two or three years, we've been investing in building the specialty chemical platform, which has many uses ranging from as intermediate for our traditional crop protection business, but also in the other areas for pharma and other areas, for which we have seen a huge demand for intermediates.

Kudos is a very small acquisition, we bought it for maybe \$0.15 to the dollar. It's a huge infrastructure with a 100-acre site in the industrial park. So, today, to set up a new plant costs a lot of money. So, we got already made site and we will in about a year's time, we will see a good amount of production and new products coming out of that site

And this manufacturing and specialty chemicals platform, is already a n INR 14,000 crores top-line business and we believe that will continue to grow. So, when you look at the segment valuations, then you can realize how big that business is, like we talked about Advanta and the UPL SAS.

So, we are unlocking value for shareholders and looking at different ways to make sure that the market understands the value of some of the assets within some of the very exciting businesses which exist within the UPL Group.

Rohan Gupta: And the revenue potential of this investment of INR 237 crores, UPL Limited

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Jai Shroff : I mean, right now, we are not giving out any numbers.

Moderator: Thank you. We have the next question from the line of Aditya Jhawar from Investec. Please go ahead.

Aditya Jhawar: My first question is, Anand, is there a scope to increase the proportion of sustainability loan to

lower the interest cost? Or are you evaluating some refinancing options to lower the interest cost?

Anand Vora: We, in fact, just concluded about 2 weeks back, a \$750 million loan at about 20 to 25 basis points lower than what was the cost of acquisition loan. But the challenge is not in terms of our spreads keep coming down, the issue is really the speed at which the benchmark rates that so far or LIBOR rates have gone up. And that's what has created this sort of increase. The good part is this is applicable to everyone. And therefore, you will see everybody increasing the prices in order to recover the extra cost of borrowing.

Aditya Jhawar: So as of March end, sustainability loan was about 42% of the total loan. What is the number right now?

Anand Vora: So, the US\$750 Mn loan that we took wasn't the sustainability loan, but we took a plain vanilla loan with again a 5-year maturity, with a part of it maturing in 3 years just to reduce our cost of borrowing. But we borrowed this new loan facility at about LIBOR plus 145 for 5-year and the 3-year, we got it at LIBOR plus 125, whereas the acquisition loan was at about LIBOR plus 165 - 170 basis points.

Aditya Jhawar: Okay. So out of the total debt, what, so 30% is a fixed rate. Is that right?

Anand Vora: The bond

s are at fixed rates.

Aditya Jhawar: Fixed rates. Okay. Now the second question is on the volume decline of 7%. So, as Mike mentioned that on a full year basis, we might see a mid-single-digit volume growth and we are talking about already higher teens price increase. So is there a possibility of raising the revenue guidance upwards? Currently, we are at 12% to 15%. But factoring in these two things, the price increase and a mid-single-digit volume growth. And so far, we have delivered over 22% kind of a growth?

Anand Vora: I mean it's simple math, but generally, we refrain from changing the guidance. As you know, we did revise our guidance this time at the end of first quarter, and I think we would like to retain it at the same level.

Moderator: Thank you. We have the next question from the line of Swadha from Ace Lansdowne. Please go ahead.

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Swadha: Congratulations on a good set of numbers. I just have one question regarding your debt reduction. So I just want to know what exactly would be the plan of the company going forward to curtail the debt? Would it just be on the reducing the factoring? Or is there any other thing?

Anand Vora: There are a lot of initiatives that we have taken, as I was saying earlier to answering one of the questions. What we are doing is we are reducing the credit terms, which we offer to our customers. One. Two, we are trying to sell closer to the season or the time of consumption, which thereby also helps us to reduce the cost, reduce the credit terms, but it also helps the distributor as he has to invest less as far as his working capital is concerned. So it's a win-win for both. Besides this, we are, of course, seeing how we can bring down our cost, our SG&A expenses. And we have also taken up internally a project on improving our forecasting, what we call forecast accuracy, which should help us to plan our inventories better. So, these are some of the initiatives that we have taken. I did also mention that in Brazil, we have a joint venture now with Origeo, where whatever we sell to that joint venture company, we get paid within 180 days, which while in absolute, it does sound like it's a big number, but otherwise, we have been selling at about 200, 220 plus days.

Because in Brazil, we generally sell on crop terms, which means that depending upon the crops' life cycle, we have to offer that level of credit days to the customer. So, several of these initiatives have been taken both in most of our regions, and therefore, this should help us to bring down our working capital.

Moderator: Thank you. We have the next question from the line of Ramesh from Nirmal Bang Equities.

S. Ramesh: The first question is as Mike mentioned in his opening remarks about the product-mix improvement and portfolio rationalization. So, is it happening in some specific product segments? And secondly, you mentioned about the improved performance in LATAM in terms of EBITDA margins being higher, so if you can put it in the context of what was the differential in the Latam margin compared to your blended margin, and what is the improvement in there, it will be helpful?

Michael Frank: Yes. So as I mentioned, from a product-mix standpoint, we really geared our supply chain and our sales organization to really focus on higher-margin products, and this will be an ongoing effort. And so I think it's part of the discipline that we need in our business, and so we're starting to see some of the green shoots based on that focus. And so I would say that, that's going to continue. I mean we aren't exiting complete segments or specific AIs, and so we're just really looking across our portfolio, where can we rationalize SKUs, where can we combine formulations and how can you become more efficient to really serve our customers.

Bec

ause at the end of the day, our objective is to provide whole acre solutions to our customers, and so we really like our broad portfolio strategy. So we're going to continue to have that strategy, including with Biosolutions, but we will gear things more towards higher -margin products. In terms of margins, we don't provide that on a region -by-region basis. I would say, additionally, the LATAM region has had lower margins, including this year, on average, they would be a bit lower, but we saw a significant improvement. In fact, the biggest improvement we saw across our global business this past quarter was the margin performance from our Latin America region. So, it's not quite at the global average, but it's getting closer, which is good.

S. Ramesh: So, the second part is if you're looking at the global average volume growth of 3% to 4%, you said UPL will possibly be able to grow faster. So how would you do that? Is there an increase in market share? Or are you creating new segments? Can you explain that?

Michael Frank: Yes. So I mean it's really focused on penetrating with the products that we have across our portfolio as well as the 80 new product launches that we're bringing to the marketplace this year. And so, some of the products, just to give you a couple of examples, we have a new three-way fungicide, Evolution in Brazil, that is going to be a significant product for us. We're going to gain significant share in that entire marketplace this year and I think we have a multiyear opportunity to gain share with Evolution.

Likewise, we're just now entering, for the first time, the soybean herbicide market in the US with a really good two-way herbicide that's called Preview. That's also patented. And again, that's a whole new segment for us, where we will participate in for the first time. And I think based on product performance, that will be a very strong product, starting with Q4 sales as it gets positioned for next spring in the US.

The third and the final product, I'll highlight is a new bionematicide called Nemasect. This is from our collaboration with Christian Hansen. We just actually, in the last two weeks, got regulatory approval in Brazil for this product, and we're expecting it shortly in North America. So, these are three examples of segments we're entering in a big way with some new products and technologies that will help us grow market share. In addition, there's our traditional markets where we are expanding capacity and growing across portfolio specially quite fast in certain products such as glufosinate, clethodim and s-metolachlor. So, these are some of our largest AIs where we continue to debottleneck our plants, invest in capacity and continue to grow our market share.

S. Ramesh: Okay. So is it possible to throw some light on the target market size for Evolution and the new soybean herbicide?

Michael Frank: Well, yes, so the soybean rust market is one of the largest markets in Brazil. And we believe with our product Evolution, we've got the premier product in the marketplace now. So yes, we're not

breaking out kind of product market shares by country, but this will be one of our significant growth drivers throughout the rest of this year and into the next couple of years.

S. Ramesh: And then one last thing that you mentioned introducing new products and weeding out some old products. FMC typically talks about 3% attrition and then additional products on top of that. So you have to look at the 20%, 21% innovation rate, what is the kind of attrition in all products? And what are the kind of growth in new products this year based on your current number?

Michael Frank: Yes. It all depends on the market segment. I would say, based on the product portfolio that we're introducing this year, it's probably around 70% of our new product sales would be incremental sales.

And so again, taking the Evolution as an example, that will cannibalize some of our older products in the marketplace, whereas a product like Preview is a brand-new segment for us. And so, on average, I would say, with our current product launches this year, about 70% of their sales are incremental sales. So, about a 30% cannibalization rate.

Moderator: That was the last question. I now hand it over to Mr. Anand Vora for closing comments.

Anand Vora: Thank you, everyone, for joining us today on this quarter -- the results quarter and first half results call. If you have any follow-up questions, please reach out to Radhika Arora or Mandar Kapse or you can also reach out to me, and we'll be happy to take your questions and provide you with data points and information you require. Thanks once again, on behalf of all of us here at UPL for joining us on this call.

Moderator: Thank you. On behalf of UPL Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Q3 FY 2023 Earnings Conference Call"
January 31, 2023

MANAGEMENT : MR. JAIDEV SHROFF – GROUP CHIEF EXECUTIVE OFFICER – UNITED PHOSPHORUS LIMITED
MR. RAJENDRA DARAK – CHIEF FINANCIAL OFFICER – UNITED PHOSPHORUS LIMITED
MR. MICHAEL FRANK – CHIEF EXECUTIVE OFFICER - GLOBAL CROP PROTECTION BUSINESS – UNITED PHOSPHORUS LIMITED
MR. ANAND VORA – GLOBAL CHIEF FINANCIAL OFFICER – UNITED PHOSPHORUS LIMITED
MR. RAJ TIWARI – SUPPLY CHAIN OFFICER – UNITED PHOSPHORUS LIMITED
MR. BHUPEN DUBEY – CHIEF EXECUTIVE OFFICER – ADVANTA BUSINESS – UNITED PHOSPHORUS LIMITED
MR. ASHISH DOBHAL – HEAD OF INDIA REGION – UNITED PHOSPHORUS LIMITED
MS. RADHIKA ARORA – HEAD OF INVESTOR RELATIONS - UNITED PHOSPHORUS LIMITED

United Phosphorus Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the UPL Limited Q3 FY 2023 Earnings Conference Call. As reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Ms. Radhika Arora. Thank you, and over to you, ma'am.

Radhika Arora: Thanks, Vikram . Good morning and good evening to everyone. Thanks for joining us today for the results for the quarter and nine months ended 31, December 2022. On this call, we will be referring to a presentation that is available on our website, and we take as having read the safe harbor statement. From the management team, we have with us today, Group CEO, Jai Shroff, CEO of Global Crop Protection business, Michael Frank, Group CFO, Rajendra Darak, Global CFO, Anand Vora, Supply Chain Officer , Raj Tiwari, CEO of Advanta business, Bhupen Dubey, and the Head of India Region, Ashish Dobhal.

We will start with an overview from Jai and Mike and a financial update from Anand. With that, let me now hand it over to Jai. Over to you, Jai.

Jaidev Shroff : Thank you, Radhika. Good morning to everyone. UPL continued to deliver strong numbers in quarter 3 , with 21% growth. The Global Crop Protection platform grew 22%, Advanta Seeds business grew 31%, while the Indian AgTech platform, UPL SAS, remained flat despite unfavorable market dynamics in India. The rabi season, however, looks promising for India.

All the regions in the Global Crop Protection business, except for Europe, reported double-digit growth with Americas, particularly witnessing strong traction, growing by almost 30%. In fact, in Europe as well we grew the business 10% in euro terms . The growth in Advanta Seeds was supported by both volume and price realization, primarily in sorghum, sunflower and field corn.

I'm pleased to share that the minority stake sale in the Advanta Enterprise has been successfully completed. For the stake sale in UPL SAS, we received all approvals, and the entire process has been completed. We expect to receive investment from investors in UPL SAS in the fourth quarter.

And lastly, one of our platforms, the Specialty Chemicals business is scaling rapidly. Over the last four years, we have grown this business from INR 600 crores to INR 1,500 crores in 2022. So far, during the first nine months of FY2023, as well , our Specialty Chemicals business grew by 22% YoY to over INR 1,250 crores .

We believe that this platform will continue to grow at 25% CAGR over the next three to five

years. To scale rapidly, we are entering into new chemistries, expanding capacities for existing molecules and operationalizing the recently acquired Kudos manufacturing plant, among other initiatives. UPL is building a unique platform of capabilities to cater to the growing Indian specialty chemical market demand as this market continues to grow in all sectors in India.

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On sustainability front, as most of you are aware, one of our key focus areas has been to drive sustainable farming practices globally. So it's heartening to see that UPL continues to be ranked Number 1 Agrochemical Company in sustainable performance by Sustainalytics for the third year running.

Finally, looking ahead to the fourth quarter, we are confident of continuing our growth momentum and ending the year on a strong footing. As stated earlier, we are confident of achieving the committed reduction in net debt to US\$ 2 billion by March '23.

On that note, I now hand over the floor to Mike who will take you through a detailed overview of

the global business performance. Over to you, Mike

Michael Frank: Thank you, Jai, and hello, everyone. I'm now pleased to share some highlights for our third quarter fiscal year '23. As you can see from our numbers, the team at UPL once again delivered strong performance despite a number of challenges across the agricultural landscape. At the core of our strategy, we are serving farmers and growers across the globe, bringing new technologies and services to help them improve productivity, reduce risk, and to grow the fruit and crops they produce more sustainably.

To activate this strategy is our customer-centric and agile organization, our unique backward integration and supply chain excellence, all of which have constantly helped us deliver impressive performance quarter-after-quarter. I'm very proud of the overall efforts and focus across our organization this past quarter.

Moving to the financial results. Our growth was driven by improved price realization across regions and strong overall demand, which was supported by constructive grain commodity prices. The key regions that drove the growth in this quarter were Latin America, North America and India, each of which had strong growth versus last year in the same quarter.

In fact, Latin America alone accounted for 54% of our total growth in revenue this quarter.

Overall, our revenue has grown by 21% compared with the same quarter last year. Contribution profit is up by 20%, and margins are about the same, which is at 43%.

Our EBITDA grew by 14% on a year-on-year basis. This was achieved despite significant and very specific investments we made in enhancing our customer relationships and farmer connections. These investments will provide us with the teams and capabilities we need to drive our differentiated and sustainable portfolio. Overall, we delivered strong EBITDA and net profit. Now let me talk about performance of our regions in the quarter. In Latin America, we achieved 28% revenue growth. Brazil growth was especially impressive, driven primarily by insecticides and fungicides. Key insecticide products among those were Perito and Feroce, with higher volumes and price realization.

Also in Brazil, our growth was supported by the ramp-up of fungicides such as Evolution, a new product for us and a fantastic fungicide and a key product in our differentiated offerings. In

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Mexico, growth was driven by fungicides and our natural plant protection, bio solutions business.

And growth in Argentina, despite challenging weather was very good through our herbicide products. In North America, revenue grew by 30% in this quarter, driven by equal mix of improved pricing and growth in volumes being further supported by favorable exchange rates. Herbicides and our NPP sustainable solutions were key drivers for this growth.

In Europe, our revenue grew by around 3% versus last year, impacted primarily by the Euro devaluation, products bans, unfavorable weather and ongoing conflict in the region. However, despite such external challenges, we grew by an impressive 10% in the region in Euro terms. Differentiated products witnessed growth in that region primarily through our insecticides and fungicide portfolios.

In India, our strong Q3 growth of around 19% versus last year was largely driven by our seeds business, Advanta. However, on crop protection, we were flat versus previous year due to unfavorable weather and overall high channel inventory, leading to lower volumes. However, this impact was compensated by improved price realization. Going forward, Q4 in India is expected to be a strong quarter for us, driven by our sugarcane portfolio and fast-growing seed

treatment segment. We also expect to see strong traction in volumes in our newly launched multi-crop fungicides and insecticides.

In the rest of the world, our business was up around 12

%, driven primarily by improved pricing

despite high channel inventories in parts of Southeast Asia, and also unfavorable and specifically wet weather in several parts. Growth was primarily driven by insecticides in Southeast Asia, which was partly aided by the acquisition of PT Excel in Indonesia last year as well as our herbicide business in Australia and New Zealand.

We remain committed to reimagining sustainability, and also to reiterate as Jai mentioned, UPL ranked Number 1 in our industry for sustainability performance by Sustainalytics for the third year running, which is a fantastic recognition of the hard work and great work our teams are doing across the board.

Before I hand over to Anand, our Global CFO, I would like to highlight that we are well placed to deliver strong growth for the full year on the back of our very strong order book. We are, therefore, confident of delivering at the higher end of our FY '23 guidance of 12% to 15% revenue growth and 15% to 18% EBITDA growth.

Q3, as you can see, has been a successful quarter for us, wherein we continue to deliver growth following our strong first half performance. Consequently, in the first nine months of FY '23, we are focused on achieving overall quality growth with an improved product mix and major pricing actions, which has enabled us to improve our margins and deliver robust 24% year-on-year growth in EBITDA.

Going forward, as we look ahead to the fourth quarter, the demand for agro chemicals continues to be strong, especially in the Americas. Our pipeline for volume growth in Q4 is supported by United Phosphorus Limited

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our new differentiated launches such as Evolution in Brazil and Preview in North America, plus several launches in India.

Further, while concerns related to crop protection product bans in Europe remain, we are well poised with our NPP biosolutions offerings there. Overall, we will continue to be diligent with SG&A spend despite being in an inflationary environment across various expense items.

Finally, I'd like to congratulate our team for their resilience, dedication and unified focus in delivering such a strong performance this quarter.

I'll now turn it over to Anand to take a deeper dive into the financial performance.

Anand Vora: Thank you, Mike. A warm welcome to all of you who have joined us today. I'll begin by discussing the key financial highlights for the third quarter and the first nine months of the year, followed by an update on working capital and debt.

We continued to deliver a strong performance in quarter 3 with revenues growing by 21% year-on-year to INR 13,679 crores. This is in spite of the challenging environment we face marked by pricing pressure on few molecules, the unfavorable weather and high channel inventory in some regions, including India and the continuing geopolitical uncertainty in Europe.

But more significantly, we also saw a strong year-on-year growth of 20% in contribution profits on the back of an improved product mix and rationalization of sales of low-margin products.

The contribution margin for the quarter stood at around 43%. EBITDA at INR 3,035 crores showed a growth of 14% from that of the previous year. EBITDA margins for the quarter stood at 22.2% as we continue to invest in SG&A. However, the same is in line with our expectation of the guidance provided for the full year EBITDA growth.

Net finance costs increased by 49% from INR 493 crores to INR 732 crores with almost entire increase coming primarily due to significant rise in benchmark rates globally. We saw on a ballpark 400 basis point increase in benchmark rates, in-line with the increase in US Treasury rates. Further, FX impact for the quarter was in line with that of the same quarter previous year despite the increase in cost of hedging during the quarter, largely driven by increase in benchmark interest rates. O

verall, the net profit for the quarter stood at INR 1,087 crores, showing a healthy 16% growth.

Coming now to our first nine months performance. Revenue crossed the INR 37,000 crores mark, recording a growth of 22%, while the contribution profit grew by 24%. Contribution margin at 43% showed an improvement of 90 basis points over that of the previous year.

Since the beginning of this fiscal, our emphasis has been on delivering quality growth with a better product mix and rationalization of sales of low-margin products. Besides, the cost pressures also led to higher pricing as is reflected in significant positive price variance from that of the previous year. We expect to see healthy volume growth in Q4 with the prices now

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stabilizing around current levels, supported by new product launches and strong demand in Americas and India, as alluded by Mike earlier.

On operating profit front, EBITDA rose sharply by 24% to INR 8,145 crores, with margins improving by 40 basis points to 22%. This is in line with the guidance provided for the full year. Net finance costs increased by 60% from INR 1,231 crores to INR 1,980 crores, of which almost INR 432 crores or about 58% increase coming primarily due to significant rise in benchmark interest rate. We saw a ballpark 400 basis point increase in benchmark rates throughout the nine months over that of the US treasury rate. Effective tax rate for the first nine months stood at 11%, and should be around the guided figure of 15% for the full financial year. Finally, we saw a robust expansion in our net profit, which was 24% higher at INR 2,777 crores for the first nine months. Moreover, our earnings per share for the same period grew by 26% at INR 35.1. Coming now to the working capital. Given the seasonality of our business, as most of you are aware, the working capital increases through the year, peaks in Q3 and decreases substantially in Q4. In addition to this, our inventory levels are higher primarily on account of our current decision to sell closer to the season and thereby offering low credit terms to improve the receivable days and also because of the strong demand in Q4, along with uncertainties in supply chain. As a result of these factors, working capital days increased to 121 days at the end of December '22, an increase of 13 days from that of the previous year. Considering the strong demand and push for low credit terms, we expect to end the year in line with the guidance of 70 to 80 days of net working capital.

But what is important to call out here is that for the first nine months of the current fiscal, the business generated cash flow of \$636 million. With the help of cash generated by business and additional cash inflow of \$59 million coming from the corporate realignment, we reduced our net debt by \$173 million sequentially to \$3.3 billion as compared to September 2022 levels of \$3.5 billion. On a year-on-year basis, this gives us confidence that we are on course to reduce our net debt by \$500 million and bring it down to \$2 billion as guided, as of 31, March 2023. With this expected reduction in debt, the net debt-to-EBITDA ratio would stand below 1.4x by the end of financial year. As regards to corporate realignment, as I alluded to earlier, we have closed the seeds business by transferring it to Advanta Enterprises Limited effective 1st of December 2022. Further, we also bought out 22% of ADIA, TPG in the international seeds business and our other non-crop protection business for \$241 million. So post both these transactions, we have received a net inflow of \$59 million.

The pro forma numbers of Advanta Enterprises for the third quarter and nine months have been provided in the presentation on Slide 14. And from the next quarter onwards, we shall be providing audited numbers. The key financials of Advanta seeds for the third quarter are,

revenue stood at INR 912 crores, reporting a robust growth of 31% over that of the previous year, while the growth in EBITDA was much faster at 54% to reach INR 275 crores. EBITDA margins improved significantly by 460 basis points to 30%. On a year-on-date basis, Advanta United Phosphorus Limited

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delivered a strong performance with revenue increasing by 31% to INR 2,736 crores and EBITDA growing by 41% to INR 772 crores.

Finally, I'll now give you an update on the realignment of UPL Sustainable Agri Solutions business. The stake sale in UPL SAS is expected to be completed very soon, and we have already received the requisite approvals. As stated earlier, the net inflow of \$200 million received from the sale of stake in UPL SAS will be used to retire the debt in Q4.

With this, I now ask the Moderator: to open up the floor for question-and-answers.

Moderator: We have our first question from the line of Jiten Doshi from Enam Asset Management.

Jiten Doshi: My simple question is that, are we expecting this \$500 million debt reduction at the gross level or at the net level?

Anand Vora: We'll be doing it at the gross level.

Jiten Doshi: So we would say about INR 4,000 crores -plus gross debt gets reduced?

Anand Vora: Yes. Of course, that will reflect in the net debt also.

Jiten Doshi: So what would that translate into interest cost savings for the next year?

Anand Vora: Roughly, our average interest cost on borrowings is 6-6.5% in dollar terms.

Jiten Doshi: It's very high.

Anand Vora: No, with LIBOR at almost 5%, we have the finest cost of borrowing as compared to pretty much anybody in the industry.

Jiten Doshi: Now do you believe that our working capital cycle you've got a good grip in, so this will now be an annual feature in terms of debt reduction?

Anand Vora: We have started certain initiatives to bring down our working capital. As you are aware that we announced the joint venture with Bunge in Brazil as one way to go to-market strategy, which would help us to bring down our working capital in Latin America. There are several other initiatives which we are taking internally to bring down the working capital. So its work in progress and we will continue to use the cash generated from business to reduce the debt.

Jiten Doshi: So going forward, this is going to be a recurring feature in terms of debt reduction?

Anand Vora: Yes. I mean, as you have seen, you have been a long-term investor with us, whenever we have surplus cash, we have used it to reduce the debt. This happened in 2013 to 2015. And for sure, we will use, whatever surplus cash is generated, we'll use it to reduce the debt.

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Jiten Doshi: So this means your balance sheet shrinks, in terms of the ROCE, we are not able to see the reflection. So if there's a shrinkage in the balance sheet, then the real ROCE of the business comes out.

Anand Vora: Yes, definitely

Jaidev Shroff: So Jiten Bhai, by the incentive to manage working capital tighter when interest rates are higher, the whole industry as such has a much, much stronger incentive. When interest rates were near zero, there was no incentive for the industry to really tighten up credit because it was a much easier way for smaller companies also to give credit. So, we believe that generally, as interest rates become stronger, the industry will get much more disciplined because there is a real cost to giving longer credit terms.

So, in general, we believe that the working capital for the whole industry will get tighter because the cost of capital is now real, whereas before it was nothing. So you will see the whole industry tightening up and we will benefit from that. And obviously, working capital cycles will reduce.

Jiten Doshi: So this now becomes a trend, and on the contrary, it's very

good because cash flow keeps on getting released.

Anand Vora: That's right.

Moderator: We have next question from the line of S. Ramesh with Nirmal Bang Equities.

S. Ramesh: Congratulations on the good numbers. So my first thought is when you look at the margin decline in the EBITDA margins, while you talked about increase in the revenue from sustainable and differentiated products. If you can throw some light in terms of how this has happened because we're looking at increase in the contribution from your higher-margin products, the margin compress shouldn't have been so much, 140 basis points. So can you shed some light on that. It would be useful.

The second thought is, what is the kind of sense you have in terms of the sense for commodity prices and the excess inventory carryover and the potential slowdown in the growth in volume, because the volume growth has been at a premium, although global companies are talking about sustained sense in commodity prices. Is there any risk to your volume growth aspiration, say, in the next couple of quarters given the volatility, and rather how do you read that over the next two quarters?

Michael Frank: Yes. So, Mike here, maybe I'll just take a first pass at this and Anand, you can make some comments as well. So, as you can see from a contribution margins standpoint, our margins are relatively flat at close to 43%. So I think based on the mix of our sales, we're seeing very similar margins. Obviously, last year this time, feedstocks were going up. We were pricing into that marketplace, but we were also liquidating inventory a year ago that was at a lower average cost of goods. And so, at this point in time, I mean, that was a benefit that we got last year that we wouldn't be able to enjoy this year.

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So overall, we're quite pleased with our contribution margins at 43%. If you go down to EBITDA, as I mentioned, we made some significant investments in our customer relations, specifically in Q3. And these were customer events, farmer promotions, and we did that specifically to really benefit our business over the next several years. And so we made that investment. And we think it was the right thing to do. But obviously, it did have an impact on our EBITDA margins.

Now with respect to your second question, from an inventory carryover standpoint, obviously, we're going to continue to de-inventory as we go through Q4. We're expecting strong volume

growth in Q4. As we commented a quarter ago, across the year, we're expecting mid -single -digit volume increase. And so, we still have that expectation. So we are expecting a really strong volume growth in Q4. And that will put us in a position where most of our inventory is fresh at the right cost of goods based on the durability of our supply chain. And so, I think that's a growth going into FY '24.

Yes. And maybe just on commodity prices. I mean the good news in our business is the grain commodity prices, whether it be wheat or corn, soybeans, for a lot of the major commodities, the commodity prices are remaining very strong, and that's having a solid impact on the demand side of the equation. So we expect overall demand to stay strong. We're seeing it right now play out with soybeans in Brazil. And in the near future, we're going to be moving to Safrinha corn, so we would also expect to see higher Safrinha corn acres. And again, that will create opportunities for us from an overall volume perspective. And so at this point, we see this setting up well.

S. Ramesh: So as a follow -up to that, Jai made some comments on your plans in specialty chemicals. So where is that reflected in your numbers? And is that something which you expect to contribute to your EBITDA and net profits in a meaningful manner say, in the next two years? Where do you see that?

Jaidev Shroff: Yes, that's a profitable business

segment, and it's growing fast. As we said, we expect it to continue to grow. It will contribute to increase the EBITDA. And as we share more details, we will start disclosing segment wise, while we report it. So you will see that.

S. Ramesh: Is it something, like custom synthesis business? Or is it more of a merchant sales with your key customers across the world? And what is the kind of growth one can expect, say, in the next five years? And what are the investments we need to make? So that will give us a good perspective on that.

Jaidev Shroff: So that business is, as we said, going to grow at about 25% CAGR . And we are constantly making investments. So , we are not disclosing the exact investment quantum , but it's going to be substantial.

Moderator: We have next question from the line of Vishnu Kumar from Spark Capital.

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Vishnu Kumar: In the press release, you have highlighted that there is channel deinventory taking place in certain markets. Any thoughts if you could just give on this particular point?

Michael Frank: Yes. So on channel deinventory, if you just go back in time over the last 24 -plus months, there was supply chain concerns. And so, we did see manufacturers also build up inventories, but also at the distribution and retail level. And so, if you look at this, it's really probably a pretty much a global reality that distribution levels for Ag chemical products are a little bit higher than normal. In addition to that, obviously, as we talked about interest rates, those companies are also trying to manage their working capital. And so, we do expect over the next two to three quarters some level of deinventory back to normalized inventory levels.

When we look at our businesses and our products specifically, we've been very disciplined. And so, you can see that in our volume growth on a year -to-date basis. We haven't been oversupplying the channel with our products. And so we believe that while we will have some headwinds because this will be an industry -wide impact, in our portfolio, we'll be well positioned, I think, versus some of the rest in the industry.

Vishnu Kumar: So, you expect the pace of this to further increase or we're just at start of deinventory situation? Is it starting? Or we expect it to quicken pace in the next couple of quarters?

Michael Frank: Yes. I think it can balance out within two to three quarters. And so, we probably saw a little bit of it happening already in our Q3 as we came through December. We would expect it again to be a feature in Q4. Again, we have guided to a strong Q4. But this will be an industry impact that we do expect to play out over the next several quarters.

Vishnu Kumar: In terms of our growth, most of it has been pricing and obviously FX. And I mean, commodities have gone up a lot in the first half and our pricing has kind of caught up. Now, over the next couple of quarters, if the commodity, if the crude and other related commodities soften, should we see a price reversal in the next six, nine months? Do you see that as a trend? Just your thoughts again on this.

Michael Frank: Yes. I mean at this point in time, maybe I'll have Raj from the supply chain perspective make a few comments. We are seeing that overall, feedstock costs have come down a little bit, but I would say, they're generally stabilized at this point. And so unless we see further decline in feedstocks, I wouldn't expect for too much further pricing erosion. Raj, do you want to make some comments?

Raj Tiwari: No, I think you said it. So basically, the prices are actually at a cost -plus level today. Unless that there is some significant development happening on the geopolitical scenarios, the price is going

to be at this level. And then from the quarter 1 onwards, when the demand starts picking up, then we feel that the prices may start going northw

ards. But at the current level, they have bottomed out.

Vishnu Kumar: So should we expect a double -digit pricing even in the fourth quarter?

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Michael Frank: Yes. I would say, expectation is we're going to continue to see some price growth. It may not be in the double digits, but it will be solid. I think what we'll see versus the first three quarters, more growth to volume. And so that's based on our order book. In our sales plan, that's what we would expect to happen in Q4.

Vishnu Kumar: And one last question on the debt. Heartening to see the \$500 million reduction target. What would be the factoring of the receivables, I mean, which we have factored by end of March? A rough understanding of what the number would be? Last year, I think March was INR 12,000 - odd crores. How much would the number probably be by end of '23, March '23?

Anand Vora: Vishnu, Anand here. As we have guided earlier, we will try to peg it at about \$1.6 billion, but you could see some increase, although the increase will be lower than the growth in sales. So, increase in our non -recourse factoring over last year would be lower than that of the increase in sales growth.

Moderator: We have next question from the line of Sonali Salgaonkar with Jefferies.

Sonali Salgaonkar: Sir, my first question is just a bit of a clarification on the debt levels. As per your press release, currently, as of December '22, we have INR 275 billion of net debt. That's about \$3.3 billion.

And we are expecting to get that down to \$2 billion by the end of March quarter. So how much reduction are we expecting in Q4, please?

Anand Vora: So that's the delta, close to \$1.3 billion.

Sonali Salgaonkar: And on a year -on-year basis, at March '22 to '23, we are expecting \$500 million of debt reduction. Is my understanding correct?

Anand Vora: That's right. That's correct.

Sonali Salgaonkar: So what is the net debt -to-EBITDA target that you are targeting?

Anand Vora: As I said in my commentary, it's going to be around 1.4x. If we deliver \$2 billion of net debt, it should be in the range of 1.4x, net debt -to-EBITDA.

Sonali Salgaonkar: And you also did mention in the initial comments that you are expanding capacities. So in light of that, what is our capex guidance?

Anand Vora: We had a budget of INR 3,300 crores, both tangible and intangible. But we may end up doing much less than that.

Sonali Salgaonkar: Sir, and lastly, you did mention that there is some amount of high SG&A as per your press release. So where should we expect the SG&A to settle down at? Or do you expect it to keep on increasing in the coming quarters if you are wanting to increase your brand visibility?

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Anand Vora: Sonali, we generally don't guide for SG&A. We guide for the EBITDA, and that's something which we focus on. And we will deliver, as Mike alluded, we will deliver -- we'll be on the higher side of our guidance for both revenue as well as EBITDA growth.

Sonali Salgaonkar: And just one last question from my side on the volume growth. This quarter has been almost flatish. That's 1% volume growth. With the channel destocking happening in Q4, how do you foresee the volumes?

Michael Frank: Yes. So as I mentioned, we are expecting a strong volume growth in Q4. Again, the way we work with our channel partners, we haven't loaded prematurely. In fact, if anything, we're trying to place the product closer to the sales window to help the supplier. So as I said earlier, we do expect strong volume growth. And I think based on, again, our order book and our relationships with our channel partners, we have a path to achieve that.

Moderator: We'll take the last question from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Sir, just continuation from the previous question on

the volume growth. So generally, when we

guide, in the start of the year we only factor primarily volume -led growth. And thankfully that this year our price -led growth has been very solid, that has helped. But otherwise, even on an adjusted basis also we had roughly just flatish or on a nine -month just 2% kind of volume growth. So in terms of this inventory destocking which you're talking about, do you see that it is across? Or we have lost market share or the market itself has been just flatish in this year?

Michael Frank: Yes. I would say, from an overall POG, the product that's sold on ground and put on ground by farmers, the market is probably slightly up this year in the low -single digits. And again, as we think about our volume that we're placing, where we're expecting on volumes our year to be up about mid -single digits, we will maintain our share or maybe grow it a little bit with respect to a product that's sold all the way through to farmers and put on the ground.

Again, we're being very disciplined in terms of the timing of our product to our distributors and then working with them closely so that you can all manage our working capital. So yes, so I would say, we're very focused on not losing market share, but at the same time, managing working capital and being very smart in terms of where we have opportunities to take price and margin when we are doing that as well.

Rohan Gupta: So sir, to maintain our target in guidance of a single -digit volume growth, if that all has to come from Q4, it means that we are looking a very solid or maybe high double -digit volume growth for Q4, then only probably single -digit volume growth should be possible for the entire year. So is that understanding right? That is one.

And if that's so, even if you're looking at double -digit volume growth, and we are on the other hand, we are also looking at the working capital or the overall debt reduction to come down by almost \$1.3 billion. Even in Q4, the volume growth is so strong that is going to drive the revenue growth significantly. On back of that, we are still looking at \$1.3 billion debt reduction, slightly

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contradictory in terms of understanding. So if you can give some explanation on this, would be very helpful, sir.

Michael Frank: Sure. As we come through Q4, there are a lot of moving parts. We will deinventory at UPL level. We will have solid volume growth in our sales. We also have, by far, our strongest month of collections. And as Anand just mentioned earlier, we have some headroom from a factoring standpoint. So all of those things will come together, help us manage working capital, help us reduce our debt and again, I think, finish the year strong from a performance standpoint, but also set up our FY '24.

Rohan Gupta: Sir, just last question from my side. Sir, on a factoring, you mentioned that looking at the target of close to \$1.6 billion. I get a point that it will not be in line with the increase in sales increase.

So, it will be slightly less, but it's still probably will be slightly higher than \$1.6 billion. What is the factoring number, sir, right now when we end this quarter?

Anand Vora: \$1.1 billion.

Rohan Gupta: So we are looking close to the \$500 million kind of increase in factoring, that to support release some cash on the balance sheet. That is helpful, sir.

And sir, if you can just give some further breakup of this factoring number because we have been focusing on reducing the factoring from Brazil and moving to other markets. Some broad number in terms of share that out of this \$1.1 billion right now, how much share is from Brazil market and how much is from other world markets?

Anand Vora: Roughly, it's about \$500 million in Brazil. The rest will be all in the global markets.

Moderator: We take the last question from the line of Dhruv Muchhal from HDFC Mutual

Funds.

Dhruv Muchhal: Sir, you mentioned about the excess in inventory across the industry. At the same time, we are seeing that the technical prices from the Chinese market or from even Indian markets have started to come down. So the combination of two, do you think this could be a cause of concern for the industry as a whole? And also, how is the UPL positioned? This probably could be a near-term thing or very short -term thing, but just wanted to understand the situation?

Michael Frank: Yes. Very good question. And again, the way we manage our business and work with our channel partners, I think we're well positioned coming into Q4 and setting up for FY '24, if you look at it company -by-company. But at the industry level, I would not expect to see as strong growth across the industry coming into this next year. I think it's going to be a tighter market, there will be some deinventory. As you said, there will be some price pressure coming out of the Chinese manufacturers. And so, that will have some impacts industry -wide. But I think, again, from our perspective, we're focused on delivering a strong Q4 and getting set up for next year.

Dhruv Muchhal: And probably, the second question was on the interest cost. Should we believe the Q3 interest number, about INR 890 crores, ex of the FX, I'm not sure what the FX amount here is, should

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be the peak number from given all of the interest increase, I mean, I'm trying to understand, is the interest cost increase largely factored in the Q3 number? Or can there be a further upside to

this?

Anand Vora: With the debt reduction plan for Q4, I think this should be the peak that we saw on a quarterly basis. So we should see a reduction in interest costs as we move forward purely because we are reducing the debt.

Dhruv Muchhal: But from an interest rate perspective, is largely everything factored in Q3 numbers? Or there's still some lag effect still remaining?

Anand Vora: No. Everything is factored.

Moderator: Thank you. I would now like to hand the conference over to Mr. Anand Vora for closing comments. Over to you, sir.

Anand Vora: Thank you. Thank you, everybody, for joining us on this call today. If you have any follow-up questions, you could reach out to Radhika Arora or you can reach out to me. And...

Moderator: Thank you very much, sir. Ladies and gentlemen, on behalf of UPL Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

UPL – FY23 CAPITAL MARKETS DAY
May 08, 2023

SPEAKERS: MR. JAI SHROFF , CHAIRMAN , UPL LIMITED
MR. MIKE FRANK , CEO , UPL CORPORATION LTD .
MR. ANAND VORA , GLOBAL CFO, UPL LIMITED
MR. RAJ TIWARI , GLOBAL CHIEF SUPPLY CHAIN
OFFICER, UPL LIMITED
MR. BHUPEN DUBEY , CEO, ADVANTA ENTERPRISES
MR. ASHISH DOBHAL , INDIA HEAD
MS. RADHIKA ARORA , HEAD OF INVESTOR RELATIONS,
UPL LIMITED

Radhika Arora :

Good evening, everyone , I am Radhika Arora , the head of investor relations at UPL . On behalf of the management team and all the other people who have worked tirelessly to make this event possible , it is my great pleasure to welcome you all to our FY2023 Capital markets day. Whether you are in the room or joining us via the webcast I do believe the hours spent with us today will be very valuable in understanding the Strategic direction of the company . You'll get the chance to hear from and interact with a deep bench of Business Leaders , the ones who build the systems and engage in working towards our ambition to change the game . A few of these examples you would have already seen at the experience center created outside . So, with that in mind I will get off the stage in just a bit but before that a few logistical pointers .

First in Q&A , there's a lot of information in today's presentation and we want to make sure that you hear it all before we open for questions . The session will start with a presentation by our chairman and group CEO Jay Shroff followed by global CFO Anand Vora ; CEO of UPL Corporation our international crop protection platform Mike Frank ; India head Ashish Dobhal for UPL SAS , our India crop protection platform ; Bhupen Dubey , CEO of Advanta , our Global seeds platform and Raj Tiwari Chief Supply Chain Officer for our manufacturing and Specialty Chemicals .

Lastly please make sure to check out the Safe Harbor statement about the forward -looking statements . With that let me welcome on stage now , Jai Shroff, Chairman , UPL Group.

Jai Shroff , Chairman , UPL Group:

Thank you, Radhika . Thank you and welcome everyone to our 2023 Capital Markets Day . In challenging times , UPL once again has

performed very well . I'm very pleased to share that all the divisions of the business are agile and to be honest probably some of the best performing businesses in each of their sectors . This year , the Consolidated Revenue for the group crossed INR 50 000 crores and we had an EBITDA of almost INR 11,200 crores . Our net debt now is just little over \$2 billion . We've also paid out \$250 million to shareholders . We've restructured our businesses . We've also had a debt reduction of almost \$440 million and invested almost \$350 million in capex for future growth of the business .

UPL continues to perform well and in very challenging times , as we are going through a post Covid resurgence of production in China .

UPL is working towards unlocking shareholder value and to unlock the true potential of our different business lines . UPL has built within the group , some of the leading businesses within different spaces of food systems , and today we have a leading global crop protection business . We have the UPL Sustainable Agri Solutions , UPL SAS we call it, which is the leading company in India in crop protection . We have the global seed platform 'Advanta ' and we have the specialty and manufacturing platform which is also in India .

All these platforms , are leaders in their own spaces across different sectors . We were also able to get marquee shareholders to invest in these companies and demonstrate

the true value of these separate business units . So, we have also been able to get a proper governance set-up with different board members in each of these business units . We have a huge , I mean beyond compliance , we have a huge amount of experience with board members , who add tremendous value in at the management level of the companies . UPL has been focusing on really improving its market share globally . We are today leaders in agriculture transition . We believe the future of agriculture and food security is in being sustainable . The whole world has talked about energy transition . The whole world is talking about mobility transition, and I believe the future is about agriculture transition and with our whole platform of technologies, we are moving towards a more sustainable agriculture future , without losing focus on ROCE and strengthening our cash flows . As I said this year , we have generated more than \$800 million of net cash . Invested some in capex , bought back shares , paid out dividends , and we believe that it just shows the confidence in our business .

Food security is also one of the key challenges for the world . With our initiatives such as the Gigaton challenge in partnership with FIFA foundation , our partnership with Zero Summit and other initiatives with the World Bank and the UN organizations , we are the leaders in developing technologies towards sustainable agriculture systems , and we believe that agriculture transition is the only way . We cannot leave the whole agriculture community , the food systems out of this transition towards more sustainable outcomes and we believe that almost from 25-30% of greenhouse gases are generated by agriculture and that can definitely be reduced by more than 10% with the right incentive structure , the right technologies and the right support from the governments as they are doing with the other Industries . UPL has a huge portfolio of what we call climate smart technologies which can reduce CO2 emissions , reduce heat and water stress on agriculture , and I'm sure that you have had or you should take some time to see our small exhibition here to demonstrate some of the things which we are doing across the world in various platforms, and not to say the least but to really create a farmer hero concept , where we are recognizing farmers who are willing to transition from traditional practices to more sustainable practices.

Some of the initiatives in the sugar industry in India or the avocado industry in Mexico or towards in the soya bean markets in Brazil and vegetable farming and projects in Africa , all these are our amazing pilot projects , which we believe are platforms to really transition sustainable agriculture . I believe these will not only help UPL to increase its market share in these markets but also promise farmers a more resilient future and better output .

UPL is also committed to as I mentioned briefly to various science - based targets for our CO2 emissions . We are also one of the three global companies to sign up to the water partnership at WBCSD. We are part of the compact CEO water mandate and so many other initiatives which are creating commitments and a consensus among industry to move towards a more sustainable future . At UPL , we have invested hundreds of millions of dollars over the last 10 years to develop technologies to really be able to mitigate some of these things and we are very fortunate that the world has become so much more aware about that, and I believe that our company will benefit with all these initiatives or requirements or standards by food companies .

As food security becomes a bigger and bigger issue around the world , and in all my travels in almost every country , the number one or number two issue for all the presidents of these countries and governments at large is food security , and even more so in the face of climate change and such erratic weather patterns there is a lot of anxiety about that .

Overall, we believe that the tailwinds for the industry are huge in the future , just because food security is going to be one of the critical factors which decides whether governments get re-elected or not. So, we are very well placed with a platform to deliver a product to almost every farmer . Today , I believe , almost every farmer uses some of UPL products , even if one or two of UPL products , and we believe that platform gives us the ability to help transition agriculture to a more sustainable future .

I will hand over to Anand now, thank you very much .

Anand Vora , Global CFO

Thanks Jai. A warm welcome to all of you for joining us today at this Capital Markets Day . Before I get into the slides , I just will share with you some highlights regarding the financial performance of the company .

At the outset I want to start with an admission that our performance for Q4 is well below the market expectations , and indeed it is below our own expectations .

However , it's worth pointing out that this was a very unusual quarter for us, and in fact in the last 10 years that I have been here , this is the first quarter wherein our EBITDA has declined as against the corresponding quarter of preceding year . So, while back in January , when we shared our performance for the first nine months , we were very confident of delivering on our guidance but the drop in profitability due to challenging market conditions in Quarter 4 led us to miss out on EBITDA and ROCE guidance for the year . There were several factors which resulted in strong headwinds in quarter 4, particularly in the latter half of the quarter which had an impact on our profitability. Some of these factors were decline in prices in the post patent products with post covid surge in volumes from China leading to distributors adapting a wait and watch approach . This impacted the sales in some of our key markets . Further , the contribution margins were impacted due to

idle capacity costs, as we took a conscious decision to curb our production in light of the falling raw material prices. The above two factors combined with liquidating of high-cost inventory, led to the decline in contribution margin in Q4 and that flowed down to the EBITDA as well. Despite a subdued Quarter 4, we successfully achieved our Revenue guidance for the full year as we delivered a 16% growth versus a guidance of 12-15 percent. Further, we improved our working capital cycle by 5 days to 64 days which combined with a double-digit growth in EBITDA helped us to generate significantly higher cash flows from the business. This helped us to reduce our gross debt by \$617 million and are net debt by \$440 million.

Now, let me get into the details of the financial results. I'll start with the Quarter 4 numbers. In Quarter 4, our Revenue stood at INR 16,569 crores, reflecting a growth of 4%. The contribution margin declined by 290 basis point due to the reasons mentioned earlier, leading to a 16% drop in EBITDA despite the fixed overheads remaining largely flat. The net finance cost of INR 840 crores showed an increase of 45% over that of the previous year. This increase was primarily on account of rise in the base interest costs. The tax rate for the quarter 4 was higher at

24% versus 13% last year on account of the timing difference, however for the full year tax rate was 14% which was close to the guidance that we had given of 15 to 18%.

The Consolidated results for Q4 include the performance of our two platforms which I alluded upon that is the UPL SAS platform, the domestic crop protection platform, and it also includes the performance of our AgTech nurture platform and the seeds platform which is Advanta Enterprises. In fact, in quarter four, the UPL SAS crop protection platform delivered a 16% growth in revenue and a 31% growth in EBITDA, on the back of strong traction in key herbicides and insecticide portfolios, and the biosolutions portfolio. Our Global seeds platform, Advanta Enterprises, reported a revenue of INR 849 crores, 12% higher than last year, however EBITDA was marginally lower due to higher overheads and R&D spends.

Moving on to full year performance. In the full year, as you can see, it gives a good reflection of the resilient operating performance of the company. The full year revenues stood at INR 53,576 crores showing a 16% growth over that of the previous year. Contribution margin at 40.3% and EBITDA margin at 20.9%, showed a decline of 79 basis point and 112 basis points respectively. Net profit and earnings per share were largely flat year on year as net finance costs increased by 56%, again 65% of this increase in finance costs came from the increase in base rates in most of the geographies. The rest was largely on account of FX.

UPL SAS reported INR 4,326 crores in revenues, a 10% increase over that of the previous year and EBITDA of INR 736 crores, showing a 13% increase over that of the previous year.

Our seed platform, Advanta Enterprises, for the full year performed extremely well and delivered a revenue growth of 26% over that of the previous year. Revenue for the year stood at INR 3,558 crores and the EBITDA grew by 29% over that of the previous year. EBITDA for the year was INR 921 crores. Going forward, we would also be reporting the performance of our manufacturing and specialty chemicals business as a separate platform.

As regards the working capital, the overall working capital saw a reduction of 5 days and it stood at 64 days as against 69 days in the previous year. We saw a reduction in receivable days by 12 days on

account of robust collection . As for inventory and payables , inventory days were down by 9 days on the back of better inventory planning and reduced procurement especially in quarter four, considering the rapid drop in the raw material prices . This is also reflected in the reduction in payable days by 16 days .

Moving on to cash flow , as I mentioned earlier , higher EBITDA coupled with leaner working capital , helped us to generate cash flow of close to INR 4,000 crores , an increase of 131 % over that of the last year , and this helped us to reduce our net debt by \$440 million and gross debt by \$617 million . During the year , with the realignment of India crop protection business into UPL SAS, and the India and international seed business into Advanta Enterprises , saw a net capital infusion of about \$250 million . Further , we also returned close to \$260 Million worth of cash to the shareholders through the buyback of shares and dividend payout .

I particularly wanted to share this slide , which talks about the shareholder value creation over the last four years. The reason for selecting last four years is, as you know , in June 2019, we announced the acquisition of Arysta Life Science which was almost a similar size company that

we bought for \$4.2 billion . As you would see, over the last four years , since the acquisition , the company has maintained growth momentum , both in terms of Revenue and EBITDA , with revenues growing at a compounded annual growth rate of 14 % over the last four years and EBITDA growing at a compounded annual growth rate of 15% . But what is more heartening to state here is that we were able to reduce the debt in terms of dollar terms by \$1.8 billion over this period of four years after returning \$550 million to shareholders either through buyback or by way of dividend . Further , our net Debt -to-EBITDA has come down from 4.2x at the time of acquisition to 1.5x as of 31st March 2023 .

Just to share about the debt profile of the company , it is a reflection of the low risk that we have despite having the debt which we have on our books . The long tenure, most of our debt is long tenure debt , the low cost of our debt, average cost is roughly about 6%, and most of the debt is unsecured and aligned to our earning which as you know is largely in USD dollars . The profile clearly reflects the low risk of debt that we carry on our balance sheet.

With this I'll hand over to the business heads to share with you the a detailed update on their respective businesses.

I would invite Mike to take over for you thank you

Mike Frank, CEO, UPL Corporation Ltd.

Thank you, Anand, and great to see everyone again this year . So, over the next 20 minutes or so I'll hit on four topics – first , cover the FY23 performance , both Q4 and full year ; followed by our outlook and strategy for FY24. Then I'll talk about our mid to long term plan ; last year, we introduced the path and a plan to FY27, so I'll give an update on where we're at against our FY27 plan with a real in-depth look at our R&D pipeline in a way that we haven't shown before , and then finally we'll conclude with guidance for FY24 for the UPL Global crop protection business . As highlighted by Jai and Anand , we demonstrated resilience and agility in FY23, and we made several advancements on our overall UPL strategic objectives .

So, starting with Q4, our Revenue grew by 4% despite the rapid decline in prices of key post patent products in what I would call a very unusual quarter . This rapid decline was precipitated by the

sudden increase in China post-patent AI production following the covid policy changes in China , but that really occurred mid-quarter in Q4. This rapid price decline in post-patent pricing really froze distribution and their buying decisions as they waited to see where prices were going to land , and they didn't want to take inventory positions in a market that had uncertain pricing . Additionally, we were impacted in the U.S. specifically as the spring season was delayed , and the field work didn't really begin until after the Q4. Thus, distribution there also took a wait and watch approach on their inventory position .

So, as this situation evolved, we made the necessary adjustments on post-patent product pricing which did lead to a compression in contribution margins . We also made a conscious decision to clear off high-cost inventory and idle some plant capacity to ensure that we didn't bloat inventory and working capital . These actions while compressing margins in Q4 have also set us up to compete aggressively in the new year as we are in a much-improved inventory position relative to our industry peers .

So, moving over to the quarterly regional performance , except for North America , all our regions posted moderate to strong growth in the quarter . North America , as you could see was down

13% due to

the rapid decline specifically in glufosinate prices, which is one of our leading products in that market , and as I mentioned , just the overall low on ground movement of product that I talked about earlier .

Among other regions , Latin America posted a strong growth of 13% driven by volumes of key insecticides such as perito and feroce , as well as from our new three-way fungicide mixture evolution. Europe , as you can see had moderate growth of 7% despite macroeconomic challenges , unfavorable weather in southern Europe specifically , and bans on key products such as Mancozeb Propanol and Bifenazate .

The rest of the world , comprising of Asia and Africa , grew by 8% driven primarily by herbicides but partially offset by insecticides. So, for the full year FY23, our Revenue has grown by a strong 16% versus last year driven primarily by herbicide performance . Contribution margins were 31.5% , which comprised of strong expansion in the first nine months and then impacted of course as we talked about with the Q4 situation .

Overall, the EBITDA had a growth of 9%, driven by lower contribution margins from investments to strengthen customer relationships and capability building for our differentiated and sustainable product portfolio . All regions , except for Europe , grew in double digits with Latin America growth leading the way at 22%.

This last year was also a very strong year of new product launches including what we believe will be future blockbuster products for us. Over 2% of our Revenue came from new launches , and around two-thirds of this revenue came from our differentiated and sustainable portfolio . As we've talked about in the past , our path on these differentiated & sustainable portfolio to get to 50% by FY 27 was really demonstrated with the growth of these new products that we launched in FY23.

In differentiated and sustainable solutions , our growth was lower in the first nine months as compared to post patent segment , as you can see on the left side of this chart. This was really due to the positive pricing actions on the latter during this period . However , as you can see from the chart in Q4, the rate of growth for differentiated and sustainable products was higher , and this trend

is expected to continue in FY24.

I'd also like to mention here that the differentiated and sustainable growth was driven by volumes indicating strong demand at the grower level for these products. So, to summarize FY23, our Revenue growth was impressive at 16%. We did have moderate EBITDA growth versus our expectations as Anand mentioned earlier. However, despite these adverse conditions, our agile business models supported us in rapidly adapting to the challenging market conditions. In the first half of the year, we quickly leveraged on the pricing opportunity to improve our business quality and margins along with higher cash generation, while in the second half our focus was on securing shelf space for our products and improving working capital through faster collections and clearance of higher cost inventory which led to improved receivables and inventory days. Further, we had a strong year in terms of new product launches which are expected to ramp up in the near future.

I'd like to congratulate our regional teams, some of them who are here with us today, for this performance and driving traction across markets, and I'm confident that we will maintain this agility in capturing volume driven growth and improving our working capital going forward.

So, let me switch to our outlook and our strategy for FY24. Fundamentally, we see continued strong farm gate demand

for our products. Farm margins are generally very strong globally in most crops. Fertilizer prices have come down giving farmers the opportunity to maximize yields, maximize their sustainability outcomes and drive margins for them, and that's really where UPL sits and how we add value to our grower customers. So, considering this backdrop, we will continue to see new product revenue from additional new products that we're going to be launching in FY24. Last year we generated about \$140 million of revenue from new product launches.

This year we expect to generate again over \$120 million dollars from new product launches. We'll also accelerate growth in our differentiated and sustainable product portfolio through targeted promotion and margin accretive replacements with superior blockbuster offerings such as feroce. We're going to continue to focus on gaining shelf space for our key post patent products in targeted markets specifically in soybean and corn crops by leveraging our strong supply chain and manufacturing base here in India, and finally we'll continue to improve our profitability through focus on optimization in overheads, higher productivity in our plants, focusing on working capital through both receivables and inventory management.

So, to support our medium-term growth, our three pillars are firstly smart R&D. Smart R&D for us is our robust infrastructure of over 30 facilities globally and over a thousand employees that are developing new innovations, protecting those innovations with intellectual property, and ultimately launching these products to create value for our grower customers.

The potential in our new product introductions, just as we shared last year between FY 22 and FY27 is valued at \$2.5 billion. We will also accelerate our growth in key emerging markets where UPL is well positioned to outperform and ramp up our differentiated and sustainable products. We'll leverage our reliable, sustainable, and low-cost manufacturing capability here in India and our footprint around the world.

Looking at our crop protection and NPP biosolutions through the

lens of grower pain points, our efforts are to introduce newer solutions either through new mixtures of conventional crop protection products; Pronutiva, which is when you combine NPP products along with conventional crop protection products in a unique way to help growers both maximize productivity but also create other attributes whether they be zero residues or carbon outcomes, and of course directly through our NPP offerings as standalone products

So, on a risk-adjusted basis, our current pipeline is estimated to be \$8.5 billion dollars per annum of which \$2.5 billion is expected to coming within FY27. We currently have 25 molecules in the development pipeline, and 16 new solution platforms that are under development. Additionally, we also see that nearly 80% of this pipeline is in the category of differentiated and sustainable products, which is clearly our focus area, and lastly with several products going off patent in the next five years we see a strong growth opportunity in the post patent segment as well

So, over the next two slides, I'll take you through our robust R&D pipeline. This is a level of detail that has not been shared with you earlier, so I'm really pleased to share this with you today. Looking at this table it's evident that we have a strong pipeline under each major portfolio at various stages of development and spanning across every region and virtually every crop combination. On this page you can see our new products in weed management

, disease control and insect management. All of these products have been either been just launched or will be launched within the medium term. We also have several new products and technologies that we're developing in the carbon and bio nutrient segment, as you can see these are also to be launched in the near to mid-term time frame, and we'll also show some of our new AIs and new technologies at the bottom of this chart that we believe will bring significant value to growers in the more mid to long term.

I'd also like to add that for several of these offerings, we are excited about the potential peak revenue and are confident of converting some of these into blockbusters over the next few years.

So, to summarize we'll continue to have leadership positions in post-patent AIs, and will continue to expand our offerings in the sustainable and differentiated segment. Basis on the pipeline that I just showed you, I'm confident of increasing our innovation rate from 14% today to 24% by FY27 along with our commitment to increase differentiated and sustainable revenue to 50% within the same period. For our go-to-market strategy, we'll continue to really leverage on these four areas. Firstly, we'll expand geographically, our reach to growers and distribution. This is how we go-to-market in every region through distributors, retailers and in many markets direct to growers, and we're going to increase our proximity to the growers through branding initiatives and unique go-to-market strategies, where we really have an opportunity to manage the demand for our products and really pull through distribution of the products that we're placing into retail. In addition, we'll increase product mix and portfolio expansion through cross-selling and pronutiva expansion, and the final element of our go to market strategy is to focus on strategic alliances and partnerships, all to tap new markets and increase technology access through our OpenAg collaboration.

With the support of digital tools and technologies across regions and operational effectiveness, we will continue to build and grow our B2B Partnerships for increased volume sales and improved working capital management, as well as, increase our B2C sales for improved margin mix, and even greater access to growers for a

better demand generation and wider offerings of our complete solutions . Finally , biologicals , bio controls and biostimulants , will continue to remain the fastest growing segment we believe over the next decade , and therefore will continue to be a key focus for us.

While the industry segment is pegged to grow at 11% CAGR over the next five years , we are confident and well placed to exceed this growth . We are among the leading players in this segment globally , which is still largely fragmented , and hence will continue to drive our organic growth strategy .

Last year , we achieved a revenue of \$409 million in this segment and have made significant Investments including in technology with feet on the ground to create demand and to make sure that growers understand the benefits that accrue to them and to the environment . Going forward we'll continue to expand our portfolio of hero products in which are NPP big products such as Thioproton ®, Microthiol ®, Yukon ®, among st others through geographical expansion , innovation , licensing and promoting through our pronut iva approach .

So, as we look at our FY24 Outlook, we see a 4-8% Revenue growth opportunity with the midpoint being at 6%, while EBITDA is expected to grow in the range of 6-10%. We're confident of this growth despite the specific headwinds that we discussed earlier .

We are well placed to take advantage of strong farm gate demand higher expected growth of Biosolutions offerings , and the ramp up of our Innovative products . So, the key takeaways , I just want to emphasize that we have a strong growth path not just through FY24, but really through FY27 and beyond . As I shared with you, with the R&D pipeline , we are on a path to achieve 50% of our revenues from the differentiated and sustainable portfolio, which is margin accretive and has less risk overall . We really believe that UPL Global Crop Protection will become the fastest growing and remain the fastest growing global crop protection company in the industry .

With that let me invite Ashish Dobhal up to talk about UPL SAS, thank you.

Ashish Dobhal , India Head :

Thank you, so much Mike . A very warm welcome and good afternoon to everybody . I am Ashish Dobhal , and I'll be introducing UPL SAS. Before I start , many times people ask me what exactly is UPL SAS, so SAS actually stands for UPL Sustainable Agri Solutions and the reason why we've kept this name , UPL SAS, so that every time we take our name we are reminded of our core purpose to make farming sustainable and profitable and also resilient for almost 100 million farmers in India . We are trying to transform Indian agriculture by a very unique outcome driven approach , and there are four main pillars to it.

The first main pillar of course to drive such a big transformation , you would need somebody very credible, and I think there's no bigger more credible name in the Indian market than UPL . We have a 13% market share which makes us the largest player in the Indian market . Whatever we do is supposed to be very trustworthy . I think it's very easy for the local farmers to buy into whatever we are doing .

The second piece , of course , is the quality crop protection . We have some of the biggest brands in the Indian market . We've added

biosolutions to it, and we have added now crop establishment products to it. We are one of the biggest in the post-harvest space also, and all these have to be delivered through very wide network of distribution across India. So, we have a very highly penetrated pan-India market presence. Adding to that for millions of farmers and distributors and the retailers, to empower them, we have also launched an AgTech platform. How this story unfolds we will see in next few slides.

The first thing is our broad portfolio, most of you know that we usually used to have insecticide as our major segment but what we've seen is because of the labor shortage and some of the amazing innovative introductions that we've done in last three to four years, herbicide segment has gone on to become our largest segment with 36% of our CP revenue.

We also have still the insecticide segment as one of our primary portfolios with over 26% of our CP revenue. Add to that the fungicide portfolio which has been a pillar for so many years with 20% of our CP revenue. What is really moving the needle for us and something which is very exciting, is the climate smart solutions.

These are the products which are so important in these times when there's a huge disruption in terms of climate change. So, for this we have the biosolutions which we also call sustainable solutions. You add to that the post-harvest solutions, not many people would know but for most of the grains in India, the potatoes in India, we have a huge market share, dominant position of 90% plus in storage of these crops. We also have fruit coatings.

This whole thing sort of then combines into a universe, which we call Pronutiva. Pronut

iva is protection plus nutrition. These are packages designed for specific crops and specific areas. India is such a big country you need to have specific packages for specific areas

If you dice it in a different way, about 65% of our CP revenue is from post patent but make no mistake even in the post patent side, we have some of the biggest brands in the local market. ~35% of our CP revenue is from differentiated and sustainable portfolio. What we mean by differentiated is that we have a proprietary formulation. For example, we have proprietary formulation in some of the leading cotton insecticide, in a soyabean herbicide which we launched last year, and some of the wheat herbicides.

Add to that the sustainable portfolio, which I just discussed, the climate smart portfolio. Now what exactly is this portfolio, this portfolio goes right from the draught mitigation technology like Zeba, which holds water and nutrients for a crop. We also have a range of biofertilizers, biostimulants and silica-based products; and also insects and disease resistance products in this segment.

So, you can have all these fancy solutions, but what's the use if you don't have the reach. India has 28 States, and I think each state is like a different country. So, if you want to reach every nook and corner, you really need a strong presence, which we have built over the years.

We have a very unique approach to reach the entire Indian market. We have two Brands one by the name of UPL, the other by the name of SWAL, which are selling the branded products into the local market. We have about 72 Depots or the warehouses as we call them. In addition to that we have 5,000 people, agriculture is applied science; you need people in the field to demonstrate it to the farmers and explain it to the farmers and these guys essentially

then cater to the 25,000 big wholesalers . These distributors are the guys who literally control the Indian Market , who then in-turn provide the products to almost three lakh plus small retailers .

To add to this, we have two very interesting approaches . One is called Unimart . Unimart is our experience centers , you know a good analogy would be Apple Stores , where people come go in the villages , see the product experience . different technologies and then they take a call.

They can buy the product from there or they can buy from anywhere else . What we've seen is wherever we've put Unimarts , we have 600 of them , we have seen the business grow in that in that entire area . These are physical stores just selling UPL , SWAL and Advanta products .

To add to that we also have about 340 business partners. These are the B2B players. We supply the product to them , they also at the end of the day are serving a hundred million plus farmers in India and the most fantastic thing is that with this network we are covering 90% of the agriculture districts in India and 90% of the crops which are grown in India .

But that's not enough , India is a country with 100 million plus farmers , and almost 3 lakhs plus agri input retailers . In order to be present with them and give them real -time solutions , you have to leverage technology, so we have two AgTech platforms .

One of them is nurture. farm , this is a platform with almost 3 million farmers transacting on the app. This gives farmer s real-time information and farm advisory 24*7. Further, if they want to book services like spraying , harvesting , soil testing , or if they want to get harvesters , it's all available on the app. The most interesting feature , of course , is counterfeit is a big problem , the farmer s can just take the app and scan

the product . 100% of our products are with QR codes and barcodes , and then you know you could immediately know whether the product is a counterfeit or original . So that's all about the nurture.farm app.

Further, we also have the nurture .retail app. With nurture.retail , what we are trying to do is empower the local agri input retailers who can come on to our marketplace , and they 'll not just get the crop protection chemicals but also the seeds and feeds , plus machinery and other equipment . Today, we have about 85,000 retailers on the platform , which makes it one of the biggest platforms in India .

We also have 9,000 about SKUs which are being offered on the platform . This gives an amazing choice selection to the local retailers , and also provides complete price transparency , among other benefits .

Coming to the next slide, this is my favorite slide , as this shows that all the good work we've been doing in last three to four years has yielded us tremendous benefits in the field . We have grown revenue by 18% CAGR to reach to INR 4,326 crores of revenue this year .

This is the first year where we crossed INR 4000 crores of sale . The more interesting piece is that in terms of EBITDA , we've been growing at 25% CAGR . So, this is the first year , where we crossed INR 700 crores of EBITDA, and this is primarily led by the strong growth in sustainable and the differentiated products .

Coming to the fourth quarter performance , Q4 normally is a strong

quarter for the India team . We have grown revenue by 16% and EBITDA by 31% . This is primarily driven by increase in differentiated and sustainable products, that we sold in Q4. India is the first country to get into season, so it is naturally a good time for us to place the products for kharif . The share of the differentiated and sustainable portfolio went up from 18% to 24 % in Q4 .

Coming to the full year performance , it was a tough year . We started with the whole Ukraine war and the whole disruption in the food grains , and then there was a Covid in China last year and unfortunately India , which is the first country to get into season got impacted by the upward movement of the prices .

However , we do have some of the strongest brands in the market , and the entire 10% growth almost has come from the price increase as we were able to push prices in the market . Then of course, we had a very tough season in terms of first it didn't rain and then when it rained it just didn't stop . But we still managed a 17% growth in contribution profit , however this was partially offset because of our some of our very ambitious plans of opening - up the UP market and the Andhra Market . We wanted to expand in these markets. Further , we also invested in some new products , for example , Flupyrimin in Paddy , and we also had another product in soyabean , both of them are doing very well . We had 3 -4 big launches .

Our AgTech platform 'Nurture ' reported revenue of INR 72 crores and EBITDA of INR 284 crores . In last three years , we have invested almost INR 800 crores to scale up and build the platform , and we've done the most difficult job which is there in AgTech that is of customer acquisition .

Coming now to the outlook for F Y24, we are looking at 12-16% growth in Revenue, and a 14-18% growth in EBITDA , primarily driven by launch of new products such as Sperto, one of the biggest selling products in Brazil which makes an entry into India market this year . We also have products like Fascinate Flash , Larvicon , which is supposed to be one of the best on the larvae side . Another new launch, Spruce , sort of complements our portfolio in the wheat segment .

We continue to increase our differentiated and sustainable portfolio this year , that's going to be our major thrust . We also benefit this year from some of the launches of last year that didn't get a full year , for example , Tridium , which is a three -way fungicide ; Apache , an insecticide mixture for cotton ; and Viola, an insecticide for paddy . Unimarts, as I said earlier , we started them as experience stores but we realized that they also bring in good revenue , so we are increasing Unimarts, from 600 to 800 stores . We want to do it carefully because we don't want to forget our core purpose of positioning Unimarts as the experience stores , and the technology dissemination stores .

For nurture , the plan is to reduce EBITDA loss by about 50% this year , and then in 24 months achieve break even at the EBITDA level . The plan this year is to also increase the farmer reach to 5 million and retailers on-boards to 120 ,000 retailers . We are confident that we will be able to achieve our targets . Thank you so much .

Bhupen Dubey , CEO, Advanta Enterprises Ltd.

Thank you, Ashish , the agrochemical parties over now . We are coming now to the seeds business actually , in reverse order you

know without planting the seed you can't start with the agrochemical business .

So welcome to Advanta. We're very pleased to walk you through our business .

There are four key points on this slide from Advanta perspective , we have a superior product portfolio backed by the proprietary technology . As you are aware the seed industry is basically based on innovation , that is how the sustainable results can come in. So, fundamentally our core is our R&D engine and superior innovation capability .

If you have a great product but in terms of GTM if you are not really aligned then you are unable to capture the values . But here our team has been able to do that very well . I will share a couple of examples with you as we go ahead

We have a strong production presence and distribution capabilities . Probably in the last 12 months , we added highest production and processing capabilities compared to last past few years . In fact, the way growth is happening in Advanta , we may have to go for creating additional capacities in the next 12 to 24 months .

Robust financial performance is just a byproduct of all the things which we are doing right for a number of years .

In terms of revenue contribution by key crop . The number one crop is a field corn . As you know in the \$50-55 billion global seeds market , the number one crop by market share is corn . Corn has broadly two categories - temperate corn and the tropical , subtropical form . Advanta is predominantly in tropical corn , here we are a leader in number of geographies . Corn contributes to ~ 45 percent of our Revenue .

Number two crop is grain and forage sorghum . Now, this is a very interesting crop . Globally , corn is covering about 200 million hectares , while sorghum is about 45-50 million hectares . We talk about the climate change , sustainability , all these big words ultimately boils down to what does it mean in terms of input consumption , how can we get more output using less input in terms of water , fertilizer , etc. In that category , sorghum is one of the best crops , which requires ~60% less water to produce the same biofuel output compared to the common or any other crop .

There are certain very interesting challenges , our R&D team is working on.

We believe that the 45 million hectares of sorghum, which we have right now , the way things are evolving , I think this area will go up to maybe 75-80 million going forward , and that

also throws a lot of opportunity in terms of business expansion , new countries are opening up, at the same time this also throws up some of the challenges for our R&D team . For example , sorghum requires more digestibility, so we have R&D projects , which are we are funding to increase the digestibility for various applications . Human consumption is very common in Africa and Asia , but not very common in Americas for example right , so how do we identify the features of this crop which can really enhance the adoption in the human consumption in America as one example

Second example is that sorghum is predominantly very high on the carbohydrate side , and low on the protein side , maybe ~9-10% protein content . So, then can we have a sorghum which can have 15-20% protein content. So, these are the fascinating exciting

R&D projects we are working on, and these are the innovations which are going to take us forward in this crop

We have one of the widest variability in the world, in terms of germ plasma in sorghum, be it grain sorghum, forage sorghum, sorghum for the biofuel etc. and that gene bank which we have is a very precious asset, and our team is highly excited to work on those projects. Going forward, contribution from this crop is likely to go up more and more

Third domain is vegetables and fresh corn, this is another area which we started with a small acquisition six, seven years ago, Golden seed, unicorn seed, etc. And those genetics, we are spreading beyond India to some of the Asian countries, and African countries. Also, this is the fastest growing segment for us historically speaking

Sunflower and canola, this is an oil seed category, volatility is very high as you are aware because of the European War. I mean Ukraine supplies to the globe about of the 50% of sunflower edible oil, and India is one of the biggest importers from this country. But because of the war, the supply chain was disrupted, and therefore many other countries picked up acreages, for example, Argentina, southern part of the Brazil, India and some of the other countries, and that is reflected in our numbers.

So, these are primarily the four crop segments we are operating in, and this is the revenue distribution coming out of it.

Differentiation comes with the technology, so what are some of the technologies that we have. 'igrowth' for example, unlike in Sunflower, in Corn, Sorghum so far didn't have this trait of herbicide tolerance, and so we decided to invest in technology for herbicide tolerance via the non-GM route which is expensive and long duration.

Our team started this project in 2007, and after 10 years, we got first product called igrowth, and that we launched in Argentina, and in last four years' time, I think Advanta has captured 50% incremental market share in Argentina's sorghum market, increasing from about 14-15% market share to nearly 65% market share. Now, this is one we want to replicate in other countries as well more so given the fact that the market is preferring non-GM, so we are the only one in this segment with herbicide tolerance trait coming via non-GM, and so the adoption is very fast. We are unable to ramp up the supply in terms of parent seed production to meet current demand, and so this one of the areas we will be investing in going forward to ramp up the capacity.

But the trade is not a single trait game, therefore our team started working on other projects. So, igrowth, provides herbicide tolerance trait in Sorghum, similarly, we have started working on delivering another category of resistance, and there are promising results coming in.

So, we believe that in next four to five years' time, we will have another trait that we can release. In other words, sorghum is something, where we are adding more and more features from multiple angles, from a consumer angle or as well as from the grower angle.

As a result of that, this crop is becoming more and more attractive, and of course from climate point of view it requires 60-70% less water than corn, and therefore we believe that it is a future smart crop, sustainable crop, and your company, Advanta, is very well positioned in this area.

Similarly, we have other trait technologies as well, such as vert ix and aphix. But ins pite of all the trai t technologies that we have, unless we have a on groun d technology transfer center , we won't succeed . So, therefore we have the Advanta Innovation Center in key market s, where we demonstrate these technologies where by the key stakeholder can come and have a feel of it.

Coming to the next slide, as I mentioned earlier, one of our key strengths is having a sup erior product portf olio backed by proprietary technology . So here , the key crops are tropical corn, sorghum , and sun flower ; in these crops , we are leaders in some of the key markets.

In Vegetable s, in Okra, we are globally number one. In fact, we are transforming the okra landscape . It is a tropical vegetable but its adoption is very high . Sweet corn is another interesting crop , here also we are we are very well positioned , and that genetics has a good demand across Asia , Africa and Central America , and hence that portfolio is really expanding very well .

Coming to the next sli de. Overall, as I indicated earlier , our superior R&D capab ilities come from a world -class research and development team . We have nearly 45 years of experience in plant genetics . We have 32 R&D facilities across 11 countries, and this is something we are augmenting throu gh investments . We have more than 70 scientists with a very rich experience , qualifications and we are upgrading the skill s all the time . So, in the innovation pipeline , we have nearly 60,000 hybrids per year . We do nearl y half a million testing plot s per year , and for any plant science company this is a key indicator . We are increasing the base now , as a result of that we are trying to maximize the funnel at sta ge 1 & 2, so that we can shrink the number of year s for advancement of any product from about eight to ten years to about five to six years . The company which is able to do that will real ly be a leader in this market going forward . So, these are the some of the data points on the R&D side .

Coming now the next slide , to dis cuss our strong presence , production and distribution capabilit ies. On the map on the left, you can see green color s indicate the countries where we have productio n center s. Right now, we have 24 centers , and I see in next three - or four -years' time we will be adding another 10-15 center s.

We have presence in nearly 84 countries , key countries are about 15 to 20, but we have capability to ramp up as and when we want to be aggressive in terms of our market position . But at the same time, it throws a challenge for the leadership to manage multi -crop in multi -country .

We have ma rket -facing brands , such as Adv anta , Pacific Seeds, Pacific Seeds Thailand and Australia , and Alta Seeds. There are reasons for maintaining the legacy brands . One prime reason is that farme rs are associated with these brand s so much , we don't want to change it and therefore we are continuing with that .

One important point in distribution , we are making changes , in some of the countries we used to have

B2B, so we have a national Distributors and then they will distribute down the line. We realize d that this model has maxed out and is becoming an obstacle in terms of further growth . For example , in Indonesia , the entire business we were doing in B2B, we realized that we are not growing for last couple of years . So, w e decided to go from a single distributor B2B to multiple distributor B2C model in last two years ; we have been working on it and are very happy to report to you here that this initiative has been a huge success .

You are aware Indonesia is likely to be one of top five fastest growing economies in the world in agriculture. Base is quite strong, and we are building a position there very strongly.

In terms of historical performance, Advanta grew revenue at the rate of 21% CAGR and at the same time EBITDA level CAGR is very impressive at 32%. I would like to take this opportunity to thank growers of the world, our distribution partners, dealers; our own employees who are very dedicated, and last but not the least the trust of the investors in this organization. As a result of that we have been able to deliver this kind of results, and we do hope that this performance is going to accelerate further going forward.

Quarter four results, I think while the numbers are good compared to previous year, but lower than what we had budgeted because of external market dynamics which are changing not only for agrochemicals but as such for the agriculture ecosystem. Everybody is impacted or likely to be impacted, the degree may vary based on the portfolio, etc.

Our Revenue growth was 12% and EBITDA de-grew by 5%. Here there is another element important to highlight, for canola in Australia, we have a very strong brands and markets start asking for the inventory sometime in January and February, but they start to buy only in March and April and May.

Therefore, this year we also had a just-in-time kind of situation. The seed was coming from the market being processed and unless quality department clears it, we can't sell it. So, if you see the calendarized number, these numbers are very impressive but it's only that this will be reflected in the first quarter of the coming financial year. So, in terms of total complete picture for the financial year, Revenue for the year grew by 26%, contribution profit by 28%, and EBITDA grew by 32%.

In terms of regions, we have we have our divided business into four. One is Asia, Africa and Middle East, Australia, Americas, and Europe. For each region, I'll make a couple of comments. Very proud to share with you that Australia we had a highest ever revenue as we crossed \$50 million for the first time, a new product which we launched in sorghum as well as in canola are clearly reflected there. The farmer is getting a good price compared to last few years for Canola and that is reflected in our performance. Coming to Asia, Africa and Middle East; India is doing very well. India, we have divided into three domains. Field crop dominated by sorghum and corn etc. Another domain is forages, and third domain is vegetable.

Our field crop domain is doing very well, in about 3-4 states, we are #1 or #2. Forages, were muted, we are into the super-premium category, I think in marketing here, we need to really pay a little more attention, positioning has to be right and by and large, the forage segment is dominated by the commodities, so the super specialty category is taking more time than we expected, but our team is working on this and I think in a couple of years' time, we should have a turn around

there.

In vegetables also performance was muted, it is not doing well for last two years. I think Covid impacted the vegetable segment around the world in a big way, as the seasonal labor migration which used to happen is not happening in the same way post Covid for multiple reasons in different countries and regions. But this segment requires high amount of labor for plucking and planting and transplanting etc. So while mechanization is happening, but the pace is slow coupled with the fact that for these field crops like corn

etc. the price was the farmer was getting was very good. So, it was easy for farmers to switch from vegetable to soya bean or corn or any other crops. But we do believe that the acreages should come back in a year's time or so, and I think next six months are crucial for us to see how really it works out.

Africa is a super marathon project whereby you take three steps forward and two steps backward because of a variety of reasons in terms of political stability, exchange rate, etc. We believe in that market because of the macro factors, large growing and young population. In next five to ten years' time, we believe is going to really give us a reward. We believe in that market, and we'll continue to invest in that market.

Middle East, for example, we were hardly there but Middle East countries are realizing that they import maybe 50-60% of the food from outside. They have a lot of money and they are now serious about investing back into R&D, and that is where they are inviting us, and we are partnering with them because of the expertise of being able to do agriculture in desert areas, that expertise will definitely be helpful in other countries which are likely to face that kind of adverse situation going forward, and therefore that is how we are looking at that market.

Americas, I think our team in Argentina is doing great. We have a turnaround this year in Brazil, we renewed our portfolio after five to six years. Growth, we have launched in Brazil, and the reception is quite good. 40,000 -45,000 bags we have sold, and in the next 12 months, we are looking to increase that by 3 -4x.

In U.S., we have been suffering a lot in terms of our operation there. Not very happy with the way results are coming in but we have put our house in order in terms of, we were dependent on tolling arrangement last two years' time. We believed that arrangement will help us, but it did not help us and as a result of that we could not service the market with the speed that we wanted. Therefore, last year, we decided to invest about \$12 million to upgrade our plant there and now that plant is ramping up. I do believe that we will record growth going forward in next 12 months' time.

In Europe, our focus is eastern part of Europe, and in sunflower, we have invested in R&D from 2016 onwards. For the first time, we crossed the EBITDA break even, and going forward we will have accelerated growth coming from this region.

So broadly I think overall geography wise, crop wise, a very balanced growth is happening right now. Revenue growth by region, Asia/ AME is about 23%, America is 27%, Australia is 36% and Europe 13%. So, all geographies are firing with a good robust growth.

Coming to the outlook part, we do believe that this momentum in Advanta will continue based on the current market scenario. Of course, the commodity prices are coming down, but even with that downward trend, the farmer profitability is good enough for the farmers to continue to buy the good products, premium products.

We believe that and as result, revenue

growth is likely to be 11-15%, and EBITDA growth will exceed that at 14 -18%. In terms of key drivers, tropical yellow corn growth is driven by market share gain in India and Indonesia. In canola, we see Australia and South Africa, accelerating it further going forward. In sunflower portfolio, growth will be led by renewed portfolio in Argentina and a couple of other geographies like Ukraine and Romania. In grain sorghum, growth will be driven by Brazil and North America. We do believe

that we have debottlenecked our supply chain, and therefore market demand is very good and therefore we will be able to service them. The Vegetable and fresh corn portfolio, we expect will do better this year.

In few other countries, we will also now be converting B2B to B2C, like we did in Indonesia. We will have to make some investments and risk will be there but at the same time the margin we are likely to gain because of the B2C transformation, will offset our risk.

With this, I would like to thank you for your patience and support. Thank you so much

Raj Tiwari, Chief Supply Chain Officer

Thank you, Bhupen. I'll be covering the specialty chemical manufacturing platform, wherein I'll be throwing some color on the current specialty chemicals market in India and how UPL is uniquely positioned to capture on those opportunities. Then I'll cover how we have performed in last few years on this platform and the performance for this year, the guidance for FY24, and then of course I'll be covering the performance of UPL as a group on safety and environmental sustainability for FY23.

So, if you look at Indian Specialty Chemicals Market, it has grown by 10% CAGR from \$53 billion in 2015 to \$87 billion in 2020. If we see the growth going forward, the Indian specialty chemical Market is expected to grow in double digits at around 11% CAGR as compared to China, which is expected to grow at 7% CAGR and any other geography which are expected to grow in lower single digit. This provides an immense opportunity to India. One is that of course coming out of China plus one policy framework, many companies are looking at India as one additional source to China. This whole make in India policy of government of India has also given a boost to the specialty chemical market. Going forward, more than 20% of the incremental demand or incremental chemical consumption worldwide will come from India and that actually is a big number which will catapult into investments in India in specialty chemical market, and finally of course the changing consumer preferences towards biofriendly products will also be good for India.

So, how are we as UPL uniquely positioned to capitalize on these opportunities. Today, we are the number one specialty chemical company in India with revenue of over INR 15,000 crores. We are among the very few deeply and vertically integrated specialty chemical manufacturing companies in India which gives us cost competitiveness. We have a legacy of 50 plus years of manufacturing hazardous chemicals and handling complicated chemistries with the best in class ESG metrics. What I also see is that we have immense opportunity on B2B side going forward, now if you have China plus one, we have new chemistries, we have the vertical integration, which will give us immense opportunity in B2B segment, and of course we have the UPL group companies where the AgChem business will grow in double digits. This will also give us the opportunity to cater to those requirements.

So, moving on, this slide shows how we have performed in last three years. In FY23, our Revenue, was more than INR 17,000

crores and our EBITDA over 1,800 crores, which is around 10% margin. The compounded annual growth rate for Revenue has been 33% and EBITDA has been more than 40% over FY21-FY23. So, basically this platform serves our global crop protection business and of course the UPL SAS. It also serves more than 600 other B2B customers not only in India but across the globe, right from pharma

to paints intermediate s and of course Ag chem among other sectors . Furt her, we have bee n handling comp lex chemistry for 50+ years . We recently also commissioned our new Phosgene plant . So Phosgenation , we were always there for last 25 years , but now we have our own Phosge ne plant and therefore we have now entered that chemistry as well . We have more than 15 plants in India , which makes not only agro chemical but also intermediates and basic chemicals and specialty Chemicals .

So, the outlook for FY24, we expect that our Revenue would grow in the range of 10-14% and our EBITDA will grow at 12-16% . Of course , we are entering new chemistr ies and looking to expand B2B business . We will keep on sweati ng our current assets and expanding capaci ties.

Lastly, I'll now cover the safety and the sustainability performance for the company . So, you can see that our process safe ty incidents over last few years have come down dramatically , and this year TRFR has been 0.29 as compared to 0.21 last year . Three major areas where we have focused last year include people and process safety , what we did here is that we identifi ed key critical process safety operations and we mitigate risks there with the layer of protection analysis and also with the BowTie. We used digital as a tool for not only people safety but also asset safe ty. For example , we used artificial intelligence and robotics to a great level to be able to mitigate some of the risk emanating out of PPEs and also man machine interfaces . We also on boarded external consultant for the safety transformati on journey which commenced from last year

On hazardous chemical transportation management , which we focused on last year . Now all our hazardous chemical transportation is managed through a central control room , which is out of Baroda , and all our trucks and tankers are GPS controlled and their speeds and where they stop everything gets monitored . Lastly , we also focused last year on the warehouse management from a safety point of view , and we completed the baseline audit for our all global ware houses . We have on boarded excellent consultant to help us on the safety process manage ment on our warehousing assessments , and we have also rolled out the crisis management plan for India and we are at an advanced stage for rolling out the crisi s management plan for North America and LATAM .

On environmental sustainability , this is our performance over last four years , our CO2 emissions have gone down by 22%, our fresh water consumption has gone down by 41% and our waste water discharge has gone down by almost 60%. Our science -based targets has been approved , and we have targeted to reduce 63% of CO2 by 2035 . We have commenced tracking the scope 3 emissions and we target to reduce them by 42 % by 2035. We have partnered with clean max and we have invested in green energy . This year we should be able to take our green energy share from 8% to more than 30%. One of the significant number s is that we have been able to recycle more than one-million -meter cube of wastewater back into our process which is almost equivalent to 90% of our total freshwater requirement in our operations .

So, that 's it from my side . Thank you.

Anand V

ora , Global CFO

Thanks everyone for your patience , and I'll come now to the last slide , which is the guidance for the company . Before I go there , I think I wou ld like to thank the Business Head s Mike , Ashish , Bhupen and Raj for prov iding us excellent insight into the their

financial performance for the year and at the same time the financial outlook for the following year . And of course, thank s to Jai for giving us a good overview of where the industry is headed and his vision of where he sees UPL .

Giving the guidance for the full year based on what we have seen as guidance given by each of the platform s. We believe that for FY24, we should be having a revenue growth of about 6-10% , EBITDA growth of about 8-12% and we see our ROC E improving by about 125 to 175 b ps to about 16.5-17% . However , I would also like to state here some of the headwinds which Mike talked about , and Ashish also spoke about , in terms of post patent produ cts we do see some challenges in the initial first two quarters, but we remain confident of delivering the guidance for the full year . And of course, as Jai mentione d, we also look at generating higher cash flows as we see that's the key especially when we are seeing very volatile environment .

Thank you very much once again for joining us today , and please join us for high tea after the Q&A session .

Q&A Session

Participant: Tarang Agarwal, Old Bridge Capital

Hi good evening and thank you for this opportunity . I'm Tarang Agrawal from Old Bridge Capital . A couple of questions from me. One if I look at Q4, it seems like there's some sort for the lack of a better word , probably a bloodbath out there because you know seeing gross margins going down to about 40% gives a sense that there was almost a 20 to 25% hit on realizations . So, if you could give us some insight .

Management: Mike Frank, C EO, U PL Corporation Ltd.

So, I'll start from a global crop protection stand point , when you look at the margins there were several factors that went into the margin compression in Q4.

Firstly , we did overall sell at a lower averag e selling price . Price was down about 3% in the quarter , so there was some compression due to selling price . Now on a go forward basis , we also expect our cost of goods to get adjusted and so while we'll see price compression in the post patent segment, we shouldn't necessarily other than in glufosinate see very much margin compression . Now compounding the impact in Q4, was the fact that we did idle capacity to manage working capital , so there was some cost that we took through the income statement as a result of lowering our production and managing down our inventory , and then finally we also liquidated some high -cost inventory .

So, we really looke d at the end of the year to make sure that we could take all of those actions to set up for FY24, so that we could really compete going forward . So, a lot of those actions won't repeat . We're going to run our plants . We're going to compete very hard in the post patent segment . We will see some price compression, but we won't see some of the other one-time costs that we took in margins in Q4.

Participant : Ramesh , Nirmal Bang

I'm Ramesh from Nirmal Ban g. Thank you for the detailed presentation . So following up on the question , he asked . Typically, in Commodities , you have this problem in the top-down, the revenue falls and your margin falls and you have a problem . So, if can you break it into how much of inventory loss you have taken

and what is the reduction in production which you refer to in terms of having to incorporate

fixed costs. And then if you look at the next six months, what is the inventory you are still carrying, and a later thought would be now if you say China has come back vociferously in the second half of the fourth quarter and if you see the kind of numbers, we see in terms of Chinese capacity addition. Do we see the issue of Chinese competition genuinely abating sometime in FY24?

Management: Mike Frank, CEO, UPL Corporation Ltd.

One of the questions was, what was the specific cost of idling capacity, that cost was in the range of INR 200 to 250 crores, and again we wouldn't expect that to repeat going forward. The Chinese production, look I would say on certain active ingredients including glufosinate which is one of our top five active ingredients today, there's probably over capacity for that for that active ingredient, and so we believe they're liquidating at less than their fully loaded cost of goods, so that won't persist into the mid to long term. But we could see this take I would say a quarter or two to flush out until we get to you know a more normal operating margin. So, it's hard for us to predict exactly the margins that are going to come out of China, but the current prices won't persist into the mid-long term because they're not even covering their fully loaded costs at this point.

Participant: Ramesh, Nirmal Bang

What about the excess inventory carried over?

Management: Mike Frank, CEO, UPL Corporation Ltd.:

Yeah, so again from an idling standpoint the cost was INR 250 crores. I would say the variance based on selling out the high-cost inventory and other variances in the quarter was probably about half of that. So, you know in the range of say to INR 350 crores in total.

Management: Jai Shroff, Chairman, UPL Group:

Now, I think in the industry, we are in a good position and the reason was the raw material prices were coming down a lot. All the raw material prices have come down substantially, just the natural gas prices are down about 60-70% in India. So, a lot of the raw material prices are coming down. So, we are in a good position now, because we are probably at the same level of inventory as last year, so this is probably the lowest we can get to.

Participant: Vishnu, Spark Capital

Hi this is Vishnu from Spark Capital. I have a few questions. On the guidance slide, we probably were anticipating one more line item. Any thoughts on the debt reduction that we can get in FY24?

Management: Anand Vora, Global CFO

At this stage with net debt to EBITDA of 1.5x, which we brought it down to from almost four, I think we feel fairly comfortable. However, whatever cash we generate during the year, we will use that to repay the debt besides of course investing in working capital as well as capex. Our capex guidance is roughly about \$350 million for this year and the rest whatever cash we generate we will use it to repay the debt.

Participant : Vishnu, Spark Capital

In general , over the next three years , I mean if there's a number that you want to kind of get on the debt side , beyond which probably you look at again investing back into the business . What is the number that we feel that okay we have kind of reached a very good number , so we start investing back a lot into the business again where would that number be?

Management: Anand Vora , Global CFO

As I said at these levels also we are comfortable . Net debt to EBITDA of 1x is something which we would strive to reach towards , but we will continue to invest . As you know we grow at much faster pace and for that we continue to invest . Our cost of debt is fairly low, as you see most of our debt is unsecured , so the risk profile is extremely low, and most of debt is long tenure d with a complete flexibility of prepaying whenever we wish to except for the bonds of course . The bank loans we can repay them by giving a one-month notice .

Participant : Vishnu, Spark Capital

Understood . In one of the slides you mentioned , eight and a half billion dollar opportunity by FY 27. We think we can address two and a half billion dollars ' worth of opportunity . How much of this is something that we can capture , is 10-15% of this \$2.5 billion something that we can capture or what percentage that we can realistically achieve and also what is it that we are doing differently to get this opportunity versus the other players who are also competing for this.

Management: Mike Frank , CEO, U PL Corporation Ltd. :

Yeah, so as we mentioned in the presentation . Through FY27 we would anticipate \$2.5 billion of new product revenue based on the pipeline over \$8 billion . Those numbers are risk adjusted for I'd say technical risk but not necessarily for market risk . Now 80% of our pipeline both in the near term and long term is in the differentiated and sustainable segment which traditionally has higher margins , so that should be the value capture on the differentiated and sustainable products within that portfolio . What are we doing different , look today about 85% of all of the active ingredients that are sold globally are post patent and what growers have realized is if they only use a single mode of action whether it's for wheat or disease or insects it doesn't take long for resistance to build up and so what we're doing uniquely through our R&D where we're I think the world leaders in developing new formulations of double or triple mixed products . We are innovating with high quality formulations . We're using our IP team to ensure that we've got patents on new mixtures that we can bring into the marketplace and we're doing that at scale and speed and we're testing it through our global testing network , so that when we launch those products like we did this year and we saw \$140 million of new revenue from our new products is because we've prepared the market , we've worked closely with farmers , we've tested the formulations and so when we get full approvals, we can ramp up quickly . So that's our strategy, and I would say we're executing it very well .

Participant : Vishnu, Spark Capital

So, if I get it right by FY27, and if everything goes right for you, then \$2.5 billion will be the incremental revenue for us. It is not as an opportunity , but that is actual revenue we think we will get

Management: Mike Frank , CEO, U PL Corporation Ltd.

Yeah, so not a 100% of it will be incremental . Some of it will be mixtures with glufosinate , s-met olachlor , clethodim and with some of our other products today . So, some of it will be truly incremental, but some of it will cannibalize our current portfolio of straight goods as well

Participant : Rohit Nag raj, Centrum Broking

Thanks this is Rohit Nagraj from Central Broking .

Two questions one is in terms of retrospective , so what did China do in the last four months after opening up, that we being the largest patent player were also not able to anticipate it and there was a serious issue for the global market . Why do we think that it will not recur in future ?

Management: Jai Shroff, Chairman, UPL Group

I think there are two , three things . One particularly in the U.S, the season was a bit late so there is a delay in the season , it was a very cold long winter

. Planting is delayed so that's one. The end of December , a lot of the companies stocked because that's the year - end for most, they stocked up the market, so the channels are quite fully loaded . In the meantime, all the raw material prices started coming down , so then distributors are delaying buying decisions . This is not unusual , this happens every now and then , that they delay buying decisions , when they see further price reduction they postpone it a little bit. Commodity prices are strong . We have good market reach , we don't think we'll lose market share as a company . We believe some of the products are being sold below cost and so how long will that last is anybody's guess , but it shouldn't last too long

Participant : Rohit Nagraj, Centrum

Sure, second question is on the manufacturing platform . So, this is right now only catering to the global crop protection manufacturing and the UPL SAS or is it also catering to any external customers and given that it is a specialty Chemical Company . Why the margins are so low at say 9-10% ? thank you

Management: Jai Shroff, Chairman, UPL Group

Yeah so of course we cater to everyone . So, we manufacture for UPL on the crop protection side of the business and that's majority of the business . We also cater to the other global agrochem players , we have a contract to supply at cost plus basis and so it's at a fixed margin in. The other industrial businesses we supply at normal 20-25% EBITDA margin . As it is growing , you will see the impact of that . It's a small business , still probably 15% of the current revenue . But as it grows the margin will change .

Participant : Rohit Nagraj, Centrum

Just one clarification , so 100% of manufacturing for our group is housed in the manufacturing or specialty Chemicals platform

Management : Jai Shroff, Chairman , UPL Group

Whatever we make is sold globally through that platform if it's a crop protection product .

Participant: Krishan Parwani, JM Financial

Yeah, hi this is Krishan from JM Financial. So, I have a couple of clarifications . So first is on the growth guidance that you have given for the UPL group is around 8-12% in EBITDA growth , but if I look at the UPL Corp EBITDA growth guidance is around 6-10% , so we understand that UPL Corp is about 80-85% of the UPL group EBITDA right ? So, what am I missing , that's question number one

Management: Anand Vora , Global CFO

Well, we have done the math and that's why we've given the range . So, we're quite confident of delivering on the EBITDA side .

Participant : Krishan Parwani, JM Financial

Okay thank you. So, I think Rohit asked about the spec chem margins . But I just want to understand like how you are trying to reduce that 85% kind of a revenue share which you derive from supplying specialty chemicals to UPL SAS and UPL Corp ? What's the strategy there ?

Management: Jai Shroff, Chairman , UPL Group

Yeah. So, that external business was non-existent three years ago and it's growing much faster than the usual regular business . So all the investments we have made in the last 24 months , will start giving results . So, that segment over the next five years will be much bigger than it is now, probably ~35-40% of the business .

Participant: Krishan Parwani, JM Financial

Understood , thank you. And one clarification on the inventory days or rather the trade receivables number that I look at the results release and then I look in the PPT , so there's some difference . If I just can give you the number trade receivables in the results release is about INR 182 billion and in the presentation it is INR 149 billion with a note th

at receivable sold were INR 153 billion so just want to understand where is the difference coming from ?

Management: Anand Vora, Global CFO :

We'll take it offline if you don't mind .

Participant : Krishan Parwani, JM Financial

No worries . thank you so much for the opportunity and best of luck

Participant : Rahul Veera , Abakkus

Hi Anand, Rahul Veera from Abakkus. Just trying to understand in terms of the hierarchy of ROCEs between UPL corp, UPL SAS, Advanta and Specialty Manufacturing . Who will be with the leading segments within your view ?

Management: Jai Shroff, Chairman, UPL Group

Ballpark , I think primarily because of the long payment cycles in Brazil , UPL Corp , the global crop protection business has probably the lowest ROCE . Advanta , UPL SAS and the Specialty Chemicals is much higher in the late 20 or early 30%

Participant: Rahul Veera , Abakkus

Sure, and lastly also the net debt of \$2 billion , it would be sitting in UPL corp ?

Management: Jai Shroff, Chairman, UPL Group

Yes, all of it is there

Participant: Vira j, SIMPL

Hi I'm Viraj from SIMPL . I just have two three specific questions . First is you know , so we have kind of realigned the structure and now we have four different platforms , and each seems to be going quite good in terms of you know the momentum in the business or positioning . If I have to look at the next three to four years , how are you looking at in terms of monetization or the structure there of you know for each of those businesses and then overall ?

Management: Jai Shroff, Chairman, UPL Group

There are two main purposes of separating the businesses out. All the businesses are leaders in their own sectors, so if you look at Advanta , the Specialty Chemicals or the India SAS business , all of them are number one in their own ways and all have a very good opportunities to grow . The idea was to really test the hypothesis through value discovery and so we talked to some of the leading private equity brands to come in and there was a lot of interest , so we brought in the first level of investment primarily to bring value discovery . These businesses will continue to outpace growth of the their sectors and right now we are just focusing on growing those businesses at the best possible rate and then when the time comes obviously we will figure out what to do. But the obvious opportunities will be there .

Participant: Vira j, SIMPL

The reason I ask because some of those businesses , say the India business or the seed platform they're inherently a very high return businesses , so the business itself will keep on throwing us quite a sizable amount of cash . So, do we have any exit arrangement with any of those PE investors ?

Management: Jai Shroff, Chairman, UPL Group

No written agreement . It's a plain vanilla equity investment. But we'll use the cash appropriately to grow those businesses

Participant: Vira j, SIMPL

Okay, and second question is on the specialty chemical manufacturing platform . So, the 85% of the business where we cater to the group entities , if I look at individual B2B manufacturing companies , they make somewhere between 18 to 20% EBITDA margins , but when we look at our business, you supply to these individual entities what I understand there's a fixed cost plus a certain margin . But how are we arriving at that particular margin structure ?

Management: Jai Shroff, Chairman, UPL Group

It's cost plus formula based .

Participant: Prashant , Elara Capital

This is Prashant from Elara Capital . So, innovation rate has declined to around 14% this year despite such a good product

pipeline that we have been highlighting over the last two three years and for future also . So, what has caused this sharp decline ?

Management: Mike Frank , CEO, U PL Corporation Ltd.

Yeah, so if you go back a couple year s, our innovation rate was in the low 20s. We had a really good class back in 2018 , I believe it was of several products , and one in particular . So when that class graduated , because the way we measure innovation rate , it's products that have been commercialized in the last five years and so we had a specific strong class in 2018 and when that dropped , our innovation rate dropped too. Right now , as we shared in the presentation today , we believe we're going to get back into the lower to mid -20s with the pipeline that we've got coming

Participant: Prashant , Elara Capital

Secondly , so volume on the inventory side , while the absolute number is up 7% year -on-year , but we are in a falling price market , so volume wise we are still way higher than last year in terms of inventory . Is the understanding correct ?

Management: Mike Frank , CEO, U PL Corporation Ltd.

Yeah, so if you look at FY23, our growth was due to pricing not to volume . We would expect in FY24 for that to flip and our growth next year will come from volume at least in the global crop protection business . We won't get growth from a pricing standpoint

Participant: Tejas, Nippon India MF

Tejas here from Nippon India MF. My question is more on the industry side , this AI enabled robotics as a service is kind of gaining huge traction in last 12 months and their claim to fame is that it will reduce the pesticide usage by to 60-90% and these companies are getting very well capitalized in last 12 months . So, I just wanted to understand if that precision spraying really picks up what is your take on the pesticide usage at the farm level ?

Management: Jai Shroff, Chairman, UPL Group

So yeah, I think there's a lot of technology coming in precision spraying . Cost of that is right now is very very high , the number of acres being treated is still very very small . So, when we look at our portfolio , we consider that , and all our biosolution products and our soil health products and our climate smart technology , all these are agnostic towards just pesticide use, and when you look at that it, we don't see a material impact happening as such because until the cost comes down dramatically , I think it's zero use in India right now .

Management: Ashish Dobhal , India Head

I think a very valid question . But the thing is that there are all kinds of technologies which are being tested in India . There are about 730 Agtech s where they're trying to disrupt at the retail level , farm level , less usage of chemicals , etc. So, I think what we have done is that we have think in terms of mechanization we are by far ahead of anybody else, So, I talked about pron utiva, if you use both of them then any way your overall chemical use comes down . But like Jai said , I think none of technologies seems to be economically viable right now

Participant: Tejas, Nippon India MF

I was talking more from the global point of view because obviously India will be the last market to adopt to that technology considering that the farmers in India are very marginalized . But more from the U.S point of view on the cost side it is becoming more as a robotics as a service rather than they buying robots and implementing it at the large farm level and if that as a service really picks up then the cost of putting up that at the farm level , it comes down dramatically and if they save those cost on the pe

sticide

usage side , as an industry , don't you think that it becomes a very big threat ?

Management: Mike Frank , CEO, U PL Corporation Ltd.

Yeah, so one of the technologies that is developing is what they call see and spray technology , where they have sensors on a traditional sprayer where you try and spot the weed or the problem and then just spray it. I think where the technology is today , it works in what you would call a pre-plant burn down , so if you're just going into a field and you only want to spray everything that's weed and you don't have weeds in the whole field that technology is working today . It still needs to be developed , they still can't drive very fast but that technology could have an impact on the overall demand for say non -selective herbic ides that get sprayed in a pre-plant situation . I think once you get into a crop situation , whether you're spraying weeds or insects or diseases , none of the technology is close right now in terms of being able to go out there and precisely target the pest. I would say the other technology that we're doing a lot of work in, and that we see developing quite rapidly is drone spraying and drone formulations particularly in smallholder agriculture . But I think it could also expand to a large holder agricultu re, so with all of our formulations , we'r e doing a lot of testing with how we can be the leaders in having unique formulations that really wor k well for drone spraying . We see that as a as a trend that's coming

Participant : S Ramesh, N irmal Bang

As a follow -up question , in the press release , you have mentioned that the increase in LATAM sales has also been one of the factors leading to the decline in margins . So, it'd be useful if you give us some idea about the difference in the spreads between LATAM and beca use LATAM is one of the fastest growing regions for you obviously in the last many quarters .

Management: Mike Frank , CEO, U PL Corporation Ltd.

Yeah so, I would say we have a very good position across Latin America . In most of the countries including the large countries like Brazil and Argentina and Mexi co, but also a lot of the smaller countries where we have very good relat ionships with Growers and with Distributors and we saw even in the fourth quarter when we look at our peer reporting where most of them struggled in Latin America we actually had a very strong quarter in Latin America both from a volume stand point and price s were okay . We did have a very challenging quarter in North America specifically in the U.S., Canada performed quite well , as Jai mentioned the U.S situation was partially exaggera ted because of the delay in Spring season but there is also more pressu re there on the on the post patent segment and distribution is very consolidated , and so unlike in Latin America where we have relationships and connection points across

a very broad industry , in the U.S., in particular there 's a handful of Distributors that control most of the marketplace and so we have good relationships there and we're working on building our business with them . We've seen good growth in the last two years in North America and we expect another year of growth ahead of us, but we were certainly challenged in Q4, and so we're diagnosing that, but we also know that some of it was temporary based on the weather season itself

Participant: S Ramesh, Nirmal Bang

So can you throw some color on the difference in the spreads between LATAM and U.S., because you specifically mentioned the margin pressure was from the increase in LATAM.

Management: Mike Frank , CEO, U PL Corporation Ltd.

I think if you look over the next five-year period , we will likely continue to grow at a faster rate in Latin America , in most of Asia , in Africa and Middle East . Those regions will likely outgrow the mature markets which are North America and Europe , so that would be our expectation . Now again as you saw in our pipeline , we have a lot of technologies coming that are going to fit in Europe and North America , so we do have an expectation that our business will grow there as well .

Participant: S Ramesh

And as a follow -up to the question on ROCE. So, if you're looking at your FY24 guidance , you see the ROCE also improving in line with your expectation ?

Management: Mike Frank , CEO, U PL Corporation Ltd.

That is our objective , we have a strong focus on cash flow, on EBITDA growth . So, we look at how we can continue to grow ROCE, that's one of our KPIs that we focus on

Participant: S Ramesh

okay thank you very much

Participant: Rohan, Nuvama

Yeah, hi sir good evening Rohan here from Nuvama . First is once again a clarification required on the inventory losses . You mentioned that probably the impact of loss of production was close to INR 200 to 250 crores and inventory lead loss purely was close to INR 300 to 350 crores and overall impact was roughly INR 1200 crore as mentioned in your presentation . So, that explains only some around INR 600 crore, it means that balance INR 600 crore is because of the deterioration in the product mix. Is that assumption, right ?

Management: Anand Vora, Global CFO

The balance is basically the product mix and some increase in cost which we had with the high -cost inventory, so it was towards the cost of production basically .

Participant: Rohan, Nuvama

So, if you look at if you look at your guidance roughly 6-10% Revenue growth . We are sure that the way the prices has fallen, and you mentioned that the China Impact may continue , the prices may fall more . So, in 6-10% kind of growth which we are building in the current year , the volume growth will be more than 6 -10% ? Why are we assuming that the global market will grow more than double digit to meet this to give us these numbers ?

Management: Mike Frank , CEO, U PL Corporation Ltd.

So, we have a number of growth drivers , obviously we talked about the head wind from a post patent pricing standpoint . Our sustainable and differentiated portfolio again with the strengths of the products that we launched last year , those products are going to continue to ramp up, so we see significant growth opportunity in those products . We're going to be bringing a whole new class of products that we believe will generate in excess of \$120 million of new revenue and so that'll be the growth segment for our business . Now we're also going to drive growth in volumes within our post patent segment , so again we're not anticipating idling capacity next year we're anticipating running our plants and competing aggressively in the marketplace with our post patent business both in the B2C markets but also in the B2B markets , and so we'll find a spot and we'll make sure that that volume growth is a part of our profile next year within the post patent segment

Participant: Rohan, Nuvama

Second is once again a clarification on China . So, though China has opened up significantly in a last three to four months, but we also know that the production capacities were never going offline , the market was still served by China very well in global market . We are definitely giving the reason that the fall in the raw material prices or inventory led loss

ses is primarily coming due to huge supplies coming from China , but is it really so or was China sitting on a huge inventory in the market and they have dumped in a current scenario that has led to huge losses . Otherwise , we are a manufacturing company as well and if China continues to dump at the current pricing . How we are going to see the margin expansion ?

Management: Bhupen Dubey, CEO, Advanta Enterprises

Oh yeah so China currently definitely have an over capacity . Post covid when China completely opened up, those capacities completely came online , and so supply side which was a constraint is no more constraint and the prices have started falling down , more so in last eight to ten weeks , and this is also coupled with the commodity chemicals prices which has come down , cooled off from the peaks in July- September . So that has also helped in terms of bringing the costs down in terms of margin .

Management: Mike Frank , CEO, U PL Corporation Ltd.

Well yeah on margins I think as Jai said it's hard to predict China supply and prices going forward . So, I mean right now we don't anticipate they can sell at these prices, on some of the AIs again it's not across the board , there's certain AIs that they're trying to liquidate right now and so I think once they liquidate those supplies and they're building new inventory . They'll only build inventories I think if they believe that they can cover all their costs

Participant: Rohan, Nuvama

So, this 8-10% EBITDA growth which we are guiding for, are we

building any further inventory losses in Q1 or Q2 in this year or we are expecting the scenario to normalize just from this quarter itself ?

Management: Mike Frank , CEO, U PL Corporation Ltd.

Look from a from a global crop protection standpoint on a year over year basis , Q1 will be a challenging quarter we don't guide at the quarter level , but I would just say the pricing pressure that we're going to face and we're facing right now in Q1 will be intense and so I think the contribution margin within global crop protection in the first quarter will be challenging one

Participant: Rohan, Nuvama

So, just lastly from my side , our DNA is of a manufacturing company but we also have a nurture which is more like a startup right now incurring roughly INR 280 crore rupees loss at a EBITDA on a turn over of just only INR 80 crore , though you are guiding that you are going to be a bit of positive in this company . How we are expecting these numbers to grow , how we are expecting our top line to grow and what is our thought process behind it, I mean do we just only want to participate in a Global race right now or we want to make some meaningful platform out of this. So, just some more understanding on this platform

Management: Jai Shroff, Chair man, UPL Group

Yeah so, I mean we continue to invest in this disruption . We are more focused now, we have tested lots of platforms within Nurture and now we are focused on three or four areas where we believe that we can break even on those in the next 24 months . By far it is probably the most active and aggressive platform in the market, and you know it's something which is about to happen at certain point and we have a lot of other nice features going to be launched . So, we are comfortable that it's going to be a leading platform not only in India but in other parts of the world also

Participant: Aditya Jhavar , Investec

Hi this is Aditya from Investec , looking at the current weakness in the crude oil prices , is there a likelihood of decline in the energy source from ethanol which could have a bearing on acre-

ages of

corn in the U.S and sugarcane in Brazil . Do you anticipate a decline in acreages of the weakness in the crude continues ?

Management: Jai Shroff, Chairman, UPL Group

I can't predict that , but I think the mandates are mandates . So, in many parts of the world particularly in India , ethanol is going to be short for at least next 10 years , so I don't see decline in acreages unless government changes their mind . At \$10 crude , not many things will work , but at \$50 crude it is very different . '

Participant: Aditya Jhavar , Investec

So, we don't anticipate a decline in acreages ?

Management: Jai Shroff , Chairman, UPL Group

No, I don't see that because these are government mandates which I don't think they will change very easily .

Participant: Shreeya Shah , ICICI Prudential MF

Hi good evening . So, my question is regarding S&P global credit

rating . So, with the net debt reduction , do you expect any upgrades in the credit rating or if not, then what would be the debt reduction amount at which one can expect the credit ratings to upgrade now ?

Management: Anand Vora, Global CFO

We will engage with S&P now that the results are announced . We'll share the results with them , we do believe that this debt reduction is positive . We are meeting some of their criteria as per the financial model , but it's their decision on the rating upgrade , and typically what we have seen in the past with regard to some other companies is they would not as quickly give an upgrade . But we will keep pushing for it.

Participant: Girish , Morgan Stanley

Actually we had almost a 20% decline in U.S. in constant currency in this quarter , so just wanted to understand the impact of Glufosinate . What was the kind of degrowth in Q4?

Management: Mike Frank , CEO, UPL Corporation Ltd.

Yeah so, we don't break our product sales by quarter but just to give you the shape of it, I mean glufosinate by far was the leading impact on a year over year decline that we saw . So, there was a few other products that were caught up in it but glufosinate would make up the vast majority of it.

Participant: Girish, Morgan Stanley

Then the payable days are down quite sharply . can you throw some light why exactly this has happened ?

Management: Anand Vora, Global CFO

There are two reasons largely , as I mentioned , we slowed down on our procurement as we saw the raw material prices dropping and at the same time the demand was low, so we reduced our procurement in Q4 and that resulted in reduction in the payable days .

Participant: Girish , Morgan Stanley

Do you remember the losses for nurture for FY22. Was it similar or higher ? Because when I just reconcile your guidance to 14 to 18% growth for UPL SAS, the range of EBITDA comes to INR 840 -870 crores . But when I consider out this halving of losses at Nurture, it doesn't add up because then you're actually saying India business will be flat, I'm not sure of the guidance here

Management: Anand Vora, Global CFO

14-18% growth in EBITDA is the guidance for crop protection business , and for nurture we said that we would reduce the losses by half.

Participant: Girish , Morgan Stanley

Now on capex , can you break it up in terms of various businesses . How much you intend to spend the larger parts there of the \$350 million ?

Management: Anand Vora, Global CFO

So largely about \$160 million is for manufacturing , and then the rest is intangible which will be largely in the global crop protection business , and we have some capex also in Advanta roughly about

\$20 million .

Participant: Girish , Morgan Stanley

Last question was

on channel inventory as we see it across regions right now and if you can comment on where your peers are right now on inventory to the extent that they've declared results

Management: Mike Frank , CEO, UPL Corporation Ltd.

Yeah so, I'll make two comments on channel inventory . First, for UPL products , as we talked about, we didn't increase our volume into the channel globally last year and so our inventories are sitting in a good position . We worked very closely with our distributors and our retailers . We planned production , we helped with forecasting their business and that's what we sold in. Now I would say if you look at their inventories in total you know partly because of the supply chain concerns during covid and then the Ukraine war , there was some increase in overall supply into the channel and now with high interest rates , I would say globally there's a desire for most distributors to de-inventory . So, I would say again our inventory levels in the channel are well positioned . Generally , the distributors have a desire to de-inventory this year , which I think will impact others more than us just because we didn't load up our products into their inventories .

Management: Jai Shroff, Chairman , UPL Group

I think that's the last question . We can continue over High Tea . So, thank you all very much and please join us for High Tea.

Call: Aug 2023

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"UPL Limited
Q1 FY '24 Earnings Conference Call"
July 31, 2023

MANAGEMENT : MR. RAJENDRA DARAK – VICE CHAIRMAN – UPL LIMITED

MR. MIKE FRANK – CHIEF EXECUTIVE OFFICER OF GLOBAL CROP PROTECTION BUSINESS – UPL LIMITED

MR. ANAND VORA – CHIEF FINANCIAL OFFICER – UPL LIMITED

MR. RAJ TIWARI – CHIEF SUPPLY CHAIN OFFICER – UPL LIMITED

MS. RADHIKA ARORA – HEAD-INVESTOR RELATIONS – UPL LIMITED

UPL Limited
July 31, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to UPL's Q1 FY 2024 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Radhika Arora. Thank you and over to you.

Radhika Arora: Thanks, Yashashri. Good day, everyone. Thanks for joining us today for the results for the quarter ended June 30, 2023. The presentation, press release and the financial statement has been made available on the website, and we take it that you all have read the safe harbour statement. From the management team, we have with us today, Vice Chairman, Rajendra Darak; CEO of Global Crop Protection Business, Mike Frank; CFO, Anand Vora; Chief Supply Chain Officer, Raj Tiwari, and other members of the leadership team.

With that, let me now hand it over to Anand.

Anand Vora: Thank you, Radhika. A warm welcome to all of you who have joined us today. I'll begin by discussing the key financial highlights for the first quarter, followed by an update on working capital and debt. The global crop protection market is going through a tough phase over the last couple of quarters.

As for the most recent S&P Global estimates, the market is expected to degrow by approximately 5% for the calendar year 2023. Our first quarter performance too was impacted by the industry-wide slowdown, as well as by the erratic monsoon in India. Consequently, revenues for the first quarter were down by 17%.

Contribution margin improved by 200 basis points to 45.7% led by higher share of differentiated and sustainable products, a favourable geographical mix and improved margins delivered by the seed business.

Overall, contribution profit was lower on the back of lower sales, but we did see a 200-basis point improvement as a percentage to sales. Our SG&A went up marginally by 5%, bulk of this increase being due to translation of financials in rupees amidst depreciation of rupee against the U.S. dollar. However, with the drop in sales resulting in a drop in contribution profits, there was a significant impact on absolute EBITDA.

The EBITDA for the quarter stood at INR 1,593 crores, showing a decline of 32% over that of the previous year. While the performance of our Crop Protection business came under pressure, it's worth noting that our seeds business platform performed robustly, with revenues increasing by 26% from INR 840 crores to INR 1,060 crores and a 54% growth in EBITDA.

The strong performance of the Seed business supported the overall profitability for the quarter. Net finance costs rose by 36% despite the decrease in debt and non-recourse factoring. This was primarily due to rise in benchmark rates by ~350 basis points year-on-year.

The average cost of borrowing for Q1 FY '24 stood at approximately 6% per annum as compared to 3.5% per annum for Q1 in FY '23. FX loss for the quarter was INR 200 crores. This was mainly due to cost of hedging against advanced orders in Brazil. Additionally, there are certain countries where we could not hedge currencies such as Russia and Turkey. Devaluation in currencies of these countries also led to higher FX impact. Net profit for the quarter came in at INR 166 crores as the impact of higher finance cost and FX loss was to an extent offset by lower taxes as we benefited from the lower tax rates due to poor business performance in some of these countries mentioned above.

The tax rate for the year is expected to be at the lower end of the guidance of 15% to 18%, given at the beginning of the financial

year. As we highlighted at the Capital Markets Day in May, improving our cash flows, and strengthening our balance sheet continues to remain one of our key focus areas. In line with this, we reduced our net debt in U.S. dollars by \$160 million from \$3.35 billion in June last year to \$3.19 billion as of June 30, 2023. Additionally, we also reduced the non-recourse factoring significantly by \$250 million on a year-on-year basis. The receivables securitized stood at \$890 million as of 30 June 2023 against \$1.14 billion as of June 30, 2022. Coming now to working capital; the working capital days increased by 14 days year-on-year to 122 days. This was primarily on account of lower payables and a reduction in factoring, as I spoke earlier. In rupee terms, the factoring was down by INR 1,700 crores versus last year. Overall, we expect to end the year with working capital of 65 to 70 days. To give you an update on the corporate realignment initiative, during the quarter, we transferred our Specialty Chemicals business to a wholly owned subsidiary, UPL Specialty Chemicals Limited. This proposed transfer has been approved at the shareholders' meeting in July, and the transaction is expected to be completed in the next few months.

The carve-out of Specialty Chemicals business would allow us to accelerate growth in that business and enable improved access to capital. Moving ahead, as we look for the rest of the year, while Q2 will also see subdued demand in the second half of the year, the demand on the crop protection side is expected to recover as channel inventory approaches a near normalized level. Further, protecting our profitability in the current environment is our foremost priority. Accordingly, we have undertaken a cost reduction initiative of USD 100 million over the period of next 24 months, of which we expect to realize at least 50% by the end of this financial year. Overall, led by gradual recovery in crop protection demand supported by continued healthy performance of Seeds business and the implementation of cost optimization efforts, we expect the revenue growth for FY '24 to be in the range of 1% to 5% and EBITDA growth in the range of 3% to 7%. On the cash flow and balance sheet front, our focus for generating healthy free cash flow and deleveraging will continue.

With this, I'll hand over to Mike to give us more detail on the global market conditions along with an update on some of the key geographies. Over to you, Mike.

Michael Frank: Thank you, Anand. Hello, everyone. As highlighted by Anand, the Global Crop Protection business has been facing a tough market environment over the last two quarters. While ag-chem demand at the farm gate level continues to be strong, the industry is facing unprecedented

challenges due to significant price decline for most post-patent products combined with distribution channel destocking, which greatly impacted product sales in this past quarter. Even though the current grower demand will absorb existing channel inventories in the next several months, this is a major pain point for manufacturers. It is, however, worth noting that our product share at the end user level has increased in certain segments, demonstrating the strength of our portfolio and commercial strategy.

Moving to results performance; Q1 of FY '24 was impacted by the overall volume decline and pricing pressure largely in the herbicide segment. Herbicides, such as glufosinate, glyphosate, clethodim and metolachlor, especially in North America and Brazil accounted for roughly 75% of the total revenue decline this quarter versus last year.

Our Q1 revenue dropped by approximately 24%, while contribution profit was down around 31%. Margins were impacted by lower prices, resulting in 380 basis points compression versus last year, while EBITDA also declined by 65% year-on-year. Despite the tough envi

ronment,

we have grown in our differentiated segment by 10% through new launches such as Evolution and Feroce.

This has also resulted in our improved product mix in this segment from 24% last year to 35% in the first quarter. Further, our NPP Biosolutions have also improved margins on a quarter-over-quarter basis. This clearly demonstrates our commitment and focus to improving our overall business quality.

The strength of our differentiated and sustainable portfolio will continue to be demonstrated throughout this year. Taking a look at regional performance for the past quarter; in Latin America, our revenue declined by 28%. Brazil was impacted from significant market degrowth specifically in non-selective herbicides due to price decline.

We did experience growth in Mexico and Argentina versus last year, driven by herbicide volumes. However, the impact from Brazil drove the overall revenue decline in the quarter from this region. In spite of our near-term challenges, through our increased customer focus and our strong product portfolio, we are increasing our market share across this region.

While Q2 will still see some challenges, we anticipate growth in the second half of the year in Latin America. Now moving to North America; sales of herbicides to channel partners slowed considerably versus a year prior. Overall sales and usage at the grower level in the U.S. and Canada was strong.

However, distribution channels were focused on drawing down inventories in part because they were seeing prices fall and therefore, they only purchased on an as-needed basis. Herbicides such as glufosinate, S-metolachlor and clethodim were most impacted with headwinds from lower volumes and pricing pressure.

While this trend will persist in Q2, we expect partial moderation by key insecticides and fungicides such as Mancozeb. Our differentiated and sustainable segment led by NPP products and new launches is poised to mitigate post-patent price decline. We have also seen an increase

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in California Rice acreage, which provides a nice opportunity to drive sales in that market. We do expect North American distributors will be restocking for next season during Q3 and Q4 of our fiscal year. In Europe, revenues declined by 19% in the quarter due to channel inventory concerns and degrowth in countries such as France and the impact of product bans.

While these concerns will persist in Q2, we see upsides in sulphur and copper-based fungicides and in herbicide volumes in the second half, which are expected to lead overall recovery in the region. The rest of the world was down by approximately 10% due to high price pressure from China competitors, especially in Southeast Asia and Africa.

I would like to highlight that we grew strongly in China, nearly doubling our revenue through insecticide, fungicide and soil and seed health volumes. Looking ahead, across the Global Crop Protection business, we anticipate Q2 to remain weaker than last year due to continued channel destocking in Brazil specifically and the global reset in prices in the post-patent segment.

As previously mentioned, recovery is expected from Q3 onwards through normalization of channel inventories and demand for herbicides and our new launches as key growth drivers.

Further, we're undertaking stringent overhead reduction actions. These measures are expected to positively impact by around \$100 million in the next 24 months with at least 50% of that being realized this year in FY '24. So, while Q1 was a challenge, the strength of our supply chain assets along with overall strong grower economics, which is driving end-use demand plus our proactive cost actions and incremental revenue from new products, we foresee EBITDA growth in the second half of this fiscal year.

With this, we'll now open it for our Q&A session. Thank you very much.

Moderator: We have a

first question from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: While you've alluded to a subdued outlook for 2Q, it would be helpful if you could please help us understand maybe the rough range within which we might expect revenues to be under pressure for the quarter? And then also just to check on the revised guidance for the full year. If I'm doing my math correctly, it seems to imply that in the second half of the financial year, the ask rate -- the implied growth rate would be probably north of 15% or so. And given that it will probably acquire 20% or 25% volume growth to achieve that given that pricing is probably going to be negative to the tune of at least 10 percentage points or thereabouts. So, do you expect that sort of volume growth to be an achievable target in the second half?

Michael Frank: Yes, very good. Thank you for the question. I'll take the Q2 question and pass the full year guidance question to Anand. So, I would expect in Q2 that we'll see somewhat of a similar price decline that we saw in Q1, which is in that high single-digit range. And so that is likely to persist in Q2 for us. I think volumes won't be nearly as impacted as they were in Q1. So that would kind

of give you a sense that even though Q2 will be subdued, it won't be to the same magnitude as we saw in Q1.
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Anand Vora: Yes. And Abhijit, coming to the guidance, you're right. We are looking at a volume growth in low double digits for this full year. And you should also keep in mind that last year, that's financial year '22-'23, the Q4, we had a sharp dip in the prices. So, we do expect price correction to be lower in Q4. So overall, we do believe that based on what we are seeing and our assessment of Q2 as well as of H2, we feel comfortable with the guidance of revenue growth of 1% to 5%. And you're absolutely right. It will be largely driven by volume and to some extent by favourable exchange rate.

Abhijit Akella: Got it. No, that's helpful. And maybe just one other point on which I was hoping to seek Mike's insights on the matter of competition from China. We understand that they've increased their capacity substantially in some of your key products. Do you see them reducing their competitive intensity in coming quarters or would you see the overcapacity there as a bit of a structural problem?

Michael Frank: Yes. Thank you, Abhijit. So, look, I think once capacity comes online, it's more of a permanent fixture. Right now, what we're seeing is very low demand coming into the market in China.

Again, this change in buying habits by distribution is impacting, I would say, across the industry, whether they be Chinese producers or across the rest of the multinational companies as we're seeing other companies report their results from this past quarter.

Look, on a go-forward basis, I think the competition will be intense. Eventually, I think some of the AIs that have too much capacity that will get rationalized over time, but that will take, I think, several quarters into the future. So, I don't think that's going to happen here in the near term. That being said, we do know that some of the projects that were set up for further capacity expansion. What we're seeing in China now is that those projects are being stopped. So, I would expect that there'll be very few projects in the future, which are adding capacity, but we do have some AIs where capacity is very high at this point.

Abhijit Akella: That's very helpful. And just one last quick thing for me for Anand. Any guidance on the debt reduction and the factoring levels for the full year, Anand. Thanks a lot.

Anand Vora: Factoring, I think we'll try to keep it between \$1.4 billion to \$1.6 billion. And on debt reduction, while we didn't give any guidance, we have reduced our debt by about \$160 million in Q1, and we will continue our effort to reduce

debt as we move forward over this financial year.

Moderator: We have a next question from the line of Madhav Marda from Fidelity International.

Madhav Marda: I have two questions. First of all, given that there has been some destocking which has been happening in the channel across some of the key markets. Do you think channel inventory is running is more than usual levels, like if it looks like X, at the usual time are we running lower than those levels right now?

Michael Frank: Yes. So, look, the reality is it's really a country-by-country, market-by-market situation. I was in the U.S. just a couple of weeks ago visiting with key distributors across the U.S. And I would say, largely, the inventory levels are at what I would call normal levels for most companies. There were a few distributors I talked to that still had higher-than-desired inventories.

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Now if you go to Brazil right now, of course, they're in the process of gearing up for the upcoming soybean season. And so, I think it depends whether you're looking at Northern or Southern Hemisphere. Inventories at the distribution level, I would say, haven't completely normalized. I would expect that to take place over this upcoming quarter, for the most part, but we're approaching those levels.

And again, if you rewind the clock over the past couple of years, the situation with COVID and then also the Russia war situation, it did put pressure on supply chain reliability. And so, through that period, distributors were generally trying to bring into inventory, products that they could get a hold of.

And overall, that's why inventories were built up really on a global basis. And so now we're seeing the other side of that situation where there's no longer concern about supply chain reliability. And therefore, naturally, distributors are trying to get back to a more normalized level. So, it's getting close. I think we have another quarter or so of normalizing this -- and then from that point, we'll be restocking as per normal.

Madhav Marda: Got it. And the second question was a lot of the AIs that you said, and we've seen data on pricing

having come down meaningfully in the last six or eight months. Are these prices -- would you call that a sustainable level or do you think these are prices where it's -- where profitability comes under question because there's been a lot of volatility inside of a lot of products over the last say, since COVID to now. Do you think current prices are more sustainable or are they like below sustainable levels? How would you read that?

Michael Frank: Yes. I would say based on current feedstock costs, that generally the prices that we're seeing are barely covering feedstocks and probably not covering the fully loaded overheads. And so, this level can't persist into the mid- to the long-term. So, I do expect that there's going to be a combination of rationalization and ultimately some uplift in prices. Again, it's hard to predict when exactly that's going to evolve. Right now, because of the low demand, we're seeing the low prices persist.

Moderator: We have our next question from the line of Sonali Salgaonkar from Jefferies.

Sonali Salgaonkar: My first question is with respect to the debt. Could you give us the gross debt and net debt figures in INR terms for Q1 this year versus last year?

Radhika Arora: Yes, Sonali, it's essentially on the slide 11, if you look at the quarter one presentation that's there on the website. The numbers are INR 30,083 crores in June '23, and similar number, June '22 was INR 30,123 crore. However, if you see in dollars, it was \$3.66 billion versus \$3.81 billion, so down by about \$147 million.

Sonali Salgaonkar: Understand. Sir, I understand you are not giving a guidance for deleveraging per se, but any guidance for net-debt-to-EBITDA for the year?

Anand Vora: We are targeti

ng to end this year at a Net Debt -to-EBITDA of below 1.5.

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Sonali Salgaonkar: Got it, sir. And lastly, on the product ban in Europe, anything you would like to quantify in terms of what is the impact that you are gauging? And if at all, it is going to have an impact on the full year numbers as well?

Michael Frank: Yes, I'll take it. It's Mike here. So, the one product that was banned last year that we're not able to sell any longer this year is an active ingredient called bifenthrin. It's a very nice product for us, high margins. Last year's revenue was about \$24 million. Obviously, we knew that coming into this year. So, that was part of our planning assumption, but that gives you a magnitude of the product ban on a year-over-year comparative basis.

Sonali Salgaonkar: Got it. Sir, last question, sorry, if I may slip one. The North American sales have declined quite sharply for UPL Corp. We understand it's related to channel inventory issues, but any further clarity you would like to give on this?

Michael Frank: Yes, as I said, I was in the U.S. just a couple of weeks ago. I think our portfolio is performing very strong. Our relationships with our channel partners there is also very strong. So, this really is a correction in inventory levels as you know in North America, it's really just one season. And so, they typically load up in our third and fourth quarter, and then they deplete their inventories in Q1, Q2, Q3. And so, their sales to growers is strong. Our products are performing very well in the U.S. And again, I think once we get to Q3 and Q4, with restocking in the U.S., we'll see our business pick back up.

Moderator: We have a next question from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Mike, in your recent visit to U.S., what feedback have you got about the Midwest region, we are hearing about drought-related conditions persisting there? And in that backdrop, how do you see the North American sales for the year? I understand that you have told that sales could revive H2 onwards but wouldn't that be too early for the industry to revive given that -- I mean that market is sitting on a very large inventory some people are saying.

Michael Frank: Yes. Thanks, Prashant. Yes, so firstly, with regard to the drought, there obviously is some weather impact in certain areas of the market. I was in Chicago. I was in Minneapolis, and there are some of those regions that have had a lack of rainfall this year yet in other areas of the corn-belt rains have come very timely. So again, it's very much kind of a county-by-county situation there.

Generally speaking, though, I think that North American yields for corn and soybeans are going to be probably near trend line, maybe off trend line a little bit, but there's going to be generally strong yields, which, again, if you multiply that against commodity price that growers are getting for corn and soybean, grower economics are going to come out this year quite strong. Just to be really clear then on the restocking, Q2 is not a restocking quarter for us in the U.S. We continue to sell into the channel, I would say, on an as-needed basis where certain products are getting pulled right now, mostly insecticides and fungicides, more so than herbicides, where we're replenishing certain distributors. Really, the restocking for next season happens in our Q3

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and in our Q4. And again, we would expect to see a strong business in North America come in Q3, Q4.

Prashant Biyani: Right. And second question on the India business. How are we anticipating the on-ground consumption after this recent bout of pickup in rainfall for the current Kharif season?

Ashish Dobhal: Yes. Thanks for the question. I think after the lack of rainfall we had in June; I think it's good that things have mov

ed in India, and we are seeing good rains now. The only thing is that it's too much rains now in a lot of areas like Punjab and Gujarat where there's a lot of flooding. Eastern side, we still are deficient, some districts of soybean are still deficient and Northern Karnataka still deficient. However, having said that, the liquidation from here should definitely increase. I think this is much better to what we initially thought in terms of how the weather will pan out. And these rains should definitely help us in the Q2 liquidations.

Prashant Biyani: Lastly, just a short one, Ashish, sir, the season has got delayed by how much in India right now?

Ashish Dobhal: So, it's very different for various geographies. If you would see the Gujarat business that started, but then now it's got delayed because of the floods. Cotton is absolutely okay in time for North. But the paddy in north is again delayed because of the paddy floods which came in the GT road belt. Soybean is on track. Maharashtra is more or less on track. The Karnataka season will be delayed a little bit, and so will be Hyderabad season where still we are experiencing some heavy rains. East is still delayed by about 15 days.

Moderator: We have a next question from the line of Josefina Rodriguez from Waha Capital.

Josefina Rodriguez: Two questions from my side. So, I see gross debt you're reporting now \$3.667 billion. In the last quarter, if I look at Q4 '23, it was \$2.7 billion. So, I wonder if you are like now counting some maybe factoring or what was the driver of that increase in debt? Second question is capex. If you give guidance for this year and if you're thinking of maybe reducing it to preserve cash flow.

Anand Vora: Sure. Thanks, Josefina. Due to the seasonality of our business, we do see an increase in working capital as we move into the financial year. So typically, you will see an increase in working capital in Q1 and it peaks in Q3. So, in December, the working capital is at its highest level. And then we see a drop in working capital in Q4. So, in continuation of the increase in working capital, you will see that the borrowings also keep going up. And therefore, we always compare net debt with corresponding quarter of the previous year rather than a quarter-on-quarter comparison.

In comparison to Q4FY23, this is almost an increase of INR 8,000 in working capital as we move into the season. And correspondingly, the debt has gone up. So that's the reason. It's nothing to do with our non-recourse factoring, which doesn't impact our borrowing.

Moving to the second question on the capex, certainly, I mean we had guided for about \$325 million to \$350 million. We now feel that we should be in the range of around \$300 million. In order to conserve cash, if we need to postpone some of the capex or something, we are reviewing that currently.

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Moderator: Thank you. We have a next question from the line of Abhiram Iyer from Deutsche Bank.

Abhiram Iyer: So, I understand you're comparing the gross debt on a year-on-year basis, which is fine. But previous year also had the impact of a reduction in debt due to the equity infusion by the minority shareholders during the restructuring of the company. So that impact seems to have sort of gone.

Is the entire increase from \$2.8 billion to \$3.6 billion driven by working capital? And the other question is cash as well has sort of come down from March to now. So again, could you just help us a bit on the walk in net debt basically on a quarter-on-quarter basis? Is the entire thing working capital? And is it expected to reverse in Q4?

Anand Vora: So, it certainly will get reversed in Q4 as I said, Q4 is when most of our cash collection happens. Also, as I mentioned earlier, about INR 8,000 crores of build-up was therein working capital. There have been certain investments and the tax and other p

ayments too.

But as I mentioned earlier, we do see in fact, in the next two quarters also, you will see a slight increase in working capital. And in Q4, you will see the working capital coming down.

So that's been the trend over the last five years. And as I said, in Q1, we have reduced net debt by about \$160 million in U.S. dollar terms as well as we have reduced the factoring by about \$250 million.

We do expect to continue with this trend as we move into the next two, three quarters. Clearly, looking at the state of business and the market, largely, as Mike alluded, looking at the conditions

of market, we will take all measures to improve our cash cash flows and see how we can bring down the debt further.

Abhiram Iyer: Got it. Got it. And in a sort of similar vein, the company's bonds are still sort of on negative outlook by Fitch, one of the two agencies which rated investment grade. Maybe just give a bit glimpse on what the conversations have been? And how do you see sort of evolution and basically time given by the rating agency to sort of get back to a full sustainable sort of business? I mean, currently obviously, there is an impact from market effects.

Anand Vora: Yes, I think the good part is –that the rating agencies have been rating various other crop protection chemical companies, and they do know the market conditions. In Q4, they maintained their rating. As more and more information started making available on China as well as some of the other companies came up with their results, they understood the market conditions. And also, most rating agencies take into consideration the non-recourse factoring and we have reduced the non-recourse factoring by \$250 million in Q1, that is something which I'm sure they the rating agencies will look at more positively. But we are yet to engage with them after the results. So those calls are scheduled over the next couple of weeks.

Abhiram Iyer: Perfect. And just one last question. There is a cost reduction initiative that's been mentioned of \$100 million over the next two years and about 50% of them would be in the next fiscal year. May I just understand that your revised EBITDA forecast includes this cost reduction or is this an upside that potentially might come about if these are on track?

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Anand Vora: We have included this cost reduction in our 3% to 7% EBITDA increase guidance.

Moderator: We have our next question from the line of Darshit Shah from Nirvana Capital.

Darshit Shah: So, the India business has been fairly okay as far as Q1 was concerned, while the rest of the regions, as you mentioned, are seeing a sort of channel destocking and price fall. So, can you highlight what is the situation in India in terms of our product portfolio and overall general industry perspective on the Indian market?

Ashish Dobhal: Yes. So, I think India is in a slightly different position as compared to the global businesses, where we had a very good fourth quarter. We are facing some of the headwinds that are there in the global business also, but that's primarily on the post-patent molecules.

But we have a very high share of proprietary products in India. We have some good brands, some good new launches coming up. We also have some soybean herbicides, which we have launched recently.

And we have a good outlook in terms of some of the other wheat products and some of the other Rabi products which are there in the market. So, I think having a relatively higher share of proprietary products in the India business, sort of insulates us from some of these things. Having said that, we have faced very tough situation with some of the products too.,

So, I think that's one thing. And of course, India is one of the geographies in the UPL ecosystem, which is very, very close to the farmer. It's a pure B2C play that we have in India. That also sort of

gives us some insulation in terms of how we are facing the challenges in the market. So, broadly Q2 for us should improve to some extent and then I think it should get better from thereon. I hope I have answered it.

Darshit Shah: Yes, you've answered it really nicely. Thank you so much.

Moderator: We'll move on to the next question from the line of Matias Vammalle from BlueBay Asset Management.

Matias Vammalle: I think I'm taking us maybe back to the beginning of the call but I'm really sorry, if you can repeat a little bit and explain and help us understand the weakness in Brazil and then obviously, a little bit of how you're seeing that going forward given that it's obviously the biggest market in Lat-Am, and that's a meaningful impact. Thank you.

Michael Frank: Yes. Thanks for the question. So yes, the Brazil impact on this quarter is really related to the herbicide segment, most specifically. And even within herbicides, it's really the non-selective herbicides with the prices coming down significantly for both glyphosate and glufosinate products that we sell into the channel in Brazil. Through the first quarter, we were in negotiations with a lot of our distributors.

There were some product returns that we had to consider and some renegotiations that we also needed to consider in terms of working closely with our distributors to set them up for success going forward. And so that work really took place in the first quarter. I would say a lot of it

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behind us. There's probably still a little bit to do in the second quarter, but that was really at the crux of why the situation in Brazil was so significant. Now again, if you look at across the industry, this really was a factor that impacted the entire global crop protection industry. I think softness in Brazil is a feature for every company that participates in that market.

Moderator: We have our next question from the line of Nitin Agarwal from DAM Capital.

Nitin Agarwal: I have two questions. One is on the Chinese aggression which has come through on some of these non-selective herbicides. I mean how does that really make you sort of relook at your strategy for the next three, five years?

Michael Frank: Yes, Nitin. So, part of that goes back to how we're looking at overall our cost of doing business and so we really do think that on some of these AIs, specifically in the post-patent and herbicide market that these costs have reset. And therefore, we're also resetting our costs, both from a manufacturing and SG&A standpoint in those segments.

And so, when we talk about taking cost out of the business in the range of \$100 million over the next two years, it's really setting up our post-patent business to be leaner so that we can compete more aggressively. And so, I would say that's primarily how we're adjusting for this new reality.

Nitin Agarwal: And secondly on guidance from a year-end net debt perspective, do we have any color on what are we looking at in terms of reduction of debt versus the last year? So where do you see the dollar debt ending up?

Anand Vora: Nitin, as you see Q1, we have managed to bring it down by about \$160 million. I think as I mentioned earlier, our efforts will be to bring down our debt further. Considering the industry where it is today, I think it's best to focus on profitability and conserve cash. So, we will look at reducing the debt.

I also mentioned that we are closely monitoring the capex spend. So, for everything that's within our control, we'll try to see how we conserve cash. And needless to mention, we'll keep bringing down the debt as we move forward during this financial year.

Nitin Agarwal: And second, on the guidance given out, I think it's a pretty reasonably positive guidance for the full year in my view. What is the risk that you see to the new guidance number of 3% to 7% that you

you put out on the EBITDA?

Anand Vora: Well, I think the good part is we have been engaging with our teams across the world with various regions, and we are getting their feedback. We mentioned earlier that we will be focusing on the volumes just to ensure that we don't lose the market share. In fact, even in Q1, despite the drop in sales, we did maintain our market share. So, we remain fairly confident of delivering this guidance. I mean it's been after a lot of internal discussions and feedback from our regions that we have come up with this guidance.

You see the range also; we have given a broad range just to ensure that we remain within the guidance. So, also the cost saving initiatives, on the SG&A, which Mike explained, we have undertaken an aggressive cost reduction drive.

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And already, we have started work on it, so we do believe that that should also give us some cushion to ensure that we deliver on our guidance on the EBITDA. When you look at Q1 numbers, it looks like a bit of a bit of tall order, but we do believe that we should be in a position to deliver based on the revised guidance.

Nitin Agarwal: Thanks Anand. If I could squeeze in the last one. This is the first, I think, after two very high growth years you have one sort of normalizing year for the business from a top line perspective. I mean does it structurally ease out working capital pressures for you? I mean how do you look at that from that perspective?

Anand Vora: Yes and no. I mean, yes, because the price increase which we got over the last two years obviously did have an impact on the working capital. As you saw, the sales growing at a much faster pace than what we had forecast or what we had guided for. With the prices now normalizing, we should see some reduction in working capital. But the good part is we are seeing the destocking. And once the distributor starts seeing the destocking happening at their level, it means they would have cash flows in, and fresh orders also would be placed. Overall, we expect to end the year with a working capital of 65-70 days.

Moderator: We have a next question from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: So, in the last quarter, you had mentioned that there was a reduction in your capacity utilization in our manufacturing plant. So, has the capacity utilization remained the same? And secondly, can you give us some sense of the loss you have taken on returns and inventory?

Raj Tiwari: Yes. I mean except for your herbicide, the capacity utilized in most other cases has gone up as compared to last year. But on herbicides, of course, because of the market pressure, some of the herbicides are facing volume pressures. And therefore, the capacity utilization has been a bit lower as compared to last year.

Michael Frank: Yes, on the question of returns, maybe just hit that. So, I would say, generally, even though we did take some returns in Brazil, for the most part, the return levels are quite low. Instead of taking returns, we did more renegotiation with channel. And so, I would say that it's not physically bringing back product into our warehouses. We worked with the channel and renegotiated some of the positions and also then anticipated some future sales with them. And so that was more of a feature that impacted our financials in Q1.

S. Ramesh: So, if I may squeeze in one more thought. In terms of the cash flows, you have seen it reduce substantially to about INR 268 crores. So based on your guidance, what is the kind of visibility on cash flows? And how do you see that impacting your rating going forward by the end of the year?

Anand Vora: As I mentioned earlier, Ramesh, that the rating agencies have a good view on the overall industry, and they are also rating some of our peer group companies. So, it should not come as any surprise to them. So, the reduction in

absolute debt by about \$160 million as well as in terms of non-recourse, that's off-balance sheet reduction of \$250 million, I think should auger very well in our discussions with the rating agencies.

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S. Ramesh: So, can we take it that your cash generation will improve by the end of the year?

Anand Vora: Well, as I mentioned, that's our effort, right? Considering the way, the markets are, we will focus on cash and profitability.

Moderator: We have our next question from the line of Marvin from ABRDN.

Marvin Yee: I just want to dive in a little bit on UPL Corp, just noticing that EBITDA has dropped about 65%. EBITDA Margin is also 10%. Just wanted to understand, based on your projected guidance of 3% to 7%, how will UPL Corp EBITDA change over the next few quarters?

Michael Frank: Yes. So, I'll give some shape and then pass it to Anand as well. So Q1 traditionally is our smallest quarter, and we would expect that to be the same this year. And so of course, our SG&A is relatively smooth through the four quarters, but our revenue and margins are lowest in Q1. And so obviously, when we saw the margin compression and the reduction in sales, then you get the corresponding significant impact in reduction in EBITDA. Obviously, as we go through Q2, as I mentioned, we don't expect to see the same level of reduction.

Q2 is also typically a little bit larger of a quarter for us. And then the second half of our year is typically 60% or more of our business. And so, we're not providing specific guidance on UPL Corp. We will be under pressure, I think, over the course of this year to see EBITDA growth, but our SG&A actions are going to help and our focus on gaining share and driving volumes through the second half of the year will also help us drive revenue. So, Anand, I'm not sure if you have any other comments.

Anand Vora: No, absolutely, I think that pretty much explains it, H2 is always the heavier. It's a 60-40 H2/H1 ratio. So, we should see the improvement. And as Mike said, SG&A typically would be more or less stable for the full year. And with the initiatives that we have taken to bring down our SG&A by \$50 million in this financial year, that should also help to improve the EBITDA as we move forward.

Marvin Yee: Okay. And maybe just another follow-up and for the other entities like UPL SAS, Advanta and Specialty Chemicals business, those being a little bit more defensive? Do you think it's going to remain the same over the coming quarters as well?

Anand Vora: Well, you have heard from Ashish, UPL SAS CEO. Maybe a few words from our Seeds business CEO, Mr. Bhupen Dubey, maybe I'll hand it over to him. Bhupen, if you can just give a view on the quarter gone by and the full year performance, please?

Bhupen Dubey: Thank you, Anand. From an Advanta perspective, if you look at the numbers, the quarter one has been quite robust, with significant growth in top line, EBITDA, and bottom line. And good point is that the source of growth is very balanced with the volume growth being 14%, price increase about 9% and FX about 3%. We also saw very robust growth in EBITDA, which has gone up by 54%.

Some couple of comments on the crop-wise, the field corn, the tropical field corn across key markets like Peru, Ecuador, Thailand, and India, have performed very well. The field corn in

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Indonesia, where we are moving from B2B to B2C, and good demand is picking up in a new arrangement.

And another important segment is the grain sorghum in U.S.A. A China, trade delegation visited

U.S.A recently and they are talking with the U.S. sorghum industry to buy to the tune of 7 million to 8 million ton of grain sorghum to feed livestock and for the alcohol industry. So, as a result of that, there is a pickup for the grain sorghum also and that is al

so reflected in the commodity prices there. So, these are the key highlights on the quarter one.

Quarter two, we believe will see lower growth versus quarter one, but still, we should see double-digit growth. And then broadly, when we look at the outlook for entire year, also, I do believe that the current operating environment for the seed industry is very positive.

And for Advanta particularly, our product portfolio is very sustainable, and that is actually the scenario which is evolving favourably for us. So broadly positive for seed business.

Moderator: We have a next question from the line of Somaiah V from Spark Capital.

Somaiah V: This is Somaiah. Sir, quick question on the volume growth outlook that we have. Quite a strong one for the second half. So, if you can just help us in terms of regions or specifically Lat am and what are we expecting in second half? And then what should drive this kind of a volume growth in second half?

Michael Frank: Yes. So, it's Mike here. In our Global Crop Protection business, the volume growth is really going to come from change in the timing of when distributors are restocking. Again, over the past couple of years, distributors were restocking throughout the year. And I think now that the view is there's no longer risks on supply chain reliability, distributors want to stock much closer to the season.

Of course, on top of that, you've got higher interest rates, and so they're trying to manage their working capital as well. So that's why we expect to see, especially in the Northern Hemisphere, really good restocking in our business in Q3 and Q4. Asia, Africa, again, those businesses take place throughout the year. There are several markets that we serve in that region.

And then coming into the second half of the year, we'll be restocking for safrinha corn in Brazil along with the various markets in Central America and Mexico that we serve. So we have a pretty good line of sight. Again, based on some of this being a shift in timing, we can anticipate a strong volume half in the second half of our year.

Somaiah V: Got it, sir. That's helpful. Second thing in terms of pricing. So in terms of pricing curve, where do we think we are? I mean, because we've had some five, six quarters of continuous double-digit pricing growth. So the pricing impact, are we close to the bottom or is it still more left in second half also compared to pre-COVID levels where we are today and how do you see things going forward?

Michael Frank: Yes. So, the year-on-year pricing impact is going to continue to play out throughout this year.

As we reported in Q1, our price was down about 10% in our Global Crop Protection business. I

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would anticipate that it will be somewhat similar in Q2 and Q3. In Q4, it may not be that significant because we did take some pricing actions starting in Q4 of last year.

So again, I think we've got a couple more quarters where that range of high single or low double-digit price decline is going to be seen then we'll work out of it coming into our fourth quarter.

And then again, next year, we'll see how the China price evolves. And obviously, growth of our differentiated and sustainable business will also provide the opportunity for us to continue to drive pricing actions as well.

Somaiah V: Got it. One small clarification in terms of working capital. So when we say we are expecting a reduction for the year. So this also includes the effect of lower factoring for the year?

Anand Vora: For factoring, we'll be in the \$1.4 to 1.6 billion range, which is I would say flat as compared March 2023.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Anand Vora for closing comments. Over to you, sir.

Anand Vora: Thank you. Thank you, everyone, for joining us on this call. If y

ou have any follow-up questions,

kindly reach out to Radhika or you can reach out to myself, and we'll be happy to answer. Thank you once again for joining us on this call.

Moderator: Thank you. On behalf of UPL Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

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"UPL Limited Q 2 FY2024 Earnings Conference Call"

October 30, 2023

MANAGEMENT : MR. RAJENDRA DARAK – VICE CHAIRMAN , UPL LIMITED

MR. MIKE FRANK – CHIEF EXECUTIVE OFFICER , GLOBAL CROP PROTECTION BUSINESS , UPL LIMITED

MR. ANAND VORA – CHIEF FINANCIAL OFFICER , UPL LIMITED

MR. RAJ TIWARI – CHIEF SUPPLY CHAIN OFFICER , UPL LIMITED

MR. FAROKH HILLOO – CHIEF COMMERCIAL OFFICER , UPL LIMITED

MR. BHUPEN DUBEY , CHIEF EXECUTIVE OFFICER , ADVANTA ENTERPRISES

MR. ASHISH DHOBAL – CHIEF EXECUTIVE OFFICER , UPL SAS

MS. RADHIKA ARORA – UPL LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to UPL Limited Q2 FY2024 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Radhika Arora. Thank you. And over to you, ma'am.

Radhika Arora: Thank you. Good day, everyone. Thanks for joining us today for the Results for the Quarter and Half-Year Ended 30th September 2023. The "Presentation, Press Release and the Financial Statements" has been made available on the website and we take as having read the Safe Harbor statement.

From the Management Team, we have with us today, Vice Chairman -- Rajendra Darak; CEO of Global Crop Protection business -- Mike Frank; CFO -- Anand Vora; Chief Supply Chain Officer -- Raj Tiwari; Chief Commercial Officer -- Farokh Hilloo; Mr. Bhupen Dubey and Ashish Dhalb, the CEOs of our Advanta business and UPL SAS respectively, and other members of the leadership team.

With that, let me now hand it over to Anand.

Anand Vora: Thank you, Radhika. A very warm welcome to all of you.

I'll begin by discussing the "Key Financial Highlights" for the 2nd Quarter and First Half ended 30th September, followed by an update on working capital and debt.

The global agrochemicals market continues to navigate through a difficult phase impacted by the high channel inventories globally as well as the elevated pricing pressure. In particular, the destocking exercise had a significant impact in the US and Brazil, both being among our larger markets. Our 2nd Quarter performance too was impacted by these market-wide headwinds and erratic weather in certain markets such as India and some other parts of the Asia Pacific. As a consequence of these factors, our revenue for the 2nd Quarter was down by 19%, a large part of the decline was due to lower realization. Having said that, we did see positive volume growth in our international crop protection business, which is quite encouraging given the current market scenario.

The volume growth in the international business was driven by the good performance of our high margin differentiated and sustainable portfolio, which grew 9% year-on-year, led by strong

volume s which were up by 17%. This is quite noteworthy amid st the current industry downturn.
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The share of our differentiated and sustainable portfolio now represents 38% of the crop protection revenue at the group level versus 30% in the previous year. At the consolidated level, contribution margins declined by 265 basis points to 39.9% in Q2. This compression in margins was due to liquidation of high-cost inventory , higher than usual sales return and rebates to support the channel partners.

Considering the above factors as transitory, if one were to exclude its impact , contribution margin for H1 would have been higher by approximately 300 basis points versus last year. Some of the above transitory factors are expected to continue in H2 as well .

Led by the organization wide cost reduction initiatives, our fixed overheads for Q2 came down by 3% versus last year. This reduction was achieved despite the FX translation impact of rupee depreciation against the dollar of 3%.

As informed in the last quarter, our cost reduction initiative of \$100 million to be delivered over the next two years is currently under execution and we are on track to realize the cost saving of US\$50 million for this year. Bulk of the saving for this year will be realized in H2.

On the operating profitability front, we reported an EBITDA of INR 1,573 crores in Q2

, representing a decline of 43% for that of the previous year, largely on account of double -digit drop in contribution profits. However, adjusting for the transitory factors impacting the contribution margin, the drop in EBITDA for Q2 and H1 would have been significantly lower. Before we move on to the items below the EBITDA, I would like to briefly touch upon the performance of the two of our platforms UPL SAS, the India Crop Protection platform and Advanta Enterprises , the Global Seeds platform.

Advanta continued to see healthy growth in Q2 as revenues grew by 10% to INR1 ,070 crores and the contribution profit grew by 13% over that of the last year. On the whole for H1 , Advanta delivered a strong performance with 17% growth in revenue and 25% growth in contribution profit and EBITDA. Looking ahead, Advanta remains on track to achieve its FY24 guidance. Performance of the India Crop protection business , UPL SAS, in Q2 was impacted by high channel inventory, erratic monsoon in August and September months and higher than usual sales return and also due to the lower acreages for key crops such as cotton and pulses, which form a large part of the UPL SAS revenue . Given the above headwinds, revenue contracted by 36% in Q2 versus last year, while EBITDA declined by 88%. However, led by new launches, a strong product portfolio for the rabi crop s and lower sales return, the performance of UPL SAS in H2 will be much better than that of H1.

Coming now to the financial cost , net finance costs rose by 18% due to significant increase in interest costs on borrowings. This increase in borrowing costs was mainly driven by the benchmark rates rising by 400 basis points year -on-year. The benchmark reference rate here is

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SOFR , which as you all know is the replacement to the LIBOR rate . The average cost of borrowing for the quarter stood at approximately 7% per annum.

FX loss for the quarter for the quarter was INR 229 crores, largely in line with Q1. The FX loss is mainly attributable to the hedging costs of balance sheet exposure in Brazil and the significant currency devaluation in certain countries such as Argentina, Russia and Turkey, where the cost of hedge was significantly higher, making it unviable to hedge these currencies.

Losses from associates and JV rose by approximately INR 175 crores versus that of last year.

This was primarily on account of the significant decline in profitability at Sinagro , one of our associate companies in Brazil given the severe market downturn in this region. The exceptional costs for the quarter largely included one -time severance payment, which were required to be paid as per regulations in certain countries.

Overall, the decline in EBIT DA combined with higher finance costs , losses from the associates and other sister concerns and exceptional items resulted in a net loss after minority interest of INR189 crores for the quarter and INR 23 crores for H1.

On the working capital front, the working capital days increased by 25 days year -on-year to 149 days. The increase is primarily on account of the sharp drop in payables and reduction in factoring. Payable days were much lower than last year due to the reduced manufacturing activity in H1.

Overall, we are expecting the working capital cycle to normalize in H2, ending the year with a working capital of around 65 days, which is in line with that of the previous year.

To give an update , our net debt increased by \$197 million versus last year due to decline in

factoring, which was lower by \$86 million and also due to increase in working capital given the lower payables. The payables were down by \$526 million versus the same time last year. Going forward, as we look ahead to the second half of the year, we are confident of delivering progressively much improved profitability in H2. Given the adverse transitory impact

of the

inventory repricing adjustments in H1 and the expected impact in H2, the guidance for the full year is now being revised to flattish revenue growth over that of the previous year and EBITDA is expected to be in the range of flat to (-5%) versus that of the previous year.

On the balance sheet front, considering the revenue and the EBITDA impact, we are taking initiatives to improve the cash flow, which will allow us to reduce our gross debt by \$500 million by end of the year. Some of the initiatives that we propose to take to reduce the gross debt are, slowing down on our capex, which is expected to be lower by \$50 million versus that of the previous year, using the existing cash reserves of \$200 million to pay down the gross debt, and the improved cash generation from operations in H2 should help us to reduce the gross debt by about \$500 million by the end of this financial year.

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With that, I would like to hand over the call to Mike, who will take us through the performance of the International Crop Protection business in greater detail. Over to you, Mike.

Mike Frank: Thank you, Anand and hello, everyone.

As highlighted by Anand, we've been facing a tough market environment over the last few quarters. While agrochem demand at farm gate remains strong, the global agrochemicals industry continues to go through a challenging phase. Specifically, there's been a significant price decline versus last year for most post patent products and distributor destocking has occurred in virtually every geography, especially materially in Brazil, North America, and Europe. Despite this, I'm pleased to highlight that we've increased our market share with overall higher Q2 volumes this year, demonstrating our portfolio strength and our commercial strategy.

Moving to Results, our 2nd Quarter revenue and margins were negatively impacted by price declines in every region, higher cost inventory liquidation as compared to our current replacement costs as well as sales returns and rebates that we're used to support our channel partners.

Among key products, herbicides such as glufosinate, glyphosate, clethodim and S-metolachlor especially in North America and Brazil, accounted for 70% of our total quarterly revenue decline.

Among other regions, Europe continued to face challenges due to channel inventory and product bans. Overall, in Q2, our revenue dropped by about 20% while contribution was down approximately 30% with margin compression of 470 basis points. The EBITDA for the same period declined 56% year-on-year. However, if you adjust for one-time impacts as highlighted earlier, our contribution margin is up about 100 basis points versus Q2 of last year which augurs well as we refresh our inventory, and the market starts to normalize.

Further, I'm happy to share that we have grown our differentiated and sustainable segment by 9% through strong volume increase. The growth has come via newer products such as Evolution and Feroce. This has also resulted in improved product mix from 27% differentiated and sustainable revenue last year to 36% in this quarter.

Additionally, our NPP Biosolutions has grown by 12% in U.S. dollar terms through higher volumes along with improved margins on quarter-over-quarter basis and we expect the strong NPP Biosolutions performance to continue for the rest of the year.

Let us now look at the performance of our regions in Q2. In Latin America, our revenue was down by 20% due to significant price decline. Brazil was especially affected due to market degrowth with high channel inventory related challenges specifically in herbicides. Key AIs impacted were glyphosate, clethodim and glufosinate. However, outside of Brazil, the rest of Latin America had volume-based growth across our portfolios.

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In North America, herbicides continue

to face challenges due to a sharp decline in AI prices

along with channel destocking and tactical purchases by distributors. Herbicides including glufosinate, metolachlor and clethodim accounted for about 75% of total revenue decline, driven by lower volumes as well as pricing pressure.

We expect the channel inventory to normalize in the US by Mid-Calendar Year 2024.

In Europe, revenues declined by 8% in Q2 versus last year due to continued channel inventory

destocking and product bans . Among major portfolios , herbicides and insecticides were most impacted. That said, we expect upsides in NPP Biosolutions and in herbicide volumes in H2 leading to an overall recovery in the Europe region.

The rest of the world was marginally up by about 2% in Q2, led by very strong volume growth across this rest of the world region, specifically in parts of Asia and Africa.

Moving forward, we anticipate Q3 to remain weaker than last year due to continued channel destocking, specifically in Brazil and the price reset in the post patent segment across geographies.

Overall, we expect channel inventory normalization as we come through the second half of the year.

On the pricing front, most post patent AI seem to have bottomed out in Q2 and we expect them to stabilize at or slightly above this level for the remainder of the year. Overall, we are executing well in this challenging market and making changes in our operating model and cost structure that will further improve our business quality going forward.

Finally, we are confident of an improved second -half performance versus the first half of the year as key regions such as North America, Latin America and Europe enter into their major cropping seasons. As mentioned earlier, the high channel inventory is expected to subside in the next six to eight months with farm gate demand remaining strong throughout this year.

And as part of our overhead reduction actions, we are on track to reduce approximately \$100 million over the next two years with major savings this year starting to accelerate from October.

We are confident of delivering at least 50% of total savings this year. With the above actions and stronger volumes, we foresee our EBITDA growing in the second half of the financial year.

With this, we'll now open it up for our question -and-answer session.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Siddharth Gadekar from Equi rous. Please go ahead.

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Siddharth Gadekar: My first question was on the glufosinate side. So , how should we look at the North America market given that batches have launched glufosinate in terms of incremental realization growth and volume? And secondly, how do we plan to utilize our assets given the kind of overcapacity that is being created in glufosinate because of L -glufosinate .

Mike Frank: As I mentioned in my comments, glufosinate has been one of the challenging AIs this year as the prices come down significantly in this segment . At the same time though, our costs have also come down. So, the way I think about this from a FY24 standpoint is this is really a year where we're right sizing the amount of glufosinate that we're producing, we've adjusted the price in the marketplace in North America, we've taken our price down significantly to be very competitive in the marketplace. And so, we expect that overall, with these lower prices of glufosinate that we will likely see some level of volume increase just from a price elasticity standpoint. So, we are set to take advantage of that as we enter into this next season. So, I think the glufosinate business will be challenged throughout this year , but as we get into next year, I would expect it to improve . From an L-glufosinate standpoint, we don't expect outside of China for there to be much L-glufosinate this year. In N

orth America, this is still going to be a straight glufosinate business that we're participating in.

Siddharth Gadekar: Secondly, in terms of our net debt, how should we look at our net debt numbers now going into the fourth quarter or is it too early to give any guidance on the net debt numbers?

Anand Vora: As I mentioned in my commentary, we are looking at reducing at a gross level of \$500 million as compared to 31st March 2023 levels . So largely as I mentioned , this should come out of the improved H2 performance because whatever we have seen the buildup of debt is in order to finance our working capital in H1 as well as to partly fund some of the small losses , we expect much better performance in H2, so there should be better EBITDA realization in H2. At the same time, we are looking at as we mentioned given the guidance our sales to be flattish by the end of the year and if we are maintaining our number of days of working capital at 65 days, we don't see any incremental funds required to fund working capital. With the overall cost base coming down, we expect some release of working capital also. That's the second aspect . Third is we are looking at various other items of working capital, largely the loans and advances and other aspects to see how we can further augment our cash flows. So , these are some of the components of cash items which we are looking at, which would help to bring down the gross debt by about \$500 million by the end of this financial year .

Siddharth Gadekar: Anand, our factoring will be similar to last year.

Anand Vora: As of now, we have guided for the same at about \$1.4 billion levels, but we are evaluating various options . If we'll reduce factoring, then probably to that extent there could be a replacement by short term borrowings. But let's for a moment assume factoring to be at the same level as \$1.4 billion.

Moderator: The next question is from the line of Saurabh Jain from HSBC. Please go ahead.
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Saurabh Jain: Given that we have revised down our revenue and EBITDA guidance, I think it implies almost like an 18% YoY growth in the second half on the revenues and also almost like 28 % to 30% growth on the EBITDA. Earlier you alluded to the fact that North America, Europe, LATAM, the high inventory is likely to subside only over the next six to eight months, but on a very gradual basis. And the second half is a more of LATAM and North American, Europe, heavy seasons. So, can you help us to understand the 18% revenue growth, does it look like more ambitious and this kind of growth would already be visible in the third quarter or is it more like a fourth quarter loaded growth?

Mike Frank: As I mentioned earlier, we are expecting volume growth in Q3 but overall, on a QoQ basis, we still don't expect Q3 to exceed Q3 of last year. Now, when we get to Q4, obviously we're starting the new calendar year and I think a lot of the destocking is going to be behind us and in Europe and Latin America and US distributors are going to be stocking up for the upcoming season. And so, we would expect very strong volume growth to come back in our Q4. We don't expect prices to strengthen, but we also expect to see strong performance out of our differentiated and sustainable portfolio. And so, all of that into the mix would mean that we are expecting both revenue growth and EBITDA growth in our Q4 over the Q4 of last year.

Saurabh Jain: This also implies EBITDA margins of more than 21% in H2. Reaching those kinds of margins, do you see that kind of possibility because these are more like some sort of normalized margins that we have done historically also? So, with these kinds of margins I understand you have the cost saving plan, but it does not add up too much on the profitability. So, can you explain some sort of drivers to this too much of improved performance on the profit

ability as well that can be helpful?

Mike Frank: I think there's two things to take into consideration on that. Firstly, the cost reduction program will deliver in the range of \$50 million of SG & A savings and so that will have a positive impact. And then secondly, as we get into Q4 in particular, we're also going to be selling fresher inventory. As the price reset happened out of China, for the first two quarters of this year and partly in Q3, we're still liquidating higher cost inventory relative to our current replacement cost. And so, when we get into Q4, we're also going to see the benefit of that lower cost inventory and that will help expand our margins as well. So yes, all of those taken into account we would expect to see a strong EBITDA margin growth in Q4 as well.

Saurabh Jain: A related question I have with this is the high-cost inventory liquidation that is largely done or are we still carrying some high-cost inventory with us on the books?

Mike Frank: Yes, it's not completely behind us. We're still liquidating some of that high-cost inventory. You know our feedstock really started to come down in the first quarter of the year. But we'll continue to be liquidating our inventory. I mean, if you think back to when we started the year, with just around 100 days of inventory, so a lot of that has been liquidated, but we're going to continue to liquidate it as we go through Q3 in particular.

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Moderator: The next question is from the line of Damodaran from Acuitas Capital. Please go ahead.

Damodaran: On your credit rating side, so one of the rating agencies, which has put you on negative watch on one of the triggers that we have for downgrade is achieving net debt-to-EBITDA of 3.5 by FY24 and the lower end of your EBITDA guidance kind of puts you at a very close range for that. So how confident are you of meeting your credit rating?

Anand Vora: As I mentioned, we are working towards the reduction of gross debt by about \$500 million and we have identified a few areas where we will work on to achieve this. Clearly, for us also it's important and entire senior management is committed to ensure that we retain our investment grade credit rating, and we are in touch with Fitch as well as Moody's and S & P, who are cognizant of the overall industry dynamics and the headwinds the industry is facing. But we feel fairly confident that we should be able to reduce our gross debt by about \$500 million and thereby meet the rating agencies requirements.

Moderator: The next question is from the line of Sanjeev Pandiya from Lancers Impex. Please go ahead.

Sanjeev Pandiya: So, could you give us some qualitative comments on your relative standing as far as the other global integrated producers are concerned, particularly, let's say FMC, Adama, etc., As the market reflects back, we might see higher market share come from those who are projecting higher volumes, but somebody has to lose out. What kind of player do you think will lose out and why, I mean, will capital cost, will factoring cost, will debt play an important role and could we see different attitudes by the banks towards which of the weaker players?

Mike Frank: Look, I think if you divide our portfolio into the two big segments, firstly, on the post patent side, our volume increases and our share gain in that market is primarily going to come versus the Chinese producers. In that segment, we're not as much head-to-head against the other global companies that you're referring to. I think the market share will come from the Chinese producers based on our portfolio and our superior market access. In our differentiated and sustainable business, again, today it's a smaller part of our business. So, I think from a material standpoint, while we are gaining share as you saw in the results, our volumes were up in that segment 17% this qu

arter and so, considering the destocking, we're definitely gaining share in that segment. But again, based on the size of it, I don't think we're taking market share necessarily from one specific player. And so, I don't think about it in those terms in terms of having material impact on any specific other global producer.

Moderator: The next question is from the line of Aditya Khemka from InCred Portfolio Management. Please go ahead.

Aditya Khemka: Two questions. Firstly, on the call you said that you might get some off-patent market share from the Chinese players and currently the pricing from the Chinese players has been extremely aggressive. So, what is it that lead you to believe that they will get lesser aggressive, or we will get more competitive in the next few quarters and how would you win the market share back if UPL Limited

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you could just sort of elaborate on that a little bit? The second question I have is on the debt. So obviously, we are guiding for a \$500 million gross debt reduction. What would that translate to in terms of net debt reduction? So other than using our cash reserves, how much do we plan to use from operation to reduce debt?

Mike Frank: Let me take the first part of the question. And then again, I think it's somewhat of a continuation from the last question we got. If you think back over the last several years, we've made significant investments in getting closer to growers and getting market access. Virtually in every market with maybe the exception being China of course we would have superior market access versus our competitors in China. So, it'll be that leverage, that access, the strength of our portfolio that we'll use to compete aggressively in the marketplace. Of course, in addition to that in most of our active ingredients that we're present in, we also still have a cost competitive advantage versus our competitors in China. And so, we'll continue to be aggressive in the marketplace to allow us to run our plants at capacity, leverage that cost position and then use our market access to compete and ultimately gain share. So that's really the strategy in our post patent segment. On top of that, as part of our cost management and our operating efficiency, we're also really looking at how do we lean out our overall go-to-market approach in our post patent segment. And so, by doing that, it also allows us ultimately to be more competitive in the marketplace. And so, I think all of this kind of comes together and it's proving out this year on a year-to-date basis where we believe we're gaining share in the marketplace, and we clearly saw that in Q2 with volume increase across the board.

Anand Vora: Aditya, on the second part of the question, I think if one has to look at last year, that's financial year '23 in H2 we generated close to about \$1.2 billion of cash from September to March, and as you would know Q4 for last year we didn't give good results. So, considering this year H2, we do believe that the improved performance, we should be able to generate a bit more cash flows considering a normalized operations in H2 like of the previous years, we do believe that we should be able to generate a bit more than \$1.2 billion of free cash flows or cash flows to pay off the debt. Besides that, if you see last year, we had cash balance of about \$700 million. We certainly are looking at releasing at least \$200 to \$225 million out of that which would further help us to bring down the gross debt. Addition to that, as I mentioned earlier, we are looking at slowing down our pace of CAP EX from the guided CAPEX spend of about \$300 to \$325 million. We're looking at, at least reducing it by \$50 million. So that is the other piece which we are looking at. We will certainly be slowing down on our M&A activity. And in addition to that. as I said, we are looking at each and eve

ry item of a balance sheet and seeing how we can release

some of the cash which may be stuck in either taxes or VAP and other items of current assets.

So, these are some of the initiatives that we are looking at to deliver this \$500 million gross debt reduction and thereby ensure that we retain our investment grade rating, and at the same time keep our balance sheet strong despite the difficulty.

Moderator: The next question is from the line of Varun Ahuja from Black Rock. Please go ahead.

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Varun Ahuja : Just getting a bit more detail on this gross debt reduction of \$500 million , I'm just trying to understand how you're managing the debt reduction from the perspective of higher working capital usage , so whether this debt reduction is going to come from freeing up some of the bank lines so that you can have greater flexibility for your working capital usage or whether you're looking at some opportunistic long -term debt reduction including the publicly traded debt which can effectively reduce debt much faster than the amount of debt that you can buy back ? And then secondly, if you can throw some light on the unutilized revolver lines that you may have through the banks and the cost of funding for the same ?

Anand Vora: I think it's going to be a mix of both long term and short -term debt, which we'll be looking at repaying. As you know, we have certain bonds which are outstanding , we also have the acquisition loan, some of which of course we have now swapped into sustainability loan, but the benefit which we have with these loans is that they can be repaid at a short notice so that gives us the flexibility. And thirdly, of course , is the bank lines which we have . Clearly , we will be using the cash generated to pay off the expensive debt and which could be a mix of both the bonds as well as the loans which are long term. At this stage , I think the current situation is industry phenomena, where every player in the industry has been impacted. I'm sure you would have seen the guidance coming from companies like FMC as well as by Corteva and some of the other players. We do believe that this is transitory in nature. Things should improve as we move forward. And so , at this stage we continue to have almost all the bank lines which we had last year. In fact, we are getting more lines from the bank , that's not a challenge as far as we are concerned, most of the banks are supportive and they understand the industry dynamics. So , at this stage all the lines which we had , which you are referring to as the revolver lines, they continue to be available to us.

Varun Ahuja: I guess the question on unutilized line , the quantum, if you can guide ? I do understand you are mentioning that you're committed to the IG ratings, have spoken to agencies and all that. But I'm curious that you know why IG ratings are that important because the sense I have is you don't have any bank lines that should be linked to the rating angle. So , I mean, at this point in time the business environment is a bit tough, why don't you think about also balancing the shareholder returns versus just kind of maintaining the IG rating , I'm curious how you're thinking about that?

Anand Vora: Of course, shareholders returns are equally important, and we declared the dividends even this year and those were paid , so small shareholders were taken care of. We do believe that maintaining investment grade would be something which also the investors whether be it equity or debt would look at it because that does help to bring in some level of better governance especially from a financial management point of view.

Moderator: The next question is from the line of Tarang Agrawal from Old Bridge Asset Management.

Please go ahead.

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Tarang Agrawal: Couple of questions from my side. The first one,

what's the absolute volume of inventory that

the business would be sitting as on 30th September 2023 versus 30th September 2022?

Anand Vora: So, the absolute inventory, it's there in the slide, but I'll repeat it for you ; it's about. INR 18,246 crores as of 30th September '23, in the previous year it was INR 19,457 crores.

Tarang Agrawal: But prices have come up significantly, so that's why I refer to the volume of inventory.

Anand Vora: Raj, you want to take that? I think it's about 10% higher, but Raj, go ahead.

Raj Tiwari : In terms of volume, it would be about \$50 to \$60 million more as compared to last year.

Tarang Agrawal: In percentage terms, that would be ?

Raj Tiwari : It would be around 10% higher , roughly around that number.

Tarang Agrawal: I just wanted to see how conservative are you or what is the probability for you to meet your guidance of a flat revenue growth for FY24 as things stand today ? And if that were to be the case, you're essentially looking at a sharp volume led growth in H2 over the H2 for the same period last year ?

Mike Frank: Look, I think Farokh can talk about it from a global commercial perspective and Ashish to give some light on that question from an India perspective too.

Ashish Dhobal : From an India perspective, this is right, I think H2 is going to be volume -led, H2 also is more stable half for us because in wheat we have a very strong portfolio. We also have chili where we are better. Cumin , again , is a crop which is not too dependent on rain. So , I think we have a very stable H2, and this is definitely led by volume growth of our post patent products and also , we have four new launches coming up in H2 which also adds.

Farokh Hiloo : So, from a global standpoint, I think there are a couple of points that gets us to think that we would be reasonably well placed in H2. And that's primarily because in our H1 we have seen that customers across geographies have been extremely reluctant and slow in filling up whatever they have used in the first half. The second thing that drives us to feel that the volumes would be in our favor is when we are looking at the major geographies, let's say North America, Brazil,

Latin America, we are also noticing that the planting wherever it has happened is at the same acreage as last year or maybe in certain geographies slightly higher also . So, the agriculture across the globe is pretty supportive except for a few countries like Mike spoke about in the initial stages like where there is a bit of a drought and that's a challenge. But , if you look at the major geographies, I think they are all good as far as the acreages of the crops is concerned . The growers are going to use the material sooner or later , the distributors will stock up again , they might not stock with the same drive and gusto that they have been doing in the past, but they

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would definitely need to stock . So that's the reason why we feel a little optimistic on the volume maintenance.

Mike Frank: Maybe I'll just add one more perspective on that . If you look at specific markets like North America , our volume degrowth year -to-date has been very significant . As distributors and retailers want to put inventory into their warehouse much closer to this season versus in advance of the season, which they've been doing in the last few years . Again, I just think when you look at the fundamentals you recognize that grower demand continues to be strong. Eventually, we're going to see a new order pattern, which we believe is going to start playing out in Q3, especially in our Q4 and into Q1 and Q2 of next year. And so , I think just the order patterns are pushing back which is why we have a lot of confidence that we're going to see the volume growth we're expecting in the second half of the year.

Moderator: The next question is from the line of Vishnu

Kumar from Aventus Spark. Please go ahead.

Vishnu Kumar : The competitors FMC and Corteva have mentioned that Brazil market specifically seems to be a bit of a challenge for the fourth quarter and highlighted certain issues. Now , where are we seeing the market specifically on Brazil because for a second -half Brazil is a very key market ? I mean other companies are highlighting , that one of the key reasons they are downgrading numbers apart from the inventory destocking is their very negative view on Brazil. So, are we differing, or we still think there is an opportunity there ? Just to understand what are we differently seeing there ?

Mike Frank: Well, so firstly, as you may know, Brazil's right now when they're planting season for soybeans, this is a big crop , and we are expecting to see a record area planted this year around 45 .5 million hectares or in that range . So far, at least in the South part of the country the rains have actually been higher than normal , the weather in the central to north of the country is near normal and so we're expecting to see a very strong demand for herbicides, insecticides and fungicides to go over top of that crop , and some of that inventory is already sitting in distribution but some of that will also come in season. And so, yes, so we're optimistic that as growers start using crop protection products for this upcoming season , there will be a demand pull from distributors back to suppliers like UPL . That's why if you look at our Latin America business overall, our volumes are up this year . We've got a very strong portfolio. Some of our new products like I mentioned Feroce and Evolution are performing very well and gaining market share in both the insecticide and fungicide market . We expect that to continue as the year plays out and yes, that's why we're optimistic generally for the opportunity in Brazil through the rest of this year.

Vishnu Kumar: If I look at your absolute inventory over the last two , three quarters , we have been consistently going up versus the other global companies which have either been flat or lower. Is it partly because we have opportunistically bought a lot of stock and when we place the product in the market, we will probably be cheaper versus our competition , is that the reason why our inventories are relatively higher and that's where some of the second -half confidence comes ?

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because our pricing may be lower than the others . If you could help us understand on this because our inventory positioning seems to be slightly different versus the others

Mike Frank: Firstly, we started from a much lower position. So , if you look at where we started on April 1st, we were in a much lower inventory position than the rest of the industry combined. And then secondly, the second half of our year is a much larger year and so we build inventory as per our production and demand plans to service that larger second -half of the year . So that's why our inventories are higher this year, it's normal in terms of the cycle where we start the year low, and we build inventories through the first half to be able to service the second half of the year. Now , as we come through Q4, we would expect again to see our inventories reduce to similar levels to what we had from days of inventory to what we had at the end of March last year.

Raj Tiwari : In fact, Mike, as you alluded , we started the year with probably lowest inventory in the industry ; we were at \$1.7 billion and even today our inventory is lower than last year 's inventory of course, in terms of value . In terms of volume, our inventory is slightly higher, but we are prepared for a

much bigger H2 and that's going to help us there.

Vishnu Kumar: But in terms of taking the hit on either the distributor inventory, the reduction in pricing at the distributor level or our level, is it like can we sa

y that most of the pain is already taken or we still expect that the Brazilian season is going to start or specifically in those particular markets we still have some conversation with our distributors pending, so there could be some one-off events where we will still have to take the hit on the distributor inventory and our inventory there and why not take it fully and write it off in 2Q itself?

Mike Frank: That's a good question. So, where we have certainty in terms of negotiations that have concluded, we have taken a provision and so we are set for that, and we've taken that pain in Q2. That being said, we do expect to see some more negotiations to play out through the second half. So, just as you said, a lot of it is behind us but probably not all of it. So, as we continue to work with our key distributor customers specifically in North America and Brazil, we could still see some impact in the second half, but that's yet to be negotiated.

Vishnu Kumar: You mentioned that there is a slightly differentiated way in farmers approaching more in terms of just in time. This obviously puts pressure more on the larger companies like us. Is this model going to be forever or it's just a two, three quarter window where the farmers or rather end of the line distributors will order more just in time and have lesser inventory with them or this is just a transitory window for this just in time model?

Mike Frank: If you look back at the last couple of years, with the supply chain challenges coming through COVID and the Ukraine war, at that time interest rates were also much lower than they are today. So, distributors were pleased to fill up their warehouses and they weren't thinking about just in time. Now, we're on the other side of that where interest rates obviously are higher. And so, everyone's trying to manage their working capital, including distributors. And there's less strain on supply chains. And so, I think the assumption distributors have is that they can order in season

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like you're saying just in time and get products. Now, historically, that comes with some risk because if you suddenly get a disease outbreak or an insect outbreak, then if the distributor can't have the product available for the farmer customer, then they can lose an opportunity. So, look, I think the pendulum is probably swinging a little bit too hard towards this just in time idea and eventually it will come back to likely where we were kind of pre-COVID where distributors traditionally try and end the season with anywhere from 20% to 30% ending inventory. I think that's where we'll get back to. But right now, they're trying to run it a bit more leaner than that. Moderator: The next question is from the line of Rohan from Nuvama. Please go ahead.

Rohan: Just a couple of questions. First is on our performance in India versus other global markets. We are seeing quite a contradictory performance where the global companies have seen a huge volume degrowth. Our UPL Corp., which is representation of the global markets have actually grown by 1% in volume terms. All the impact on top line is mainly price-led. However, in India market we have seen a volume loss by almost as high as 27%, which is a quite contradictory given that domestic markets have done reasonably well in the formulations market unless we are not too much in B2B. So, if you can just give some explanation towards this?

Ashish Dhobal: I think as compared to the global markets the structure of the India market is very different. I think it's a B2C kind of a business where we are the market leader and I think even for some of the post patent products, we sort of set the benchmark in terms of prices. So, you would see our price correction in India is way less as compared to the global markets because in India the price that we would set, the competition remain

s 5% 6% 10% below that thing. So, I think in India the way prices play out is very, very different from more B2B structure. So, in India the small portion of B2B business we have has grown big. But we have tried to make sure that we have not lost too much in terms of prices. So, our price variance has been relatively less as compared to our volume variance because we are pretty sure that as and when this higher price inventories are liquidated, we would again then come back into business. For most of the post patent brands that we have, the only option for the competitor is to reduce it further. So, I think it's a lose-lose game and we have played it slightly differently as compared to the global markets. You would see the impact of that in Q3. I think starting from October, we would start to see an uptrend in most of the products for the India business.

Rohan: But actually, the volume degrowth of 27%, I still didn't get that?

Ashish Dhobal: So, I think there are two, three other factors for that. One was that in India our strong holds are cotton because cotton is a big part of the Indian industry, and we are the leading company in cotton. The other crop where we are leading is a segment on summer pulses that segment that we had created in last three-four years. What happened in both these crops is that in cotton also our stronghold was nothing. And in north you would have all heard about pink bollworm. Because

of the pink ball worm, that particular segment where we were market leaders went down big time. It grew in the west but west is relatively low chemical usage. Similarly, for pulses in April, UPL Limited
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May, June, the whole pulse segment, green gram and black gram segment, which is there in MP, Maharashtra, North Karnataka was totally washed off because of the drought conditions and after that flood condition. So, I think that's a segment in which we lost big time. We got a lot of returns because of that. The third piece of course is glufosinate. We were the only player till last year. This year we had 13 to 14 generic entrants in glufosinate. We did lose volumes on glufosinate, but that's once again because we've tried to maintain a price parity and not started competing in terms of prices. We will once again see the positive impact as the inventories have been washed off. We'll start seeing the impact of volumes rising again because that initial impact each company in India would have some loyal distributors and they do place some products there. But purely in terms of the brand equity that we have, we will start seeing the impact of now our brands going up once again in the third quarter and the fourth quarter because for the generic entrants have just to come in India and to start straight away selling the brands is not easy at all. So, we have incurred pain in the first half because of a very, very weak cotton, very, very weak pulses where we have absolute leadership position and the glufosinate generic entries of 13 to 14 companies which initially they were able to place some product. That sort of also explains some of the difference in the results that we would have as compared to some of the other companies because we are a little bit of a cotton and a pulse heavy company as compared to a company having a bigger portfolio in rice, which would probably look a little bit better. Rohan: Your presentations also mentioned that in domestic market further where EBITDA margins have come down from almost 20% to 12%. You mentioned that it is all mainly led by the inventory write-down. If it should not have been there, then our contribution margins would have only been 100 bps lower. So, it seems that roughly close to as much as 200 crores to 220 crores kind of markdown or inventory write-down you have taken. Do you see there is still any scope for inventory write-down or it's

all over and the raw material prices have started going up, so what

kind of inventories we are sitting, and can we expect some kind of margin gain here?

Ashish Dhobal: The inventory revaluation impact in H1 has been Rs.100 crores, not Rs.200 crores.

Rohan: Next question is on our debt number. So, Anand sir, though you were giving the answer to earlier question, sir, can you repeat the net debt number, I mean after \$500 million, I understand that you mentioned \$300 million will be basically cash reduction, so net debt repayment only will be \$200 million can you just clarify that?

Anand Vora: No, no, we are talking of gross debt reduction, and as I said, we had a \$700 million cash sitting as of 31st March 2023 and this we said we will bring it down to \$500 million, so about \$200 million of that cash will be used to pay off the gross debt. So basically, what we are saying is that we will reduce our gross debt by \$500 million which should flow down to the net debt reduction also.

Rohan: So, net debt reduction will be \$300 million actually?

Anand Vora: Yes, you are right.

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Rohan: Out of that \$50 million we are talking about; we have reduced from the CAPEX number and balance will be primarily coming from the working capital reduction because we are looking at no growth in full year and a very small amount can come from the free cash flow generation in second half. But largely it's the working capital reduction only which are still in teams to reduce \$300 million net debt?

Anand Vora: No, I mean, if you look at what we are talking about the numbers, with a good H2, you should see some good cash realization coming out of H2 besides the working capital also. The margin improvement, the volume growth which we're talking about, all those things, Mike also alluded upon that we are selling more of differentiated and sustainable products which are better margin products. So, all those factors should bring in the higher EBITDA which we refer to as somebody made a ballpark estimate of 21% to 23% EBITDA for H2. So, that should generate additional cash, which should help us to also pay off the debt. There are several things we are working on, and this should help us to bring down our gross debt by 500 million.

Rohan: Just one further clarification. So, we are talking about \$100 million cost reduction as well. Of that roughly you are looking at \$50 million to be achieved this year?

Anand Vora: That's right.

Rohan: Out of that, only first half, I think we have only seen some \$8, \$9 million of reduction?

Anand Vora: We announced this initiative at the end of Q1. The execution has begun. As we said, we have

taken the initial steps and we had \$9 million worth of savings already come in by end of Q 2 and we should see a large part of this coming in H2.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Just with regard to the outlook for the second half of Fiscal '24, region wise, if you could please just share your perspective on which regions you would expect to show year-over-year growth out of your portfolio ?

Mike Frank: I would say on the second half of the year we'd expect growth in every region with potentially the exception of North America. So , again, yes, across Latin America, as we said earlier, I mean , our performance in Brazil in the first half was down, in the rest of Latin America, it was actually up in the first half of the year , so we've got really good momentum and so we would expect that to continue. Europe, generally a good start to the year. But , as we see volumes get pushed to the second half , we'll be able to participate in that and so that should benefit us on a year-over-year basis and in the rest of the world , again, we've got very good momentum, strong volume growth on a year-to-date basis

. The only thing is concerning right now are really kind of some dry conditions in parts of Australia and parts of Southeast Asia. But , overall , we would expect growth in that region as well for the second half of the year. North America, we would expect Q3 to be somewhat similar to Q3 of last year , and then Q4 again because of the price erosion

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that we've seen in the market and with our portfolio in particular in North America, I think Q4 will be a challenging quarter just on a comparative basis , so we may not see growth in North America in Q4.

Abhijit Akella: Just one other thing I was hoping to understand, you expect destocking to continue for another six to eight months as you mentioned at the beginning of the call and yet in the second half of this financial year, we're expecting strong volume growth for ourselves. So , I'm just sort of trying to reconcile those two statements and see how they might tie in together ?

Mike Frank: Yes, that's a good question. So , look, I think for the most part in a lot of regions, the destocking is mostly behind us . That would be true in the rest of world region, it would be true in most parts of Latin America with the exception of Brazil, we think it's largely true in Europe by this point in time. So , I think it still comes then down to some more destocking that we would expect to see as the year plays out in Brazil and in North America. I think again , it's almost on an active ingredient by active ingredient basis. And so, it's really hard to look at it across the entire marketplace. But when we look at our portfolio and the products that are critical to us, we would expect in North America in particular to see the de-inventorying have some impact through the next six to eight months. In Brazil , we're hoping that the impact of the inventory is largely behind us by the end of this fiscal year. So , again, it's a little bit on a product-by-product and market-by-market basis.

Moderator: The next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Mike, just one question . When you look through the next few quarters, at what stage you see the industry or for that matter our portfolio start getting to positive value growth from a pricing perspective ?

Mike Frank: I think that's a good question, Farooq , our Chief Commercial Officer , do you want to take a first shot at that?

Farokh Hiloo: Well, I think like we have had several rounds of discussions internally . We feel that we should now accept the fact that this is really the new normal and we would expect the volumes to grow , we would expect the business to grow, but the prices might improve marginally, but they are definitely not going anywhere close to the prices of 2021 and 2022 that we had seen because there is so much of excess capacity that has come up in China and it's really a lopsided balance at this particular point of time as far as economics is concerned . We have got so much more capacities versus the demand globally. So , the prices are not going to go up anytime soon, but we expect the business to show an improvement .

Nitin Agarwal: And if I can still expand it a little further, I mean , the fact that we're looking for the environment that we will not be getting pricing growth, what implications does it have for the gross margin trajectory for the business?

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Farokh Hiloo: I think the gross margins would come back to where it was earlier for the simple reason that we are also seeing the compression on the raw material prices, the cost of raw materials has also come down , our overall manufacturing cost has come down. So , we do not see a compression on margins going forward . We expect that to expand to the normal state that it was earlier, but the prices are not going to go to the level that

they were.

Nitin Agarwal: Anand, now interest cost as a percentage of our EBITDA has become a much higher component than it used to be a couple of years back even after the post-acquisition period . I mean how are we looking at that interest cost component versus reducing the salience of that on our EBITDA?

Anand Vora: You're saying interest cost as a percentage to EBITDA?

Nitin Agarwal: It's become a larger component than it used to be earlier.

Anand Vora: Until last year, interest cost average was 4%, then we saw it go much higher . So, while we have been continuously reducing debt, if you see last year also, we reduced by \$400 million , we are looking at the reduction this year also to be \$ 500 million. Looking at where the interest rates are, and from what we are hearing from the Fed and various other central banks, we don't seem to believe that the interest rates would come down in a hurry. So , the only way to bring it down is to reduce your debt and as you see we have also taken up the initiative to reduce our debt by about \$500 million at the gross level. So , that seems to be the only way at this juncture to bring down our interest costs. We do try to get a better credit term on our purchases of raw material considering the size of operations that we run today. But these are some of the few tools which are available to us. We are not very much in favor of structured products and other things because one way or the other they eventually turn out to be much more expensive . So, keeping it simple, we are looking at reducing our gross debt to bring down our interest costs.

Moderator: We have the last question from the line of Mark Tan from Sawdust Investments . Please go ahead.

Mark Tan: Just two questions from me. The first question is in regard to your gross debt reduction . Given that you mentioned that the rate environment has caused interest cost to be quite high. What do you think about the USD bonds ? The second question is, can you elaborate a bit more on the factoring situation because I think in the first half , factoring quantum has come down . You also mentioned that you expect your working capital to be stable, but potentially you might reduce a bit of a factorizing. So , just wondering, can you comment a bit about the receivable quality and why are you choosing to factor less instead of factoring more to improve your cash flow?

Anand Vora: Sorry I didn't get the first question , Mark . If you can repeat the first question I didn't understand.

Mark Tan: So, the gross debt reduction , will it be fair to say that it's targeting those floating rate loans, or we could actually be looking to buy back some of the US bonds as well .

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Anand Vora: Buying back of the bonds requires the procedure to be followed where we have to announce it as a part of our liquidity management and give a fair chance to all the bond holders , and it's a process which can be a bit lengthy process . As compared to that , today as you see the bonds are at a fixed rate and we have issued it and the cost of it is much lower , whereas the loans are at a more expensive rate because they're linked to the LIBOR, and we can repay it whenever we want. So , that prepayment option is available to us. So , we would evaluate both and see what is best possible considering also the tenure of the bonds as well as the loan tenure . So that's something which we will look at and decide based on the cash flow generation as to what should be paid off. That's one. Two is again that doesn't mean we are ruling out paying off the bonds. Second is on your point on the non-recourse securitization. That tool is always available to us. We have the banking limits in place for non-recourse securitization. However , as you know the rating agency considers that as a debt and therefore that's again a short-term debt. So, we would look at

the options to see whether we borrow on working capital if we can get it cheaper, which is available for a very short term vis-à-vis the non-recourse securitization . Although our preference is for non-recourse securitization because it also takes care of our credit risk of our customers. So , that's a preferred option for us. However, the rating agencies considered that as a short-term debt and adds up to our overall borrowings. We remain indifferent and whatever is best and what helps us to release the maximum cash flows, we'll use those tools available to us.

Mark Tan: Are you able to share on the factoring costs? You can really share that number.

Anand Vora: It's at the same about 150 to 200 basis points above SOFR . So, these are SOFR linked non-recourse securitization leads which we have at our disposal and some of the banks do charge similar rates for short-term borrowings also.

Mark Tan: So, it's quite comparable to your short-term borrowings ? Okay.

Anand Vora: The additional thing is you get your risk covered. So that's the additional benefit of non-recourse securitization.

Since this is the last question, thank you very much all of you for joining us on this call. If there's any follow up questions to be asked , please reach out to Radhika Arora or myself and we'll be happy to provide you whatever information as well as the necessary answers. Thank you once again for joining us. On behalf of all the management, thank you once again for joining us on this call today.

Moderator: On behalf of UPL Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

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Q3 FY 2024 Results Conference Call"
February 02, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the UPL Limited Q3 FY '24 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Radhika Arora. Thank you, and over to you, ma'am.

Radhika Arora: Thank you, Darwin. Good day, everyone. Thanks for joining us today for the results for the quarter and 9 months ended 31st December 2023. The presentation, press release and the financial statements have been made available on the website, and we take as having read the Safe Harbor statement. From the management team, we have with us today, Vice Chairman, Rajendra Darak; CEO of Global Crop Protection business, Mike Frank; CFO, Anand Vora; Chief Supply Chain Officer, Raj Tiwari; and Bhupen Dubey and Ashish Dobhal, the CEOs of the Advanta business and UPL SAS. We will start with Mike and Anand presenting the performance for the quarter, followed by the Q&A.

With that, let me now hand it over to Anand. Over to you, Anand.

Anand Vora : Thank you, Radhika. A very warm welcome to all of you. I will begin by discussing the key financial highlights for the third quarter and 9 months ended 31st December, followed by an update on working capital and debt. The global crop protection industry continues to navigate through a challenging phase as headwinds in the form of prolonged destocking and elevated pricing pressure continue to persist.

We had initially anticipated a recovery in H2, but that anticipation was a bit premature as the market headwinds continue to impact the industry. Our quarter three performance was also significantly affected by these challenges in line with the rest of the industry, which is currently going through its worst downturn in decades.

We continued our support to the channel partners by extending higher rebates and accepting sales return, which impacted the revenues for the quarter. As a consequence of these factors, our reported revenue was down 28% for the third quarter and 22% for the first 9 months. Adjusting for one-time transitory impact of higher rebates and returns, the pro forma revenue for Q3 would be INR 10,695 crores, down by 22% versus last year and INR 30,424 crores for 9 months, down by 18%.

In particular, the ongoing destocking exercise had a significant impact in our larger markets of North America, Brazil and Europe. However, our rest of the world region bucked the trend and performed quite well, reporting a double-digit growth in revenues in Q3. The differentiated and

sustainable portfolio also continued to outperform as the share of revenue of this portfolio increased to 32% of the crop protection revenues in quarter 3 versus 29% last year, and 36% in the first 9 months versus 29% last year. Mike will cover details of this portfolio in his remarks later.

The impact of rebates, returns and high cost inventory liquidation on contribution profits was more pronounced as contribution margins contracted by 15% in Q3 versus that of the last year

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quarter 3. If one were to treat these transitory factors as a one-time charge, the pro forma contribution would have been higher by INR 1,532 crores and the contribution margin would have been lower by only 3% versus last year instead of the reported decline of 15%. Similarly, for the first 9 months, the pro forma contribution would be higher by INR 2,079 crores, and the contribution margin would be largely at par with the last year instead of the reported decline of 5.5%. Further, our organization-wide cost-reduction initiatives are yielding results

as we reduced our SG&A expense by 19% year-on-year in quarter 3. We are on track to reduce our SG&A by \$100 million in financial year '25 versus the FY '23 base.

EBITDA for the quarter stood at INR 416 crores, down 86% versus that of the prior year. And for the first 9 months, EBITDA was INR 3,583 crores, down by 56%. The decline in EBITDA was driven by the significant drop in contribution profit. Adjusting for the transitory factors impacting the contribution margin, however, the drop in EBITDA for Q3 and 9 months would be significantly lower.

I would like to briefly touch upon the performance of 2 of our platforms, UPL Sustainable Agri Solutions, the India distribution business; and Advanta Enterprises, our seeds business, before moving on to the items below the EBITDA.

Performance of UPL SAS, the India crop protection platform in Q3, was also impacted as revenues contracted by 34% while EBITDA declined by 47%. The key factors attributing to the revenue decline were poor Rabi season in Telangana and Karnataka, and low cotton acreage in North India, which led to high sales return.

Secondly, the low glufosinate demand due to elevated channel stock and increased competition also impacted the results. And finally, our conscious decision to sell closer to the season to optimize working capital, resulted in realignment of some of our sales.

Having said that, on a positive note, we did see very good traction in our newly launched pyroxasulfone solution. We are also expecting glufosinate demand to recover in the coming Kharif season. Furthermore, we are also introducing new products to diversify our crop mix. To give some update on 'Nurture', our digital platform, it continues to see good traction on the back of launching exclusive online brands for retailers and in-the-farm services for farmers. We have also brought in significant operating efficiency through cost savings.

Moving to Advanta, our global seed platform. It delivered healthy growth for the first 9 months as revenues grew by 11%, driven by higher prices and volumes in sunflower, corn, canola, sorghum and vegetable portfolios. EBITDA grew faster at 16%, driven by improved contribution and controlled overheads.

Coming back to the overall financial results. On the finance cost, there was a marginal decline in the net finance cost from INR 732 crores to INR 716 crores in Q3 due to lower factoring or what we call the securitization on a nonrecourse basis. While for the first 9 months, the net finance costs increased by 16% from INR 1,980 crores to INR 2,288 crores.

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The increase in finance costs over the 9 months was mainly driven by a 300 basis point increase in benchmark interest rates. The average cost of borrowing for the quarter stood at approximately 7% per annum. FX loss for the quarter was significantly higher at INR 613 crores. The increase in FX loss is mainly attributable to the devaluation of Argentinian Peso from ARS 366 to \$1 to ARS 800 to \$1 on 13th of December after the new government came to power in Argentina. The impact of peso devaluation was INR 297 crores in Q3. It's important to note that out of the impact of INR 297 crores, INR 256 crores came on the day of devaluation that took place in Argentina. Further, we also saw currency devaluation in Turkey and in some of the other countries, besides the hedging there was not possible due to prohibitively expensive cost of hedging. Overall, we reported a net loss of INR 1,217 crores for the quarter due to the transitory one-time impact of INR 1,532 crores on contribution and a one-time FX loss of INR 256 crores that took place due to devaluation in Argentina.

On the working capital front, the working capital days increased by 34 days year-on-year to 155 days. The increase is primarily on account of sharp drop in payables by 16 days and reduced

factoring which led to receivable d

ays being higher by 23 days.

Adjusted for lower factoring, receivables days actually improved by 7 days versus prior year.

Overall, we expect to end the year with higher working capital days as compared to last year due to lower payables and reduced factoring.

To give you a n update on the debt. Our net debt stood at 3.77 billion at the end of quarter 3, reflecting an increase of \$439 million versus last year.

Mike Frank : I'll just pick up where Anand left off. However, when adjusted for reduced factoring, our net debt stood largely in line with last year. This is despite the sharp declin e in payables, which were down \$568 million year -over-year.

Now, looking ahead to Q4, we expect quarter four to be progressively much better. Overall, for the full -year FY24, we expect revenue to be lower by 18 -20% and EBITDA to be lower by 45 - 50% versus FY23. Net loss for FY24 is likely to be around ■ 1,200 - ■ 1,400 crores.1

To augment the cash flows, the company has taken the following initiatives. We have recently announced a rights issue of up to \$USD 500 million. Further, we're also exploring capital raise in our platforms. The proceeds received from the above initiatives will be used to repay debt.

Mike Frank : And so now we'll move, and I'll provide an overview of the global i nternational crop protection business. So overall, the fundamentals for the global crop protection market remained strong with farm gate demand at or above last year levels in most markets and prices for commodity grains also remained strong, while coming off their highs of a year ago . Grower margins remained positive, incentivizing them to drive yield and efficiency. This backdrop, however, is different from the short -term realities of the global crop protection market. This past quarter, distributors con tinue d to destock or delay purchases, specifically in Br azil, North America, and Europe.

Note: 1Following text has been added as the speaker got disconnected on account of a connection issue.
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Additionally, there was a margin compression due to sales of higher cost inventory and from higher rebates and customer marketing programs, which were needed to support our channel partners in these markets.

However, you should note that we continue to gain share in most key markets and the level of destocking is expected to decrease going forward. We anticipate the market getting more balanced as distrib utors start to restock by mid calendar year 2024.

Moving to our results, where third quarter revenue and margins were impacted by price pressure, prolonged channel destocking, higher cost inventory liquidation and higher -than-usual rebates that were needed to support channel partners, as mentioned earlier. Our Q3 revenue dropped by 34% versus last year, and contribution shrunk by 69%, resulting in margin compression of around 1,900 basis points. More specifically, the business faced headwinds due to channel destocking in North America, Brazil and Europe impacting volumes. Brazil and North America also faced margin pressure from rebates.

Outside of Brazil, the rest of Latin America grew 7%, driven by insecticide and fungicide volumes. Even though the average price for key active ingredients have stabilized since Q2, the decline this quarter has been sharp versus last year, aggravated by rebates and this has impacted our top line b y 6% in Q3 and 4% year -to-date.

The contribution margin this quarter when adjusti ng for one -time impact, as stated earlier, is significantly improved and only around 200 basis points lower versus last year. Similarly, with the same adjustments, our 9 -month margin is at par versus last year, implying resilience in our business and a stro ng underlying trend.

I am pleased to share that we have increased differentiated and sustainable volumes in Q3, led by fungicides, and this has supported improvement in differentiated and

sustainable solutions

mix to 37% versus 28% last year. Further, our NPP solutions in the first 9 months have maintained revenue versus last year despite market challenges.

Through focused efforts and optimization, we have lowered our quarterly overheads by 15%.

We continue to drive improvements in our cost base as we move into the next fiscal year.

Let us now go through the regional performance in Q3. In Latin America, our revenue was down by 30% due to price decline. Brazil was the main driver of this decline in the region, impacted by both herbicides and insecticides. H owever, it had robust growth in fungicides led by Mancozeb products, especially Evolution, Unizeb Gold and Tridium.

I would also like to highlight that our market share in Brazil has increased in 2023 from 8.5% to 9.1%. As mentioned earlier, outside of Brazil, we saw good volume growth in insecticides and fungicides, offset by herbicide pricing challenges with the rest of LatAm posting strong growth. In North America, post -patent herbicides continue to face channel destocking, while issues

related to tactical purchases persisted. In Europe, our revenue declined by 46%, primarily due to destocking challenges and product bans impacting volumes. As in other regions, destocking pressure in the post-patent segment was pronounced in Europe.

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The Rest of the World region performed well. Key growth markets were China, driven by insecticide volumes and Turkey led by herbicides. Also, our natural plant protection volumes were very strong in this region, growing by about 20%.

So moving into Q4. We anticipate channel inventory to normalize in Latin America, excluding Brazil, elevated inventory levels in North America, Europe and Brazil are expected to subside in the next few quarters. We expect Q4 to be weaker versus last year. However, the good news is that pricing of key post-patent active ingredients have now bottomed out since Q2. With unusual impact from Q3, mostly behind us, we expect sequential margin improvement in the fourth quarter.

We remain focused, making improvements in our operating model and business quality. Our focus remains in improving the mix of differentiated and sustainable products, operational efficiencies to drive cost reduction and working capital management. Additionally, we are building the organization for the future, creating a robust pipeline of new products and leveraging our position in key emerging markets.

And our manufacturing teams have made great progress in their drive to improve our manufacturing cost. Overall, while the current scenario was challenging, we have invested significantly in customer relationships and building a more capable and efficient organization, all expected to benefit us in the medium to long term.

With that, we'll now open it up to questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Saurabh Jain from HSBC. Please go ahead.

Saurabh Jain It has been pretty much a formidable quarter for us. How do you expect fourth quarter to be because it's more of a US and Europe-heavy quarter. And we are facing issues on the key product glufosinate. Is it fair to assume that the quarter that has gone by is the worst quarter for UPL and things should start to improve from here on? And whether there would be any profitability to expect on net profits in the fourth quarter? That is my first question.

Mike Frank : Saurabh, it's Mike here. Maybe I'll take the question first. I'm not sure if Anand and the team have been able to rejoin. So firstly, Saurabh, yes, we do believe that Q3 will be the most challenging quarter, which is just behind us now. In Q4, we're still going to be challenged by pricing as we have in previous quarters, as we discussed in the prepared remarks.

Much of the rebate issues are behind us,

especially in North America. There still may be some issues that we're working through in Brazil. And overall, we would expect to have a net positive EBITDA and greater margins going into Q4.

Saurabh Jain: Okay. So that paints a very concerning picture. And at the same time, what my understanding is that in 9 months the overall EBITDA that we have done is something about INR 3,600 crores, right? So expecting some additional EBITDA even on this number would kind of make the FY '24 EBITDA very small. So, trying to understand what are your guidance end of FY 24?

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Mike Frank : Okay. Look, since this is a question on the overall balance sheet and at the UPL Limited level, I think we should just park this until we get on and back on the line. Maybe operator, if you can dial the number in his office, so that he can get back on the line.

Saurabh Jain: Okay. In that case, if I may ask, while it might be early to kind of seek for any guidance on how FY '25 would look, but broadly speaking, do you expect a material improvement in terms of your overall profitability for next year? Because even if you do some sort of recovery in terms of overall revenue growth, does it look materially a better FY '25 from here on?

Mike Frank : Yes. So in the international crop protection business, again, the underlying strength of farm gate demand is strong. We would expect going into 2025, our fiscal year '25 that the grower demand and the distribution demand is going to start to equalize. Obviously, we experienced significant destocking this year. And so as the destocking levels out and we get more of an equilibrium between grower demand and distribution demand, that will, of course, be a tailwind on a comparative basis.

Also, from an inventory cost standpoint, we will be going into our next year with a much better cost position on our inventory as we replenish inventories. We now have a lower cost basis, and so that will also be a tailwind for us. So, look, we would expect the price challenges to continue at least in the early part of next year.

And so that will be similar to this year, but some of the underlying impacts that we dealt with this year should be behind us. We would also expect returns and rebates to balance back to more normal levels versus the heightened levels that we experienced this year.

Saurabh Jain: Okay. Understood.

Saurabh Jain: So probably what kind of net debt expectations would you be having now end of FY '24? And given that we have only done an EBITDA of about INR 3,600 crores in first 9 months, add some incremental EBITDA will be doing in Q4, it still seems may end up kind of pretty lower than what were the initial expectations. So what kind of concerns can emerge out of this keeping in the context of the rating issues that we have faced in the past?

Anand Vora : Saurabh, I mean, clearly, it's a challenging time here. As you know, the rating agencies look at both not only does the net debt, but they also would look at the net debt to EBITDA. We have been hit on both accounts, a, the debt is a bit elevated. At the same time, EBITDA is down. So, we are engaging with them.

Clearly, it's an industry phenomenon. Every player in the industry is going through this pain as you would see when other agrochem companies announce their results .

So, we are keeping up our engagement with the rating agencies. Finally, it would be up to their decision whether if they can give us some more time considering the overall downturn in the industry, but we'll have to wait and watch once we share the numbers as to how they would look at it. But clearly, if one has just look at the numbers of our net debt as well as EBITDA, it's going to be challenging to retain our investment grade.

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Saurabh Jain: And any indications on your end of year at guidance?

Anand Vora : As of December, we are at about \$

3.7 billion. We are putting all efforts to see if we can bring it to around \$2.5 billion, and this is without the rights issue. I think we are looking at, as I said, up to 500 million is what we have got the Board approval for.

We should announce that shortly before the end of this month. And hoping to get the money in.

So, if everything goes as per the schedule, then that should further help us to bring it down from \$2.5 billion to maybe another \$400 million to \$500 million, whatever that number is, there would be some reduction there.

Saurabh Jain: Somewhere closer to \$2 billion, what you have been guiding earlier.

Anand Vora : I mean, yes, \$2.5 billion is what we are working towards at this stage and then the rights whatever that amount comes to.

Saurabh Jain: Yes. So , post rights, it could be somewhere closer to \$2 -2.2 billion . Is that a fair assessment?

Anand Vora : Yes.

Moderator: The next question is from the line of Madhav from Fidelity.

Madhav : My question was a bit more like on the longer term. If I look at UPL's EBITDA margins over the last decade or a bit longer, we've been at that 20% EBITDA margin mark. This is like a year where margins have come down. My understanding is that we are a global scale company with well-integrated capacities.

So, my couple of questions were basically , are we at a cost disadvantage to China in the molecules which we make? And if that is not the case, if you are at par with them, then whatever pricing pressure we're seeing today would mean that even they are bleeding quite a lot. So prices should come back.

So, just wanted to understand in terms of the cost curve where we are versus them. And I don't think we were over-earning in the past decade because margins were very stable. So , just your outlook on whenever this thing normalizes, how margins could look like 2, 3 years out for UPL? Or has something structurally changed in the industry that our margins should be lower versus what it was over the last 10 years?

Rajendra Darak : This is Rajendra here, I think, sorry Mike, you want to answer.

Mike Frank : Go ahead, Rajendra. Go ahead.

Rajendra Darak : Okay. Just to answer your first question on cost curve of UPL from competitiveness. Just to give you a data point on our top 15 molecules, if we take the cost of UPL as of the latest cost of production, the latest China price, on an average UPL is 15% plus competitive versus China today . So, if you're looking at China at the bottom, even then UPL is still 15% competitive versus China.

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On a molecule -to-molecule basis , we are anywhere from 30% to 40% more competitive ; in some cases, obviously, we are at par in China , except for only 1 molecule, where we are above the China cost today. And here also we surely have a line of sight as to how we can go below China.

So, this is just to give you the reference data point. Mike, go ahead.

Mike Frank : Yes. And so with that as the backdrop. And again, as we talked about this year's results for the first 9 months, if you were to adjust for both high-cost inventory and the excessive rebates that we invested in this year, contribution margins would be very similar to that of last year. Additionally, of course, we've also lowered our overall cost basis and expect next year to have a lower cost basis than we have this year. And so look, I think, prices will continue to be challenged going into next year. You've asked about kind of looking out 2 or 3 years. We will have an Investor Day in May, where we'll give more clear guidance in terms of how we see the mid- to long-term unfolding.

But again, we would expect our contribution margins to be back in line going into the near future. We'll have a lower cost SG&A base. And then the EBITDA margins should have an opportunity to eventually get back to the levels that we've seen here in the past.

Madhav : Got it. And

my second question was the savings which we've had on the SG&A side, about \$100 million what we are targeting this year. As the business hopefully recovers, might take a year or a little bit longer, we don't -- we do not know at this point, could be a bit faster as well. But these savings, are they like sustainable in nature? Or do some of these costs come back, hopefully, once the business normalizes?

Mike Frank : Yes. So, the commitment that we've made is to have a \$100 million cost savings comparing FY '23 to FY '25. We're on track to deliver that, and we're delivering it in a sustainable way. And so obviously, there's some level of discretionary spending that we reduced, but we've also taken out structural cost. And so we feel confident that we can deliver the SG&A savings in a sustainable fashion.

Madhav : Yes. So my point was exactly that, like how much of the saving is more structural versus discretionary. So once the business say bounces back at some point, some of the costs, which come back versus what has been just taken out of the system?

Mike Frank : Yes, the majority of the takeout is structural takeout.

Moderator: The next question is from the line of Vishnu Kumar A.S. from Avendus Spark. Please go ahead.

Vishnu Kumar A.S. : Challenging times, but apart from inventory problem, we've also seen that the Chinese are dumping product at record level. How does this impact the timelines of the recovery? And how confident are we that even by Q2 '25, there will be the recovery, given that the goal post has already moved, and China continues to dump excess product in the market. If you could talk also about this? And also regionally, how do we see the current problem behaving? And just some sense on how confident are we on the recovery?

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Mike Frank : Yes. So, as per Rajendra's comments in terms of our competitiveness versus China, even at these low prices that we're seeing out of China, we're very competitive. With the exception of 1 active ingredient, which we have a glide path on to improve. So, look, as we are replenishing our inventory with lower cost inventory coming out of our plants in India, we're going to be very competitive in the marketplace.

And again, we would expect our contribution margins to get back into the range that we've seen in previous years, excluding this year. I think the recovery will take a little bit longer in Brazil and North America than other regions. And as we talked about in the comments earlier, our business is performing very well across other parts of Latin America, across Africa, Asia. And so we would expect that momentum to continue. I don't know, Anand or Ashish, if you want to add any further color?

Ashish Dobhal: Yes. This is Ashish here. What Mike said is right. The new inventories we are getting is at low cost, and we are also seeing overall destocking in the market. And I think definitely in the next 2 quarters, we should be back.

Rajendra Darak : And Mike, maybe you can say how China price have evolved in the last 2 quarters, how you have seen it being stable or whatever it has been. So maybe that's also gives an idea.

Mike Frank : No, that's good. Yes. So, look, over the last 2 quarters, we've really seen the prices out of China stabilize. Herbicides are maybe down about 1%. Insecticides and fungicides are really flat over those 2 quarters. And so, we really do believe that we're seeing the bottom at least based on the current feedstock costs.

We can see the profitability from a number of the public companies that are crop protection manufacturers in China. And we can see that in essence, they're selling at or near their variable cost. And so, there's not a lot of space at this point in the post-patent segment for the market to decline any further. Obviously, it's hard for us to predict if and when it will improve. But at this level of profitability

, you would say it's not sustainable over the long term based on the current situation in China.

Moderator: We have the next question from the line of Siddharth Gadekar. Please go ahead.

Siddharth Gadekar : First, just wanted to understand what has gone wrong in this year in our India business, given that if you look at our peers, they have done relatively better, and we are down 22% volumes .

And in terms of next year, how should we look at the India business?

Ashish Dobhal: Ashish here. I think India business, we essentially had 3 big reasons why we were left behind a little bit is that cotton and pulses are our key crops, and we all know that I think these are the crops which are hit the most this year. We are a dominant player in that. The second piece, of course, is glufosinate demand this year or rather the overall nonselective herbicide demand was down in Kharif first and then even in rabi now, where Karnataka and Tamil Nadu are our big markets.

We did have some elevated channel stock for this, and we did have some initial competition, but the brand still is a strong brand in the market. And so I think it's a large product for us. So this

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impacted us disproportionately. And three, of course, especially for this quarter, we also are taking conscious call to sell closer to the season because with a little bit of a price ambiguity, the overall business model is shifting a little bit towards closer to the season.

We had 2 bad years back-to-back for cotton and pulses. So I think we definitely feel that we should come back big time on these 2 crops. We also definitely feel that our brand equity on glufosinate is good . And with the destocking for this product largely behind , I think even if we get moderate to decent rains, I think this is a product that should fly.

We are also having a lot of new launches in some of our so-called not -so-strong crops, whether it is corn or whether it is sugarcane and paddy, which should help us to come back properly in the next 2 to 3 quarters.

Siddharth Gadekar : And in terms of our inventory in the Indian channel, are you now below the normal level? Would that be a fair understanding given how our performance was this year?

Ashish Dobhal: Yes. We are as far as the India business is concerned; we are slowly coming to normal levels now.

Siddharth Gadekar : Okay. Sir, secondly, now in the international markets like in Brazil and North America especially, is there any sense of how much high-cost inventory are we still carrying? And what kind of hit can we see in the fourth quarter? Or we are entirely done with the high-cost event?

Mike Frank : Yes. So, Mike here. Look, we have a path we believe to clear out the high -cost inventory as we exit this year. So , there will still be some impact of that as we go through Q4. I think, a little bit less than we experienced in Q3. And again, as I mentioned earlier, from a rebate standpoint, those are essentially cleaned up in North America, and we've got a few that we're still working through in Q4 in Brazil.

Siddharth Gadekar : So, going into FY '25, we will be entirely sitting on the low -cost inventory? Would that be a fair understanding?

Mike Frank : Yes, we'll be very close to that position. So, I would expect very little impact, if any, from high -cost inventory as we enter FY '25.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella : Mike, I was just hoping to get your perspective on this inventory situation in the global marketplace. The destocking has been dragging on now for the past 3 or 4 quarters, and it still seems to be taking another couple of quarters. So , any sense of just exactly how much is still left there, maybe in terms of the size of the industry? Any metrics or data that you might be able to share would be really helpful.

Mike Frank : Yes. So, I mean,

as you know, in most of our markets, there's only 1 season per year, and unfortunately, once that season passes, then it takes another 3 quarters before you get to restock for the next season. So that's one piece to keep in mind. The second piece is, I would say the inventory levels in the channel right now are lumpy.

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And so, it's really active ingredient specific. If you just think about the various categories, it's probably the non -selective herbicide category in Brazil, in North America, that is still being normalized to any inventories where the channel will be targeting.

And so, I think we're kind of down to that point where there's a few markets with a few AIs that are still getting back into balance that are important to us. For most of our AIs, we're getting back into a pretty good balance where inventory levels would be normal to where we would expect them to be.

Abhijit Akella : Understood. And just on the China issue. Have you sort of started to see production being shut down by some of the producers in China given the situation? And are we seeing improvement

in terms of the supply outflow coming out of China in recent months?

Mike Frank : Yes. Look, if you just look at the North America as an example, the China imports into North America last year from January to November were down over 50%. Same in Brazil, in the same period, they were also down around 50%.

Now we haven't seen capacity come offline yet. Obviously, most of the manufacturers are running at a low level of their overall capacity in many of their plants. But at this point in time, we haven't seen plants permanently shut or specific consolidation happen in the industry. We would expect that to happen if the situation doesn't change, but so far, we haven't seen those shutdowns or the consolidation.

Moderator: The next question is from the line of Steve Byrne from Bank of America. There is no response from the current participant, we will proceed with the next question, which will be from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh : Yes. So, the first part is in terms of the operating cash flow, you adjust the inventory losses. So -- and the Argentinian forex loss. So, you're talking about something around INR 2,250 crores.

Is that kind of cash flow visible in this quarter?

And do you see any improvement in your net working capital in terms of number of days, although you said it will be higher than last year. Compared to 3Q, will your working capital come down and thereby, you'll be able to release some cash. How do you see that in the collection in the fourth quarter?

Anand Vora : As you know, the fourth quarter is when we usually get a fair amount of collection. And at this stage, we are seeing that collection coming. So, we expect it to be similar to that of the previous year same quarter.

S. Ramesh : So, in terms of operating cash flows, net of working capital, you will be able to manage the operations and so forth without any incremental debt. Is that a fair understanding?

Anand Vora : There could be a marginal increase, but not significant. The net debt will come down. We have \$3.7 billion as of Dec '23. We are talking about getting it down to \$2.5 billion roughly from the operating side in Q4. So that's something that we are working towards. And we expect that to come.

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S. Ramesh : Okay. So, in terms of relative market share since you said, Argentina was badly hit and there's been very mixed news flow in Argentina about the politics and the drought. So, what is the share of Argentina in your overall portfolio? And how is that doing in this quarter given that there's a big currency devaluation? And -- is that all done and dusted? Or is there still some overhang from Argentina?

Anand Vora : Mike, on the business side, maybe you can update, and then I'll say on the financial

side, I can

talk about.

Mike Frank : Sure. Yes. So, Argentina has been a good market for us this year. If you go back a year ago, they had a significant drought and productivity was low and use of crop protection products was low. Coming into this year, they experienced normal rains. And so, the planted area went back up and farmers invested in crop protection products. And so, our business is up nicely in Argentina this year. So good performance in the market.

S. Ramesh : So, any number you can share in terms of what is the share either in LatAm or in the overall portfolio from Argentina?

Mike Frank : Yes. We don't break out the country-specific numbers. But I would say Brazil is by far the largest market in LatAm, followed by Mexico and then Argentina would be third.

S. Ramesh : Okay. And in the fourth quarter or first quarter, you mentioned your capacity utilization has been reduced. So, in terms of your manufacturing, are you still running at lower capacity, what's the current capacity utilization? And when do you see that move up back to normal capacity utilization?

Mike Frank : So, Raj Tiwari, why don't you take that question. They might have got disconnected. Look, I mean, overall, our volumes year-to-date are down mid-single digit. We do expect good volume in Q4, but probably down very low single digit versus last year. And so our plants are running a little bit slower than they ran last year.

Of course, we're in the process of building our plants for FY '25 based on not expecting the same amount of destocking that will be conducive for volume growth. And as we continue to expect market share gains in the markets where we're performing very well and that will also be conducive for more volumes. And so, I would say our expectation while we're going to continue to manage working capital very closely, is we'll be running the plants in FY '25 at a level of slightly above where we ran them in this year.

S. Ramesh : If I can squeeze in a last question. The cost of inventory coming down, is it possible to give a sense in terms of what is the percentage decline in the value of the inventory just to get a sense?

Raj Tiwari : Yes. So year-to-date, if you see, inventory is about INR 17,000 crores vis-a-vis about INR

20,000 crores last year . So, INR 3,000 crores of inventory, which is down, largely on account of two factors, very small contribution on account of volume, but largely on account of cost.

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I mean this is where you see that the channel inventory will be now at a rebased cost, which is much lower cost. And therefore, what Mike alluded is that we should be able to get back to normalized gross margins in FY25 .

Moderator: The next question is from the line of Steve Byrne from Bank of America. Please go ahead.

Steve Byrne : Mike, you made a comment about it's going to take a little bit longer to recover in the US and Brazil. I was curious whether you're referring to destocking? Or were you referring to price? I was also curious to hear your progress on your launch of your brand of the Chlorantraniliprole product?

Mike Frank : Yes. Yes. Thank you, Steve. So, look, we're not expecting a recovery on price into the near term. Obviously, if that were to happen, that would be positive. But we're expecting that we're going to continue to have low prices coming out of China, as we talked about, we can compete against that and earn back our historical margins.

I think from a destocking standpoint, again, in North America, I would say it's largely glufosinate that we're still expecting to see some destocking going into the next couple of quarters. In Brazil, as you may know, Steve, the drought that they experienced through the Cerrado region did impact the farm demand.

If you take, for example, the sucking pest segment, which we're very strong in. Typically, growers spray about 3.2x per year on a soybean crop

for sucking pests. This year, they sprayed

on average about 2.2x. And so that's not really about destocking. There was some demand destruction just because of the drought in Brazil.

Now obviously, they've got a safrinha corn season coming up. And so we'll use some of the product to manage insects in that crop. But again, I think we're down to glufosinate in North America. And then it's just based on grower demand for the most part in Brazil. Coming to your question on CTPR. We have launched CTPR in a number of geographies. It's very early days. What we've launched so far has been solo mixtures.

Our strategy for the most part is to focus on value adding combinations. And so that's really where we're moving to. We're just in the process of starting to market a combination product with CTPR in India, and we're looking forward to those opportunities in other markets here in the next 18 to 24 months.

Steve Byrne : And Mike, if I could squeeze one more in with you. What is it that makes it so challenging to monitor the channel inventory levels? Or do you think that you've made some adjustments in your own assessments to be able to monitor that better?

Mike Frank : Yes. So, look, we've got a good handle on the level of inventory of our products in the channel, where we have less visibility is other products. And so, I think if we go back over the last couple of years, there was overstocking because of the challenges in supply chain or the risks that were inherent in the supply chain at that time. And so again, we knew exactly what was happening with our inventory, but we didn't have clear visibility on our competitors' inventories.

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And so, when it all shook out and prices came down and distributors wanted to really destock because supply chains are viewed as highly reliable today, this is the impact that we're seeing. Obviously, in markets like North America and Europe and Brazil where there's been more consolidation in distribution channels, there's also more capacity to hold inventories.

And so if you look at other parts of the world where our performance is really good this year, like in Latin America, excluding Brazil, and in what we call the rest of the world markets, those are more fragmented markets where inventory holding capacity is lower and you just naturally get less of an impact either when you're overstocking or destocking.

Moderator: Ladies and gentlemen, we will now take the last question from the line of Tejas Sheth from Nippon Life India AMC. Please go ahead.

Tejas Sheth : In the markets of North America and LatAm, how are the distributors faring . So, are they also kind of losing money in this whole trade or it is something that we are taking the larger brunt of this whole destocking and hence, distributors are still faring well?

Mike Frank : Yes, it's a good question. And look, I would say it's a bit of a mixed bag. There's a few distributors in Brazil that are publicly traded. So, you can see their results. Likewise, there's some large co-ops in North America and a large public company that is also a distributor in North America. So, you can see those companies and their financial reports, I would say they've also had margins compressed significantly in the last 12 months.

And so, I would say the burden is being somewhat shared across the supply chain, probably a little bit more of the upside during '21, '22 was enjoyed at the supplier level. And this year, some of the downside and the squeeze in margin is also being felt harder with suppliers. But there is some sharing of the pain, I would say, across the supply chain.

Tejas Sheth : And also, if you can give some color on how the innovators are behaving because they obviously have a kind of a larger end of the product, I mean much more value -added products. Are they also getting very, very price competitive on your portfolio? Or they are kind of not

as competitive

versus the generic? Is the generic prices and the innovative prices widened in the last 12 months or they have narrowed?

Mike Frank : Yes, they have definitely widened. And again, we can see it in our own portfolio and the performance of our differentiated and sustainable products, our margins have roughly held in line with historic levels, north of 40%. But the margins in our post - patent segment is what's got impacted the most. And so I would say that trend is playing out across the industry where differentiated products, prices have largely held with where they were over the last few years. But the post -patent segment is where the significant prices come down.

Now of course, there is substitutability in the marketplace as well. And so there is some pressure. And as commodity prices for grains have come down, growers are looking at all their options. And so, I think this is going to continue to play out over the next selling season, where there probably will be some upside in volumes and market share towards the post -patent products, but margins will continue to be challenged there. And likewise, we're seeing the prices come down very slowly if at all in the differentiated segment.

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Tejas Sheth : Just last question to Anand. Why are we paying to the suppliers at a much lower days? I mean why we are not maintaining payable days at a higher level and hence, kind of at least get some mitigation of higher inventory days and receivable days? In a very high cost of borrowing environment, why are we paying much earlier to these suppliers?

Anand Vora : Tejas, it's just that the level of activity has come down due to drop in the volume as Raj alluded to. And it's largely because of the drop in level of activity. And of course, we also have the prices coming down. So as a result, you are seeing a lower level of payable days.

Tejas Sheth : Okay. And what are we doing on the capital expenditure side, are we deferring our cash outflows there? Are we postponing the larger projects which we were planning to add or we are continuing with it? Typically, we spend INR 3,000 crores to INR 3,500 crores on the capex.

Anand Vora : We have slowed down on capex. For the first nine months, capex spend was \$190 million, and for the full year we will likely close at \$250 million.

Moderator: I would now like to hand the conference over to Mr. Anand Vora for closing comments. Over to you, sir.

Anand Vora: Thank you, everyone, for joining us on today's call. If there's any follow-up questions, feel free to reach out to Radhika Arora or myself, and we should be happy to answer your calls. Thank you once again.

Moderator: Thank you. On behalf of UPL Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

UPL Capital Markets Day 2024
May 13, 2024

Radhika Arora :

Good evening, everyone. I am Radhika Arora, the Head of Investor Relations at UPL. On behalf of the management team at UPL, I would like to welcome you all to the FY24 Capital Markets Day.

Whether you are in the room or joining us through the webcast, I do believe the hours spent with us today will be very valuable in understanding the strategic direction of the company. You will get a chance to hear from and interact with the business leaders of the platforms. So, with that in mind, I will get off the stage in just a bit, but just before that, a few logistical pointers.

Firstly, there is a lot of information in today's presentation, and we want to make sure that you hear it all before opening it up for the questions. The session will start with a presentation by –

- Jai Shroff , Chairman and Group CEO
- Anand Vora, Group CFO
- Mike Frank , CEO of UPL Corporation, our International Crop Protection Platform
- Ashish Dobhal , CEO of UPL SAS, our India Crop Protection Platform
- Benjamin Marolda, Global CEO of Advanta Enterprises, our Global Seeds Platform
- Raj Tiwari, CEO of UPL Specialty Chemicals Limited.

Lastly, please make sure to check out the Safe Harbor Statement about the forward-looking statements. So, with that, please silence your phones, sit back, and we start the presentation. Let's welcome on stage our Chairman and Group CEO, Jai Shroff .

Jai Shroff :

Thank you, Radhika. Welcome, everyone. Pleasure to be here.

For UPL, this has been a very difficult year. And for the industry, it's been a very difficult year, too. Particularly in the last 30 years or so of my very active involvement in the business, I haven't seen two major markets which have had a big slowdown like we had this time.

And in the past, we've been able to anticipate them better and react better. We have had some setbacks in the past also. But anyway, hopefully this is behind us, and what doesn't kill you makes you stronger. And we look forward to that.

Just running through the numbers for the last year, we had revenues of around INR 43,000 crore , which is lower by 20 %; INR 5,500 crores of EBITDA, which is down 51 %. Debt is up by \$600 million and working capital up by 22 days.

So, focus for the coming year and coming years is really to focus on profitable business, which is focused on improving working capital. And I think the whole industry, as I talk to my colleagues around the world, is focused on that. And I believe that we will see a dramatic improvement.

At UPL, we will focus on growing our platforms, whether it's Advanta, Specialty Chemicals, India Crop Protection, or the UPL Corporation as a global crop protection leader. Improving cash flows and deleveraging the business and unlocking as much value as we can over the next two or three years from the various platforms, which each individually are leaders in its own space.

Looking at UPL Corporation, our global crop protection platform, we expect the Brazilian market and the U.S. market to recover. And we will see some benefits there.

At SAS, the team is completely focused on launching so many new technologies and really focusing on improving brand presence and cash flows.

On the seed business, Advanta is leading its way on the corn seed platforms in India . Today there is a huge interest in different aspects of the seed business, which is biofuels, and we see Advanta continue to gain market share there.

On Specialty Chemicals, we have the internal manufacturing platform and also the non-captive business . UPL plans to invest and continue to grow and retain its position as one of the largest Specialty Chemical companies in India.

Reimagining sustainability, it is the theme of the future and UPL is actively involved in various platforms, whether it was COP28, or our NPP platform for agricultur

e, which is

growing, doing better, and part of so many value chains, whether it's sugarcane in India, cocoa, sustainable rice in UP, and there's a lot of interest from the food companies to transition to buying traceable food, which is more sustainable.

So, when we talk about sustainability, we are talking about our Ze ba platform, which is to reduce water, our Pronutiva platform, which is to really focus on soil health and crop productivity. On the sugarcane project, which we can talk a little bit about, is already engaged with a number of sugar mills in India to really improve the productivity of sugarcane production and reduce water and fertilizer usage . And we believe that the impact of this on the environment will be huge, but not only that, it will improve profitability for the farmers.

And you can see the impact of that on a real -world basis in various places. Transitioning to green impact, today we have 62 megawatts of green power, and we intend to, in the next year, increase that significantly . We've already started production of green hydrogen, and we continue to expand, growing our whole green chemistry platform . There is a huge transition in Europe and in the US towards companies demanding green chemistry.

And we believe that UPL will lead the way in the specialty chemical sector. Thank you very much, and I hand over to Anand.

Anand Vora :

Thanks, Jai.

Good afternoon to you all, and a warm welcome for joining us today. All of you know that it's been a challenging year. Probably the most challenging year in recent times.

But to the credit of the leadership team, we look at it as an opportunity to restructure the business and adapt to the market realities by right -sizing the organization and making it future -ready through innovation, improving share of differentiated and sustainable products, and moving our focus towards improving margins and operational cash flows.

With that, I'll start with the results for Q4. Talking about the Q4 results, we saw a sequential improvement in performance versus Q3 led by recovery in volumes as well as in margins.

Our revenue for the quarter stood at Rs 14,078 crores, reflecting a decline of 15% versus that of the last year. The decline was primarily due to lower prices, which fell by 15% year on year. Of the 15% decline in prices, approximately 5% was on account of one -time transitory impact of higher rates, excluding which the decline in price and revenue was about 10%.

Having said that, volumes were in line with last year, which is quite positive and indicates that demand is gradually improving. Recovery in volumes was largely led by continued growth in our differentiated and sustainable portfolio, the share of which expanded by 7% from 29% last year to 36% this year. Contribution margins continued to be impacted by the transitory impact of higher rebates to support the channel partners and liquidation of high -cost inventory.

Adjusted for these impacts, both our contribution and EBITDA margins were in line with those of last year, as impact of lower realization was offset by improved product mix, lower cost of goods and rationalization of overheads. This is quite encouraging and lends confidence that our margin profile should improve in the coming financial year. The cost

optimization initiatives which we undertook in the first half of the year has paid off as we were able to reduce our fixed overheads by 17% year on year in Q4.

This helped us to improve our EBITDA margins to be in line with last year, adjusted for the twin transitory impact that we spoke about earlier. Our net finance costs declined by 4% versus that of last year on account of reduced factoring. While overall tax charge was lower, the effective tax rate looked significantly higher as we continued to pay taxes in some geographies and at our manufacturing plants and seed platforms as we continued to generate

profits there .

The PBT was lower in line with the drop in contribution margins. Exceptional costs for the quarter were higher at INR 106 crores versus INR 29 crores last year, mainly due to the one-time severance cost as we restructured our business. Overall, we are pleased to say that the quarter ended in profits.

Before moving on to the full year's performance, I would like to touch upon the continued strong performance by our global seed platform, Advanta Enterprises, which reported a robust 34% growth in revenue and 38% growth in EBITDA for Q4.

Now for the full year's financial results. As Jai highlighted earlier, this has been very challenging and an unusual year for the industry as a whole.

The full year's revenue stood at Rs 43,098 crores, showing a 20% decline over that of the previous year, impacted by industry-wide channel destocking and excessive pricing pressure in the post-patent space, which was aggravated by the transitory high rebates extended in Brazil, US and India to support our channel partners. Excluding these transitory rebates, the decline in revenue was 15%, as against the reported 20%. While the destocking had a stark impact in North America and Brazil, the rest of the world region bucked the trend and grew 9% in FY24, which is quite noteworthy amidst the ongoing industry downturn.

Adjusted for the transitory impact, our contribution margins were in line with last year. An improved product mix in the form of a higher share of differentiated and sustainable products, which stood at 35% this year versus 28% last year, coupled with higher contribution from our seeds platform and a lower cost of goods offset the impact of lower realization on an adjusted basis. Furthermore, through focused cost optimization measures, we were able to reduce our fixed overheads by \$150 million versus last year. Most of the reduction in overheads, about \$100 million, was structural in nature, and we should see the benefit of that come by in this financial year also.

The balanced \$50 million was on account of lower bonus payout this year due to the business underperformance, which we are confident will be normalized in the current financial year. As a result, the EBITDA margins adjusted for the transitory impact is lower by 2% in FY24 as against the reported 8% margin decline.

Moving on to the items below the EBITDA, our net finance costs increased by 10% year-on-year, mainly due to the rise in benchmark interest rates on borrowings and an increase in quantum of debt. Overall, the average cost of debt for the year stood at around 7% per annum.

The exchange loss for the year stood at INR 1,290 crores versus INR 777 crores last year. This increase was due to devaluation in currency in certain markets, such as Argentina, Russia and Turkey, where hedging is either not possible or is economically unviable.

The steep devaluation in Argentine peso by almost 300% had an impact of about INR 471 crores, of which INR 256 crores was just an impact on a single day when the currency was devalued around 100%. Overall, we reported a net loss of INR 1,200 crores for the year. This was pretty much in line with what we had guided for at the end of Q3.

Moving on to working capital, we saw an increase by 22 days for the year, from 64 days to 86 days. This was due to higher receivable days, which were up by 22 days, from 102 to 124 days. Of these 22 days increase, 7 days was attributed to reduced factoring.

As far as our inventory and our payables are concerned, more or less that increase of about 13 days in inventory is offset by increase in payables by the same number of days. Moving on to our debt position, the net debt increased by \$600 million to \$2.66 billion. Looking

ahead in FY25, as Jai mentioned, deleveraging is foremost priority for all of us.

In line with this, we expect to bring down our debt next year through improved operational cash flows. Additionally, we are in the process of completing necessary formalities for the rights issue and pursuing capital raise opportunity at our other platforms. With that, I would like to invite Mike on stage, who will take us through a detailed performance of international crop protection business.

Thank you.

Mike Frank :

Thank you, Anand, and great to see everyone here again this year. Over the next 15 or 20 minutes, I'd like to do four things. Firstly, I'll cover our business results, both from a Q4 and a full year standpoint for FY24, look ahead towards FY25, talk about our very exciting pipeline, and then I'll finish talking about a couple of the key markets that were extremely challenging this year and what our path to recovery is in those specific markets.

So as both Jai and Anand mentioned, FY24 was an unprecedented year with the business impacted really on multiple fronts. We'll go through the performance in detail along with the steps taken during the year to lay the foundation for our future growth over the coming years.

So overall, on the positive side, grower demand for our products and technologies continues to be extremely robust. And in most markets and most crops, farm gate price for commodities is still high on a historical level and farmer margins are strong, again, in most crops and in most geographies where we operate. However, the gap between sell-in and sell-out within the channel persisted throughout last year and we expect the channel demand to normalize, in particular, in the second half of FY25. So, moving to the financial results, our fourth quarter revenue was down versus last year, driven primarily from pricing and we experienced margin compression largely due to the transitory impact of higher-than-normal rebates and selling through higher cost inventory.

This quarter, adverse weather conditions occurred in Brazil and Europe, further impacting our volumes and affecting the top line. However, we're beginning to see the signs of green shoots in our performance. Our margins in Q4 improved sequentially and was on par with last year on a normalized basis.

Additionally, the relative share of our differentiated and sustainable segment was up, driven by volumes, indicating a wide adoption for these offerings. We remain on track with our overhead optimization plan and have rationalized our spend significantly through a change in our operating model. In the quarter, we also reduced our receivables significantly.

So, turning to our regional performance, our major markets continue to face destocking and pricing challenges. In Brazil, as I mentioned, adverse weather and higher returns aggravated the situation. Other parts, though, of Latin America, in particular Mexico and Argentina, continue to perform very well, significantly outpacing the industry growth.

In North America, we continue to face pricing challenges in herbicides such as glufosinate, clethodim, and S-metolachlor, and rebate-related support impacted our revenue in this region by approximately 10%, with a direct impact, of course, on our margins. In Europe, volumes declined due to excess rains and floods in the western and northern parts of the region, and destocking and the ban of high margin Bifenazate also impacted regional performance. In the rest-of-world region, which comprises primarily of Asia and Africa, our performance was outstanding in that region, and we greatly outpaced the broader market.

This is, of course, a fragmented market, but our broad product offerings and proximity to the farmer gives us the leading position in many countries to work with the dealers and the channel to create superior agronomic and service solutions. Speed, service, reliability, and cost-effectiveness are all aspects of our strategy in this region.

So, looking at the full year, as I said, FY24 was definitely an unusual year.

We experienced

rapid price decline in most post-patent products, aggravated by a steep increase in China AI capacity, creating pricing pressure within the channel, and this really happened as we started Q1 of last year. And because of this pricing pressure, an inventory that had built up in the channel the preceding few years resulted in a near-freeze of purchases right as we started the year from a sell-in standpoint, and distributors started to postpone their purchases and also began renegotiating on the current inventory that was still existing in their warehouses. The same situation happened with farmers, not from a destocking standpoint, because normally farmers don't stock a lot of inventory, but farmers also, as they saw prices decline, they also froze their purchases as long as they could, right up until the time they needed to procure so that they could apply it on the field, just to make sure that they were buying at the lowest possible price as they saw prices come off their highs. So, our volumes declined in the year by 7%, which seems like a lot, but that was really top-tier performance when you look at the industry's performance overall. However, we had many of our top post-patent products impacted by the overall price reduction and hit again with channel rebate pressure, thereby resulting in 22% price decline across our portfolio over the year.

So, while addressing these challenges, we took a conscious decision of clearing out our high-cost inventory, and we slowed production of new material to manage working capital, causing some negative impact from unabsorbed overheads in our P&L. So, while some spillover is still expected in the first half of FY25, most of these impacts are now largely behind us. Moving to regional performance, again North America and Brazil face significant pricing challenges in the herbicide segment in particular with high rebates and destocking.

And while contribution margin was down, it was still on par with last year when we adjusted for the transitory issues and looked at those one-time issues. We can see that margins on a year-over-year basis are really relatively flat, which gives us a lot of optimism as we go into FY25. Among key regions, as I mentioned, LATAM faced significant price decline, mainly in Brazil.

Brazil revenue is affected by excess returns apart from higher-than-normal rebates, and together these had a significant impact on our contribution margins. As I mentioned, performance in other parts of Latin America were very strong. In North America, as you can see, it was impacted mostly by post-patent herbicides such as glufosinate, clethodim, and S-metolachlor.

These three products resulted in the vast majority of our revenue decline and margin compression in the region. On the positive side, we have increased our NPP sales in North America. In Europe, the decline was led by destocking and product bans, which impacted volumes.

And in the rest of the world region, the revenue for the year was nearly flat. UPL, as I said, greatly outperformed the industry average. China, in particular, had strong volume growth in herbicides and insecticides, while our Africa business also had strong performance.

Our differentiated and sustainable segment continues its strong trajectory. During the year, we grew our volumes in this area by approximately 10%, enabled by a ramp-up of products such as Evolution, Feroce, both in Brazil, and other new product launches. Additionally, input cost tailwinds in Sperto and Evolution also helped maintain our segmental margin at greater than 40% in this differentiated and sustainable segment.

Through this volume growth, we have improved our overall mix of differentiated and sustainable to 35% of our sales versus 27% in FY23, and we're on path to achieving approximately a 50% share of our mix by FY27, which has been our target for the last few years. Our focus on innovation and solving farmer pain points is demonstrated with strong

revenue growth from new products. Further, a majority of our launches were from differentiated and sustainable segment. Each of these recent launches, as you can see on this page, have met with noticeable success and are on path to becoming real strong and near blockbusters or blockbusters in our portfolio.

A major action taken this year has been to make the organization what we would call future-ready, and we've taken several steps to lay the foundation for our medium to long-term growth. These include simplifying our operating model to drive efficiencies and reducing our discretionary spend. The first two enabled a lower cost base for the future through regional and sub-regional realignment and to build an agile organization.

Further, we have moved some work to our global business centers to drive efficiency and excellence while de-layering the overall organization. This has helped us reduce our net headcount by 11 % while improving our overall agility, our customer focus, and our operational excellence. While we continue investing in strategic growth projects such as NPP and sustainable solutions, including launch excellence, implementing tighter spending controls, all of that led to savings in our overheads.

Overall, I see this initiative with two-fold benefit. First, it has helped us in a conscious strategic reset of our costs, bringing an efficient operating model with a lower cost base. Second, it has helped us identify growth opportunities in key markets and segments where we are now focusing our resources more precisely.

Looking at FY25, this year we see strong farm gate demand for our products. While challenges persist, it is evident that growers are shifting towards effective and sustainable outcomes, which is the base of our business model and our focus for FY25 and beyond.

First, focusing on margins over volumes is one of our key priorities. By improving our product mix, skew rationalization, and by leveraging our FY25 launches, further we expect input tailwinds this year, and we have also negotiated better commercial terms with virtually all of our externally sourced AI suppliers. Second, by generating additional cash through working capital improvement in markets such as Brazil, where receivable days are traditionally longer, we will move our sales closer to the use period, allowing us to reduce DSOs. We'll also prioritize reducing our inventory through use of data and analytics and using our AI modeling in our demand planning processes.

Finally, by driving innovation and leveraging our differentiated and sustainable solutions, we expect a strong pipeline this year with over \$85 million of new product revenue expected, and we also anticipate further ramping of our recent launches from the past few years. Looking specifically at our sustainability solutions segment, which we often call Natural Plant Protection, or NPP, this comprises biologicals, biocontrols, and biostimulants. This will continue to be our driver for future growth of UPL. This segment is estimated to grow globally approximate 10% over the next five years, and with our current portfolio and our exciting new pipeline, we have ambitions to outpace the market with a CAGR of approximately 14% over the next three years, and I'll show you some of the products in our pipeline here in a few slides.

So, to achieve these objectives, in our portfolio, we aim to expand our focused, what we call hero products, our real big hitters through higher penetration and geographical expansion. For instance, we have a product that's branded as Yukon, it's a biofungicide, and it has excellent control on downy mildew. This is a technology that we launched in Europe with great success, and in FY25 we're now launching it over many parts of Latin America.

Our focus on biocontrols is also enhanced by our OpenAg collaboration with ecosystem

partners like Novonisis. For example, our new biological soil health solutions for controlling Nematodes, branded as Nimaxxa, was successfully launched in Brazil this past year, again with outstanding and industry-leading results, and we're now awaiting registration in the US for launch of this brand in the coming season. So, with such innovation ongoing, we have 10 new active ingredients in our NPP pipeline, and we're well-placed to deliver around \$700 million dollar pipeline in this by FY 27. We want to also be closer to the grower to better understand their pain points, so for this we're empowering our sales team through what we call our NPP Academy.

It's an online digital training program covering 28 of our hero products with cross-pollination sessions across the globe and creating incentives for our entire sales organization. In Brazil and Europe, we have also created over 100 NPP field promoters across 20 countries to generate demand covering the unique nuances in each of the markets. Further, we are leveraging our Pronutiv a program to solve grower pain points through spray programs combined with conventional crop protection and low residue programs that are NPP products for disease control. Two such examples are for bananas in Central America and pomegranates in Europe.

On the crop protection and sustainable solution side of our pipeline, it's also very robust as you can see here, and it's really built around customer centricity with a strong focus on resistance management, be it insects, plants, disease, or weed control. Our new products are therefore a healthy mix of traditional crop protection products as well bio solutions. On

a risk adjusted basis, current pipeline is approx. \$5 billion peak revenue per annum , of which around \$1.5 billion annual sales is expected by FY27, with approximately 75% of that new revenue being incremental. I would like to emphasize that we have 26 molecules in our entire development pipeline and 17 new solution platforms, both up by one versus what we reported at our Capital Markets Day event last year.

Additionally, 80% of our pipeline is in the differentiated or sustainable segment, again up two points from our presentation last year, which really demonstrates our focus and our priority, including our R&D in this area. So , over the next three slides , I want to take you through our recent launches and our more detailed review of our robust R&D pipeline. This is in line with what we presented last year and I'm happy to share on this slide that we have delivered several innovative products across categories and many of the projects have advanced to the next phase .

We have a strong pipeline for the near and future growth. There are some names that you are already familiar with, such as Evolution, Feroce , Shenzi, Preview. Each of these offerings address specific pain points for the grower and all of them play an important role from a resistance management standpoint.

So here in this slide and the next slide , I'll show you our pipeline products, including the current status. This spans across crops and regions as you can see, as well as various stages of product development, ranging from validated efficacy, which is our stage two, all the way to launch readiness in stage four, just prior to expecting regulatory approval. On this first page you can see our robust pipeline for weed and disease technologies.

All of these products, along with those on the next page, constitute our peak pipeline revenue of \$5 billion, which has been risk adjusted according to the development phase. Each of these technologies have passed our screen for being an important tool, helping farmers with both resistance management and further farm sustainability. On this slide, our pipeline for NPP seed applied technologies and insecticides you can see is very strong.

We also have some inte

resting new technologies advancing through various stage gates in our R&D process. I would also like to add that for several of these offerings, we are very excited about their peak revenue, as I said, over \$5 billion in total from our pipeline.

In FY24, post -patent products for row crops were significantly impacted in North America and Brazil.

For us, this has led to significant value erosion and consequent impact on overall performances we have shared. With this, our immediate priority is to once again show profitable growth and improve cash generation in these markets. Our strategy to get back is two-fold.

One, we are working closely with our channel partners to focus on sell -out and to align our supply chain with their demand forecast. Additionally, we are leveraging on B2B sales and pushing for private labels where there is an opportunity. Further, we are also targeting large growers and leveraging on our retail collaboration specifically in Brazil and South Africa.

Our strong pipeline in FY25 is expected to drive margin accretive volumes. Ramp -up of our recent launches in Brazil and herbicide offerings for row crops such as our new Intrava DX in the Midwest are expected to drive revenue growth in these key regions. We also see potential in expanding our bulk business in the U.S. specifically for herbicides in the Midwest. In Brazil, we will continue to maintain our leadership in insecticides with our sucking pest platform, namely Perito, Sperto, and Feroce. And generating cash in these regions is critical given their overall size within our business. Our primary focus will be to ensure inventory optimization and liquidation as well as positioning the sales closer to use, specifically in Brazil, to manage working capital more efficiently.

Another key step is aligning credit terms with the product margins. This will be achieved through a more detailed mapping of timing of sales with the product margin, skew rationalization, and reducing lower margin sales as well as through quarterly working capital improvement targets. Impact of these initiatives are expected to be amplified by leveraging our internal capabilities including supply chain excellence, R&D, marketing, as well as our data and analytics to offset.

So, before I hand it over to Ashish to review the India UPL SAS business, I'd like just to reiterate that in FY25 we will bring the business back on track through profitable growth, prioritizing margins over volumes, cash generation, and driving innovation for value creation. We remain on track for 50% of our sales from differentiated and sustainable products by FY27, driven by new launches, and with an innovation rate in FY27 expected to be in the mid -20s. I am confident in the resulting positive impact through our operating model upgrade to drive organizational efficiency and excellence.

I'll now hand it over to Ashish to review our business UPL SAS. Thank you.

Ashish Dobhal :

Thank you so much, Mike. A warm welcome to all of you. Good afternoon.

It's great to see all of you in person after almost a year. I'll be talking about UPL SAS. UPL SAS, as we all know, is the crop protection business for India . But it's not just crop protection. We also are pushing the boundaries here to bring solutions for drought mitigation technologies , we are looking at climate smart technologies, precision farming. We are looking at DECO, post -harvest services , and we are also looking at pure play ag tech with the whole aim, like we talked last year, to make sure that the farming becomes profitable and also farming becomes sustainable.

This is a company which we formed last year, and, you know, last year was our first introduction. Since then, I think we've, like Mike discussed, we've had one of our very, very challenging years.

In a sense, it's good for us because it has helped us to make sure that we are recalibrating our

business, refining our business model , to make sure that we are growing, but also growing very, very efficiently, which is something I'll be discussing in my next few slides. As I said, there's a little bit of a course correct. We made sure that the focus in Q4, was all about sales.

We made sure that the focus goes back on cash generation and overhead optimization. We've pushed the sales from Q4, and we are selling now closer to the season because we've seen that in the last two years, there has been a lot of ambiguity in first and second quarter, which are the two main quarters for the India business. Either it's the Ukraine war or it's the China meltdown.

We've seen a lot of volatility in the first two quarters, and hence, we've, you know, we decided that we'll place closer to the season, just to make sure that we are giving ourselves and also our channel partners that safety net. We also have prioritized collections, and we rationalized credit terms. This overall led us to a 60% decrease in revenue in Q4 .

We also had a contraction in contribution margin by about 1,750 basis points , which essentially was because of a product mix change, we placed a lot of profitable products for cotton in the Q4, which shifted to Q1 now because we are placing it closer to the season. The second piece, of course, is we had a n INR 40 crore unabsorbed factory cost where we have prioritized cash flow over higher plant utilization. The good news, of course, in Q4 is that we've achieved a significant reduction in SG&A to the tune of about 36%.

And the best thing is that we've realized the cash of INR 500 crore from working capital in Q4. We've had quite historic cash collections of about INR 1,100 crores in Q4, despite lower sales. We restricted further working capital build -up and further tightened credit.

A little bit of an update on our digital business, the revenues were flat, but we managed to reduce the EBITDA to INR 10 crore loss from about INR 52 crore loss. We've had cost reduction across the platform.

How the year panned out for us, so people would know that we are a leading company in cotton. We have a huge market here in cotton, and cotton, we all know, went down in terms of acreages by about 10%, and then later on, very, very erratic weather for cotton, whether it was North India, Central or South India, which impacted us more than it would impact anybody else. Summer pulses was a segment that we had made on our own. This segment also was down substantially last year, purely due to weather.

The India story is more on the erratic weather that we had last year than any external influences. And to add to that, the Rabi itself, we all know, were some of the driest months that we faced in September, October, November, which meant that the southern Rabi season also didn't take off. And when it's a dry, overall dry season in Kharif or Rabi, one of our blockbuster products Glufosinate, we have two brands in the market, where you need intermittent rains for this product to sort of work well, didn't work well at all. So, I think we did have some generic pressure, but I think it was mainly the season which impacted this business. And of course, we delayed the entire product placement, or we took it closer to the season to rationalize the channel inventory and improve working capital, which meant that all in all, with INR 2,845 crores of revenue, we were down by about 34 % in top line.

You know, once again, as some of our most profitable products are in cotton and summer pulses, the moment these two crops get affected, our product mix gets impacted and that puts a huge pressure on the contribution margin. And of course, we had an unabsorbed factory cost that I just discussed in Q4, which drove EBITDA down despite improvement in SG&A. SG&A, on an annual basis, was down by 15%.

Having said that on the positive side, we generated a cash of about INR 1,000 crores in FY 24.

And more important than that, which we had not done in some time, was to improve the receivable days by about 55 days through realignment of sales closer to the season. Digital business, the revenue is about INR 53 crores as compared to last year, it was 72 crores, but there was a significant reduction in the loss to about INR 99 crores against INR 283 crores of last year. Nurture .retail turned positive at CM1 level. We are positive in most of our platforms. We have about 95,000 retailers.

We are improving the number of retailers who are working on the platform. In terms of our engagement on the app, the numbers have almost doubled in terms of how much time a person is spending on the app. And we have a lot of exclusive brands, not just from UPL, but from some of the other companies also who are coming on the platform on a regular basis now.

Some brighter things, for the year FY25, we are having six major launches. We know that we have a leadership position in cotton, but that also becomes a problem when the season goes a bit off on cotton. So, we are focusing very, very aggressively on rice, vegetable, maize and sugarcane.

So, in that we are launching six new products, two key products on paddy, BPH and stem borer, we all know, are two key products. We are having two insecticides on this. We are having one insecticide on vegetables.

We are having one fungicide, a multi-set fungicide, which will go in multiple crops, and we are having two non-selective herbicides, one for plantation and the other for non-crop area. The peak revenue for these two insecticides would be, INR 250 crores, and for one insecticide in vegetables about INR 80 crores, a fungicide of about INR 40 crores and two herbicides of about INR 40 crores.

In terms of our innovation rate, we have a very healthy innovation rate of about 25 %, which we see continuing in the coming year also. Strategy going forward, like I said, we are realigning our business priorities for future. It's good that we got a challenging year this year.

The first thing, of course, is profitable growth. So, we want to regain our volumes in our flagship products, which is Flonicamide and Glufosinate, with the weather production being somewhat favorable till now.

We already have launched a few products in last year. The contribution was not so high because in the first year you always tend to invest more. So, we are expecting higher contribution from our recent launches. We also are expecting volume growth from some of the new launches that I discussed.

Our differentiated and sustainable share will increase from 25 % to 35 %. I think that's going to be key on how we're going to grow business this year. And there's a continuous push on SG&A rationalization.

I think it's a continuous activity we're trying to see wherever we can improve the efficiencies in the business. Lowering working capital, of course, is our second pillar. The realignment of sales closer to the season is not just a Q4 phenomenon. We will keep doing it as we go forward. Additionally, rationalization of credit terms and, of course, scale up of channel financing is something that we are working very aggressively on. The key to our success we also feel in terms of cash generation would be tighter demand planning and inventory controls.

The third thing, of course, is to address the white spaces. Like we discussed, we have a decent share in Paddy. We have a decent share in Maize, but the idea is to make the shares bigger. 2x increase in market share is what we are targeting in Maize and Sugarcane, and 1.5x market share in Rice by FY29. In terms of areas, we are present across India, but two areas we have sort of identified where we need to get stronger are east and some of the southern markets. Last thing, of course, is identifying the right channel partners, selling them a bet

ter mix of products, and of course, putting up improved market share with them, and leveraging all of this through digital analytics to drive operational excellence.

I think that's going to be a key that this whole transformation is going to be data driven. With this we are pretty confident that next year we'll be standing here, with a much better performance with much improved numbers. And with that, in terms of improved numbers, I would like to call my colleague from Advanta, Benja, who will talk a little bit about their improved performance. Thank you.

Benjamin Marolda :

Thank you, Ashish. Good afternoon, everyone. We're shifting a little bit on the markets, moving out of chemicals, moving into seeds.

And I understand there's a pretty well-known audience on chemicals, so I was advised to give a little bit of a background of what are the differences and similarities between the seeds business and the chemical business. So, of course, we are operating in the same Ag sector, but I would like to share three main topics in order for us to understand why we saw the kind of performance that we were able to deliver, and how this compares with the situation that the chemical sector is going through. The first, of course, as I mentioned, we are serving, yes, the same market segment or the same sector.

We are serving farmers. But, actually, not every farmer is purchasing seeds. In fact, a lot of the chemicals that are being sold are being sold on crops that are perennial.

The dynamics are different, while the final use is the same. The dynamics that are being pushed or generate changes in the markets are similar, driven by fuel, by commodities, by weather. I guess COVID taught us logistics too.

But the second point that I wanted to highlight are the differences. So, the first and most important difference between chemicals and seeds is on the supply side. While chemicals might have global supply facilities, that they can impact global markets; in the seed business, supply is mostly driven by local production.

So, the kind of challenges that we have seen in the chemicals are very unlikely to happen in the seed business.

The second would be the products and portfolios. In chemicals, we are dealing with molecules that are more than 40 years old.

In the seed business, a given product should have or might have a life span of five to seven years. Every five to seven years, we are changing that product. The industry is changing that product.

That means that product is dead and most probably will not come back. Of course, we have longstanding products, but there's a natural balance to come up with new products in order to be able to provide better performance to the farmers, to keep our market share and to continue providing more value to farmers.

And the last point on the differences is the growth drivers. There's been little additional land for the seed markets to expand, so value of the seed market is driven by innovation mainly. Pulling in new products and new technologies that will add more value to farmers, out of which we will be able to share some of it and capture that as a price. The second one would be hybridization.

You might be aware that in many regions, farmers are still open or using open pollinated varieties compared to hybrid seeds that are delivering higher performance.

And the one last difference, of course, would be the crop or portfolio mix. When a more viable crop takes over a lesser valuable crop, then the market will be growing.

The last point I wanted to share before I jump into the numbers is regarding how we create value as an organization. And that is mainly driven by IP intellectual property and value generation. And that happens through the development of different products, what we call genomics.

And that is unique, and that is by region. There are very few examples of products that can move

around the globe. And that is why you will see that most of the seed companies have a lot of R&D facilities for the same given crop across different countries.

Because every country has a particularity where that particular crop needs to receive products that have been developed for that particular region. The second one would be the level of investments that the company does, the germplasm diversity and the access in order to be able to generate different products and new and better performing products.

And then another factor that sometimes gets undermined is time.

Time is extremely important because you might be wondering why aren't there a lot of start-ups selling seeds. That's because for developing seeds, it takes decades. It takes decades for you to be able to develop a product and for that product to be reliable enough for a farmer to walk away from a performing product into your own product.

And those are some of the traits that we at Advanta have. We have more than 60 years of history and that brand helps us when we come with a new product for farmers to believe that that product will perform better than our own existing portfolio and better than competition.

And of course, last but not the least, the people. Our sales team plays a big role to help position our portfolio in the ground for farmers to actually believe and see with their own eyes what we say on our brochures, on our field days.

With this being said, I'll go into the numbers. We had a fantastic quarter 4 where we were able to deliver, as Anand mentioned, a 34% revenue growth from INR 835 crores to INR 1,119 crores.

Most of that revenue growth came from volume, accounting for 27%, where FX was 0.5% and price 6%. The growth was driven by through improved realizations in canola, in corn, in sorghum and vegetables, and we had a very healthy traction in volume in vegetables in India.

When we go to the EBITDA, which is where we were able to grow 38%, the first line item would be contribution, where we dropped from 54.7% to 48%. Large part of that drop happened because we had higher production costs, and that was basically driven by weather, in seeds, whether we like it or not, we deal with Mother Nature, and we produce our inputs on open fields, so we have to deal with that. So, we had lower recoveries in India, in Australia, in Thailand, and Indonesia, and further we also had some change in the crop mix which impacted the contribution margins too.

When we look into the expenditure side, on the fixed overheads and the R&D expenditures, we spent higher than last year, in line with what we were expecting, but of course they got diluted on a very high revenue, and that helped us to deliver the 38% growth in the EBITDA side, moving from 15.2% of EBITDA margin to 15.6%.

When we look into how the regions performed, we can see in the quarter 4, we had a lower growth in Asia and Americas, while Australia and Europe saw improved growth.

When we go to the full year, we were able to deliver a growth of 17% in the top line. Now the growth participation is more balanced between volume and value, where volume is participating with 9% and price is 6%, and we had a benefit of 2% in FX.

We had a strong traction on all four of our pillars, be it field corn, sunflower, canola and sorghum. Advanta has been performing well in recent years, and when we look into the CAGR on the top line from fiscal year 2022 to 2024, we have been able to deliver 21% growth.

The gross margin, for the full year, improved from 56% to 57%, overheads were in line with the growth in contribution.

The R&D expenditures is mainly driven by project wise, so we delivered what we were expecting to deliver, and that allowed us also to deliver a 19% EBITDA growth moving from INR 898 crores to INR 1,068 crores. Our EBITDA margins also improved from 25.2% to 25.7%. When we look

now into the regional pie, we can see that both our major regions, Africa and Asia, together with America, retain their positioning. We see a slight decline in Australia, mainly driven by naturalization of the grain soil acreage down there, and a good growth in Europe leading to increase in share from that region. When we look into the working capital, we had a slight increase from 85 to 91 working days, basically due to higher inventory days.

Going a little bit more into the details of the crops, the share of these crops in our revenue mix remained pretty stable, so that means that we have been able to grow in all these four verticals in a similar way for the past year.

Of course, our biggest contributor is corn, and we continue to gain market share. We have very strong and established portfolios. We are also launching new products, and we keep renewing our portfolio, that will give us sustainability and further growth in different markets, and we consistently strengthen our youngest B2C endeavors in the field corn.

Going to grain and forage sorghum, and you might remember that this is where we have been driving significant additional value for farmers, driven by the 'igrowth' technology, and even by the 'Aphix' technology.

I believe Bhupen shared about those in the past, but particularly in Brazil, it has been a major growth driver for us, the 'igrowth' technology, and the agility to overcome some shortages, that we had at the beginning of the year in Argentina, that is a very important region for us in grains and forages, and also in Australia, in order to capture every single opportunity that we were able to.

When we go to vegetables and fresh corn, two other very strong crops in our portfolio, we bounced back in Okra by renewing our portfolio and delivering value to farmers, being able to capture that market share and value share back. We continue to expand our portfolio in other vegetable crops and expanding also geographically out of India. That is our center of excellence.

And we continue also to build up the strength in our verticals for our go-to-market in vegetables. When we talk about seeds, when we are talking about the go-to-market between vegetables and what we call field crops, it's totally different domain knowledge that the people on the ground need to have in order to build the demand and generate the traction.

And finally, sunflower and canola are our main oil crops. We have been able to grow. This percentage share last year was around 14%, so the share of this portfolio has increased by 2% to 16% in FY24. And this was mainly driven by a very strong Argentinian portfolio renewal. We have what we call a new generation of products that they are delivering higher dry matter, higher oil content, and we have been growing market share like nobody's business in Argentina. And also, we are strengthening very much our go-to-market and our portfolio in Central and Eastern Europe, the region that has not been heavily impacted by the Black Sea conflict, while it also was impacted. And finally, Australia growing significantly and very aggressively, particularly in Quarter 4, you might have seen that, on canola. We are

renewing our portfolio of canola and we are, again, also growing market share there pretty aggressively.

So, this was a little bit of what I wanted to share on the Advanta side. So, with this being said, Raj, you can take over. Thank you.

Raj Tiwari :

Thank you, Benja. I'll be covering a lot of group's performance on safety and especially on environmental sustainability. And also, I'll be covering the performance of the specialty chemical platform this year.

Yeah. So, on safety, as a company, this year, we didn't have any process safety incident. And also, our TRFR, which is the Total Recordable Frequency Rate, has been 0.24 as compared to 0.29 last year. And basically, three

themes. One is, you know, we continued our safety cultural transformation, which entailed working at the grass root level, and also on the occupational health and safety capability building piece.

And the last is on the warehouse management, where we did the safety assessment, the gap assessment piece of all our warehouses globally. And we have been able to, bridge 75 % of those gaps and 25 % will be bridged this year. So, our safety performance overall has been good last year.

When it comes to the environmental sustainability piece, in FY24 we reduced our CO2 emissions by about 17% and our fresh water consumption by about 12 %. This is, despite our production volumes being flat.

So, this has primarily been because of the use of greener energy and also by a lot of recirculation of fresh water and water discharges. And last is on waste generation, which was up by 17 %. That is on account of product mix.

We continue to be number one on Dow Jones Sustainability Index. UPL has been included in the CDP supplier engagement leader board.

And as I alluded in the beginning, we have a 62 megawatt of hybrid green energy capacity, which we intend to double this year. And we are much ahead, and on track to achieve our five years commitment in terms of environmental sustainability, what we promised four years back.

On the specialty chemicals, our revenue for the year decreased by 26 %, which is in line with our captive business decrease, whereas on the non-captive business, our volumes, except for the key accounts, we were able to grow our volumes by 7%.

Especially on pharma, on mining, on chemical intermediates front, we have been able to gain market share in our volumes. Our sodium cyanide volumes grew double this year, and this product for us has been doing extremely well.

And on EBITDA, there has been a decrease of 17 % which is lower as compared to revenue decrease of 26 %. We have been able to achieve that largely on the back of better manufacturing efficiencies, and fixed cost management. Our EBITDA margins were 130 basis points better as compared to last year.

So, basically what we want to do is that we want to leverage on our scale. We have expertise in hazardous and complex chemistries, for example, cyanide, phosgenation, acrolein, CS2 chemistry, and H2S, which we can leverage at scale.

And, as you know, we are very much vertically integrated, right from energy to feedstock, and which will give us differentiation in terms of our downstream applications. And, therefore, we would be able to grow our non-captive business aggressively over the next few years.

I now hand over to Anand to continue with the further presentation.

Thanks.

Anand Vora :

So, we are almost at the end of our presentation. Discussing about, discussing about the outlook for the UPL group as a whole for FY25, we expect to return back to growth, largely driven by normalization of our crop protection business, and we expect that to largely from come in H2 of FY25.

We are expecting a turnaround in our crop protection business in our large markets of North America, Brazil, and India. And, of course, the continued strong performance of the seeds business should aid overall growth. However, as you would have heard from all the four vertical heads, our focus is going to be on improving margins, bringing operational efficiency, and cash generation. That's going to be the top priority for this financial year.

So, our revenue guidance, we are guiding for a 4 -8% revenue growth in FY25.

On the EBITDA side, as I mentioned earlier, focus is going to be on significant improvement in margins, and we are expecting at least 50 % growth in EBITDA margins for FY25.

As mentioned earlier, again on the debt reduction, we expect to generate operating cash of about \$300-\$400 million, which will almost entirely be used to reduce the debt.

Further, as we mentioned earlier, through the rights issue, which is expected sometime by the end of Q2 or beginning of Q3, and pursuing capital raise in our other verticals, we expect to end the year with a net debt to EBITDA of below 2. So that's broadly our guidance for this financial year.

With this, I would like to invite Jai and all the four vertical heads, and we can start the Q&A session.

Q & A Session

Attendee :

Hi, this is Prashant from Elara Capital.

Sir, how do we monitor liquidation globally? Is there any data -driven thing?

Mike Frank :

Yeah, so I think the question was how do we monitor liquidation from the channel? Yeah, so there are some markets where we do have access to panel data, which the industry shares, and we participate in that, so there's a few markets where we get near real -time information in terms of liquidation. I would say the more common method is through our sales reps, as they call on our distributors and retail dealers, that they talk about inventory levels, they walk the warehouses, and we consolidate data that way too.

So, it depends on the market. Sometimes it's based on, you know, broad market data, and sometimes it's more based on internal market research.

Attendee :

Is it possible to do something like one of our innovator competitors does, like your code -driven liquidation for better monitoring of liquidation?

Ashish Dobhal :

Yeah, no, I think that's right.

Like Mike said, I think it was primarily driven by the data from our sales reps and our field people. But what we've done is exactly what you're saying, is that we've launched a whole new digital ecosystem, where each and every product of ours is now QR-coded in India. We've implemented it recently.

That should give us a very good idea of the secondary -level liquidation, which was a big pain.

Mike Frank :

Yeah, maybe just one last point. You know, so we have done some trials in certain markets where we pay the channel rebates. We talk a lot about rebates.

Often in the past we would pay a rebate based on getting access to the shelf, and so, you know, the more they would buy, the more rebates they could earn. What we've realized is that, you know, a smarter balance is applying some of the rebate to the sell-out, and so now across the board in all of our markets, at least 50% of our rebates are on a sell-out basis. Again, this doesn't necessarily give us access in real-time to inventory levels, but at least by the end of each season, we do get reports on the sell-out and the current inventory level, which then allows us to apply a rebate to them.

So that would be the other change that we're making to our market practice.

Attendee :

Lastly, is it possible to incorporate that in our PPT going forward quarterly?

Jai Shroff :

Probably not.

Attendee :

Hi. This is Saurabh Jain from HSBC.

So, I wanted to know whether the rebates and discounts, pricing adjustments, it's already been passed largely, or we still expect some to be coming in the next year? And also your views on the high-cost inventory?

Mike Frank :

Yeah. Hi, Saurabh. Good question.

So, as we said in our remarks, I think both for the Global Crop Protection business and also in India, much of the pain that we took last year is behind us. I would say in high-cost inventory, over 80% of it got liquidated last year, and so there is a little bit that still is yet to be liquidated in FY25. Most of that should clear in the first half of the year.

We're expecting that rebates and returns are going to normalize throughout the year. And so, we would expect the incremental hit that we had last year from higher rebates and returns, that that is behind us, and FY25 will be a normalized year on that front.

Attendee :

deed :

So just breaking it down, in the first half of FY25, can there still be losses at PAT level, and do you expect the EBITDA margins to be somewhere closer to 15-16%? Last year, first half, we had about 16-17% EBITDA margins.

Mike Frank :

Yeah, so what we would expect, again, in the international crop protection market, and others can make their own comments, is that there will be probably some volume growth, and so we would expect the volume increase of 4 -8% to probably happen quite evenly across the year, maybe a little bit loaded into the second and third quarter. The pricing comparable in Q1 will be a challenge for us, specifically in the post -patent segment. So , if you think back to Q1 of last year, the prices were coming down, so in the post -patent segment, there will be some pricing headwinds on a comparable basis, and so we would expect in the first half of the year that there will still be a little bit of margin compression, especially at the contribution level.

That will normalize in the second half of the year, and EBITDA will have a similar impact. Obviously, we've got significant SG&A savings that are going to apply on a full -year basis this year, so that will be helpful to EBITDA margins, but we're not going to guide on a quarter -by-quarter basis, but I think in the international crop protection business, you'll see EBITDA margins and contribution margins increase as the year plays out.

Attendee :

So at least there won't be any losses at the PAT level? Can that be a safe assumption?

Anand Vora :

So, Saurabh, I think at least in Q1, the EBITDA margins will be lower compared to Q1 of last year . But as Mike said H2 is where you will start seeing the growth.

Attendee :

Okay, one last question, if I may. So , fourth quarter , we reported about INR 900 crores of EBITDA in UPL Corp, about INR 175 crores at the Seed business, and EBITDA loss in UPL SAS . So probably somewhere INR 1,100 crores of EBITDA from these three businesses.

The number that we have reported is about INR 1,933 crores. So , where that balance part of EBITDA is being captured, in which business and how?

Anand Vora :

It's captured at the group level in the formulation business , tolling business and our post -harvest business called Decco , our animal health business and the health and nutrition business .

Attendee :

Okay. So , a large part of the margin is kept in the manufacturing entity, then you start to understand.

Anand Vora :

Yeah At least for this year, that has been the case.

Attendee :

Okay. Thank you so much. All the best.

Attendee :

Hi. This is Vishnu from Avendus Spark here.

Just wanted to understand, the last 12 -18 months has been very difficult for the industry. Going forward, is the industry going to structurally change, let's say, as a cumulative industry? The big ones, do we see the approach of all the companies going to be very different?

Maybe the medium ones and the smaller ones, if you can talk about how the last 12 -18 months is changing the view of the industry as a cumulative going forward.

Jai Shroff :

I think the industry came off a period during COVID of extending very long credit due to very low interest rates regime and, you know, great demand for agriculture chemicals, little bit of instability of supplies from China, so there was anxiety and nervousness, so everybody was carrying a little bit of extra inventory. I think that swung completely the other way in this last one year, and I think everybody lost price discipline. I think going forward, all of the companies have had similar impact to what we've had, so I expect there to be a lot more discipline across the board .

We have seen stabilization of prices out of China fluctuating a lot less than they were in the rest of last year. I think whatever numbers we see, everybody is stabilized, so the industry

will start to normalize a lot more. I think all the companies are trimming their growth forecast, so we were also expecting a much higher growth rate in the next few years, so that's been trimmed, so everybody is adjusting their operating costs also.

So, I expect there to be a normalization, kind of a new normal, but no rmalization and much better discipline in the industry.

Attendee :

On the working capital, do you expect the industry to structurally think differently given the high inventory and the debtor days? Will that change this time or maybe after a couple of years it will go back to being a high working capital industry?

Jai Shroff :

Yeah, I don't know what will happen a couple of years down the line , but at least right now I see all the companies restructuring. Most of the companies in our pe er group, the bigger companies, are reorganizing their global setups, cutting costs, cutting down offices, shutting down offices, cutting down countries where they operate. So , I don't see that at least for the next few years.

And there is not enough margin in the business to give higher than usual credit. So , I think the discipline will be there.

Attendee :

And one last question, if you could discuss a little bit on your thoughts on the generics pricing from China. I mean, do they make money at these prices or if they were to return to profitability, when do you expect the situation to normalize or come to a level where the generics business would probably make money for a manufacturer?

Jai Shroff :

So, I think we have seen the numbers from all the public companies in China . I don't think they are in a happy situation either. I mean, they have a little more patience than other people.

But there is obviously pressure on everybody to improve margins and you will see that there too I expect.

Attendee :

Hi.

This is Abhijit from Kotak here. Thanks for taking my questions. First on the results, the Europe region and the rest of the world seem to have done particularly well this quarter.

So, if you could please just help us understand what happened there. Just with regard to the recent floods in Brazil, is that a concern for our business there?

Mike Frank :

Yeah, so I would say if you take each market separately, Europe through much of last year

was de -stocking. So , coming into the spring season, the channel was beginning to anticipate grower demand , so they were stocking up. So even though rains were excessive and there was flooding in the western northern parts of Europe, we still saw the channel ordering product , getting it in the warehouse and getting ready for the spring season.

So, I think the growth in Europe is a natural growth based on the de -stocking impact leading into our Q4. I would say in the rest of the world there wasn't an impact on de -stocking. It's a market where there's still a huge opportunity for us to grow our business based on our current share position.

I think a lot of our competition is de -emphasizing some of those markets because they're very fragmented. I think our ability to go to market and serve small holder farmers is second to none. Which is a lot of the rest of the world market.

So, our performance across much of Asia and China and across African continent was really strong last year including in the fourth quarter. And maybe just a comment on the flooding we're seeing in the southern parts of Brazil , obviously that's very concerning.

Thankfully none of our employees were directly impacted. Our partners in the channel also none of their assets were greatly impacted. So , we're paying attention to it.

I think it's more of a humanitarian issue at this point in time and likely won't have a significant impact on crop production. There is some minor crops that have been grown in the region , but this is not major season for row crops. So , we are not expecting an impact on the overall crop row production in Brazil next year.

Attendee :

Second thing on the over -capacity issue in some of your major molecules. You specifically mentioned glyphosate , cletho dim, and S-metolachlor . Any recent developments in terms of rationalization in China or are there still capacities being added there?

How do you see those molecules going forward and what percentage of your revenues do those contribute?

Raj Tiwari :

You know that S-metolachlor and glyphosate, these are very large molecules for us. We have large capacity , but we are also a significant player .

Our captive volumes itself is large. Going forward, I mean, I really don't know what will happen in China , there has to be some consolidation of volumes or some shutdown of the volume because the world doesn't need that much of capacity, especially on glyphosate.

On S-metolachlor , there doesn't seem too much over capacity. It is , largely in line with market needs. Yeah, so I think someone raised a point on the cost position of China and whether generics are making money or not.

Now, whether somebody is making money or not, but, you know, out of our top 15 molecules, that we make, we are very, very cost competitive as compared to China. This is based on the data, which is the export data from China. Vis -à-vis that, we are very, very competitive.

And, therefore, going forward on a normalized basis, margin should not be a concern.

Attendee :

Thank you.

One last thing from my side, just any further rebates or inventory write -downs that we should expect in fiscal 25, and also the overhead reduction plan, has that completely played out in the 4Q numbers, or is there more to come in coming quarters?

Mike Frank :

Yeah, so on rebates and high -cost inventory, as we discussed earlier, there will still be some liquidation of high -cost inventory coming into FY25. We believe most of that, or all of that, should really clear in the first half. And, again, I think from an overhead standpoint, you know, we made a commitment during FY24 that on a comparable basis, we would reduce our cost in FY25 by \$100 million across the group, and we're on path to do that.

Attendee :

Yeah. Hi, sir . Rohan here from Nuvama Institutional Equities here tonight.

Sir, first question is on the debt reduction, which you mentioned, with a roughly 50 percent kind of EBITDA growth, which you are looking for this year, almost at INR 8,000 crore kind of number. We are talking about almost INR 3,000 to INR 4,000 crore rupees kind of debt reduction. Are you assuming any further capital raise here, because only from the operations, probably this number doesn't justify that we can reduce the debt up to that extent, or it's only primarily coming from the working capital?

Anand Vora :

So, it's a mix of both working capital and through the EBITDA, but this \$300 to \$400 million does not include any proceeds from rights issue or any other capital raise .

Attendee :

Sorry, to raise this question on this forum, but in terms of capital al location, we have seen that two years back, almost we came with a buyback offering to the investors while we were still quite a leveraged company. Now, we have seen that last one and a half years have been troubled for the industry, and we are again here probably looking for the fundraising opportunity, contrary to what we have done two years back.

Do we learn something from here that probably a strong balance sheet is always the need of the hour, and does it change the strategy of the company, or the mindset of the board that we have been always looking for the acquisitions on the cost of the leveraging balance sheet and also, do we expect that going forward maybe over the next two to three years we can have a stronger balance sheet with less leverage going forward, or we still will have a focus on growth rather than balan

ce sheet.

Anand Vora :

So, Rohan, I think we saw the presentation by all the four verticals, and you see all of them spoke about focus on improving the margins and reducing the working capital or generating free cash flow. So clearly this year the focus is going to be on generating free cash flow and the \$300-\$400 million of free cash flow which we expect to generate in FY25 will be used to reduce the debt. Also, as far as the rights issue proceeds are concerned, the objective is to repay the debt.

So clearly the focus is on debt reduction. I think I would just only say that while with whatever we did, the buyback and other things, nobody anticipated the markets to, you know, sort of drop s o rapidly and because as Mike , Jai mentioned, that this was an extremely unusual situation. We have not seen in the last 30 years such a scenario.

So, I think clearly the entire management is now focused on improving the margins and reducing the working capital and generating free cash flow to repay the debt.

Jai Shroff :

I think just to add to that, the focus is to, as you alluded in your question, is to make a strong balance sheet and really focus on our portfolio of companies , if you look at the whole portfolio, there are a lot of businesses, our d ifferentiated product business, our Advanta

seeds, even specialty chemical side, these businesses are generating high ROC Es. The idea is to really focus on growing those businesses.

Attendee :

Also, is there any asset monetization because we have now made some structural changes with the four companies in our vertical, so is there any asset monetization opportunity along with the rights issues that you are also evaluating?

Jai Shroff :

Yeah, so I think the idea of creating the platforms is to give the management teams very clear opportunity to grow their business and the idea is also to look at monetization opportunities for each of the platforms.

Attendee :

Thank you.

Attendee :

Rohit Nagaraj from Centrum Brooking . So, first question is on the collections. So , we have focused on collection.

How is the industry reacting to it? Whether other people are offering more credit period and if so , particularly from Chinese play ers, will it have impact on our volumes maybe next year? Thank you.

Ashish Dobhal :

You are right. That's a good question.

We are focusing on collections. That's a very important piece for us. So , in the industry you would see there are three, four types of players.

There are some players who had started focusing on collection two years back. There are some players who are working on it now. There are some players who had done it three to four years back.

But we are very clear this is the path that we have taken. And we have very strong brands in India. Having said that f ocusing on collection s would not mean a reduction in volumes.

Attendee :

Anything on the global level?

Mike Frank :

The way I think about it is the whole supply chain went through a challenging 12 to 18 months here. It has really reset everything. If you think about working backwards from the grower, they typically want their inputs when they need them.

They may procure the products two to four weeks in advanc e, but they don't really want it until a week or 10 days at the most depending on the region. In the past when interes t rates were low, the suppliers, we were trying to get access to the shelf early so we were competing against our competitors to get access to the distribution shelf. We would be

negotiating with the dealers up to six months in advance of when they needed to have it ready to sell to the grower.

The retail channel also had a lot of challenges working through their high -cost inventory over the last 12 to 18 months. The whole retail channel and distributors also wants to buy their product as close as they can

to when the grower is going to need it. That's bringing a lot of discipline.

We also want to supply it close to when the channel wants it and when the grower wants it. For us to manage our supply chain we want to manufacture it as close as we can to when we need to ship it. When we think about improving our working capital , everything is coming together. I think Jai talked about discipline that is coming in channel because the channel wants to order it close to when they need it. Suppliers are managing the ir working capital. It's always going to be bumpy as this is a big transition. We have been very clear with our channel partners in terms of how we want to serve them close to when the market is.

We're lining up our supply chain to support that. That's one of the opportunities for us to release working capital through our international crop protection business.

Attendee :

Second question is last year Q4 we had a setback because there was a sudden spurt of supplies from China. What has been the situation in the last four months of this year? Have we seen a similar kind of situation or is it better in terms of large quantities supplies from China?

Thank you.

Mike Frank :

Yeah, so look, I would say it's not better in the sense that even since Q4 of last year the average selling price out of China has come down. Now , as Jai mentioned in the past really five or six months the price has been very stable.

But it's stable at a very low level. So , from a planning process we're anticipating that those prices will persist through our next fiscal year. So that's kind of our base assumption.

As Jai said at some point in time , we may see price increase s out of China because at least based on current feedstock prices there's not a lot of room for prices to go down. But we're not in the business of predicti ng China . So, we're anticipating that this is the new normal and we're pricing accordingly and if in the future if there's some consolidation or prices go up then we'll be able to participate in that but again that's not baked into our guidance for next year .

Attendee :
Thanks.

Attendee :

Yeah, Nathan here. In seeds business was Q4 a bit exceptional because contribution margin has gone down to 48% as compared to normal 55%. And the second thing is related to R&D, what's the long -term thought process whether that 15% spend remains and what's the lead -leg relationship for coming out with products over growth?

Benjamin Marolda :

So, regarding portfolio gross margin on the Q4, it has been impacted compared to what we were looking for. There's a natural low gross margin happening as we expand in lower value regions. There was some extraordinary sales that helped us on the top line, but impacted on the percentage wise, but we should be getting back on track on the volume.

It's also impor tant to understand what are the regions that we are serving in Q4. Mainly

regions where we are having lower gross margins serving in Q1 or Q2. That would be on the gross margins. On the R&D, definitely, we are spending project wise.

There's important aspects on the R&D that once you commit to a given operating there's no way back to create savings because operation will be done. So, we have been operating extremely consciously on what we are deploying, but definitely R&D is the core of our business and we will continue investing. I mentioned the importance of time, but time is nothing unless there's investment in improving our genetics.

So, R&D will always be an area where we will continue investing because that will create the pipeline for us to continue going in the future.

Attendee :

So sustainable margins will remain 55 % plus for this FY25.

Benjamin Marolda :

Yes.

Jai Shroff :

Thank you very much. No more questions, then we can meet outside. Thank you.

Anand Vora :

Thanks for

joining us. Please join us High Tea.

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Q1 FY '25 Earnings Conference Call"
August 02, 2024

MANAGEMENT : MR. JAI SHROFF – CHAIRMAN AND GROUP CHIEF
EXECUTIVE OFFICER – UPL LIMITED
MR. RAJENDRA DARAK – VICE CHAIRMAN – UPL
LIMITED
MR. MIKE FRANK – CHIEF EXECUTIVE OFFICER ,
GLOBAL CROP PROTECTION BUSINESS – UPL CORP
MR. ANAND VORA – CHIEF FINANCIAL OFFICER –
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MR. ASHISH DOBHAL – CHIEF EXECUTIVE OFFICER ,
INDIA CROP PROTECTION PLATFORM – UPL SAS
MR. BHUPEN DUBEY – CHIEF EXECUTIVE OFFICER ,
SEED BUSINESS ADVANTA
MR. RAJ TIWARI – CHIEF EXECUTIVE OFFICER ,
SPECIALTY CHEMICALS BUSINESS – UPL LIMITED
MS. SONALIKA DHAR – HEAD INVESTOR RELATION –
UPL LIMITED

UPL Limited
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Moderator: Ladies and gentlemen, good day, and welcome to the UPL Limited Q1 FY 2025 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sonalika Dhar. Thank you, and over to you, ma'am.

Sonalika Dhar : Thanks, Sejal. Good afternoon, everyone. Thanks for joining us today for the results for Q1 ending June 30, '24. The presentation, press release and the financial statements have been made available on the website. And we take it that you have read the Safe Harbor statement. From our management team, we have with us today, Chairman and Group CEO, Jai Shroff; Vice Chairman, Rajendra Darak; CEO of our Global Crop Protection business, Mike Frank; CFO, Anand Vora; CEO of our India Crop Protection platform, Ashish Dobhal; CEO of our Seed Business Advanta, Bhupen Dubey; and CEO of our Specialty Chemicals business, Mr. Raj Tiwari and other members of the leadership team.

With that, I now hand it over to Anand. Anand, over to you.

Anand Vora : Thanks, Sonalika, A warm welcome to all of you who have joined us today. Before I talk on the key financial highlights for the first quarter, I'd like to state that overall results of the first quarter have set the trend for a near normal year, and we are reasonably confident of delivering the guidance, especially with regard to the EBITDA growth and reduction in debt.

In summary, it has been -- it has indeed been a good beginning to this financial year. And as stated at the Capital Market Day, we expect good growth in profitability and free cash flow in H2 of this financial year.

Revenue growth for the first quarter was flat at 1%, driven by 16% increase in volumes, 14% decline in price and a negative 1% FX impact.

Contribution margins were lower by 620 basis points at 39.5% year -on-year, primarily due to price decline, increase in trade expenses and partial liquidation of high -cost inventory. But also since we saw some improvement on account of lower input costs, while contribution margins were lower year -on-year, the margin was higher by 470 basis points over full year FY '24, indicating stabilization of prices. Our efforts to reduce SG&A continue, reflecting in a 3% reduction in the cost year -on-year.

We are on track to drop our SG&A further and look to deliver on the \$100 million savings in FY '25 as per our guidance. With sales remaining flat on account of volume growth negated by price pressure, there was a drop in contribution profit leading to a drop in EBITDA, which stood at INR1,145 crores. However, the decline of 28% year -on-year was lower than the 32% decline

we saw last year, showcasing a trend reversal in business.

Our Global Crop Protection business grew by 5% and Mike will take you through region-wide details of our international business and the outlook for the year. At UPL SAS (UPL Sustainable Agri Solutions), we continued our efforts to restructure our business through strict credit policies and tighter credit terms, which led to a postponement of sales closer to season and consequent impact on Q1 revenues. However, our contribution margin improved. Working capital was

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reduced and cash flows improved, giving us confidence that this is the right structural move for us in India. Our focus on SG&A reduction continues, and we saw a drop of 5% year-on-year. Advanta, our seeds platform saw some headwinds in Q1 on account of weather challenges that impacted production, created inventory shortages and supply chain constraints leading to an impact on con

tribution and EBITDA margin. Sales were lower by 7% and EBITDA by 13%.

Marginal price increase helped to offset the high cost of goods in the seeds business.

Moving on to working capital. We are happy to report that our net working capital decreased by 1 day as of 30th of June 2024 versus an increase of 14 days for the same period last year. Net debt grew at a significantly lower rate than previous year. Our net debt increased by 639 million in June '24 versus 1.136 billion in June '23. Our net finance costs remained largely flat despite the rise in benchmark rates, that's the SOFR rate by almost 400 basis points year-on-year and a 30 basis point incremental cost on account of the credit downgrade.

The tax for the quarter is the normal tax charge, while in the previous year, we've got benefit of deferred tax allowance, resulting in a negative tax charge. Net loss for the quarter was INR 384

crores on account of 28% drop in EBITDA. However, we continue to maintain our guidance for the year of an EBITDA growth of greater than 50% over FY '24 and cash flow from operations of 300 million to 400 million, enabling us to reduce interest costs and return to profitability. As was highlighted by Mr. Shroff at the Capital Markets Day, improving our cash flow and strengthening our cash balance continues to remain one of our key focus areas.

As regards to the rights issue, we expect to positively close the same within the financial year. On the monetization of some of our platforms, it is also being simultaneously considered as we

evaluate various options. Overall, led by the gradual recovery in crop protection demand and the implementation of cost optimization efforts, we expect the revenue for the full year FY '25 to be in the range of 4% to 8%, largely driven by volume and EBITDA growth of greater than 50%

over that of FY '24. On the cash flow and balance sheet front, our focus of generating healthy cash flows and deleveraging will continue.

With this, I'll hand over to Mike to take you through the UPL Corporation or our Global Crop Protection Capital platform and financial results. Over to you, Mike.

Mike Frank: Thank you, Anand, and hello, everyone, and welcome to our first quarter fiscal year 2025's Earnings Call. It's great to connect again after our Capital Markets Day earlier this year. Now

before we review the quarter, I'd like to share some thoughts on the market itself. First, we continue to see strong fundamentals in the global crop protection market with farm-gate demand for our products at or above last year levels. And we continue to gain share in most key regions as the market normalizes. This is enabled by our strong customer approach and demonstrated again in our first quarter performance.

Let us turn to our financial results for the quarter. I'm happy to share that our first quarter showcased growth, demonstrating our ability to recover rapidly from last year's industry challenges and successfully increased our market share. Among key segments, herbicides growth was strong in North America. Driven across our portfolio, our herbicide performance in UPL Limited

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Brazil was also solid. Fungicides growth was led by higher volumes in Europe and North America. Revenue growth in our Natural Plant Protection, NPP, business was also strong, up 10% versus the first quarter last year, really driven by a strong performance in Europe and other regions. Our contribution margin compressed by around 600 basis points versus the first quarter of FY '24. This was due, as Anand mentioned, due to price decline, partial liquidation of high-cost inventory and increased freight expenses emerging from the ongoing geopolitical issues. We maintained the revenue mix from our differentiated and sustainable portfolio with one third of our first quarter revenue coming from these higher-value offerings. We're encouraged by this trend and the continue

d strong adoption of these offerings by our customers.

Let's now review our regional performance for the quarter. In Latin America, our revenue was down by 9% due to price decline. Brazil had strong volume growth, demonstrating our ability to continue to increase our market share; however, Brazil was impacted by price erosion in insecticides such as Perito, Feroce, and Sperto. Additionally, key Mancozeb-based fungicide such as Unizeb Gold and Evolution were also impacted due to price softening, but we also saw an improvement in margins on account of reduction in input costs.

In Argentina, this region was impacted by a shift in sales with growers deciding to purchase closer to the use season and Colombia started the year with severe weather-related challenges.

Thankfully, those have largely abated by now, but it did lead to an overall decline in revenue on our first quarter in Colombia.

In North America, with channel destocking challenges mostly over, we saw good in-season demand for our products. In particular, herbicide led volume growth was also supported by fungicides, but partially offset by overall price decline of key AIs. In fact, our volume led our growth and it drove revenue for the region up by 66% in the quarter. Additionally, I'm pleased

to share that the NPP business was also up around 10%, led by biostimulants. After a challenging FY '24, we are confident that the North American region will continue to perform strongly for the rest of this year.

In Europe, our revenue was up by around 9%, led by fungicide volumes. Further, NPP in the region grew by 56% versus last year. Just as in North America, the strong volume growth of over 20% was driven by in-season demand and thus, the majority of the sales this quarter were also applied in the field, setting up for a good restocking season later this year. In the Rest of the World region, this region and group of countries was up by around 3% with herbicide growth offset by a decline in insecticides. Volume growth of 17% indicates a continued share gain in this region. Overall, while Africa and China led the growth, the Japanese yen was a headwind for us in this region.

So turning our outlook to Q2 and the full year for FY '25, we expect the prices of key AIs to remain stable as in the past few quarters. With lower input costs, we do expect to see an upside in our margins for the rest of the year. While we expect some headwinds on account of softness

in ag commodity prices, along with higher freight expenses, we continue to anticipate margins to normalize in the second half, just as we indicated in our Capital Markets Day presentation.

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From an SG&A perspective, we continue to remain disciplined and the organization is focused on making improvements in the operating model and driving efficiency throughout the enterprise. Overall, for FY '25, we continue to focus on margins. The benefit of which is expected to get more pronounced in the second half of the year once our high-cost inventory is fully liquidated. Our focus on cash generation continues, and we are optimizing our inventories and other working capital items. And finally, we continue to build on our new product pipeline with a strong footing to deliver our committed amount of \$85 million of revenue from new launches this year. In closing, I just want to thank our team and our valuable channel partners for the strong performance this quarter, and I'm confident we'll see sequential margin improvement as the year progresses. With this, we are now open for Q&A.

Moderator: Thank you very much. We will now begin the question-and answer session. The first question is from the line of Saurabh Jain from HSBC.

Saurabh Jain: If you can hear me, my question is relating to the North American market. Can you give more details what led to such strong sudden volume growth in the first quarter? And is it more

like a

temporary one-off restocking event? Or is it going to sustain for the rest of the year? And if yes, then what could be that quantum? And if there is -- first thing, are the inventories completely normalized now in that region? And if yes, then why there isn't a recovery in the end product pricing?

Mike Frank : Yes, very good question. So in North America, as we saw evolve through last year, because of destocking, the channel went into the season, I would say, with a little bit less inventory than normal. And so as the in-season business then presented itself, which really does in our first quarter, we did have opportunities, again, primarily in herbicides to complete the in-season application business.

And so again, I think this is going to be a new normal trend where the channel tries to move to more of a just-in-time inventory position, stocking a little bit less and trying to then fill orders in-season, and that's exactly how both North America and Europe played out, which is why we saw the volume growth in both of those regions, which were really in-season businesses this year.

So to the second part of your question, we would say that largely, the channel destocking has been complete. Obviously, there's unique situations maybe on a product basis or a country basis, where there's always going to be a little bit of balancing going on. But for the most part, as you

saw with our strong volume growth of 25%, that's again a strong indication that the destocking is largely behind us now.

In terms of pricing opportunities, again, we are looking for opportunities where we can take price on the quarter. Price was a clear headwind for us in our first quarter. Again, it's comparing to a quarter last year where prices were quite a bit higher than they were right now. So what I would expect as the year plays out, I don't think there's going to be very material price increase opportunities but our margins will improve and the pricing difference on a quarter -by-quarter

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basis will start to normalize as we go from Q2 to Q4 this year. So that's what I would expect from a pricing standpoint.

Saurabh Jain: Okay. That is helpful. Also, on the same thing, we understand that the production coming out of China has also been very, very strong. For instance, a major product is glufosinate in North America, the pricing downward trend continues. So how do you see the competition from China

for the rest of the year when you say that there should be a sustained recovery in the U.S. markets? Can incremental volume from China again just impact and [inaudible 0:18:21] ?

Mike Frank : Yes. So you broke up a little bit for me at the end. But look, as you know, one of the strengths of UPL is our supply chain capability with the vast majority of our production coming out of India, from a quality, reliability and a cost standpoint, we can compete against anybody in the world. And so again, what we're seeing is our margins are starting to normalize across our portfolio. Obviously, there could be certain AI in the mix where there could be higher or lower margins. But what we're focused on is really managing our supply chain, looking for cost

efficiencies wherever we can and our teams have done a great job of doing that.

And so we'll be very competitive across our portfolio. We know that China prices are lower than they were a few years ago.

Largely, they've stabilized from what we're seeing over the last 3 or

4 quarters. We're not expecting to see prices increase this year. They could. But we also don't expect them to go down really much from this point either. And so -- that's our base assumption that we're baking into how we're forecasting the rest of the year.

Saurabh Jain: Okay. That is helpful. My second question would be on the India business. I understand that on the same product, glufosinate, there has been an introduction of minimum im-

port prices. So first

part of the question is that has this benefited us in the first quarter in terms of securing our market shares or improving the margins? And secondly, I understand there has also been a proposal to introduce antidumping duties, which is under investigation. How confident you are about that?

What would be the time line? And the third part of the question is, are you looking to further -- are you or the industry looking to ask for any further MIPs or ADDs on any of the other products from China to safeguard from China?

Anand Vora : Thanks. Good question. I think India, we have a slightly different position on glufosinate. I think we have a brand, which is there in the market for the last 3 to 4 years. So we do get the benefit of the overall cost coming down and the brand positioning that we have in the market. So we are not competing with the other generics because we think we have a different position in terms of the brand. So we have 2 brands in the market with our 2 companies and some mixtures, which are in the market, and we are seeing very good growth in the product energy.

I think antidumping is something, which is more for the regulators and the government to sort of look at. We are following it up closely, but this is something that is more up to the governments and regulators, and then for us to do anything. But with our brands, we are pretty confident to grow this product in future also in India because this product eventually is the sale of chemistry, which will definitely grow in India because there's a lot of market potential in terms of where this product can go.

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Saurabh Jain: Okay. And are you also looking to kind of -- you or the industry, do you think possibilities of more such antidumping requests for investigations for any of the other product segments coming out of China? What would be your reading on that?

Anand Vora : I think it's very difficult to say. Unless Raj has a different opinion about it. But it's more with the government to see what kind of products are coming from China than for us to make any comments on it.

Moderator: The next question is from the line of Vikash Agarwalla from Bank of America.

Vikash Agarwalla: Couple of questions from my side, and this is a bit more structural. Just want to understand, based on what you said and keeping in backdrop, the guidance you have of 4% to 8% revenue growth and 50% EBITDA growth. While if I look at the first quarter numbers, revenue is 1%

higher, EBITDA is about 28% lower. So what are the triggers or what will change, which will make that FY '25 guidance that you will -- if you can explain that? That is my first question.

Anand Vora : Sure. So Vikash, you see the -- our margins -- contribution margins have come back. And in this quarter, we sold very little of high -cost inventory, which we had left from the previous year. We still have something to sell in next quarter, but it's a very small amount, about just below \$40 million. So the improvement in the contribution margin, if you see the first quarter contribution margins are at about 39 -- close to 40%, which is more or less the normalized margins, which we had I would say , if you ignore '23, FY '23 and '22 and '21. So that gives us the confidence. And what we have also seen is that prices have stabilized, as I mentioned in my commentary, and good volume growth across board. Across various regions, we are seeing a good volume growth. This gives us confidence that the first quarter being -- generally, it's largely Asia, but from Q3 and Q4, or I would say, end of Q2 and then Q3, Q4, we will start seeing the larger markets season beginning, that's in Latin America, followed by Europe and U.S. And the volume, the way they are growing, we do believe that we should be on target, both in terms of revenue as well as in terms of EBITDA growth.

Mike Frank : And maybe, Vik, it's Mi

ke here. I'll just add to Anand's comments. As we reported last year, especially in the second half, we had significant expenses due to both returns and rebates to support the channel as prices came down. And with high certainty, we expect that to normalize this year, especially in the second half. And so on a comparative basis, we're highly confident that we're going to see significant margin improvement and EBITDA growth as we go through, in particular, the second half of the year.

Vikash Agarwalla: No, that's helpful. Maybe the other way to understand a little more about it is what was maybe the impact from rebate or special discount in the first quarter, which led to EBITDA not performing as much as expected?

Anand Vora : No. I mean, we didn't have -- the regular rebates were there. There were no special rebates given. But as I said, we did sell about close to just around \$10 million to \$12 million of high-cost inventory, which we had. Obviously, on those inventory, we've made lower margins. So nothing significant and that's why you saw the contribution margin returning back to about 40%, around 39.6% level.

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Vikash Agarwalla: Okay. Okay. Got it. And my second question is, for rights issue, Anand, you had mentioned that the target is to complete by FY '25, end of FY '25. While I think the earlier target was more to complete in this calendar year, has -- is there any delay or any change on that side, which is leading to...

Anand Vora : No. I think -- I mean, we're just being a bit cautious after having made the announcement some time back. As you know, we made the announcement last year and then we had certain regulatory -- I mean, some questions by the regulator, which we have addressed now. And we are fairly confident that by end of Q3 or by mid Q4, we should see the rights issue on.

Vikash Agarwalla: Got it. Got it. Maybe one quick follow -up actually on the first question itself. And I'm trying to understand the drivers here is, if I look at UPL Corporation revenue, it's 5% higher on a year - on-year basis for this quarter. While if you look at the factoring numbers, it is actually lower. So my assumption was that the pickup in revenue in Brazil and North America probably drives the factoring number as well. If you can explain that, what's driving the factoring number lower?

Anand Vora : Yes. We consciously didn't go for the factoring option just to keep our interest costs lower. While we have shared in the past that our factoring cost is not significantly higher than the cost of borrowing through working capital limits. But we did find the working capital limits cheaper, so we reverted to that option. If you look at our interest costs, they are down by about INR 10 crores, as compared to that of the previous year same quarter. And this is despite the SOFR going up by almost 400 basis points over that of the previous year same quarter plus the 30 basis point increase, which we had to give to most of our lenders due to the downgrade. So it was largely the decision to reduce the high-cost borrowings or in other words, reduce the factoring, which was a bit high cost and revert to low -cost working capital finance.

Moderator: The next question is from the line of Saloni from Jefferies Group.

Sonali Salgaonkar: This is Sonali Salgaonkar from Jefferies. So my first question is regarding the debt again. What is our average cost of debt as of Q1 versus last year?

Anand Vora : 7.5%.

Sonali Salgaonkar: It's 7.5%. And what was it last year Q1?

Anand Vora : Last year, Q1 was roughly in the range of about 5.5% to 6%.

Sonali Salgaonkar: Understand. Understand. Sir, also on that I'm just confirming, our deleveraging guidance is \$300 million to \$400 million, excluding rights issue proceeds for FY '25. Is that correct? We maintain

that?

Anand Vora : That is right.

Sonali Salgaonkar: Okay. Sir, my second question is on

differentiated and sustainable mix. Could you please help us with the number as to what it is currently of your sales right now versus last year? And what's your target?

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Anand Vora : Mike, do you want to...

Mike Frank : Yes, for Q1, as we reported, the mix was about 1/3 differentiated and sustainable and 67% post patent. What we indicated at Capital Markets Day is that we expect this year, the mix is going to be roughly 60-40, around 60% being post patent and 40% being differentiated and sustainable.

And so that's where we have our line of sight to. And I think with our new product launches that are heavily skewed this year and the past few years towards differentiated and sustainable products. As the year plays out, I think we're going to get very close to that 60-40 mix by the end of the year.

Sonali Salgaonkar: Understand. Also, sir, in terms of -- we did hear you talk about the recovery in H2 with the pricing stabilizing? But of the overall oversupply situation in the industry and pressure from Chinese generics, do you still think that pricing can potentially stabilize over the next 2, 3 quarters?

Anand Vora : We lost the line?

Moderator: No sir, we are connected.

Anand Vora : No, they're saying whether the prices stabilize over the next 2 to 3 quarters, given oversupply from China.

Raj Tiwari : Prices largely have -- even now, in last 3 months, if you see, it is largely stabilized, barring one insecticide and one herbicide. But I mean if you see the prices currently, that looks like that it's like at cost or with a very thin margin these guys are selling. So they're just trying to recover the fixed cost. So I do believe that these prices have really bottomed out and don't see much room there for further erosion.

Sonali Salgaonkar: Understood, sir. And just one last question. In the Capital Markets Day, you had alluded to achieving about \$100 million in cost savings in FY '25 due to cost optimization. Could you just throw some light as to what cost optimization you are talking about?

Anand Vora : We are -- essentially, I mean, the \$100 million, what we've talked about the cost optimization, needless to mention it, rationalization of some of our employee cost, I mean, manpower essentially. So that's one, as you know, manpower constitutes roughly about 50% of our SG&A.

And then, of course, the other are the travel and advertising and promotion and some of these other costs, consultants, costs and other costs that we are looking to rationalize.

So also, we are working towards bringing in more efficiency. We have set up a global business service center, which were essentially to start off with finance, supply chain, logistics and some of the HR work carried out in some of the high-cost geographies have moved to these GBS and their processing and providing the support. So these are some of the initiatives, which we have taken -- and through these initiatives, we have set ourselves a goal to reduce our SG&A by about \$100 million for the full financial year.

Moderator: The next question is from the line of Imtiaz from Barclays.

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Imtiaz: I have 2 here. The first one, I just wanted to get some clarity with regards to the answer you just gave, stating that the prices have stabilized in the last quarter. But in your disclosures, you have mentioned that revenue growth for the first quarter was flat driven by 16% increase in volumes and 14% decline in prices. So I'm just -- if you could just clarify on this point?

Raj Tiwari : This price degrowth as compared to Q1FY24 sales, what I was talking to you was on supply side, I think the question, which was raised to us was on prices in terms of the prices from China, which means in terms of supply. What you are talking about is price degrowth, which we have shown is in terms of the selling price as compared

to last year's first quarter, right?

Imtiaz: Okay. Understand.

Raj Tiwari : Have I answered the question?

Imtiaz: Yes, yes. Second one is with regards to your rights issue. Have you gotten the SEBI approval for the rights issue?

Anand Vora : I mean, we are in the process of filing the DRHP and we would be going under the fast track, so we expect to get those things clearance by, as I mentioned earlier, either by end of Q3, we'll come up with the issue or by mid of Q4.

Imtiaz: Okay. Sorry. In your May call, your Investor Day in May, I think you mentioned that after the release of your FY '24 results financials that you were going to submit the application. I think if I'm not mistaken, by end of June or July, but now you are saying you are going to submit? Can you just clarify on this?

Anand Vora : There has been some clarifications, which have been sort and the bankers are handling that with the regulators, and we have provided those clarifications. And that has caused some delay.

Imtiaz: What's causing the delay? I mean, just clarifications or anything specific you are able to mention?

Anand Vora : No. I mean, as I mentioned earlier, we are waiting for the financial results to come. We have the draft, DRHP. We needed some clarity. As you know, we restructured some of our businesses and we needed clarity around that. If you recollect the financial results shows a business held for sale, which is our what we call the specialty division, which we are moving into a 100% subsidiary. So as per the accounting standards, those are required to be put as a business held for sale and it appeared in the annual results as one liner, and there was some confusion as to how to present it in the reality. So those things have been sorted out as we speak.

Imtiaz: Okay. And if I can just follow up on this rights issue. Is the promoter still underwriting, the promoter group still committed to picking up all rights not subscribed? And how do they plan to fund their subscription to the rights?

Anand Vora : Imtiaz, I can answer the first one. The second one, I won't be able to answer. They have underwritten the issue and they will be under the SEBI guidance. As promoters they have to subscribe fully. In fact, they have to give an undertaking to that effect to the SEBI.

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Moderator: The next question is from the line of Himanshu from Seaport Global.

Himanshu : I have a couple of them, if you can please help me. So first, with respect to your liquidity, I see that your cash balances have actually declined significantly in the last quarter from \$750 million to \$407 million. Can you please throw some light on this, like what were the real reasons? And what will be the liquidity levels that you would wish to maintain going into the year -end? That's my first question.

Anand Vora : Sure. So basically, if you see the trend of cashflow due to the seasonality of our business, if you see Q4 of every financial year is a time, is the period during which we get maximum cash inflows. And that's because that's the nature of the business okay, let me share with you, the Latin American business season starts from September.

So typically, they have a longer credit period and they pay after the harvesting happens in Jan - Feb and their payment comes after that. Europe and U.S. have a similar pattern, Europe has a shorter payment cycle and season starts in Q3 or by end of calendar quarter or by end December to January-February. And generally, the payment comes by February-March.

And U.S., whatever we sell, we largely put it under our nonrecourse program. So that money also comes in. And then we do have sometimes advanced collection happening in Asian markets.

So our maximum cash flows come in Q4, and that's how some of them come right towards the end of the year.

And that's why we do have a very awkward situation since we end our year on 3

1st March. We

have maximum cash during that period, around that time. You will see, if you go back to the last 5 years, every year, you would see maximum cash as of 31st March. And obviously, our cash requirement across various subsidiaries all put together is not more than \$350 million to \$400 million.

Himanshu : Okay. Another question is more on the perpetuals. You have this U.S. dollar perpetuals, which are callable next year in February. Any plans about calling them or financing them? Will it be safe to assume that given the planned rights issue, you might use some of the proceeds to partially call these bonds

Anand Vora : I mean, we haven't taken that decision. As you know, perpetuals 2 years back or 1 year, 1.5 years back, they were the most expensive debt on our books. Today, they are one of the cheaper debts, which is sitting on our books. We will definitely, out of the free cash flow generated from the business as well as on the rights proceeds, we will use it to reduce our debt. But we haven't taken a decision as of now whether it would be going to be used to buy back the perpetuals or whether we will use this for repaying some other debt.

Himanshu : Okay. But do you plan to take a decision sometime by, say, end of this calendar year? Or you will leave it for the renewal date

Anand Vora : As I said, it's all a function of what is the most expensive debt, which is on our books. And I mean, if you see the pricing today of the perpetuals there, I think, the market -- or the way they

are priced, it does assume that at least the market is not expecting us to pay back is what we see
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based on the pricing, what we are seeing what its quoting at. But that doesn't mean that's not our view. That's what the market is thinking

Moderator: The next question is from the line of Daniel Chng from BlackRock.

Daniel Chng: Just a very quick question from me. As we see the volume and price impacts year -on-year from the first quarter of last year to this current quarter. Can you give a sense for us in terms of how the volume and price changes were like between the fourth quarter of last year and this quarter meaning quarter -ending March and quarter -ending June, what the volume and price changes were that you saw?

Anand Vora : Mike, did you get that question right? Or you want him to repeat it?

Mike Frank : Well, I heard about the volume price on this quarter and comparing it to Q4, was that the question?

Daniel Chng: Yes, that's correct.

Mike Frank : Yes. I mean I don't have my fingertips on the Q4 volume -price relationship in the global crop protection business, Anand. I'm not sure if you have that in front of you. But this quarter, as we reported, price was down about 20% and volumes were up 25%.

Now again, I think it's going to be somewhat exaggerated this quarter where we expect in future quarters, volumes will be , they're not going to track 25% each quarter. They're going to be more muted than that based on our revenue guidance, but the price impact is also going to be significantly less. Again, if you just kind of rewind to take back to last year, we started Q1 with a lot of our products still priced at the higher rates than we had from the previous year. And starting in Q2, prices really started coming down. And so that's why we're going to see more of a normalization in pricing as we go through the rest of the year. The next 3 quarters are all bigger quarters Q1. And so again, while we do expect to see some volume increase as we go through the year, we won't be at the magnitude that we expect you know that we saw in Q1. But

Anand, can you pull back from Q4?

Anand Vora : Yes. So Mike, for the last entire financial year, we had volume was down by 6%, and price was down by 17%. And just for Q4, and just so that everybody is clear, this is for Q4, we are comparing with Q4 of the previous year, that's of FY

'23, volume was down by 2% in Q4 and

the price was down by 15%. So on an average, one can say that the full year, we had a volume degrowth of roughly 5% to 6% and a price degrowth of about 15% last year.

Moderator: Daniel, does that answer your question?

Daniel Chng: I was actually more interested in the first quarter of '25 versus the fourth quarter of '24. But no worries, we can move on.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

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Abhijit Akella : Just a couple. One on the India business, UPL SAS. The slide talks about some impact on sales for the next 2 quarters as a result of the transition to tighter credit and inventory norms. So any sort of outlook you could help us with regarding what sort of growth this business can post for the full year fiscal '25?

Ashish Dobhal: We are not giving region-specific guidance. But I think with the tightening of the working capital, it's only the phasing, which shifts a little bit. So in the sense that if you're phasing very closer to the season, the sales from one quarter goes to the other quarter. But by and large, we are seeing that the Indian monsoon outlook, which is a very important factor for our country is looking better. And with that, phasing might be a bit here and there, but we feel most of our brands in India should be coming back to normal or the growth track. And we also have some new product introductions, which should also help. But we don't see any decline in sales because of contraction or being a bit tight on the working capital. But at the end of the day, we definitely feel that this will be a much better quality business in next 2 to 3 quarters. The only difference might be in the phasing of the sales.

Abhijit Akella : Understood. And on Advanta, the outlook for next year in terms of production and cost, given that the entire industry seems to be sort of short of inventories for this year, is it getting more competitive to sort of source seed for next season? And therefore, could there be some pressure on sourcing costs in the seed business?

Anand Vora : Bhupen?

Bhupen Dubey : Yes. Bhupen here from Dubai. You're right, some of the companies are facing this problem on supply constraint because of the primarily with the adverse weather condition. Going forward,

normally in Asian continent, there are 2 seed planting windows. One is a wet season, which is a monsoon and another is a dry season.

So ideally, the dry season is the best production in terms of productivity as well as cost structure.

What we have done is that we have taken a call to significantly go for the production in wet season. As a result of that, the cost of production goes up because productivity is quite low relatively. But we continue to maintain our position in terms of market share. So that is one point.

Second point, as you are aware, India biofuel driven price of the end product, the farmer level is quite good, probably highest in the world. The Indian farmers are getting INR 2,300 per quintal on an average. So they have a very good profitability profile. And the result of that they are comfortable in terms of price increases.

So the product where we have a good differentiated positions, we are able to pass on the increased price there. So this is kind of a trend we look at in our scenario. But from Advanta perspective, we see this supply constraint to be continued in quarter 2 also. We will start getting the new arrival sometime in end of September or early October. So situation will change in October to December period.

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Abhijit Akella : That's really helpful colour . And one last quick thing for me. Just on the finance cost breakdown slide, the interest on leases and others is down significantly on a year -on-year basis. Is this largely because of the decline in factoring of receivables?

ivables?

Anand Vora : Correct. That's right, Abhijit.

Moderator: The next question is from the line of Bharat Shettigar from Standard Chartered Bank. Mr. Bharat, may I request you to unmute your line and speak. Due to no response from the current participant, we will move on to the next participant. The next question is from the line of Abhiram Iyer from Deutsche Bank.

Abhiram Iyer: My first one was related to your employee expenses. They've sort of risen year -on-year and quarter -on-quarter. Any particular rationale for that? And the second question has got to do with pricing. You mentioned in the presentation that potentially found a bottom for the lower prices that we're seeing in the industry, yet it's basically down 14% on a year -on-year basis. That itself was down about 10% on the previous year. So are we expecting a sort of similar drop, that 10% drop to continue into Q2 given Q2 last year was already a 15% drop on the previous year there?

Anand Vora : Mike, do you want to take both the questions, employee cost and product cost?

Mike Frank : Yes. So on the employee expense, I mean, I think he's talking at the overall enterprise, Anand, so maybe I'll let you take that one. Look, on, as I said, on pricing going forward, we don't expect to see this near the magnitude of pricing impact that we saw in Q1.

Again, if you go back to last year, we started taking prices and normalizing prices to the current level really when we got into Q2 and Q3. And so there will likely still be some pricing headwinds that will show up in Q2. And for the most part, I think the pricing headwinds will almost

completely go away in the second half of the year. So that's what I would expect just from a timing standpoint.

In terms of employee expenses from a global crop protection standpoint, what we saw this quarter, is a normalization of our bonuses from an accrual standpoint. So there was some incremental expense due to that, again, from a comparison to last year. So fewer headcount as Anand said earlier, which was the savings. Somewhat offsetting that, though, was the bonus accrual that is being normalized this year as we track with Q1.

Abhiram Iyer: Understood. Understood. And on your , one last final question. On your factoring reduction, you mentioned that this is primarily because going to a lower cost is obviously more beneficial for the company. Does the total limit still remain the same here that you have? So in case, say, your cost of debt comes down as interest rates normalize on a macro basis, you're free to go back to more factoring?

Anand Vora : That's right. The limits are very much in place.

Moderator: The next question is from the line of Surabhi from SMIFS Capital Markets Limited.

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Surabhi: Sir, my question is, can you explain the reason for PAT loss this quarter? And when do you expect it to become positive?

Anand Vora : As we mentioned during our Capital Market Day also and Mike alluded upon it even on this call, we expect H2 -- generally H2 for us is a larger -- I mean, Q3, Q4 or H2 is larger than H1.

And as we see the price stabilization and the benefits of low -cost inventory all flowing through,

we expect -- and with the volumes also growing, we expect to come back to a positive profit PAT sometime in H2.

Moderator: The next question is from the line of Vishnu Kumar from Aventus Spark.

Vishnu Kumar: So when we talk about the margin improvement, especially at the gross level, if you could help us understand, which reason is giving you the maximum pain given that we've done probably better in U.S. I'm guessing that market is better and Brazil generally is not a great market. So just some understanding there, how the season has been? And in our second half, when we say that kind of been better and second half is more of a Brazil -heavy season, so how does that really pan out for recovery in margins?

Anand Vora : Sure. Mike, will you...

Mike Frank : Yes. Sure. So that's a very good question. As we look forward, firstly, in all the regions, we are expecting margins to normalize. And as you said, there are some regions that have higher margins traditionally that we would expect to continue to have those higher margins like Europe, for example. This specific quarter, Q1 for us in North America, even though it was a good quarter from a revenue growth standpoint because it was also the region where we liquidated some of our high-cost inventory, we actually saw margins compress on a Q-over-Q basis. And so North America had the most challenges this past quarter from a margin perspective. The rest of the regions were largely in line with where we would see them normally. So that's just the colour on Q1. But even in North America, as we go through Q2 and beyond, we are expecting margins to normalize.

Vishnu Kumar: Just on this, the high cost inventory, Brazilian major season is like the second half for us. Are we -- I mean, is there any additional stock that we need to clear there or across the various regions that we are operating, do we still need to take some more rebate, discounts or inventories that we still need some correction into 2H? Or we think most of it is done by 1H?

Mike Frank : Yes. I mean so again, from a rebate and a return perspective, we do expect those to normalize through the rest of this year. And even in Q1, rebates and returns were normalized. And so we're not expecting to see any extraordinary rebates or returns or revaluations this year like we had last year.

The business in Brazil, which you said is second half, for us, the Q2 was also a big quarter in Brazil. And again, as the distribution channel is buying inventory closer to the season, the season really gets ramped up, say, starting in September. And so we do expect good growth and good sales in Brazil through Q2 and, of course, Q3. And so that's how the Brazil business is going to ramp up for us.

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Vishnu Kumar: Got it. And just to be, just to understand this, again, much of the second half margin improvement seems to be coming from the fact that last year, third quarter and fourth quarter, the technical prices were probably slightly lower than what it currently is. So that helps a little bit better in terms of pricing. Is that the way to understand of the second half recovery? This prices second half to, the second half, if prices stays here, we will probably see some improvement.

Mike Frank : Yes, that's right. And so our expectation is pricing will be relatively stable in Q3 and Q4 this year versus where they were last year, Q3, Q4, we'll get the benefit of lower cost of goods. So that will be accretive to margins. And then again, we won't have the extraordinary items that we had last year that impacted our income statement. So both of those impacts will be positive to the income statement in the second half of the year.

Vishnu Kumar: Got it, sir. And one last question, if I may. Obviously, a very tough question to answer. When do you think the Chinese extraordinary level of exports and pricing will normalize, your conversations with the industry, when do you think this will probably at least turn for the better?

Raj Tiwari : No it's a question of when the overcapacity situation will become normal. So therefore, the question is that when the capacities will get shut because of non-viability, some consolidation, it doesn't look to be happening for next -- at least next 2 to 3 quarters. So we expect that on the cost side, the prices to be subdued at a similar level because it has really bottomed out. So that's the answer. But when the prices will start again inching up, I mean, it's very difficult to pinpoint and say that from this quarter, it will start coming up.

Moderator: Ladies and gentlemen, due to time constraint, we will take

that as the last question. I would now

like to hand the conference over to Mr. Anand Vora for closing comments.

Anand Vora : Thank you. Thank you, everyone, for joining us on today's call. In case if there's any follow-up questions, you may reach out to either Sonalika Dhar or myself, and we'll be happy to provide you the answers. Thank you once again.

Moderator: On behalf of UPL Limited, that concludes this conference. Thank you for joining us, and you

may now disconnect your lines.

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MANAGEMENT : MR. RAJENDRA DARAK – VICE CHAIRMAN – UPL LIMITED
MR. MIKE FRANK – CHIEF EXECUTIVE OFFICER – GLOBAL CROP PROTECTION BUSINESS—UPL CORP
MR. ANAND VORA – CHIEF FINANCIAL OFFICER – UPL LIMITED
MR. ASHISH DOBHAL – CHIEF EXECUTIVE OFFICER - INDIA CROP PROTECTION PLATFORM – UPL SAS
MR. BHUPEN DUBEY – CHIEF EXECUTIVE OFFICER - SEED BUSINESS , ADVANTA
MR. RAJ TIWARI - CHIEF EXECUTIVE OFFICER - SPECIALTY CHEMICALS BUSINESS – UPL LIMITED
MR. ANURAG GUPTA – HEAD INVESTOR RELATIONS – UPL LIMITED

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Moderator: Ladies and gentlemen , good day, and welcome to Q2 FY '25 Earnings Conference Call of UPL Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone . Please note that this conference is being recorded.

I now hand the conference over to Mr. Anurag Gupta, Head, Investor Relations. Thank you, and over to you, sir.

Anurag Gupta: Thank you, Rutuja. Good afternoon, everyone. Thanks for joining us today for the results for the second quarter and half year ending 30th September 2024. The presentation, press release and the financial statements have been made available on the website, and we take it that you have read the Safe Harbor statement.

From our management team, we have with us today, Vice Chairman, Rajendra Darak; CEO of our Global Crop Protection business, Mike Frank; CFO, Anand Vora; CEO of our India Crop Protection platform , Ashish Dobhal; CEO of our Seed business, Advanta, Bhupen Dubey; and CEO of our Specialty Chemicals business, Raj Tiwari.

With that, I now hand it over to Anand . Anand, over to you.

Anand Vora : Thanks, Anurag. A very warm welcome to all of you who have joined us today. The business performance for Q2 shows a good recovery and provides confidence for meeting our guidance on revenue, EBITDA, and free cash flow for the full financial year.

Let me take you through some key financial highlights for quarter two. Revenue at INR11,090 crores were up by 9% year -on-year on the back of strong volume growth of 16% and a negative 7% decline due to price. Contribution for Q2 stood at INR4,180 crores which was up by 3% year-on-year; and contribution margin s were at 37.7%, 220 basis points lower year -on-year, largely on account of drop in prices and regional mix.

Selling, general and administrative expenses, or SG&A as we call it, were at INR2,604 crores, up by 5% year -on-year on back of one of our customer filing for Chapter 11, resulting in an increase in provision for expected credit loss, or ECL , in LATAM region. Backing off this increase in ECL, SG&A for the quarter was nearly flat as compared to last year.

The EBITDA for Q2 stood at INR1,576 crores, flat versus last year, showing a good improvement compared to 28% drop in the preceding quarter of this financial year. We saw an

improvement in EBITDA margins from 12.6% in Q1 to 14.2% in Q2, an improvement of 160 basis points.

Profit after tax, adjusted for exceptional items, associated income and minority interest showed a loss of INR443 crores as compared to a loss of INR189 crores in the previous year in the same quarter. One of the main factors contributing to the higher loss was the impact of income tax charge due to non-recognition of deferred tax asset as well as reversal of DTA in some countries, which we had recognized in the previous year.

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For the quarter, we saw a marginal increase in depreciation and amortization, finance costs on back of increase in SOFR rates and margin spread due to lowering of company's rating at the beginning of the financial year. Foreign exchange charge or FX losses were at INR375 crores, higher by INR146 crores on the back of higher revenue and primarily on account of some of the countries where the cost of hedging was significantly higher, or the banks had withdrawn their operations in those countries.

Finance performance for H1. Revenue stood at INR20,157 crores, up by 5% year-on-year.

Volumes were up by 16%, whereas we saw a price reduction by 10% and an exchange impact of 1%. Contribution at INR7,764 crores was down year-on-year by 5%, largely due to pricing pressure and re

gional mix. The drop in Contribution in Q2 year-on-year was much lower than that in Q1 year-on-year.

SG&A at INR5,043 crores were up by 1%, an increase in ECL provision being one of the large contributors to the increase. Adjusting for the ECL provision, the SG&A was lower by approximately 2%. EBITDA at INR2,721 crores showed a drop of 14% year-on-year. However, this showed a good improvement as compared to Q1 of this financial year in which the EBITDA drop was as high as 28%.

As mentioned earlier, we are seeing a continued improvement in EBITDA quarter-on-quarter. And based on the forecast we have for Q3 and full financial year, we expect to deliver the guidance of over 50% improvement by the end of this financial year. Profit after tax for H1 was a loss of INR827 crores due to lower EBITDA and a significant increase in tax provision, as mentioned earlier, in some countries due to non-recognition of DTA as well as reversal of DTA, which we had recognized in the previous years.

Moving on to working capital, net debt and free cash flows as of end of H1. The net working capital at INR14,829 crores saw a significant reduction from previous year H1, where the working capital was as high as INR20,116 crores. In number of days of sales, net working capital was at 123 days from 149 days in the previous year, a reduction of 26 days.

Inventory days stood at 117 days, a reduction of 18 days, while payables days stood at 127 days, which saw an increase of 6 days over that of the previous year. Receivable days stood at 133 days, a reduction of 2 days over that of the previous year. We also saw a reduction in non-recourse factoring by INR1,412 crores, about 12 days lower than that of the previous year.

Gross debt, net debt, and free cash flows on account of reduction in working capital and a lower spend on capital expenditure facilitated the reduction in gross debt by US \$286 million and net debt by US \$411 million. With our continued focus on working capital improvement, we are well positioned to achieve our target of 300 million to 400 million dollars of operational free cash flows, which would go to lower the outstanding debt.

In absolute values, net debt stood at INR27,531 crores. That's in US dollar terms at USD 3.285 billion as compared to INR30,697 crores in the end of previous year same, previous year first half, which stood at USD 3.696 billion, showing a net reduction in net debt of INR3,165 crores.

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Cash and bank balance as of 30th of September was INR4,312 crores as compared to INR3,237 crores in the previous year.

With this, I hand over to Mike to take you through the UPL Corporation Global Crop Protection business more in details. Over to you, Mike.

Mike Frank: Thank you, Anand. Hello, everyone, and welcome to our second quarter FY '25 earnings call.

It's great to connect again with all of you. Before we review the quarter, I'd like to share my thoughts on the market. Firstly, the fundamentals of the global crop protection market are mixed.

With destocking nearly complete, we are now seeing normalized ordering patterns; however, price pressure continues to weigh on the overall market, in part due to overcapacity issues in China and tight grower margins, specifically in global row crops. Finally, we continue to do well

in maintaining and growing our market share in most regions. This is demonstrated by the customer preference to our offerings and our higher -than-industry volume growth in our first half of this year.

Let's now turn to our financial results for the quarter. I'm pleased to share that our second quarter revenue was up 4% versus last year. Growth was led by higher volumes across regions such as Latin America and Europe, demonstrating our resilience and rapid recovery from last year's challenging market conditions in these markets. Among major segments, fungicides continued

with strong performance.

In Brazil, mancozeb volumes, specifically Unizeb Gold®, Manzate® and Evolution®, were prime drivers. Europe was led by Proxanil®, our premium fungicide for preventative and curative disease control in potato crops.

In herbicides, clethodim led growth in Brazil was offset by overall purchase delays in Argentina and lower volumes in North America.

Our insecticides portfolio was affected by price erosion of key active ingredients in Brazil, including acephate, acetamiprid and imidacloprid. However, this was partially offset by strong volume performance in North America. Revenue growth in our NPP BioSolutions business grew by 10% versus last year, driven by biocontrol volumes in Latin America and Europe. In addition, growth in this business was supported by biostimulants volumes such as nutrients and Biozyme in Brazil.

Our contribution margin for the Q2 compressed by around 150 basis points versus last year. You should note that sequentially, we are bridging the gap in our margins, driven by relative margin accretion in most regions. The lower margins in the Q2 versus last year were primarily due to price declines in Latin America countries, along with unfavourable mix in Europe.

Turning to SG&A, we are benefiting from operational cost leverage. However, we faced external challenges this quarter from receivable provisions, as mentioned by Anand, which totaled around \$16 million. These impacts were mainly in Latin America. Importantly, we continue to improve our product mix towards our differentiated and sustainable segment with approximately 37% of UPL Limited

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the first half revenue in this financial year coming from these higher -value offerings. We are encouraged by this trend and the continued strong adoption by our customers.

Let's now review our regional performance for the quarter. In Latin America, our revenues were near flat versus last year, led by higher volumes but offset by price decline. In Brazil, volumes grew by over 30%, mainly from fungicide products; however, price erosion in key products such as Perito®, Feroce®, and Sperto® partially offset the volume impact.

Argentina was affected due to the shift in sales with dealers and growers purchasing closer to the use season, leading to overall revenue decline in the first half. Other Latin American countries were collectively flat versus last year with higher volumes offset by price erosion.

In North America, last year's headwinds resulting from returns and price adjustments have normalized this year. We continue to see good in -season demand for our products, in particular, insecticides such as bifenthrin and acephate had strong volume growth and were also supported by higher fungicide volumes. Overall, the region grew by around 16% versus last year.

In Europe, our revenue was up by around 18%, led by strong fungicide growth. Further, our NPP BioSolutions were up by around 25%, driven by strong volume growth. The rest of the world was down by 2% with a decline in herbicides and insecticides, partially offset by fungicides.

Overall, volume growth in Africa was moderated by a decline in Southeast Asia and Japan.

Turning to our outlook for Q3 and the full year of FY '25. We continue to expect the price of key AIs to largely remain stable with lower input costs, improved product mix and higher market share in key regions. This is expected to generate margin accretion in Q3. While headwinds are expected on account of softness in the ag -commodity prices, the freight expenses that were higher in the first half of this year are likely to normalize in the second half to previous levels.

Overall, we continue to anticipate normalized margins in the second half, as indicated in our Capital Markets Day presentation.

Our team continues to remain disciplined with SG&A, and we are focused on making further improvements in our operating

model and driving efficiency throughout the enterprise. We are

also reassessing the potential risks of bad debt and write -offs such as in Brazil and creating plans to mitigate them.

Overall, our FY '25 focus remains on margins, the benefit of which we expect to get more pronounced in the second half of the year, though the benefit of lower input costs as well as the impact of new product launches for the fiscal year, which remain on strong footing to deliver

\$85 million of new revenue. Our focus on cash generation continues, and we are optimizing our inventories and other working capital items as seen in our results.

In closing, I want to thank our team and our value channel partners for the performance in this quarter, and I am confident we will see sequential margin improvement as the year progresses.

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Anand Vora : Thanks, Mike. Before we get on to the Q&A, let me just provide a quick update on our other three platforms that is on our India Crop Protection business, which now runs under UPL Sustainable Agri Solutions Limited; on our Advanta our Seeds business platform, which is under the Advanta Seeds Limited; and the newly formed Superform platform, which currently for this quarter is a part of UPL Limited itself.

Giving a quick business update here. On UPL SAS, the India crop protection chemical distribution platform, we saw a good rebound in our business in Q2 with revenues at INR1,013 crores, up by 20% year -on-year, led by increased volume, primarily in herbicides as well as overall normalized channel inventory, indicating improved ground consumption of our products. While sales related to cotton were impacted due to lower sprays in northern India, we had upsides through diversification in other crops such as rice, maize and sugarcane. Contribution at INR304 crores saw a jump of 111% year -on-year.

Contribution margins at 30% were up from 17.1% in the same quarter in previous year on the back of new molecule launches and product mix. SG&A at INR101 crores were lower by 12% year-on-year, resulting in a significant improvement in EBITDA and EBITDA margins. EBITDA at INR203 crores was up by 592% year -on-year and EBITDA margins were back to the 20% level.

For H1, revenues stood at INR2,016 crores, flat year -on-year. EBITDA at INR372 crores was up by 52% and EBITDA margins were at 18.5%. Overall, the team continued its focus on improving the margins with new launches and product mix and working capital reduction through strict credit control and improving collections.

Moving on to our seed platform, Advanta Enterprises. After a challenging Q1, Advanta seeds platform saw a good improvement in Q2. Despite a flat volume, we had a quarterly revenue growth of 4% in Q2, driven equally by price and FX variance . Our revenues were driven by margin accretive growth in grain sorghum in Argentina and Australia as well as corn in India and Southeast Asian countries.

Overall, contribution margins improved by 117 basis points versus last year. We continue to maintain focus on margin improvement and cash generation in this segment and are confident that this continued momentum is expected to yield favourable results in H2 and for the full financial year.

To sum up, revenues were up in H1 by 5%, EBITDA at INR2,721 crores, sets up well for a 50% growth over previous year, considering the forecast we have for Q3 and Q4, and a reduction in gross debt by USD 286 million and net debt by \$411 million, and shows that we delivered a free cash flow of USD 300 million to 400 million, which would go towards reduction in the gross debt. In summary, business is showing a good recovery in Q2 and H1.

With this, I hand over back to the moderator, and we are ready to take questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Saurabh

Jain from HSBC. Please go ahead.

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Saurabh Jain: Thank you so much for the opportunity and congrats for broadly good set of numbers and strong recovery in India. My first question is relating to your guidance . While you mentioned about the EBITDA growth and cash flow guidance, can you also confirm your revenue guidance for the full year, FY '25, please?

Anand Vora: Yes, sure Saurabh . Thanks for joining us on the call. We continue to maintain our revenue guidance of 4% to 8%. As you see in H1, we have already covered 5% growth, so we are pretty much on track.

Saurabh Jain: Yes. I mean that is fair. But if I just try to kind of look at how the implied numbers should look for second half of this year, a 10% of revenue growth assuming a full year revenue growth of 8% would lead to 10% revenue growth in second half, which may be possible. But then if I look at it, if I compare this with the EBITDA guidance. If you were to achieve an EBITDA increase of 50%, that would imply the EBITDA margins at about 21% for the second half. What will

drive such sharp improvement in EBITDA margin s?

Anand Vora: So I think there are several factors for this, Saurabh. One is, of course, we are seeing fresh inventory at the current lower cost, so that is one. Most of our high-cost inventory, as we have been reporting, has now been sold. Two is, we are seeing a good increase in our differentiated product sales. Those percentages to the overall sales are going up and these are at improved margins. Third is also the regional mix. We are seeing good recovery in U.S.

As you know, U.S. and Europe, both are high-margin geographies. India results, we did announce. You did see the sharp improvement in EBITDA margins in India. So all these factors give us the confidence that we should be in a position to deliver the guidance, which is of 50% growth in EBITDA.

Saurabh Jain: I mean I can fully agree with that, but 21% kind of EBITDA margins doesn't sound to be too ambitious, given the current conditions. While there is a recovery, of course, but then going to such sharp non-normalized margins back to normalized margins looks a little farfetched?

Anand Vora: Well, we did a lot of stress testing, to be honest, I mean, before we went to the public and before we did this call and then the Board meeting also, there was a fair amount of discussion. Of course, I'll ask maybe Mike also to chip in, and we also have Ashish here with us as well as Raj Tiwari, who heads our formulation and the active ingredients business. But pretty much, we did a bit of stress testing before we came up with this guidance that we will be in a position to maintain the margins. But free to ask Mike, if you want to add something, please go ahead.

Mike Frank: Sure, Anand. Thank you. I'll maybe just add 2 points to the comments that you made. Firstly, the second half is significantly larger, at least for the global crop protection business. And so we do get operating leverage as a result of that, which is helpful to EBITDA margins. And then secondly, as we can see with our fresh inventory, as we liquidated most of our high-cost inventory through the first half, we'll also see a contribution margin expansion in the second half. And so those two things will significantly contribute to the EBITDA margin expansion in the second half.

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Saurabh Jain: Thank you so much. So if we deliver this, then presumably FY '26, EBITDA margins would be better than 20% margins, is that a fair assessment for full year FY '26?

Mike Frank: So obviously, we're not yet guiding to FY '26. But look, based on our assumption that prices are now relatively flat, and we made the adjustments we've needed to make. We're getting operational leverage in our plants in India with fresh product. And so the sequential margin that we're going to

see in the second half should continue beyond the second half.

Saurabh Jain: The other question is that just seeking some clarity over here. When I look at the UPL level, rest of the world revenues, it is higher by 30% Y-o-Y. But for UPL Corp., it is lower by about 2%.

So this difference, which business segment is this attributed to?

Anand Vora: Sorry, can you repeat the question again?

Saurabh Jain: So what I'm saying is that if I look at the consol UPL Limited regional breakdown, the rest of the world revenue is higher Y-o-Y basis by about 30-odd percent. While UPL Corp., I think the numbers are lower by about 2% for the same geography, rest of the world. So where is the disconnect over here? Where this extra increase, which business segment it is attributed to?

Raj Tiwari: So you have other businesses. For example, your specialty business is there, which is trending much higher than UPL Corp.

Saurabh Jain: But how much would be exported in the specialty business? Because even that business if I look at the numbers that are reported, that looks like flattish Y-o-Y basis.

Raj Tiwari: Yes. On the quarter-on-quarter, it is, the revenue is flat, yes.

Saurabh Jain: Yes. Because even Advanta, if it would be attributed to Advanta, even Advanta has shown only a 4% increase Y-o-Y. So I was just wondering what am I missing over here? Maybe I can discuss it separately with the team.

Moderator: Next question is from the line of Angel Sun from Prudence Asset Management. Please go ahead.

Angel Sun: I just have two questions. One is regarding the rights issue if there's any update around that?

Have you gotten approval from SEBI because per your last press release, it wasn't a bit clear?

And was there any timeline to guide for the launch, moving forward?

Anand Vora: Yes. This is Anand here. You see, as we are a listed entity, and we have the regulators SEBI, as you rightly pointed out, it prohibits us from making any statement on timing of such issues. We'll certainly get the relevant and appropriate update as prescribed under the SEBI's listing agreement at an appropriate time, and I will be happy to speak to you after such announcement is made.

Angel Sun: Okay. So it's fair to understand that we haven't got any approval, or you can't comment on that?

Anand Vora: I can't comment on that.

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Angel Sun: I understand. Okay. And then moving on to my second question, in terms of the Advanta Seeds business, I think, also previously, there was some press release around a possible stake sale or monetization around it. Is there any further updates that you can provide that has happened over the last 1 or 2 months since the last update?

Anand Vora: No, I think, it's work in progress. We are getting our accounts and financial performance for 3 years and all those things worked out and audited and other details. And we are working on the draft red herring document. So it's work in progress. Again, we will certainly come back to the investing community as and when we have things finalized.

Moderator: The next question is from the line of Steve Byrne from Bank of America. Please go ahead.

Steve Byrne: Mike, I was curious to hear your view on a potential change in international trade if the Red Wave in the US were to impose some meaningful tariffs on exports from China into the U.S.

Anything in there that might be a potential benefit to you? The other one I was curious to hear your view on is the ITC investigation in the U.S. on anticompetitive trading and contracts with crop chems, any involvement with your business on that? And anything I can glean from your outlook for that?

Mike Frank: Sure. Steve, good to hear from you. Firstly, on the situation in the US. Obviously, with the President-elect Trump coming in on a mandate of trying to make supply chains more resilient and less in dependence on China,

I think that would bode well for UPL. Obviously, as an India-based manufacturer, we're prepared to continue to grow our business if the opportunity presents itself in North America. So, look, I think we have to see how the policy comes forward, and what impact there may be on crop protection products that are coming from China. If there is increased tariffs, then that would, again, bode well for us.

On the second question, Steve, the investigation from the federal government that's happening right now with respect to a couple of our competitors in the market that they're looking at anticompetitive behaviour, what is so-called loyalty programs. Again, that's out of our control. We're watching and waiting how that proceeds.

I would say, from our perspective, if the loyalty programs were found to be anticompetitive and if they were to go away, that again would open up additional opportunities for us in North America, in the US in particular, not just with our post patent business, but also with some of our differentiated products, which also get unfortunately hung up competing against some of those loyalty programs. And so again, that would be a positive turn of events for us if and when that were to conclude.

Steve Byrne: Ok, Thank you for that, and maybe a couple of outlook questions for you. One being in your biologicals. You have some strong growth there. You commented on biostimulants, but what about anything in your pipeline you're particularly excited about in biologicals? Anything that you'd like to comment on there? And then the other one would be in Advanta Seeds, the European Union is certainly looking at more favourable regulatory scheme on using gene editing in seeds, is that a potential benefit to your seed business?

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Mike Frank: Great. So Steve, I'll let Bhupen answer the question with respect to the seed business. On biologicals, as you mentioned, we saw strong growth on a year-to-date basis and again, in our Q2. Biostimulants was a part of that, but as I mentioned, we also saw a significant growth in our biocontrols business, specifically in Europe, with that business up over 25% on the quarter. And so we have a very robust portfolio. We do have some very exciting new products that are coming through the pipeline, which include biostimulants and biocontrol products.

This year, of the \$85 million of new product revenue that we're expecting, over 80% of that is in the categories of differentiated or sustainable products. And so again, as we look ahead in our pipeline, over 75% of our pipeline is differentiated like biosolutions or sustainable products or differentiated products. Our whole pipeline is really geared towards that segment. And so we do expect to outpace growth in our business in our biological and sustainable portfolio just as we have in the first half of this year. Bhupen, I'll turn it over to you on the gene editing question for Europe.

Bhupen Dubey: Yes, Mike, thank you so much. Can you please repeat your question here on gene editing?

Steve Byrne: Well, it's a broad question. Is it a technology that you see meaningful benefit to you in your seed business? And then more significantly, the regulatory outlook really varies geographically. It's quite streamlined in the U.S., but it's currently effectively blocked in Europe, but that potentially is changing in another year. Any benefit to you on any of that?

Bhupen Dubey: I think there's two aspects. From a technological point of view, it is very beneficial. We are keeping an eye on it. Last time when we reviewed globally, nearly 900 gene editing projects were going on. And a very important aspect is out of that, more than 509 are only in China, so this is a very exciting technology and is progressing very well. Your question is related to the regulatory aspect of it. We just participated in the European seed conference

last week. And

while for the regulatory, the pathway is clear, but still some of the industries are asking a lot of questions there.

So pathway has to be evolved fully for further progress in gene editing in European countries. From Advanta's point of view, I can add one small piece. Actually, we are already working with some of the Australian universities to enhance the size of the sorghum grain and increase the protein content. And for that we are using the gene editing tool benefit in collaboration with an Australian University. And the project is in review and progressing quite well.

Moderator: The next question is from the line of Lynn from BNP. Please go ahead.

Lynn: Just a follow-up question on the rights issuance. I think the company previously announced that you have made progress for the rights issue, and you plan to make a necessary announcement after the publication of the 2Q results. So now that the 2Q results are published, I just want to clarify if we should still be expecting this announcement about the rights issuance or is it further delay?

Anand Vora: As I mentioned earlier to a question from another investor, I think, we are constrained as we are a listed entity and SEBI, the regulators, that SEBI regulations prohibit us from making any

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speculative statements or any statements on the timing of such issue, which could be construed as speculative in nature. So certainly, I'll be happy to speak to you all once we make the announcement, and we can then discuss further on that.

Lynn: Sure. And my next question is regarding the rating agencies. So I know that Moody's still has you on negative rating watch due to some concerns on refinancing upcoming loans. So how has the latest communication with Moody's been?

Anand Vora: I think the communication is very healthy. We are engaged with all the three rating agencies, and we are in regular touch with them. So I think whatever information they wanted, we have been sharing in a transparent way. And they understand what's going on in the industry. Within that, I think our performance is fairly good, and they are happy to continue to engage with us on a regular basis. So I would say there's nothing or any cause of concern at least at this stage. That's the impression I have after communicating with them.

Lynn: So, the refinancing of the loan isn't really a problem anymore for Moody's?

Anand Vora: We have already made arrangements, and we have shared the details with Moody's on that.

Lynn: Sure. Thank you, and on my last question, I just want to get a sense of what is the change in volume and price on a quarter-on-quarter basis? I think in the presentation, it's more of a year-on-year basis.

Anand Vora: I didn't understand your question. You are referring to what is the volume growth?

Lynn: Yes, volume and price change on a quarter-over-quarter basis for the revenue variance.

Anand Vora: So on Q2, we saw a growth of volume of about 16% and there was a price degrowth of 7%. Whereas for first half, again, we saw volume growth of 16% and a price degrowth of 10%.

Lynn: This is on a year-over-year basis, right?

Anand Vora: That is right. Compared to previous year same quarter or same first half.

Lynn: I see. Do you have a quarter-over-quarter basis versus first quarter of FY '25?

Anand Vora: No, we don't compare that due to the seasonality nature of our business. Our business is seasonal and, therefore, it's always better to compare with that of the previous year. I just compared the EBITDA margin improvement just to show that every quarter, we are seeing an improvement in the EBITDA margins and thereby assuring that we are moving in the right direction in terms of both the EBITDA as well as the free cash flow generation.

Moderator: The next question is from the line of Antonio Gomes from Ninety-One U.K. Limited. UP

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Antonio Gomes: A follow-up from a couple of questions from the previous person. So firstly, on the refinancing of your short-term loans, can you confirm whether or not you have been able to refinance them? And if so, could you share some broad terms?

Anand Vora: Well, I can confirm we have been able to refinance this loan, but we haven't drawn down and we won't be in a position to share the terms and conditions of this loan.

Antonio Gomes: Okay. That makes sense. The second question that I had was with regards to the rights issue. Previously, you had been providing information on the timing of when you expected this to close, at least on a broad basis. And it seems since you issued the press release saying that you were going to do it after the Q2 that something has changed with regards to what you can or cannot share. Could you just provide a little bit more detail as to why your disclosure has changed and, effectively, you can't share with the market when you expect this rights issue to occur?

Anand Vora: No, I think nothing has changed. It's just that we will come with the disclosure shortly. There is a procedure being required after the announcement of the quarter numbers. We are following that process, and we will come with the updates shortly.

Moderator: The next question is from the line of Love Sharma from JP Morgan.

Love Sharma: Just a couple of questions from me. First one, maybe on the Q3 trends, if you could indicate, given I think you reiterated the guidance for EBITDA of 50% Y-o-Y growth. I would like to understand what are you seeing in terms of pricing and volumes for Q3? And the receivable situation in Brazil, is that improving or any changes in this quarter, which you expect?

Anand Vora: I would hand over to Mike because that's a large part of our business. And maybe, Mike, if you can share some insights into Q3 forecast.

Mike Frank: Yes. Very good. Thank you for the question. As you've seen from the first half, we had very significant volume growth of 18% and price compression of 13%. Our expectation as we go into the second half of the year is that both of those trends will start to reduce. Our volume growth will no longer be in the double-digit range. It will likely be kind of in the mid-single digits.

But likewise, the pricing headwinds that we've experienced in the first half will largely dissipate. Again, if you just kind of rewind the clock, in the second half of last year, we really had reset our pricing, and which also created an issue where we also had a number of channel rebates that were also triggered as a result of that. So with those headwinds behind us, that's one of the reasons why we're expecting to see significant contribution margin growth as we go into the second half and ultimately, leverage from our SG&A, we'll also see EBITDA growth. So that's largely what we're expecting from a volume price standpoint in Q3 and in H2.

To your second question with respect to Brazil, there's been a number of issues, not just one, there was one very large distributor that filed for Chapter 11, but there are about a dozen other smaller distributors that have also filed to reorganize. A lot of that has happened in this past quarter and some of it in the Q1 of our fiscal year.

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We would anticipate now that the retailers that haven't restructured they're serving their customers, they're in the process of selling crop protection products and other inputs as the season is now unfolding. And so as we see the strength of those companies and, obviously, we're watching the credit risk very closely, and we're not anticipating any other major restructuring from any of our major customers.

That being said, grower margins continue to be squeezed, especially for corn and soybean growers. In Brazil, in particular, the weakening

of the Brazilian Real versus the US dollar is helping growers a little bit with their margins. And so yes, this is a situation that I would say has some risk to it. Right now soybean planting is on pace, which is good. And so assuming an average or better-than-average crop, the growers will have liquidity to pay their dealers. And then likewise, their dealers will pay us as the season unfolds. But yes, I would say that's the scenario that's kind of playing out right now as we go into the second half of the year.

Love Sharma: Just maybe as a follow-up. So given these challenges, which you are seeing somewhat on the receivable side and also even at the distributors level, does it not impact your expectation for how Q3 would unfold potentially in terms of revenue and even pricing perhaps?

Mike Frank: No. Because really what has happened, is the course correction over the last 18 months, and the channel distributors and the growers are now buying just before they need the product. And so we have a healthy order book right now in Brazil that's going to really help us finish out the Q3 and start into our Q4 of next year. So we can see that the order book is healthy, and growers are ordering as they need products.

And so now that soybeans will be largely planted over the next couple of weeks, we'll move into herbicide, insecticide, fungicide season. And as those growers need those products, they'll be going to the retail channel. Some of that is already on the shelf, but a lot of it is going to still be ordered as the season unfolds this year, which is, again, a difference in timing versus the last couple of years. And that's why we would anticipate some growth in Brazil as the season unfolds here ahead of us.

Love Sharma: Understand. Okay. That's useful. And just one more question from me. Again, kind of similar to this. I think there is still continued reduction in your factoring. Maybe a question for Anand . How does it look for going forward on 3Q basis? And does the receivable situation in Brazil play an impact here?

Anand Vora: No, I think, limits are intact for factoring. We just were reducing our cost of borrowing. The factoring cost is marginally higher as compared to plain vanilla borrowing. So we do a mix of both. And where we see the risks are high, we try to push it on the factoring because we have seen that the behaviour of the customer in making payments on new debt is very different when his receivables or his payables are factored with the bank. So we do it selectively, but we will continue to do it. And as you know we have guided for \$1 billion of factoring by the end of this financial year. I think we should be in that range.

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Love Sharma: Understood. And just one last question. How much is Brazil of this outstanding factoring, which you have right now?

Anand Vora: I don't have the number offhand. But I think about 50% should be Brazil out of this. We have close to \$500 -plus million, 50% should be Brazil.

Moderator: The next question is from the line of Sashank Agarwal, an individual investor. As there is no response, we'll move to the next question, which is from the line of Sonali from Jefferies.

Sonali: Hi Anand and team, thank you for the opportunity . Sir, firstly, I would like to confirm the FY '25 guidance that you just gave out. So it is 4% to 8% year -on-year revenue growth, 50% year -on-year absolute EBITDA growth. And I missed the numbers for FCFS , net debt and gross debt reduction.

Anand Vora: We guided for free cash flow of INR300 million to INR400 million, which would be used to repay the debt.

Sonali: And the net debt reduction guidance is?

Anand Vora: INR300 million to INR400 million , right?

Sonali: Okay. Okay. Understood. And the capex one?

Anand Vora: Capex , we have guided for about INR1,800 crores. Although for the year, up till now, we have

hardly spent about INR700 crores. So we are well within the budget.

Sonali: Understood. Second thing is in terms of destocking, you did mention that destocking is nearly complete. So how many more months do you think before the normalized growth kicks in?

Anand Vora: Mike, if you can , and maybe we can also have Ashish to cover for India.

Mike Frank: Excluding India, as I mentioned earlier that we believe the destocking is largely behind us. And as seen in our volume growth year -to-date of 18%, it's an indication that we are increasing our sales from a volume standpoint, although I believe that would be an industry -leading volume growth. So I think we're now into largely into normal ordering patterns. And so we wouldn't be expecting to see destocking impact our business in the global crop protection business going forward.

Sonali: Understood. And last thing, your rights issue, we understand you cannot comment on the exact timeline , but just wanted to crosscheck. The issue is worth \$500 million, right?

Anand Vora: No. We had said up to \$500 million. I think the Board has come back with a guidance of about \$400 million. So the issue now we plan to come up with is \$400 million.

Sonali: Last one , , average cost of debt in Q2 versus last year?

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Anand Vora: It's around 7%.

Sonali: And last year?

Anand Vora: Last year was , we didn't see the increase, so it was around 6.25%.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Thank you very much, good evening, Anand and Mike . So, in the UPL Corp numbers you have shared for Q2 and first half, can you give us how much of Advanta Seeds international revenue is included there?

Anand Vora: UPL Corp numbers don't include Advanta numbers. UPL Corp is our global crop protection business , ex India, .

S. Ramesh: Okay. So that is only crop. Okay. Second thing is, if you look at the kind of volume growth you're talking about, double -digit growth in first half and then single -digit growth in second half.

On that base, what is the kind of ballpark volume growth we can expect assuming normal conditions of consumption and weather, say, for FY '26? Any sense you can give on that?

Anand Vora: Mike, you want to take this question?

Mike Frank: I think if you look at the grower demand for global crop protection, every year, we would expect to see somewhat of an increase as planted areas continue to go up in countries like Brazil. But again, it's in the low single digits. And as I would think about FY '26, volume growth will likely be, 5% or less.

S. Ramesh: And so in terms of pricing, when do you think we'll get some positive contribution from pricing? Will it be first half of next year, or second half? What is the ballpark sense you get on pricing power coming back?

Mike Frank: The current situation with overcapacity in China, that's likely to persist for some time. And so from a base case planning standpoint, we really do believe prices are at the bottom, and we've seen that. And in fact, for the last several quarters, prices coming out of China have been relatively flat. So if your question is, at what point would we expect an increase in those prices, it's really hard for us to predict that.

So our planning scenario is based on relatively flat prices out of China. Our supply chain teams are doing a great job of further debottlenecking and finding cost opportunities in our own supply chain. And so, even at these prices, and we'll see this in our second half, our margins will really come back to a more normalized range. We would expect that to continue into the future.

S. Ramesh: That's useful. One last thought on the balance sheet. If you exclude the rights issue proceeds and any monetization of Advanta, what is your internal marking on the net debt -to-EBITDA target for March '25?

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Anand Vora: It should be just around 2 - 2.2 level, net debt -to-EBITDA. And once the rights proceeds are in, maybe we should be below 2.

Moderator: The next question is from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: Just a couple from my side, Anand. One is the UPL Specialty Chemical numbers in the presentation seem to have been adjusted quite significantly from last year. The 2Q FY '24 numbers, the year ago numbers, they seem to have been adjusted quite significantly downward. So just trying to understand what the changes made there might have been.

Anand Vora: Yes, there are two reasons for this. 1) is the formulation business continues to be with UPL Limited, whereas the Specialty Chemicals business will have active ingredient and the other specialty chemicals, which we sell to the paint, pharmaceutical and lubricant industry. That's one. 2) Of course, we saw the overall price table also coming down with the reduction in the cost of manufacturing and the raw material. So these two factors led to a drop in revenues as compared to previous year.

Abhijit Akella: No, just to make my question a little clearer. The numbers for the spec chem business last year, for example, Q2 FY '24 were INR3,500 crores. And I think this time around, we've shown a number of about, sorry, just pulling it up here, it is about...

Anand Vora: INR2,600 crores this year.

Abhijit Akella: Yes, yes. So by that reduction?

Anand Vora: That is because the UPL Specialty Chemical business last year of INR3,500 crores, also includes the formulation what used to get done or gets done and supplied to UPL SAS and UPL Corp.

That formulation business is part of UPL Limited and not part of Specialty because, Specialty is only now as intermediates, AgTech, Ag Intermediates and Specialty Chemicals. So both numbers are not comparable.

Abhijit Akella: Okay. So this excludes the formulations business?

Anand Vora: Yes.

Abhijit Akella: Got it. And the other question was just with regard to the tax rate. So what exactly has led to the derecognition of and disallowance of these deferred tax assets? And what's the normalized tax rate we should be working with for the full year now?

Anand Vora: No, it has been conservative. And therefore, we reversed the DTA. And I think the tax rates would vary from country to country, needless to mention because each local entity will have their own tax rates. But at an average, as we always have guided, our tax rate would be in the range of about 18% at a consolidated level.

Moderator: The next question is from the line of Vikash Agarwalla from Bank of America.

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Vikash Agarwalla: Anand, a couple of questions from my side. One is a question on the customer filing for bankruptcy or the distributor filing for bankruptcy. What was the revenue exposure we had to

that customer?

Anand Vora: Maybe what is relevant would be what was the outstanding. We had close to about \$15 million of outstanding, out of which \$8 million we recovered from the insurance company. We have made a provision in the books.

Vikash Agarwalla: Got it. And just in terms of impact of such large distributors filing for Chapter 11, how should we think about overall business impact or any disruption even if temporary on the supply chain?

Mike Frank: Maybe I can take that.

Anand Vora: Yes. Go ahead, Mike.

Mike Frank: Yes. So Vikash, obviously, the growers are going to still need the inputs, whether it be seed, fertilizer or crop protection products. And so the growers are still going to access those technologies. And obviously, by restructuring, that company is still operating, but probably with not full shelves of products. So if one of their customers' needs to go to another distributor, that's what they'll do to get the products. And again, that's quite typical.

Lots of growers will buy from

2 or 3 different retailers. And so we would expect those growers to continue to buy UPL products. And if they can't get them from this distributor, then they'll go to other distributors to procure them.

Vikash Agarwalla: Got it. That's helpful. And...

Anand Vora: And just to add, as we have always said, we do take credit insurance on most of our customers, so we continue to do that.

Vikash Agarwalla: Sure. And one more, just a basic question, Anand, is when I look at the contribution margin impact on a quarter for the Q2 of FY '25 on a year-on-year basis, this is about 150 basis points lower for UPL Corp and for most of the segments, it's actually higher. But when I look at on a UPL Group level basis, the contribution margin is about 220 basis points lower. So can you help me understand how should I think about it?

Anand Vora: No. So basically, a large piece, almost 80%, 85% of our business is UPL Corporation. So that has its influence on this. And again, those are in dollars, which we converted. But when you put it in, also when you convert it into INR, there could be some impact over there also, the currency impact. So broadly, basically, I mean, there will be consolidation adjustments also which would happen as we consolidate the financials from each of these segments. So there are some utilization of capacities, which would have also knocked out part of the margins at India level.

Vikash Agarwalla: Got it. And one more question from my side is just listening to some of the previous responses on the pricing impact in the second half, is it fair to say that now where we are in terms of pricing in the current quarter or the exit quarter, and then when we compare it to the second half of FY

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'24, the negative impact is not expected to be much larger on a year-on-year basis in second half of FY '25?

Anand Vora: Yes. I think we took a large knock. If you see our Q3 numbers last year, we had a drop in EBITDA by about 80%. Now that was because we had to offer special rebates to our large distributors and customers who had high-cost inventory left with them and support them in helping them to sell the inventories, which was there with them. We also had inventory with us, which was high-cost inventory.

And in order to sell those inventories, we had to mark-to-market them down considering what were the price levels prevailing at that point of time. So those things are now past us. Most of our inventory is fresh inventory. You heard me also say that our inventory number of days have significantly reduced because our team is managing the inventory very tightly, both be it at a country level or be it at a manufacturing level. So all those things, at least we don't foresee in Q3, Q4 of this year. And that gives us the confidence of delivering the margins.

Vikash Agarwalla: Perfect. And if I can ask one last question in terms of the high-cost inventory. What is there a balance which you can share?

Anand Vora: I think it should be less than \$20 million, \$30 million out of close to \$1 billion inventory, which we have.

Moderator: The next question is from the line of Varun Ahuja from BlackRock.

Varun Ahuja Most of my questions have been answered. Just one or two things. One, given the tight inventory management and overall working capital management, is it fair to say that the typical cyclicality and hence, the reduction in working capital and associated debt that we see in the second half, we'll start seeing that to be lower as well and just the overall movements will tend to be lower. Secondly, in terms of the drivers for 50% increase in EBITDA year-on-year, can you give us a bit more color on the visibility towards that? Is it just that you have, as you mentioned, tighter inventory, that gives you a lot more visibility plus the volume growth, or are there other

factors
at play?

Anand Vora: I think on the first question, it's just that we have brought in more efficiency in our inventory management. When everything we saw great growth, we grew twice what we had projected or what we had guided for growth during the COVID time. And obviously, everything was looking good and there was some laxity in inventory management, if I were to put it at the hindsight. But I think we are trying to bring in more efficiency in inventory management. The cyclical nature of business continues to remain, but that's where the skill lies that if we can manage the inventory levels and ensure that we don't lose sales is what we are trying to aim for.

On the second piece, I think we knew that we had hit the rock-bottom last year, now things will only improve from there. But at the same time, last year, we took a hit of close to about \$392 million on our contribution and P&L, which was arising due to special rebates to our customers for what we had sold in the previous year, in '22 and '23.

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And we had to also do a mark-to-market of the inventory, which we are holding effective 1st April 2023. So we had to take the hit for those, which totaled to \$392 million. And we knew that when we started this financial year, we had only about 60 million of high-cost inventory left. The rest of the inventory was all fresh.

And also, it's obvious that if we start managing the inventory better, we would have fresh inventory and which would be obviously at the new cost, which are lower. So because of both these factors, we don't expect this year that \$392 million hit or a similar amount of hit is to come by.

And that gives us assurance that we should be in a good position. Last year, we delivered EBITDA of \$666 million. If you add this \$392 million, takes us to \$1 billion, and that's slightly higher than the 50% growth in EBITDA that we have indicated over last year. So that's the broad math, which we have done before we gave the guidance.

Varun Ahuja That's helpful. Just one follow-up. I understand you can't comment on the rights issue. On other inorganic exercises, including seeds business, any updates on that? Or really what's the thought process with the recovery in industry that you're expecting, is that still going to be a priority? Or it's more of a wait and watch on the right valuations?

Anand Vora: No, I think we continue to explore opportunities. And yes, things take a bit of time. And we would just request patience. We will come with updates as soon as we have clarity around some of these things. But I mean, you know it very well, how M&As and other things take place. Until and unless it's signed, there's no point talking about it.

Moderator: The next question is from the line of Samuel from AllianceBernstein.com.

Samuel: I just have one question. This one is probably for Mike. I would like to know on a 6 to 12-month basis, if you were to rank the regions under your coverage, which regions are you more optimistic or which regions are you a little more conservative?

Mike Frank: Yes, thank you for the question. Look, if we look backwards, the regions that were problematic for us last year were really LATAM. And within LATAM, it was Brazil, and North America, and Europe. This year, we're seeing turnaround strength in Europe and North America, and we expect the same for Brazil as the year unfolds.

I think, looking over the next 12 months and, again, based on our new products that we've launched this year and will be launching next year; we would expect to see growth in every region. This is a perfect question because we're in this time of the year where we're starting to work on our budget planning for FY '26.

And so I don't foresee any regions where there's structural or fundamental issues. I think, again, with destocking behind us and assuming relatively flat pricing for AI

coming out of China, the

improvements we made in our supply chain, the improvements we made in our operating model and cost leverage, I think, we're set to compete very aggressively going into the future. And so I would rank all of our regions with opportunity to grow over that time frame.

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Samuel: All right. And then if I can, just one follow-up. You mentioned about active ingredients. I know they are both your competitor, but you also source some active ingredients from them as well. So it's kind of like there's on the revenue side and the cost side for you, I'm not looking for a number. I'm more looking for direction. For example, if the active ingredient price were to increase, is that a net accretive to UPL, and then vice versa on the other side. I just want to see a directional sense.

Mike Frank: Yes. The way I think about that, we can see that across our portfolio, whether it's in -sourced or outsourced, our margins are roughly in the mid -30s. And I think that's consistent. Obviously, when you go through a shock, either a cost up or cost down, you'll get disruption in that. But once you're in a stabilized environment, that kind of mid -30s percent margin opportunity based on our customer intimacy, the brands that we have in the marketplace, the go -to-market model, I think that margin should be consistent. So obviously, if you're in a higher cost environment, over time, if the margins are the same, you're going to put more dollars on the bottom line.

So that's why at this lower cost environment that we're in today, we talk about getting our margins normalized. But again, that's come with some trimming on the top line from an absolute basis. And of course, that flows through the margins as well.

Samuel: Sorry, I probably didn't follow 100%. So in the current environment of active ingredient, where the active ingredients are low price and then we're in the process of seeing margin recovery as well. If the active ingredient price were to increase, I think it will push up your cost a bit, but it also allows you to sell a bit higher? Like would I be seeing margin expansion in general?

Mike Frank: Yes, I agree with that premise, although there's always some lag time as the market catches up because if prices are going up, depending on competitive market environments, it may not be instantaneous, of course, that you can increase prices. And so that's all I'm saying is through that disruptive period, margins can get depressed. But assuming we can maintain a mid -30s percent margin in our UPL Corp business, then as prices go up, from an absolute standpoint, what you're saying is true that absolute margin dollars will go up as well.

Moderator: Ladies and gentlemen, this was the last question for today. I would now like to hand the conference over to the management for closing comments.

Anand Vora: Thank you very much, all of you all, for joining us on the call. In case if there's any follow -up questions, you may please reach out to Anurag or myself, and we'll be happy to provide you the answers. Thank you very much.

Moderator: Thank you. On behalf of UPL Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

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Public

"UPL Limited
Q3 FY '25 Earnings Conference Call"
January 31, 2025

MANAGEMENT : MR. RAJENDRA DARAK – VICE CHAIRMAN – UPL LIMITED

MR. MIKE FRANK – CHIEF EXECUTIVE OFFICER ,
GLOBAL CROP PROTECTION BUSINESS – UPL CORPORATION

MR. ANAND VORA – CHIEF FINANCIAL OFFICER – UPL LIMITED

MR. ASHISH DOBHAI – CHIEF EXECUTIVE OFFICER ,
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MR. BHUPEN DUBEY – CHIEF EXECUTIVE OFFICER ,
SEED BUSINESS , ADVANTA

MR. SUJAY SARKAR - CHIEF FINANCIAL OFFICER ,
SEEDS BUSINESS , ADVANTA

MR. RAJ TIWARI – CHIEF EXECUTIVE OFFICER ,
SPECIALTY CHEMICALS BUSINESS OR SUPERFORM – UPL LIMITED

MR. FAROKH HILLOO – CHIEF COMMERCIAL OFFICER – UPL LIMITED

MR. ANURAG GUPTA – HEAD, INVESTOR RELATIONS – UPL LIMITED

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Public Moderator: Ladies and gentlemen , good day, and welcome to the UPL Limited Q3 FY2025 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anurag Gupta, Head of Investor Relations. Please go ahead, sir.

Anurag Gupta: Thank you, Ryan. Good day, everyone. Thanks for joining us today for the results for the third quarter and 9 months ending 31st December 2024. The presentation, press release and the financial statements have been made available on the website and we take it that you have read the safe harbor statement.

From the management team, we have with us today, Vice Chairman, Rajendra Darak; CEO of our Global Crop Protection business, Mike Frank; CFO, Anand Vora; CEO of our India Crop Protection Platform, Ashish Dobhai; CEO of our Seeds Business, Advanta , Bhupen Dubey , CFO of our Seeds Business, Advanta , Sujay Sarkar ; CEO of our Specialty Chemicals business or Superform, Raj Tiwari; Farokh Hiloo, Chief Commercial Officer , and other members of the leadership team.

We will start with Anand and Mike presenting the performance for the quarter, followed by the Q&A. With that, I now hand it over to Anand. Anand, over to you.

Anand Vora: Thank you, Anurag. A very warm welcome to all of you who have joined us today. The global crop protection market continues to see a recovery with the demand coming from across key regions. Channel destocking is largely over in major markets, and we consider this financial year FY '25 as a year of recovery. The business performance for third quarter shows a good bounce back and provides us confidence in maintaining our guidance on revenue, EBITDA and operating cash flows for the full year.

This is also corroborated by the year -to-date robust performance, which has sequentially improved over the past three quarters. Before we dive deeper into the financial performance, I would like to share updates on two recent corporate actions.

The first one is our rights issue, which was a success with issue being oversubscribed 2 times.

The allotment of US \$100 million or INR844 crores, representing 25% of the rights issue price , was received in December 2024. Additionally, the Rights Issue Committee met on 24th January and approved the first call on the partly paid equity shares for another INR844 crores, the record date for which it was fixed for 30th January 2025, we expect to receive the first call money by end of March 2025.

The next update is on Advanta Enterprises Limited. We have signed a definitive agreement with Alpha Wave Global under which they will invest US\$350 million, US\$100 million as primary investment in the company , and US\$250 million as secondary through purchase of shares from UPL Limited for an approximate 12.44% stake in the company. This marks second investment in the enterprise by a global investor in a span of two years. As an update, we are awaiting UPL Limited

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Public clearance from the Competition Commission of India , or the CCI , for a final go -ahead. We expect to receive the CCI approval by end of February or mid -March.

Now, let me take you through some of the key financial highlights for the third quarter. Revenues stood at INR10,907 crores in Q3, a strong 10% growth versus last year. This was led by 9% growth in volumes , and 5% in pricing, offset by a 4% decline due to forex . The contribution for the third quarter stood at INR4,476 crores, a strong 66% growth on a year -on-year basis. The contribution margin stood at 41%, which is nearly

1,400 basis point jump over that of the previous year.

This significant growth was driven by better product mix, especially with in the differentiated and sustainable segment , overall COGS improvement , and normalization of rebates. SG&A spend was INR2,313 crores compared to INR2,272 crores last year. The EBITDA for Q3 stood at INR2,163 crores, a 4x increase versus that of the previous year.

The EBITDA margins were 19.8%, an increase of around 1,600 basis points from 4.2% in the last year same quarter. Profit after tax , adjusted for exceptional items, associated income and minority interest showed a healthy INR828 crores as compared to a loss of INR1,217 crores in the previous year.

Let me share some of the key components leading to the net profit of INR828 crores. We had a healthy EBITDA of INR2,163 crores against INR416 crores in the same period of the previous year. Depreciation and amortization at INR689 crores was marginally higher than that of the previous year. Finance costs at INR704 crores was marginally lower due to a drop in working capital and resultant reduction in borrowings.

Effects of foreign exchange losses stood at INR108 crores, a sharp reduction from INR613 crores in Q3 of the previous year, which as you must be aware, included the Argentina devaluation.

Income tax during the current period under review, the company has received a CIT(A) order for AY 2016 -17, providing a favorable judgment. Consequent to this judgment, the company has reversed the provision amounting to INR592 crores, which was created over the uncertainty over the allowability of the eligible expenditure. So, for this quarter, we are seeing a tax credit of INR499 crores against previous year tax credit of INR59 crores.

On associate companies and JVs, we have a charge of INR278 crores, largely on account of losses from Sinova and Origeo, the two Brazilian associate companies .

Moving over to the key financial highlights for the 9 months. Revenue for 9 months stood at INR31,064 crores, up by 7% year -on-year. Volumes were up by 14%, whereas we saw a price reduction by 5% and exchange impact of 2%. Contribution stood at INR12,239 crores, up year -on-year by 13%, largely due to product mix, COGS improvement and revaluation normalization in the third quarter. SG&A at INR7,356 crores were up by 1%. The EBITDA for 9 months stood at INR4,884 crores, a strong 36% growth versus last year, driven largely by higher contributions and productivity enhancement initiatives. EBITDA margins at 15.7% were up by 340 basis points over the previous year, which was at 12.3%.

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Public Based on the year -to-date performance and Q4 forecast, we are confident of delivering the stated guidance of 50% growth in EBITDA this year. Profit after tax for year-to-date was breakeven, a significant improvement versus September 2024 and driven by strong EBITDA in Q3 and the tax reversal, as mentioned earlier.

Moving on to working capital, net debt and free cash flows as of end of December 2024.

I'm pleased to share that our working capital in December stood at INR13,280 crores, INR6,000 crores lower versus that of the previous year. This positive development was achieved through

continuous focus on inventory management and tighter credit control and improved collections. In number of days, net working capital stood at 107 days, lower from 155 days in the previous year, a reduction of 48 days. Inventory stood at 109 days, a reduction of 31 days while payables at 111 days were lower by 7 days versus that of the previous year. The receivables at 109 days, lower by 24 days versus the previous year. We also saw a reduction in non-recourse factoring by INR1,726 crores on a year-on-year basis, equivalent to 14 days lower than that of the previous year.

As regards to our debt situation, our

gross debt reduced by US\$815 million year-on-year, that is INR5,930 crores. As of December '24, the gross debt stood at US\$3.53 billion. In INR terms, INR30,244 crores. On net debt, I would like to highlight that we reduced US\$745 million versus the same period last year and also by US\$264 million versus September. This is for the first time in the recent period where our December net debt was lower than that of the previous quarter. This was mainly due to significant improvements in our working capital management.

Overall, in the first 9 months, our net debt was higher by \$363 million which is significantly lower than the US\$1.7 billion increase in net debt during the same period in the previous year. Cash and bank balance as of 31st December was US\$511 million, about INR4,374 crores as compared to US\$580 million in the previous year. It is to be noted that the net debt amounts and the cash balance includes US\$100 million, that's INR844 crores we have received towards the rights issue, which, as you know, the allotment was completed before December 2024. With our continued focus on working capital improvement, we are on track to achieve our target of \$300 million to \$400 million of operating free cash flow.

With this, I hand over to Mike to take us through UPL Corporation Global Crop Protection business in details.

Over to you, Mike.

Mike Frank: Thank you, Anand. Hello, everyone, and welcome to our third quarter FY '25 earnings call. It's great to connect again with all of you. Before we review the quarter, I'd like to share my thoughts on the crop protection market. The global crop protection market continues to rebound as farmer and dealer buying patterns are now reset. Channel destocking is largely complete in most major markets, and we continue to see normalized ordering patterns with good farm gate demand and a healthy balance between channel stocking and farm gate usage. With active ingredient prices now stable at the current levels, our considerable focus on process efficiencies have significantly contributed to improving product and EBITDA margins.

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Public Additionally, we continue to remain focused on profitably increasing our market share as evident from our industry-leading volume growth. This continues to demonstrate the effectiveness of our customer engagement model and the value in our offerings. I'm pleased to highlight that our focus on operational excellence has positively impacted working capital, specifically through inventory optimization, tighter credit controls and reducing receivable terms. The year-to-date success that we have had with working capital improvement will help us drive towards achieving our full year free cash flow guidance.

Let's now turn to the quarterly performance. Our third quarter results show a strong bounce back and give us confidence to maintain our FY '25 guidance on revenue, EBITDA and free cash flow for the full year at the group level. This is also supported by our strong 9-month performance, which has sequentially improved over each of the past 3 quarters.

I'm pleased to share that our third quarter revenue was up by 15% versus last year. Growth was led by continued higher volumes across key regions such as Latin America and Europe. Among major segments, fungicides continued with a robust performance. In Brazil, mancozeb volume was the prime driver. And in Europe, Proxaniil® was a contributor to our growth. Our insecticides portfolio in the third quarter was driven by higher acephate volumes in Brazil, partially offsetting the pricing challenges in the first half of the financial year.

Herbicides growth benefited from rebate normalization versus the previous year, mainly in North America. However, we also had volume growth in this segment across a few regions led by strong in-season demand for our products.

Revenue growth in our NPP business was driven by a mix of improved pricing as well as higher volumes led by biostimulants in both Europe and Brazil. And additionally, growth was supported by biocontrol volumes in Europe. Our contribution margin for the third quarter has shown a remarkable turnaround and demonstrates our ability to earn margins in the current environment.

Overall, margin improvement has been led by improved product mix, mainly in the differentiated and sustainable segment, COGS improvement and lastly, normalization of

revaluation primarily in North America and Brazil. I'm pleased to highlight that with this strong performance, our year -to-date contribution margin has grown by 470 basis points. Importantly, we grew our differentiated and sustainable volumes by 16% versus last year, led by mancozeb based three -way Evolution® in Brazil, and acephate based Feroce® , also in Brazil. We also witnessed a strong margin improvement in our NPP portfolio. We are encouraged by this trend and the continued strong adoption of our products by our customers. Turning to SG&A. Our focus on productivity enhancement initiatives has led to a reduction in overheads of around 5% in Indian rupee terms in the third quarter versus last year. Moving to our regional performance for the quarter, in Latin America, our revenue grew by a robust 12%, led by higher volumes, but offset by exchange impact in Brazil. Brazil was led by mancozeb as well as acephate -based solo and mixture products. Growth in Evolution® and Feroce® also led to improvement in the overall differentiated volumes. In other parts of Latin America, volume -led growth was partially impacted by continued pricing pressure.

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Public North America continues to experience strong demand for our products with channel inventories and rebates normalized in the region. Among key AIs, herbicides, such as s -metolachlor, had good volume growth. Overall, the region grew by a strong 67% versus last year. Europe's revenues were up by 23%, driven by strong volumes in fungicides such as Proxanil® , which is a premium product offering for preventative and curative disease control in potato crops. Additionally, our NPP products had a strong growth versus last year in Europe, driven by volumes while also delivering margin expansion. The rest of the world was down by 4%, primarily from pricing pressure, regions such as Africa, Australia and China faced some headwinds in this regard. Now turning to our outlook for Q4 and the full year FY '25. We expect headwinds related to softness in agri-commodity prices to continue and prices of key AIs to remain stable and range -bound. In spite of this, and as demonstrated in Q3, the tailwinds from our refreshed inventory , our strong focus on operational excellence and efficiency, all combined with robust grower demand for our products , we believe this will power our ability to compete aggressively and deliver on our EBITDA and cash flow commitments in Q4 and for full year. The team remains focused and disciplined on SG&A, and we are further evaluating efficiencies in our operating model . Overall, we continue to focus our energies on margins, which have started to improve from the third quarter. This is expected to continue in the fourth quarter with second half margins outperforming the first half of the year, mainly due to the reasons I highlighted earlier. Our new product launches for this financial year remain on track, and we expect to deliver \$85 million from these NPLs. Our attention on cash generations remains a priority, and we are further optimizing our inventories and other working capital items as seen in our results. So, in summary, I see this quarter as a period of recovery with strong volume -led growth, lower headwinds in general for pricing and overall COGS improvement, resulting in superior EBITDA. The k

ey highlight, however, remains the significant improvement in our working capital. I want to thank our team for their dedicated efforts and our valuable channel partners for our strong overall performance in this quarter, and I'm confident we will deliver on our financial commitments in the fourth quarter.

I'll now hand it back over to Anand, who will take you through the updates of our other platforms.

Anand, over to you.

Anand Vora: Thank you, Mike. Let me also provide a quick update on our other three platforms. That's the UPL Sustainable Agri Solutions, the India Crop Protection business ; Advanta Seeds, our seeds platform , and the newly formed specialty chemicals and manufacturing platform, Superform Chemistry Limited.

I'll start with UPL SAS. We saw a recovery in Q3 with revenues at INR535 crores, up by 44% year-on-year, driven primarily by higher volumes. This has been achieved through high liquidation of sell -in, conscious placement closer to the season and lower Kharif returns.

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Public Additionally, our growth was also supported by higher NPP volumes , that is Natural Plant Protection products , as well as selective post -emergent herbicides along with steady Rabi replacement, which continues to indicate good consumption of our offerings at the ground level.

At contribution margin, we improved by 530 basis points to 16.9% versus 11.5% in the previous year. This accretion was driven by new launches, better pricing and superior product mix. Our platform SG&A was INR114 crores, nearly flat versus last year, driven by overall cost efficiency. While our EBITDA is still in the red at negative INR24 crores for the quarter, it is a significant improvement versus last year where it stood at negative INR70 crores.

On working capital side, normalized inventory levels and tighter credit control helped improving receivables and overall lower working capital requirement. For the 9-month period, revenue stood at INR2,552 crores, 6% higher than last year, and 500 basis point higher contribution margins versus previous year.

EBITDA at INR348 crores is over 100% higher than that of the previous year. EBITDA margins at 13.7% were 650 basis points higher than that of the previous year. We expect to sustain growth in fourth quarter with margins in line with year-to-date figures and overall better cash flow versus that of the last year.

Moving on to our seeds platform, Advanta Enterprises, After a rather challenging H1, the seed platform saw a good improvement in the third quarter with a robust revenue growth of 11% versus that of the previous year. This was supported by a mix of higher volumes and better pricing, along with favorable FX impact. The key growth drivers were grain sorghum in Argentina, sunflower in Argentina and Europe and corn in India.

Overall, despite a good growth in revenue, we maintained flat contributions with margins contracting by 615 basis points, primarily due to unfavorable crop mix as well as lower recoveries due to higher input costs. EBITDA was down 15% versus last year at INR223 crores, due to lower contribution margin and conscious strategic investment in R&D and marketing we have been making to support our growth.

We continue to maintain focus on margin improvement and cash generation in this segment and are confident that this momentum is expected to yield favorable results in the fourth quarter as well.

To sum up, we have delivered a strong third quarter with a good improvement across all key indicators. Our revenue growth at 7% in 9 months is on the higher side of our stated guidance. Further, our EBITDA growth in 9 months has been 36%, and we are on track to deliver 50% growth in EBITDA over that of the previous year, considering our forecast for Q4. With our success so far in reducing our gross and net debt

versus last year, we are confident of achieving

the operating free cash flow guidance of US\$300 million to US\$400 million. Further, with the rights issue amount of US\$200 million or roughly about INR1,600 crores and the Advanta Seed proceeds of US\$350 million expected within this year, we expect the net debt-to-EBITDA ratio to be around 2 for the full financial year.

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Public With this, I hand over back to the moderator and we are ready to take questions.

Moderator: The first question comes from the line of Abhiram Iyer from Deutsche Bank.

Abhiram Iyer: Congratulations to the company on a strong set of numbers. I had two questions. One was, could you let us know what is your incremental cost of debt is at the moment? And the second question is pertaining to your upcoming perpetuals, has the company taken any plan of action to address these?

Anand Vora: So, our cost of debt is roughly around 7%, that's the average across all the debt instruments. We have bonds and we have bank loans. On the perpetual, we keep a close watch and as you know, most of our cash flows come in Q4. We have raised the rights money and we are also expecting cash inflow on the Advanta monetization. So, we'll be taking a decision, in the next couple of months.

Moderator: The next question comes from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: Congrats on a very strong performance. I have three questions. First is on the Rest of World revenues. The Rest of World revenues have declined by 22%. Can you just give a breakdown of what has driven the growth in the Rest of World?

Anand Vora: Mike, would you take that?

Mike Frank: Sure. So, on the Rest of World, from a crop protection standpoint, our revenues were down, not by that magnitude. I would say, obviously, the Rest of World is a very large region for us. We did see some softness in the business in China as well as Australia in the third quarter. And in a few African countries, as we wait for some tender business to materialize, we also had seen that get pushed from Q3. Our Q3 and now we're expecting them in Q4.

So yes, so for the Rest of the World, from a global crop protection standpoint, the business was down a little bit based on those issues, and I would say, continued pricing headwinds for some of our products. Maybe it would be good to hear from Bhupen on the seed business as well.

Anand Vora: So, let me take this further. Basically, you saw that most of the currencies got impacted and as

the dollar strengthened immediately after the domination of some and we did see some impact largely coming in currency, especially as you know, we report in INR. So that is one of the major reasons also for the sharp decline. As Mike rightly alluded, in dollar terms, we did not see as much drop. But in INR terms, we saw a significant drop.

Siddharth Gadekar: Okay. The second question is on the cost side, like we have just highlighted that over the last 12-18 months, we have improved a lot of processes. So, can you just quantify, like what is the quantum of improvement on the cost side because of our process of efficiencies and reduction in SG&A?

Anand Vora: Raj, would you take that? The cost efficiencies and other things on the production manufacturing side.

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Public Raj Tiwari: Well, that's a continuous exercise. On the manufacturing side, we have substantially done work in terms of reducing the cost one, of course, because of raw material, but also because of the variable cost optimization. We have also optimized our fixed cost in the factory, both in terms of headcount and in terms of power, which is utilities. But on UPL Corp, Mike, you have some more colour to give?

Mike Frank: Well, yes, the other part of the question was just on SG&A efficiencies. And so, this has been an area across the en

terprise where we've been, I think, really diligent in looking at our target operating model and finding ways to become more efficient. A lot of those efforts are now complete, and our current run rate should be in effect going forward.

That being said, we're always looking for additional ways to drive efficiency whether it's from AI tools or other things. Our view is we're never finished from an SG&A standpoint, we're always looking for more ways to become more efficient, but we're quite pleased with the progress that we've made over the last 18 months and giving us a new level of cost that really allows us to compete in the marketplace.

Siddharth Gadekar: Sir, last question is for Anand. Given the kind of debt reduction that we have seen in this quarter, are we still sticking to the same \$300 million to \$400 million free cash flow or there could be some upside to that?

Anand Vora: No, I think we saw a good reduction in the working capital and we still have some ability, as I mentioned earlier, that even our non-recourse is at lower than last year, and we had guided for \$1 billion of non-recourse securitization so that should give us an ability to raise further free cash flow. But at this stage, we are sticking to the \$300 million. Whatever upside comes, of course, we'll be using that to repay the debt.

Moderator: The next question comes from the line of Somaiah from Avendus Spark.

Somaiah: First question is on the pricing part. After 6 to 7 quarters, we are seeing a positive growth on the pricing front. So, you can give some color on that. So, I mean, you've been saying prices are being kind of stabilizing. So, we've now been able to take price hikes. So, the trajectory has moved from more of stabilization to now kind of a growth mode? And how do you see it going forward next quarter?

Anand Vora: Mike, would you take that?

Mike Frank: Yes, sure. So, look, from an overall pricing standpoint, we did see positive progress in Q3. That was largely based on comparing last year's Q3, where we had abnormal rebates and some high-cost inventory returns. So, I would say, if you look at our overall price performance in the quarter on a product-by-product basis, we're basically seeing now relatively flat pricing. So, we're getting some price lift based on mix. And so, as we drive more of our sales to our differentiated and sustainable product portfolio, that's giving us a mix lift in price, but generally speaking, across the portfolio, prices have largely stabilized and we're not in a cycle yet where we're seeing prices tick up.

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Public Somaiah: But also on the different regions, if you can just give a color on is the channel inventory getting over? Is it same across regions that's the status or is there a differentiation between U.S. and LATAM. Also, in terms of pricing climate between both the regions, is it similar? Or is there any difference, please?

Mike Frank: Yes. So, from an inventory standpoint, as we talked about in the prepared remarks, we believe that for the most part, in most regions, the destocking has been complete. And there's a good balance between what dealers and distributors are buying and what they're selling them to the farmers. And so, there's always going to be some exceptions to the rule based on price or timing

of when a season takes place. But generally speaking, we now believe we're in a balanced supply to the channel and the channel sales to the growers. And so, the destocking is largely complete. I would say from a pricing standpoint, again, in the post-patent segment, those prices have been reset. They really started to reset over 12 months ago. Again, we're seeing relatively stable pricing now across the post-patent business. And in the differentiated and sustainable portfolio, which is our high-value segment, again, we're seeing very strong volume growth. We're seeing

good demand for those products. We're seeing our margins continue to grow in that segment. But that's more a result of cost of goods improvement and efficiency efforts, whereas, again, prices are relatively stable in that segment as well.

Somaiah: Got it. Sir, just one last question from my side. Anand, sir, on capex outlook, how we are thinking about?

Anand Vora: No, I think we have put some constraints this year. We, as of date, we have spent about INR1,200 crores of capex, which includes the acquisition of Corteve Dithane® brand. But again, the budget of INR1,800 crores, which we had set at the beginning of the year, we hope to be below that, about INR1,500 crores to INR1,600 crores. So, there would be some cash flow protected out of the capex spend, what we had budgeted for. I guess for the next year's guidance, we'll review how based on what happens by the end of this year, and then we'll take a call on the next year.

Moderator: The next question comes from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: Congratulations on a good set of numbers. First question on the overall competitive intensity, especially in Latin America, let's say, Brazil. We have shown a YTD growth here. But if you can pass comment in terms of the pricing competition there and the pricing uptake that we have seen, which geography would have contributed to this 5% year-on-year growth that we saw in this quarter?

Mike Frank: Yes. Thank you, Ankur, for the question. Again, the pricing uptick in this quarter is really a result of the normalization of the rebates and the elimination of high-cost inventory, which was really liquidated to a large degree last year, at the same time. So, from a product-by-product basis, our prices are relatively stable in the market. But of course, with fresh inventory and now that we're running with lower inventory levels, that is also helping improve our margins. Now, from a competitive intensity standpoint, I would say every market has a high degree of competitive intensity.

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Public I don't think that Latin America or Brazil is unique in that way. In every market, As you can see from our volume performance, we are growing volumes. I think we are growing volumes at a faster rate than the industry. And so, we're very much focused on profitably growing our market share. We've been successful doing that based on our customer engagement model.

In Brazil, as you know, we have a number of models where we work with the co-ops very closely and large distributors and dealers. We also have the Origeo platform, which is a partnership with Bunge, where we go direct to very large growers in the Mato Grosso area. That model is also proving to be successful. So, our unique approach in each market with a really strong focus on how do we engage with customers to create value for them and for farmers, that model is playing out, and it's helping us with our market share growth.

Ankur Periwal: Sure, sir. And just a second bit, there is - in the minority interest, that number from a negative has turned positive. And similarly, the associate share profit, there is a sharp jump there Q-on-Q as well as Y-o-Y. Just some thoughts there on how to look at both these line items going ahead and for FY '26?

Anand Vora: So basically, on the associate, we report at least for our 2 major associates in Brazil, that are Sinova and Origeo. We report with a quarter delay. So last year, of course, was first year. And as you know, this year, the season also started a bit late.

So last year, we had a small profit, which is reflected in the numbers whereas this year, due to delay in the season, we had losses both in Sinova and Origeo and which we hope to recover as the season comes as we report for December quarter in next quarter as well as for the full year in the subsequent quarter, we expect to recover

part of these losses, which we have incurred. So largely, these are because of our losses in our Brazilian associate.

Ankur Periwal: And just on the minority as well.

Anand Vora: Yes. On the minority interest, whatever is gains or losses, we have to keep them, there's a minority interest, as you know, in various of our platforms. We do have shareholder, like in case of UPL Cayman, we have ADIA, TPG with own 22%. And in case of our seeds platform, which is KKR, and in case of India, we have Brookfield, KKR, and ADIA / TPG with 9% holding. So pro rata, they would be sharing the losses as well as the gains.

Moderator: The next question comes from the line of Himashu Poorva from Sea Port Global .
Himashu Poorva: Congratulations on strong earnings. I had a couple of questions. So first is with regard to the perpetual callables. I think I might have missed when you're answering somebody's questions. If you can please provide a guidance on the likelihood of this being called in February? And secondly, if you can confirm and clarify the amount of rights issue proceeds that has already been completed because I see headlines of around like \$400 million being approved, but I guess not all of it has been conducted yet. So those are the 2 questions.
Anand Vora: Sure. So let me take the second one first, and that probably should partly answer the first question itself. On the rights issue, you're right, we made a \$400 million rights issue. And in Indian context, you're allowed to call for part payment towards proceeds of the rights issue. So, on
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Public allotment, we called for 25% of the rights issue, which is \$100 million equivalent is INR844 crores. The committee has also called for the first call of another \$100 million as of 30th of Jan was the book closure date.

This decision was taken by the committee on 24th Jan, and we expect to get the money in by March. In our business, Q4 is when we see a large part of our cash flow from the operations coming through as we get our money against our receivables as well as , for what we have sold in LATAM as well as in U.S. and Europe. So, we are closely monitoring the situation, and we expect to soon come up with the announcement as regards to the perpetual, whether we will go for repricing or we will call them back. So that's as of now, our position on perpetual.

Moderator: The next question comes from the line of S. Ramesh from Nirmal Bang Equities.

S. Ramesh: Congratulations on the good results. So , if you were to look at your Net debt to EBITDA guidance of 2x , does it include the perpetual bonds on the debt side? And are you excluding the factoring? And what are the rating agencies considering to calculate net debt, are they including the perpetual in their net Debt-to-EBITDA calculation?

Anand Vora: So, Ramesh, thanks for joining in. Perpetuals are part of net worth, so they are not included in the debt. As regards to our non-recourse securitization, the rating agencies add them back as debt. As far as the banks are concerned, they don't consider that as debt. So, what we are telling you is what the bankers look at and which is the simple calculation on net debt to EBITDA, where non -recourse securitization doesn't form a part of the debt.

S. Ramesh: Okay. Now a question to Mike. In terms of the structure of the industry, if you look ahead and consider that you'll have to depend pretty much on volume growth, what is a sense of comfort you have in terms of capturing most of that on the top line and maintaining working capital discipline to achieve stable and improving ROC, how do you see that for the industry and for UPL?

Mike Frank: Yes. Thanks, Ramesh. So, look, I think as we look forward over the next 12 -plus months, I think from an industry perspective, there's going to continue to be pressure on the price side. At this point in time, our base case

planning scenario is that we won't see a change in the export price out of China.

Obviously, that could change at some point. It's not a sustainable scenario where there's overcapacity and prices are basically being sold at or around the cost of goods. And so, at some point, that will likely change, but in our base case scenario, we're not assuming that in our planning. And so , I would say if that plays out, I think from a pricing standpoint, there's going to be a limitation to the ability to see much change in price.

Again, if you also overlay the fact that grower economics right now are stressed. I think the growers are really looking for every opportunity to look for how they can save money and really invest in high -quality, high -value products, which again, I think that is where we're also winning from a market share standpoint.

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Public To your second point regarding working capital, obviously, that's been a large focus of us this year and it's really around our process improvements and using new tools, both AI and data and analytics to really hone -in on demand forecasting, lining up our production with a more just-in-time approach so that we are delivering products to our customers right when they need it. And so, we're going to continue with that discipline. So , I believe the working capital benefits that we gained this year will continue as we go into the next season.

S. Ramesh: Just one last thought. Did you look at the gross contribution and the growth in EBITDA margin, how much of this is sustainable? And to what extent will you be able to continue to gain from

the decline in input costs? How do you see that?

Mike Frank: Yes. Again, from a base assumption standpoint, we have seen that we're in a fairly stable environment right now where cost of goods as well as the export prices that we track out of China are running quite stable. Obviously, there's an increase or decrease in input costs. We're seeing some active ingredients, get priced up a little bit or price down depending on which way the raw materials are going. And so again, that's our planning scenario as we go forward. Based on that and the good work that we've done across our plants from Raj and his team, we are really looking at ways that can de-bottleneck or increase yields.

We're able to compete aggressively in the marketplace. And as you've seen in our margins in Q3, we really believe that this is the margin profile going forward with the opportunity as we think about the next 12 and 24 months to continue to drive our new product launches, which are primarily in the differentiated and sustainable segment, which we know has a higher overall margin profile. And so yes, that's how we look at our margin profile going forward.

Moderator: The next question comes from the line of Steve Byrne from Bank of America.

Steve Byrne : Mike, your comments about the NPP in the slide deck really captured my attention. I was curious to hear your view on what would you rank as the primary drivers of the increased demand for your NPP products? Is it the regulatory path and registration of these NPP products? Is it just more streamlined? Is that a key driver? Is it the distribution channel that see these products as an attractive bolt-on. They can put them into their routine applications? Or is it at the grower level where these products like the biostimulants have a yield benefit? How would you rank those as driving the growth in these products ?

Mike Frank: Yes. Steve, good to hear from you. Firstly, it all starts with the grower. If the grower doesn't see value in the products and technologies then ultimately, nothing else matters. And I think in our NPP business, the strength of our portfolio, the capability of our sales organization and the investment that we've made in helping train our sales team, providing them the right tools that they

can walk in and talk to our dealers and our pharma customers about the value of biostimulants, that has really helped us drive that segment we've seen that every quarter this year, and we believe we're going to see it again in Q4.

Now secondly, the other part of our portfolio in NPP that's growing is our biocontrol products. And so, as you mentioned, the regulatory framework in many regions, not Europe, but many regions outside of Europe has a fast track for biocontrol products to enter the marketplace.

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Public And so, in those markets, like Brazil, for example, we're seeing really strong success of new technologies that we've introduced in the last couple of years, including a technology and a product called Nimaxxa®, which is a 3-way fungicide for controls of nematodes. We've just got that same product registered in the U.S., and so we're now starting to commercialize that product in North America. So, it's a bit of a combination, Steve, but it all goes back to the grower. We've got to prove to the grower that these products add value on from an agronomic and economic standpoint. And as we do that, we're seeing real success across our sustainable platform.

Steve Byrne : And one more for you, and that is in the U.S. market, are you seeing any increased interest from either the wholesale or the retail distribution channel to be more interested in, say private label products or potentially more interested in something other than the primary branded products that they have contracts with. Is there increased interest in that? And is that an opportunity for you because you provide the certainty of supply that if they were to just go directly to active generic out of China, there may be less certainty on the supply, particularly with tariffs.

Mike Frank: Yes. That's a good question, Steve. As you know, the distribution network in the U.S. and North America is very consolidated. There're 5 or 6 large players. Each of them having some segment of their crop protection business in what you would call a private label approach, whether that's 10% of their sales or up to maybe 25% of the sales, depending on the strategy of the distributor, we've always viewed that as an opportunity. I would say that segment is growing slightly, it's not transforming in terms of the percent of the market.

Again, I think each of the distributors looks at it a bit differently. And so, where there's opportunity, we are growing that part of our business. Again, I think it's based on the quality of our products, the fact that we can compete aggressively on price and lastly, maybe the uncertainty over tariffs from China, all of those things contribute, I think, to the ability for us to continue to grow that segment.

Now, in addition to that, though, we're also very interested and continue to drive our branded sales in North America. And we have a number of new products that we've launched in the past few years and many products in our pipeline that are coming forward. And so, we'll continue to have a mix in North America of branded products that are going to create value for our customers and for us as well as compete in that more B2B market for that private label business.

Moderator: The next question comes from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: On the other comprehensive income, there is a negative item of about INR578 crores. Just to confirm whether that is related to the impact of rupee depreciation on the US\$loan book that we have?

Anand Vora: Large part of this is that.

Abhijit Akella: Got it. And with regard to the scenario in Brazil, if I may ask question to Mike. The recent bankruptcies we've heard out of numerous distributors in Brazil. Is that having any significant impact on our business or on the industry? And if so, if you could please elaborate on that.

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Public Mike Frank: Yes. So, we did experience in the second quarter some Chapter 11 bankruptcies that did have an impact on our business. One of our large distributors went into Chapter 11 in our second quarter, and we announced at that time an ECL of approximately US\$8 million as a result of that Chapter 11. Since then, it's been quiet Q3 for us. I don't know that we've had any of our distributors file Chapter 11. The market in Brazil right now, the soybeans are approaching the harvest season. There's a good crop that's coming. The fact that the local currency has devalued against the U.S. dollar actually helps the farmers a little bit when they go to commercialize their soybeans.

And so we're expecting coming out of harvest, which is going to happen in the next 30 to 60 days in Brazil that there's going to be a fairly good liquidity at the grower level and when growers have good liquidity, they're going to pay their bills with dealers and distributors. And that, in turn, helps provide liquidity across the market. So, I think there is still some risks what we see that banks are being more cautious in terms of their lending into the ag community, but generally, we're expecting this to normalize. And again, I think at the heart of your question, we're not seeing any additional bankruptcies that we experienced in Q3 or, of course, are expecting in Q4.

Abhijit Akella: That's really helpful. And just one last quick one for Anand, if I may. On the employee cost, please, there's a significant decline in employee cost quarter-on-quarter. So, is this a good run rate to model for subsequent quarters?

Anand Vora: Well, we have restructured some of our operations, and that has resulted in a reduction in the employee cost. And I would say, it's a good benchmark, although if we do all well in Q4, we might see some of the bonus provisions coming through, in which case, cost can go up marginally. But otherwise, this should be a good benchmark.

Moderator: The next question comes from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking.

Bhavya Gandhi: Sir, if you can just help me understand the cash flow that we are going to generate out of Advanta debt repayment? Basically, I'm looking out for year 1, year 2, year 3 debt, gross debt and net debt if you can help me understand that.

Anand Vora: I mean, let's go step by step. This year, we will have \$200 million coming from rights issue, about \$350 million coming from Advanta monetization, of which, as I mentioned earlier, \$100 million will be primary issuance, which money will be used by Advanta for its capex or for its own growth initiatives and \$250 million is going to be secondary sales by UPL Limited, which will entirely go towards repayment of debt.

So, we are talking about \$450 million rights plus Advanta monetization plus another \$300 million free cash flow coming from operations. So, all these three, that is \$450 million plus \$300 million, \$750 million will go towards repayment of debt.

As you know, we have one scheduled repayment of loan, which is expected in September of 2025, of \$250 million. We have the perpetuals which are up for repricing or repayment between February and May of this year, which we will decide later in February or so. We have, in next financial year, \$200 million additional coming from the rights issue plus the free cash flow, which would be generated during that financial year.

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Public And in FY '26, we have close to about \$750 million and in FY'27, we have \$900 million. So, I would say, immediately sometime in 2025 September, \$250 million is what is payable. And against which, as I mentioned earlier this year, itself, we should have close to \$750 million of free cash flow available.

Bhavya Gandhi: So roughly, can you sum the number and provide the gross or net debt levels for maybe next 1 or 2 years?

Anand Vora: The way we look at it is we are first targeting to go Net Debt-to-EBITDA to below 2X. And we expect to remain between, 1.5X to 2X, or maybe go a bit lower than 1.5X. And which means if

you are talking about \$1 billion of EBITDA this year, then our net debt should be at about \$2 billion next year and the following year, with EBITDA further growing, we are looking at set of anywhere between, I would say, \$1.5 billion to \$2 billion.

Bhavya Gandhi: Okay. And would it lead to any improvement in the average cost of borrowings, which is at 7%?

Anand Vora: Most of our debt is linked to the SOFR rate. Now if the SOFR rate comes down, it would not only reduce our term loan debt which is linked to SOFR, but also our working capital cost. So, both will come down because most of our borrowings, except for our bonds are linked to the SOFR rate.

Bhavya Gandhi: So roughly, what would be that rate be?

Anand Vora: Well, we have a spread of anywhere between let's put it at 175- 225 bps. That's the spread which we have. SOFR is currently at about 4.5% or 4.6%. So now if SOFR comes down, then you would see the reduction in the spread. We expect the spreads to improve by about 35 to 50 basis points., sometime by mid of July -August because when we got downgraded from investment grade to BB rating. We did see spreads on our existing loan go by 35 to 40 basis points. And we agreed to that increase on subject to if we come back to below Net Debt to EBITDA of 2 X, then the same would be rolled back. So based on our financial results of March 2025, we intend to go below 2 X, and we intend to approach the banks to reduce it by that 35 to 40 bps increase, which we have given to them.

Bhavya Gandhi: Got it. Just one more thing, if I can squeeze in. If you can just mention the capex trajectory for maybe next 2 -3 years?

Anand Vora: I mean, generally, we guide for 1 year where our capex is where in the range of about \$250 million to \$300 million split, I would say, between almost equally between product registration and investments in new capacities. I think we would be maintaining those around that \$250 million to \$300 million. But you'll get some more color on that at the Capital Market Day when we announce our annual results and give guidance for the next financial year.

Moderator: Next question comes from the line of Love Sharma from JPMorgan.

Love Sharma: I have more of a follow-up from the previous question. If you could just highlight, I think, in some of the bank loans, you also had these covenants, which probably you had some relaxation available from FY 2025 or 2026?

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Public If you could just update what is the status there and I think it's similar to the previous question, given the sizable maturity, which we have from next year mainly, the thought process would be to refinance, I believe at some point. If you could just indicate what is the ideal way for you to refinance that through bank market or you think potentially through public bond markets as well?

Anand Vora: So, I will take the second question first. I mean, yes, we have some payments, and we're closely watching. I mean, till the nomination of Mr. Trump, we saw nicely the rates coming down. But now with the inflationary rhetoric, which we are hearing, rates have spiked up back. We're still talking to some of our bankers, we are expecting at least 1% to 1.25% reduction during this calendar year. So, we'll be closely watching that. The good part is the spreads have come down considerably.

So that's positive. And I think with our cash flows also improving, we are expecting some improvement, which in other words, means reduction in the spreads. So probably, we will look at it, as you know, it depends on how the markets are, but we would look at either a bond or a term loan, whatever is most favorable and what gives us flexibility

of repaying. So that's what

we would be considering. The first question was related to?

Love Sharma: Thinking on the bank loans, again, you had some of the ...

Anand Vora: On the bank loan, now what we have agreed for a 35 to 40 bps increase, we said that for March '24, Net Debt-to-EBITDA of about 4.5, for March '25 at 4 and for March '26 at 3.5.

Love Sharma: But you just mentioned, so in case you achieved, let's say, something like 2x for March '25 itself, and that gives you the rollback on 35, 40 bps of repricing, which you had?

Anand Vora: That is correct.

Moderator: The next question comes from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: Congrats on good set of numbers. Two questions. First thing that we have seen a very serious tightening of working capital over the last few quarters. If the competitive intensity increases incrementally, is there any chance of it getting loosened or is it an irreversible process and this will be the normative working capital that we will be following incrementally?

Mike Frank: Yes. Rohit, I'll maybe answer that from a global crop protection standpoint. So, with the working capital gains that we've made on a year-to-date basis have really come from both inventory management as well as shortening terms on our invoices, our DSOs. I think we're at a level where both are sustainable and probably additional opportunity on DSOs.

And so, we're going to continue to focus on that. Again, part of that is how do we match up our

deliveries to customers. So that they get it right before the season, and so we can shorten that time from when it's sitting in the warehouse to the time it moves to their customer. So that's an opportunity for us to continue to align our production scheduling. And then just generally, I think the challenge in the industry and the margin pressure that the industry been, I would expect to see some continued reduction in overall DSOs across the industry. As everyone

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Public is trying to manage working capital, everyone is dealing with interest cost and so I would expect to see over the next 1 or 2 seasons, some continued improvement at the industry level, which, of course, allows us to participate in that as well. So, I think we're at a sustainable level with some opportunity to continue to improve.

Rohit Nagraj: Got it. And second question is on the margins front. Given that I assume most of the efficiencies are already embedded in current margins, there is a little scope for further improvement.

Obviously, it's a continuous process, nonetheless. But in terms of incremental scope to expand the margins, it's relatively limited. Is that assessment correct?

Mike Frank: I would say, with our current portfolio and the cost assumptions we have and the pricing assumptions, that's generally correct. However, our innovation pipeline is very strong. As we talked about, we have approximately \$85 million of new product launches this year. Those products are going to scale up again over the next 3 to 5 years. We've got more new products coming next year and the year after that.

Our new product launches are heavily skewed to our differentiated and sustainable portfolio, which has a significantly higher margin profile. So, I would expect that the growth that we see in our business going forward, especially from these new products, they're going to come at a higher margin, which is going to have a positive impact across our margin profile.

Nitin Agarwal: Mike, on the contribution margin, for just taking the point that you mentioned about the contribution margins. So, with the mix that you have in mind, which can change with the higher contribution products coming through, I mean, what is the extent of gross contribution margin expansion that we can see in the best of the cases as we go forward? It's like 100 to 200 basis points? Or

is this a minimal sort of contribution increase margin increase over where we are or where we finish the year at?

Mike Frank: Yes. So, Nitin, look, I would say, in any given quarter, the mix profile is going to have some impact. And as we look at our Q4 that we're participating right now, we actually have a strong mix of our differentiated sustainable portfolio. So, from a Q4 standpoint, we would expect margins to continue to be strong as they were in Q3. And then I would say, as Anand answered earlier, in May at our Capital Markets Day, we'll provide more color on how we see the business evolving in FY '26 and beyond. And so that is part of our working process right now.

As I mentioned earlier, we know we've got a strong pipeline of new innovative products that are heavily skewed to the differentiated sustainable portfolio. And so, I would expect as we get ready for our Capital Markets Day, we'll have more shape and color on that. And overall, there'll be margin accretion, I would expect as we think about the future.

Moderator: Ladies and gentlemen, we have one last participant which is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Congrats on good set of numbers. Just 2 clarifications. First, Mike, I think you mentioned that destocking is near complete. So how do you see CY '25 or FY '26 panning out in terms of overall volume growth? Would it be like high single digit? Or how do you see it?

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Public Mike Frank: Yes. So, assuming we're right on the restocking being largely complete. I think from a volume standpoint in the next 12 months or, call it, FY '26 in our business, I think at the industry level, it's going to be mid to low single-digit volume growth. Again, our objective and what we're seeing this year with our market share gains, I think that momentum will continue to propel us. But at an industry level, I think it's going to be a little bit less than the number you suggested.

Krishan Parwani: Got it. And secondly, the interest cost coming down to INR730 crores this quarter. I can see that, that includes INR98 crores of profit rising from hedging. So, is the rest of the benefit on account of debt reduction or your interest cost has also gone down?

Anand Vora: I mean, Krishan, you would appreciate that, with the price table coming down overall, because the hedging cost of this fee, which is a differential of the interest rate between different countries.

Those would come down as we see the drop in top line for the full year. So that's one. But also with the interest rates, we saw them at least for the first 9 months, there was a reduction in the

interest rates we saw and which in turn resulted in reduced , what we call the forward margins, forward hedging costs.

So that helped us to bring down the cost. This is essentially a function of what is the interest rate differentials between the 2 geographies . And we try to remain as we have always said, fully hedged, but we also see for opportunities if there are like for instance in Brazil, if we sell against customers who buy all the sold in Brazilian R eal, but it's linked to the dollar of the day, then we have a natural hedge available there .

So besides some of the countries, , currencies have stabilized. You saw Argentina, I think the hedging costs have come down significantly lower. Similarly, we have seen some reduction in Turkey. In Russia, we don't sell much but whatever we sell , we try to sell it against rupee denomination. So , these are some of the initiatives which we have taken, and which has helped us to bring down the hedging costs.

Moderator: Ladies and gentlemen, that concludes our question -and-answer session. I now hand the conference over to Mr. Anand Vora for his closing comments.

Anand Vora: Thank you very much for joining us on this call. If you have any follow -up questions, feel free to reach

out to Anurag Gupta or myself, and we'll be happy to answer that. Thanks once again for joining us on the call.

Moderator: On behalf of UPL Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

Public UPL CMD 2025
12 May 2025

Anurag Gupta:

Good evening, everyone. I am Anurag Gupta, Head of Investor Relations at UPL. On behalf of the UPL management team, I welcome you all to 2025 Capital Markets Day.

Whether you are in the room here or joining us live through the webcast, I believe the time spent with us today will be valuable in understanding the strategic direction of the company. You will get a chance to hear from and interact with our business leaders of various platforms, the ones who build the systems and engage in working towards our ambition to change the game. A few of these examples you would have already seen at the experience centre created outside.

Before we begin, please note that we will be sharing a lot of information in today's presentation, and we would like to make sure that you hear it all before we begin with the Q&A. The session will start with a presentation by

- Jai Shroff, Chairman and Group CEO, followed by
- Anand Vora, Global CFO,
- Mike Frank, CEO of UPL Corporation, our Global Crop Protection platform
- Ashish Dobhal, CEO of UPL SAS, our India Crop Protection platform
- Bhupen Dubey, CEO of Advanta Enterprises, our Seeds platform, and that will be followed by
- Raj Tiwari, CEO of Superform, our newly branded Specialty Chemistries platform, which was formerly known as UPL Specialty Chemicals.

Finally, please make sure to check out the Safe Harbor Note on the forward-looking statements.

So, with that, please silence your phones, sit back, and we start the presentation. Let's welcome on stage our Chairman and Group CEO, Jai Shroff.

Jai, over to you.

Public Jai Shroff:

Thank you, Anurag.

Before we start, I want to congratulate our Prime Minister and the Armed Forces for the fantastic achievement over the last week on protecting and giving us confidence that the country is in good hands. I want to start off by congratulating the whole UPL team on fantastic achievement.

We had a challenging year, the whole industry had a challenging year last year, and I'm very happy to inform you all and share the excellent performance of the UPL group today. According to our guidance and the overall performance, we have had the upper end of almost every guidance we had given. We've had 8% growth in revenue, 47% growth in EBITDA, the free cash flow generation has been \$530 million.

What I can say is that UPL presence across 130-140 countries gives us great resilience. Having access to farmers around the world in almost every crop value-chain gives us an opportunity for our whole platform to exceed performance. Today, you'll be happy to know that we have delivered better growth, better performance than any other player in our industry in a revival zone.

With our presence in 140 countries and being the 5th largest player in the world, we have no single customer more than 3% of our revenue. Today, we have built a very deep relationship in key markets such as Brazil, South Africa, Central America, Mexico, and India, with our platforms such as our Origeo, Sinova, and our partnerships in South Africa, even in India with

our Nurture platform.

Our customer focus and R&D with a huge innovation pipeline has given us the ability to revive our business.

We are completely focused on pain points and addressing the challenges being faced by farmers around the world, whether it's food safety, crop residue, whether it's climate change, and related stress, water use efficiency, etc. We have a huge R&D team which is constantly innovating and filing IP. Today we have more than 2,700 patents and more than 30% are IP protected.

We have an innovation pipeline which last year gave us revenues in excess of \$100 million and going forward, we expect it to continue to grow. Our innovation rate today is about 14% , and our strong innovation index on seed pla

tform too is giving us tremendous tailwinds in India and other markets where food security is a big issue. Today , almost 38% of our products are differentiated and sustainable , and in Advanta, we have a pipeline of 900 hybrid seeds in over 40 crops.

We are ranked number one in ESG, and are well aware of its importance. ESG is a strategic asset for UPL, where we are not only becoming more sustainable , but it is a strategic advantage , because everything we do in ESG is improving the quality of our manufacturing, our product pipeline and also the farmer resilience. We have complete backward integration,

Public and this is helping us . This year is one of the best examples where we are able to recover and rebuild our profitability in a very difficult environment in the world.

We have 43 manufacturing locations, and we continue to invest in improving productivity and our cost position constantly , to be able to compete in a really challenging environment. Our low-cost base and our closeness to farmers around the world has established a very strong brand starting from Japan to Argentina, US to Australia , helping us build a trustful relationship when we are introducing new technologies. As far as governance is concerned you all know we've created four platforms and in each of these platforms we have top-class investors on board from across the world , making sure that the governance is of the highest standards.

Today , we are focused on farmer resilience. Farmer resilience is one of the key tools for our success and our focus is around understanding the challenges and pain points of farmers and introducing technologies for that. Reducing environmental footprint in agric ulture is one of the key requirements of the world and to decarbonize the world.

Food security is also a huge challenge with more than a billion people still hungry in the world. Enhancing sustainability and improving our carbon footprint in manufacturing, this is also one of the key challenges and UPL leads the way in that area. At every market we operate today , we are involved in a social change and supporting the social projects so each of our businesses is involved in community service.

Today , we have had improvements on every parameter and in the long term , in the next 10 - 15 years we expect to be world leader in every aspect. As you can see, we are rated highly among all the indices of sustainability. Our commitment is to continue to improve business productivity, enhance business efficiencies and continue to grow with our differentiated and sustainable products , and using our existing network and distribution capabilities , we believe that our financial performance , ratings, ROC and ROE both will continue to improve going forward.

I hand over to Anand Vora. Thank you.

Public Anand Vora:

Thank you, J ai.

Good evening and a very warm welcome to all of you who have joined us today , both in person as well as those who have joined us virtually. A year back when we had met here at the same venue we had made certain commitments. We had just come out of F Y24 which you

all know was the most challenging year in recent times not just for UPL , but for the entire agrochemical industry.

But we saw in this an opportunity to right size our organization, to adapt to the market realities, to make ourselves 'future -ready ' by leveraging on our fundamental s, what we call our 'resilient core ' , and which J ai enumerated in detail a short while back. While we were able to navigate through F Y24 we bounced back strongly in F Y25, which we call the year of recovery. The business performance showed strong improvement especially in the second half of the year and we are pleased to have met and delivered on all the three financial guidelines, the revenue, EBITDA and the operating free cash flow.

Now, s ome of the key highlights before we d elve deep into the financial performa

nce. Let me

summarize them for you. To begin with our superior business performance recovery that we spoke earlier.

This was through strong revenue growth , driven by industry leading volume s, with growth of 13%. We saw growth across all the regions and across all platforms. The global crop protection platform, the India crop protection platform, our seeds platform, the Advanta seeds and our newly carved out specialty chemistry platform , Superform .

As highlighted by J ai earlier, our EBITDA jumped by 47% and EBITDA margins at 17.4% improved by 460 bps an impressive recovery. The improvement in margins were driven by better product mix, rebate normalization and lower cost of goods , supported by productivity enhancement through optimization of overheads. As regards working capital and debt reduction during the year, we saw a significant working capital improvement.

Our working capital days reduced from 86 days in FY24 to 53 days, a reduction of 33 days resulting in a release of ■33.7 billion. This was driven by significant reduction in inventories, improved collection against receivables through tighter credit controls. The reduction in working capital and the two capital transactions facilitated the reduction in net debt by ■83.2 billion, almost \$1.04 billion. Our net debt by the end of the financial year stood at ■138.6 billion or \$1.6 billion.

Now let me brief you on the two capital transactions which we just concluded at the end of this financial year. The rights issue of ■33.8 billion was a success . We got oversubscription almost two times. As stated in the last quarter earning calls, the allotment money of ■8.44 billion was received in December 2024, while the amount pertaining to the first call was received by the end of the financial year in March. The balance 50% we intend to call sometime during this financial year and could be within the first half.

Public The second capital raise transaction was through the partial monetization of Advanta shares. We signed a definitive agreement with Alpha Wave Global for a sale of 12.5% stake for a sum of ■30.4 billion, approximately \$350 million. Through a mix of primary and secondary transactions, valuing our seed business at US \$2.8 billion.

This marked the second investment in the enterprise by a global investor within a span of two years. Post the clearance from the Competition Commission of India, we received the proceeds in March just before the close of the financial year. The impact of t hese two inflows is reflected in our cash balance as of 31st March.

Now let me take you through the financial highlights for the fourth quarter, followed by that for the full financial year.

Revenue for the fourth quarter stood at ■155.7 billion, a strong 11% growth over that of last year. This was almost entirely led by volume growth, while the pricing and currency changes largely offset each other.

The growth was across all the platforms. The contribution for the fourth quarter stood at ■59.3 billion, a 43% growth over last year. The contribution margins stood at 38%, 870 bps jump over that of last year, reflecting a strong recovery.

The significant growth was driven by better product mix, overall improvements in cost of goods sold, and normalization of rebates, similar to what we saw in Q3 earlier this year. SG&A spend was ■26.9 billion, compared to ■22.1 billion last year, an increase of 22%. This was

partly due to bonus provision on the back of improved performance in financial year 2025.

Further, we had some impact of distributor delinquencies in Argentina, where two distributors filed for insolvency. Adjusting for these changes, i.e., bonus not being there in the previous year due to poor performance, and the abnormal distributor insolvency being exceptional in nature. If we were to adjust for these, the SG&A for the quarter was up only by 4%. The EBITDA for Q4 stood at **■32.4 billion**,

a strong 68% increase versus that of the previous year.

The EBITDA margins were 20.8%, an increase of more than 700 basis points, again reflecting a good recovery on the back of improvement in contribution margins. Profit after tax adjusted for exceptional items, associate income and minority stood at **■9 billion** as compared to **■0.4 billion** in the previous year. Let me share some of the key components leading to this strong net profit for this quarter.

We had a healthy EBITDA of **■32.4 billion** against **■19.3 billion** in the previous year's same quarter. Depreciation and amortization at **■7 billion**, which was lower by 11%. Foreign exchange losses at **■840 million**, a sharp reduction from **■2.47 billion** in Q4 in the previous year.

The reduction in foreign exchange losses were due to lower charge in Brazil, Turkey and an appreciation in the Russian ruble. Income tax was higher at the back of better performance at **■3 billion** compared to **■1.1 billion** in Q4 of the previous year. Exceptional charge stood at **■2.8 billion**, largely attributed to a VAT provision in Brazil pertaining to previous years.

Public The company along with some of the industry players are looking at challenging this charge. Associate companies and JVs had a charge of **■270 million**, largely on account of losses from Sinova and Orig eo, the two Brazilian associate companies.

Moving on to financial performance for the full year.

Revenue stood at **■466.4 billion**, up 8% year -on-year, and it was at an upper end of the guidance. The strong performance was driven by volumes which were up by 13%, partly offset by price reduction of 3% and an exchange impact of 2%. Contribution at **■181.7 billion** was up year -on-year by 21% due to favourable product mix, cost of goods improvement and rebate normalisation.

Contribution margins were back to 39%, an improvement of 420 basis points over that of the last year, reflecting a strong recovery. Fixed overheads at **■100.5 billion** were up by 6%, mainly due to an increase in overheads in fourth quarter. Adjusting for employee bonuses and one - time charge due to delinquencies in Latin America, we saw a 1% reduction in our SG&A for the full financial year over that of the previous year.

The EBITDA for the full year stood at **■81.2 billion**, a 47% growth over last year, marginally below the stated guidance of 50% growth. The EBITDA performance, driven by higher contribution, overall productivity enhancement, led by overhead reduction initiatives. EBITDA margins at 17.4% were up by 460 basis points over that of the previous year.

Profit after tax for the year at **■9 billion**, almost entirely coming in Q4. Some of the key components leading to annual profits for the full financial years are EBITDA of **■81.24 billion** against **■55.15 billion** of the previous year. Depreciation and finance costs were similar to that of the previous year.

Foreign exchange losses stood at **■710 million** as compared to **■1.29 billion** in the previous year. The reduction in exchange losses was due to lower charge from Latin America and small gains from Russia. Exceptional items stood at **■4.08 billion** versus **■2.5 billion** of the previous year, the increase again coming entirely in Q4 as explained earlier.

Losses from associated entities stood at **■4.72 billion** versus **■2.4 billion** of the previous year. Again, the increase largely coming is attributed to the Q4 losses from Brazilian associates.

Moving on to working capital. I am pleased to share that our net working capital as of March 31 was **■67.6 billion**, a significant reduction of **■33.7 billion** against that of the previous year. The positive development achieved through continuous focus on inventory management,

improved collections of receivables through tighter credit controls as already mentioned earlier. In number of days, net working capital at 53 days showed a reduction of 33 days.

Inventories stood at 81 days showed a reduction of 2

7 days, while payables stood at 130 days, a reduction of 16 days. The receivables at 102 days were lowered by 22 days. Non-recourse factoring, something which is referred to every now and then, was at similar levels as that of the previous year.

In other words, we have not increased non-recourse factoring, to increase our cash flow, as has been often spoken about in the previous years.

Public Moving on to the slide on debt. Gross debt reduced by **■47.2 billion**, approximately \$635 million on a year-on-year basis to **■237.1 billion**, that's \$2.77 billion.

We prepaid \$250 million long-term loan, which was maturing in September of 2025, and the balance reduction came from working capital reduction. Cash and bank balance as of 31st March was **■98.6 billion**, approximately \$1.15 billion, versus **■62.6 billion**, that's \$751 million in the previous year, largely attributed to the two capital transactions, which is the rights issue and the Advanta sales share, which as I mentioned earlier, the proceeds from both these were largely coming towards the end of the financial year. The net debt as of 31st March 2025 was **■138.6 billion**, US\$1.62 billion, a sharp reduction of **■83.3 billion**, that's approximately \$1.04 billion.

On the back of good operating performance and sharp reduction in working capital, the operating cash flow of **■44.51 billion**, approximately \$530 million, exceeded our guidance of free cash flow of \$300 -400 million, which we had guided at the beginning of the year. The net debt as of 31st March 2025 was **■138.6 billion**, approximately \$1.62 billion, a sharp reduction of **■83.3 billion**, or \$1.04 billion. Our net debt to EBITDA ratio stood at 1.7 times EBITDA, a significant reduction versus Q4 which was there at the last financial year.

To sum up, we delivered a strong FY25 with all the key indicators close to or beating the stated guidance. Our revenue growth of 8% is on the higher side of the stated target. Our EBITDA growth was 47% despite the tough macro indicators as well as a strong operating cash flow which will be used to fuel growth in FY26 and assist in debt reduction.

Before I call on the platform CEOs to take you through the business performance in details, let me summarize the financial results.

Our resilient core facilitated a quick turnaround, and we delivered best-in-class industry-wide financial results, delivering revenue growth at the top end of our guidance, EBITDA growth close to the guidance, and outperforming on the operating free cash flows. With this, I hand over to Mike to take us through the business performance of the global crop protection business.

Thank you.

Public Mike Frank:

All right, thank you Anand and hello everyone. Good to see many familiar faces in the room today.

Over the next few minutes, I'll take you through our global crop protection business and talk about our FY25 results, outlook for FY26, and then also discuss our very exciting R&D pipeline and what we see coming in the short term and over the next few years. But before we look at the key highlights in FY25, I'd like to share my thoughts on the global crop protection market. As you know, looking back over the past 24 months, FY24 was a year where the global ag industry and our business were impacted in an unprecedented way and on multiple fronts.

In that year, starting in 2023, it was our read that the market structure changed and that overcapacity from China was a new reality. Based on this, we made the necessary adjustments that we thought were needed, including downsizing the organization, making the needed adjustments with our customer rebates and returns, trimming our low margin portfolio, and

making other adjustments, all in an effort to rebuild and reset. And as you will see in our performance in FY25, these tough actions that we took a year and a half ago have paid off.

In FY25, we saw the macro global crop pro

tection market start a gradual rebound. However, our performance significantly outpaced the industry. Farmers and dealers, their buying patterns are now reset. We believe channel destocking is complete in most major markets, and we see normalized ordering patterns from both growers and the farmers, although they continue to order closer and closer to the new season. Further, active ingredient prices are stabilizing at the current level. Looking ahead, the operational excellence focus that we put on working capital, customer engagement, and supply chain efficiency will all continue to drive our momentum in FY26 and beyond.

As a business, we remain vigilant and resilient, adapting to new challenges, opportunities when they emerge, and market volatility, which is the norm for today. Most importantly, we've built a strong foundation to ensure sustainable growth and profitability.

So, turning to our key highlights, in FY25 we improved the quality of our business, outpacing peers in volume growth and achieving higher penetration in key markets, demonstrating continued customer confidence and acceptance of our offerings.

This resulted in strong revenue and EBITDA growth, as we will see later in the presentation. And as mentioned by Anand earlier, I'm pleased to highlight that our focus on operational excellence has positively impacted working capital, specifically through inventory optimization, tighter credit controls, and reducing receivable terms. The success that we had with our working capital this financial year has resulted in us outperforming our full-year free cash flow guidance at the group level, setting us up well for a future with a strong balance sheet.

Moreover, we made significant improvements in our process efficiencies, resulting in a big reduction in net working capital days, effectively setting a new industry standard. Focusing on marketing excellence, this year we launched several new products, generating over \$93

Public million in sales, representing about 2% of our total revenue. This demonstrates our commitment to grow our business through innovation and unique product offerings.

On the organizational front, our employee engagement was high, reflecting an organization culture in which our high-performing teams have a strong sense of purpose and commitment. As a business, we demonstrated resilience and agility in building a strong foundation for a future-ready business. So, let's turn to our quarterly performance.

Our fourth quarter results show a strong bounce back. I'm pleased to share that our fourth quarter revenue was up 18% versus last year. This growth was led by higher volume growth across the key regions such as North America and Europe, demonstrating our resilience and rapid recovery from last year's challenges in these markets.

Among major segments, we saw a significant volume-led growth in both herbicides and fungicides. Herbicide growth benefited not only from rebate normalization versus the previous year, mainly in North America, but also from robust volume growth in Brazil and Europe, especially from strong in-season demand for key products such as clethodim. Fungicide growth was primarily driven by mancozeb volumes in Brazil and North America, as well as captan volumes in Europe.

Our insecticide portfolio in the fourth quarter was impacted by lower acephate volumes in Brazil, which was also compounded by pricing challenges for acephate products in this market. But strong revenue growth in our NPP business, which is our natural plant protection portfolio, was driven by a mix of improved pricing as well as biostimulants volume growth specifically in Europe. I am pleased to highlight that our contribution margin for the fourth quarter has shown a remarkable turnaround, growing 900 bps versus last year, demonstrating our ability to earn margins in this current environment.

Overall margin improvement

was a result of improved product mix, mainly in our differentiated and sustainable segment, COGS improvement, and normalization of revaluation primarily in North America. Our differentiated and sustainable products grew

volumes by 23% versus last year, led by insect control brands like Bright ® in Brazil. Post-patent segment margin recovery was led by significant growth of captan in Europe and mancozeb in Brazil.

We're very encouraged by this trend and the continued strong adoption of our products by customers. Turning to SG&A, we continue our strong discipline around discretionary spend, but unfortunately, we did face, as Anand said, a few headwinds with our Chapter 11s that we experienced with customers in both Argentina and Brazil. But overall, the strong fourth quarter performance resulted in EBITDA margin improvement of over a 1,000bps.

Looking here at our regional performance for the quarter, overall growth in our LATAM region was impacted by market erosion, specifically in Argentina. Lower insecticide volumes in Brazil coupled with the impact of currency volatility and continued price pressure in the LATAM region. Brazil volume was led by mancozeb as well as acephate based solo and mixture products, demonstrating our continued ability to consolidate our market share.

In North America, we continue to experience strong in-season demand for our products, with channel inventories as well as rebates back to normal levels, as I mentioned earlier. The region

Public had a robust 64 % volume growth, supported by a strong herbicide portfolio with products such as clethodim, s-metolachlor, and metribuzin, all performing very well. Overall, the region grew by 84 % in revenue versus last year.

In Europe, revenue was up 25 %, boosted by favourable weather conditions and driven by strong volumes in fungicides such as Proxanil®, captan volumes, and strong growth in our biocontrol and biostimulant product lines. The rest of the world, comprising of Asia-Pacific and Africa, recorded 3% led growth and overall revenue growth.

So, in full year FY25, we posted 11 % revenue growth versus last year, driven by industry-leading volume growth and a strong herbicide-led performance.

Contribution margins grew by 640 bps to 32.5 % versus last year. Turning to SG&A, the full-year impact of Chapter 11s in the LATAM region was around \$14 million, leading to a slight increase of three percent overall in SG&A versus last year. Excluding this impact though, our SG&A would be lower on a year-over-year basis.

Focusing now on our strong EBITDA growth of 141 %, this was driven by improved mix, lower COGS, higher contribution margin, and again disciplined control of our discretionary spend. Moving to our regional performance for the full year, North America and Europe recorded impressive volume-led revenue growth at 67 % and 19 % in each region respectively. Volumes in LATAM grew at 15 %.

However, in spite of pricing pressure, currency volatility challenge, and a depressed market in Argentina, the region closed slightly up on revenue growth year-over-year. The rest of the world, specifically Africa and Asia-Pacific geography, posted 1% revenue growth driven by 4% volume growth, which overcame headwinds from currency and a little bit from pricing.

Turning to the performance of our differentiated and sustainable segment, I'd like to highlight that this segment continues its strong trajectory. Volumes in this segment grew by 21 percent, partly offset by currency headwinds resulting in 11 percent revenue growth versus last year, led by acephate based Feroce®, as well as acetamiprid-based Bright ® in Brazil. This segment volume growth rate continues to outpace the post-patent segment with much higher product margins. This volume and revenue growth have improved our overall mix of differentiated and sustainable products to 38 % this year versus

us 35 % last year, and we remain on our path to achieve a 45-50% differentiated and sustainable mix by FY27.

Our focus on innovation and solving farmer pain points, as Ja i talked about, is demonstrated by strong revenue growth from our new products, as I mentioned earlier. These new products delivered over 2% of our total revenue at \$93 million, outperforming our \$85 million target that we set at the beginning of the year. Moreover, most of our product launches were from the differentiated and sustainable segment, which helped improve our overall margins.

So, moving on to our FY26 outlook, we continue to see robust and strong farm gate demand for our products and technologies. However, we do expect the headwinds related to low Ag commodity prices to persist, resulting in flat to slightly lower profitability for farmers, with

purchase patterns continuing to shift closer to the use season. While the macro challenges

Public persist, we will continue to accelerate our sales mix towards differentiated and sustainable solutions, which is at the core of our growth strategy.

Our success with working capital management this past year resulted in low inventory at the start of this year, giving us the benefit of starting with fresh stocks. Further, key active ingredient prices have now stabilized, and we anticipated flat to slightly lower costs on internally sourced active ingredients as we go into FY26. On the geopolitical front, the current U.S. tariff policy as it exists today is beneficial to our India-based manufactured products.

With the planting season underway right now in the U.S., much of the needed products for this season are already on shore in the U.S., so we don't anticipate much impact from tariffs in our first half. That said, we have already adjusted some of our in-season pricing on some of our products to cover any additional tariffs which will be impacted by fresh imports into North America, into the U.S. specifically. On the supply chain front, we remain agile and flexible, ready to adapt to this ever-changing environment.

Turning to our FY26 operational strategy, our revised business model and strong momentum is set to deliver against this challenging backdrop, and our approach to profitable growth this year is a multi-prolonged strategy through three key areas. Firstly, driving operational excellence with purpose to deliver best-in-class customer outcomes. Secondly, disciplined resource allocation and portfolio management, delivering both contribution and EBITDA margin expansion, and finally, creating organizational efficiencies by continuing to transform our target operating model to enable more efficient and scalable growth.

Our FY25 success has given us clear momentum, and we'll use this to compete profitably and deliver our FY26 EBITDA and cash flow commitments. We will continue to focus on improving the quality of our business, focusing on margins and volume growth. New product launches and implementing our retailer and distributor approach, which focuses more on sell-out than sell-in, will continue to be a key focus of ours.

We have set an ambitious target in FY26 for new product launches of over \$130 million in new revenue from new products that we'll launch this year. We have over 20 new products that we'll be launching across all regions this year, but the bulk of the new product launch revenue will come from North America, Latin America, and Europe. These new products cut across all segments, fungicides, herbicides, insecticides, and our NPP portfolio, but they're primarily in the differentiated and sustainable segment.

Our attention on cash generation still remains a priority, and our past year's best-in-class working capital management puts us in a unique position to both grow and generate free cash. The natural plant protection business had strong growth last year, and margins in this business continue to be robust

. We remain focused on our ambition to grow faster than the market in our sustainable solution segment with an expected CAGR of roughly 13% between FY25 and FY30.

This segment comprises biologicals, biocontrol, and biostimulants, and it's a very important growth driver as we look forward. Most importantly, these products help our farmer customers improve soil quality, increase plant health, reduce their carbon footprint, and bring more resilience to their operations. Looking ahead, we have 10 new technologies in our

Public natural plant protection development pipeline, and we're on track to deliver our commitment of \$700 million of revenue in this segment by FY27.

As a reminder, our crop protection and sustainability solutions pipeline is built around customer centricity and a balance between traditional crop protection products and bio solutions. Our current pipeline value is ~\$4.3 billion at peak sales, of which around \$1.5 billion annual sales is expected by FY30. I would like to emphasize that we have 26 molecules in our development pipeline with several new entrants since our Capital Markets Day event, and 17 new solutions platforms.

So, in summary, FY25 was a year where our global crop protection business performed very well in a challenging market environment. Our focus on operational excellence proved our resilient core, and while the macro environment in FY26 continues to be challenging, we see a path to deliver another year of strong revenue and EBITDA growth, showing that we are

'future-ready'. Finally, I'd like to thank our team for their dedicated efforts and our valuable channel partners around the world for driving forward together with strong purpose.

Thank you. With that, I'll call Ashish to talk about UPL SAS.

Public Ashish Dobhal:

Thank you so much, Mike.

Good afternoon, everybody. A warm welcome to you in our Capital Market Day. A quick thing on the India business.

I think the year gone by was a very, very important business for us. It was a pivotal year because we didn't just recover from a very unfavourable place, but we actually rebuilt the business in this year with a lot of intent, with a lot of discipline, and with a future-looking lens.

Today, as we stand here, we have a much more resilient core, which is financially very strong, commercially sharper, and operationally leaner. And we just don't stop at this. As we go forward, we are 'future-ready'.

Our ambition to grow is very high, not just in terms of quantity, but also in quality. In the next few slides, I'll take you through how this transformation was done, but more importantly, why it is built to last.

FY25 key highlights for UPL-SAS. We've transformed to drive sustainable growth. Three big pillars. One was operational excellence, where we have redrawn the contracts with most of our customers because we were looking at very prudent credit policies and working capital usage. For almost 9,000 customers, the contracts were renegotiated. The placement was aligned very close to the season, and the forecasting was done very dynamically. We went aggressive to reduce SG&A, but at the same time, we increased the spend on training because it was very important to drive this transformation and execute it not just at the employee level, but also at the channel level.

Market and channel optimization. Last year in the Capital Markets Day, we promised that besides our traditional crops of cotton, soybean, and groundnut, we'll be focusing big time on corn, sugarcane and rice. And that's where a big chunk of our growth also comes in this year.

I'm very happy to say that we have aligned a go-to-market strategy, not all over India, but with a very selected evolving demand pockets, which were actually selected based on intense analytics that we did on a lot of micro-markets. In terms of strategic portfolio, we went heavy on cutting down on

products where the margins were less.

Herbicides. Overall India is increasing, and we are leading this evolution, where because of labour shortage in every single crop, herbicide segment is increasing. We have one of the biggest non-selective products in India with Sweep Power® and Ferio® in soybean. We are in pre, post, and early post segment.

The interesting piece was the resurgence of the legacy brands. So Saathi®, Saaf® and Lancer Gold® are household brands in India in the rural areas. These brands are 10 to 12 years old.

We were able to grow all these brands, not just in volumes, but also in margins.

Which brought us to this Q4. It was one of our strongest quarters. The big jump in revenue was basically on volumes, on liquidations in the rabi season, majorly in sugarcane, pulses. We

Public are the leading company in pulses and south paddy. The key products are all high margin products for us. Iris® and Patela® are mainly on pulses. We have Saathi® on paddy, and Electron® and Cascade® on sugarcane.

EBITDA was mainly driven by a higher contribution, which was partly offset by some A&P (advertising and promotions) spends that we had to do at the end of the year for a lot of new launches. And on cash flow from operations there was a significant improvement, where inventory levels were brought down big time as compared to last year, and which also led to

a major reduction in the working capital.

This brought us to the results of a revenue increase by 57% in Q4, from ₹4.3 billion to ₹6.8 billion, a contribution margin improvement from 5.7 % to 27.8%, EBITDA of last year minus ₹0.4 billion to ₹0.9 billion. So, we have come back to some of the numbers in Q4 which are our historical best.

For the full year, to tell you the story, we did exceedingly well in the herbicide segment. Centurion® and Canora® today is the hottest product in soybean. Iris® and Patela® are the leading products in soybean. Sweep Power® and Ferio® is a product which is an all-India product which goes everywhere, and it is a non-selective.

We've really created this segment. And a big chunk of our business this year comes from new product launches and the climate smart portfolio which we also call NPP. We have made massive improvements in share of our strategy crops like corn, rice and sugarcane, which to some extent has countered the offset which was because of decline in cotton.

Contribution margin was primarily led by the portfolio rationalisation and new launches and stable input costs this year. EBITDA was driven by improved contribution and overall efforts in optimisation for leaner and efficient structure. And cash flow from the operations once again was historic best for us this year, which in terms of number translates to ₹32.3 billion from ₹28.5 billion of last year which is a 13% growth.

A contribution margin jump from 19.2 % to 26.8 % for the full year. We also are looking at an EBITDA growth of about 232% from ₹1.3 billion to ₹4.4 billion which is ₹440 crores. And an EBITDA margin of 13.7 % against 4.7 % of last year.

Our digital platform nurture, I am very happy to report that last year we told that we'll make this platform contribution margin positive, we are now contribution margin positive. We have a GMV of ₹220 crore. We have brought down the EBITDA losses from about ₹1 billion to about ₹0.9 billion.

We are getting partners from across India, across categories, not just for crop protection but also for seeds, farm machinery equipment. The big chunk that we feel in the digital business, the big improvement that we can very proudly talk of is the increase in active users. So about 45% increase in active users and the engagement time which is the time spent on the app goes up by 60%.

These are two very important metrics to say that there's a big habit being formed in the rural areas. We have almost 60,000 to 70,000

0 retailers now transacting on the platform. For the coming year, what are the priorities, what are the new things? Well, not too much because

Public we really believe that we've taken some big bold measures last year and it's very important to see through those measures and continue some of the work that we had started last year.

So, we continue to keep a very tight control on credit and commercial policies to sustain optimised working capital. The spend, the efficacy of the spend is very important and we are using tech enabled efficiencies to figure out how do we make sure that we get the maximum bang for our buck. In terms of our differentiated portfolio, we are going from 40 to 45% in the current year.

That's a big place where we are focusing on to increase the overall margins with the new products that we are launching this year. Our climate smart portfolio or the NPP portfolio and the rationalisation of the tail continues, and we continue to focus on the crops where there is a strong tailwind like corn and sugarcane.

Driving ESG is core to us. It's our heart and soul. Our name itself says UPL Sustainable Agro Solutions. Shashwat Mithaas is a program for sugarcane where we are giving end-to-end solutions of sugarcane with the traditional crop protection and climate smart practices and smart water products like Zeba®.

This whole program is adopted today by 16 sugar mills and another 16 sugar mills is something that we are about to sign which would mean almost 80,000 acres of sugarcane under this program.

Our rice carbon program is at a very interesting stage. It's in the second year. We've seen some amazing benefits of this program. We'll be able to update you more about this in next six to eight months. Our ProNutiva® program which is similar programs for other crops also are underway.

Our groundnut program is a very successful program and we are also planning to take it to other crops. NPP or the climate smart products of course is the heart and soul of the sustainability in farming.

Through some aggressive insurance plans and creative insurance schemes that we've given to the farmers and our retailers, we're promoting health and safety not only for our employees, but also for our distributors. Therefore, it's not limited to the staff.

Of course, with our increased reliance on the digital cyber risk policies is that we'll work very aggressively this year because we are more and more relying on digital and analytics to take decisions. In terms of digital transformation, we are doing it in three steps, three stages. No division is left without it. So Farmily is a digital platform for our business channel partners and engagement with them. And Nurture platform is mainly for farmers where we are giving host of our services, whether it is mechanization, advisory, insurance or traceability.

Everything is being given through nurture .farm. And two platforms for our own employees. One is Distributor360. You can see it outside. It's there in the experience centre which gives an amazing ability to our employees to just have a look at the app and figure out the quality of the customer he's working with, and accordingly device incentives or credit to those customers.

Public

Swift Squad is a program which is for our third -party employees to make sure that their productivity increases and to make sure that their productivity is tracked digitally. Add to this, the big focus will be a ₹2 billion revenue from the new launches, which is the first year of sales.

So, we can very confidently say that this year, whatever we've done is not a flash in the pan. This is a business which is with a very strong core, and is future ready. And we're trying to develop a culture where excellence is a habit.

Thank you so much. With that, I'll call Bhupen.

Public Bhupen Dubey:

Thank you, Asish.

Just to break the good news, the

UPL group is known for the ambition, aggression and global vision. Once you are a part of this group, it's impossible not to get infected in terms of rankings.

So, I and our team keep hearing about how UPL is now among world's top five players. And our team keeps thinking about when we will say this statement. I'm very happy to share with you today that independent company like AgbiolInvestor analysed the data, and they say that Advanta is now one of top 10 seed companies globally. And if I may add associated group company where we have investment, I put ourselves at number 9. So now you can keep an eye on one more matrix, how the Advanta journey is growing. I do believe that the year is not far when we can also say that Advanta is one of the top 5 global seed companies.

That is the starting point. In terms of highlight of the performance of the current year, revenue growth is about 12%. As you are aware, like agrochemicals, seeds industry growth is also broadly 0-2%.

That is as per the published data available. In light of that background, I think 12% growth is very good growth. It could have been better, probably 15% - 16% had we got good supplies of seeds in H1.

EBITDA margin . We are trying to maintain sync with the top line. We are at 11%. Portfolio expansion is happening in more and more crops and in more and more segments.

As you are aware, Anand already indicated that the valuation of Advanta is \$2.8 billion. With this, we are now most valuable pure -play seed s company in the world. And I do believe this journey will continue going forward.

Now in terms of annual performance, I think Q4 contribution is significant. Normally Q4 contribute s in around the range of about 25 -26%. In the current year, Q4 contributed more than 32% compared to previous year.

In terms of revenue, we grew by 37%. I think this was primarily due to huge advance cash collection , which came from the key countries like Thailand and India driven by the buoyancy in corn. That reflected in the demand for our corn and that helped us in building this revenue with 38% growth.

In terms of EBITDA, we have growth of about 160%. In terms of region -wise breakup, when you look at it this quarter, normally Asia, Middle East and Africa are at 41%. This year , they are about 45% because of the factor I just indicated.

The America s remains at 32-33%, more or less the same. Australia slightly came down from 20% to 18%, while Europe remains at 6%. When we look global ly, the annual number from the base of ■41.5 billion moved up to ■46.3 billion. It's about 12% growth and EBITDA growth is about 11%. In terms of source of growth, revenue volume was up about 7% and price is about 4%. With this, we were able to pass on the extra cost of production to the market.

Public

In terms of contribution by region, more or less Asia and Africa remain 52%. America s came down from 38% to 35%. Australia remains 11% and Europe is about 2%. Europe as I conveyed last time also, it is going to be small at 2%. Going forward, we believe it's very important strategically. It could be in the range of 15% to 20% but due to disturbances in Europe, because of the Russia and Ukraine war. We have slowed down some of our GTM initiatives, but the blueprint is ready. As soon as we get the news that mo re or less the war is ending, ceasefire is announced, we will accelerate our GTM and therefore this journey of 2% has a potential of going up 18% to 20% , moving forward.

In terms of contribution by the crop, tropical field corn is our main play. We are contributing about 41% growth, that is the contribution to total revenue. Second position is a grade in forest sorghum. Contribution to the revenue is about 25%. Sunflower and canola is 17%. Vegetable and corn are about 13%.

Technology brands such as iGrowth ®, Ethomax ®, Aphix®, Vertex ® and Advanta Innovation Centre are our GTM

platforms and technology platforms. I want to draw your attention to Ethomax ®, the new sub -segment we created . In India, you are aware, the biggest movement happening in agriculture is ethanol driven by the corn consumption.

A huge number of ethanol manufacturing plants have come up. As a result, currently in India, the ethanol manufacturers have two feedstocks. One is broken rice from FCI , and corn coming directly. Now there's a competition for both the feedstock. The broken rice today, the price at which it is available, manufacturers find it is more profitable for them compared to the corn feedstock. The positive part is that the corn price in India is ■2,400 to ■2,800 per quintal. Farmers are extremely happy and the area under corn has gone up dramatically from a base of about 8.5 million hectares to about 11 million hectares.

There's a possibility of crossing 15 -16 million hectare s. If this virtuous cycle set by the government of India of allowing corn for the manufacturing of ethanol continues, there's a good possibility of growth there , so, we wanted to understand the entire value chain.

In the process, we realized, while farmers are extremely happy, but the ethanol manufacturers were not comfortable. They're still putting pressure on the government to release more broken rice because they were making more margin s there. We then analysed the traits of the corn in the market.

So far, seed companies normally operate on what are the agronomic trait s, the key marketing USPs , more yield, more tolerant against the pest or the disease are the USPs.

We analysed how do we really bring down the cost of production or increase yield for the ethanol manufacturer s. This question we discussed internally with our R&D, technology development team, and they came up with the idea to analyse all corn available, seed s available in the marketplace and see what is the starch content in each , the carbohydrate content in it. Almost all the player s in the market have carbohydrate content of about 65 - 66%. Advanta has the products which has got about 68 -75% percent and this increase of four to six percent increases the carbohydrate straight away, increasing the yield per ton for the manufacturer.

Public

So, we have now unique positioning whereby farmers make a lot of money because of our seed s giving them potentially 8-10 tons per hectare, which is one of the highest in the industry. Also, ethanol manufacturer s gets the highest yield of ethanol per ton from Advanta seed corn. As a result, the entire new marketing platform we have created and with the branding, we have come out in the marketplace with this platform called Ethomax ®. That means ethanol in every corn. So, with every grain of Advanta corn that you buy, you get more and more ethanol. This theme has tremendous traction now.

We have created a special team. They are going to the ethanol manufacturing plant along with their team of extension workers, developing talking point s and covering this entire message to all these countries so that the relationship happens between Advanta's corn seed, Advanta corn farmers, ethanol manufacturers, and the entire complete scene so that we have a close look at the kind of thing s we are developing. I do believe that with the success and the initial response we are getting, this is really going to lead us in terms of accelerated growth of our business.

That's it, thank you very much.

Public Raj Tiwari:

Thank you, Bhupen . Good evening, everyone and a warm welcome.

It gives me immense pleasure to stand in front of you to introduce the newest baby of UPL group, Superform Chemistries Limited. So , I'll start with safety because for us, everything starts with safety.

We started the safety transformation journey in April 2022 with the establishment of the framework with diagnosis , and then we started implementing those changes

. We identified

three themes, process safety, management, incident investigation, and the groundswell in terms of identifying more numbers of near misses and that's where we started building the competency in each of these categories. Then we sustained that and today the journey has completed 3 years and the result has been that we have not only been able to improve on our lagging indicators, but this year we can see our TRFR, which is total recordable frequency rate, matching best -in-class in chemical industry around the world, at 0.22. Superform came into existence on first of December, but the roots go back to fifty -five years.

We have built many technology or chemistry platforms. The first and the oldest one where Rajju Bhai started in 1969 was phosphorus.

We are India -based, our assets are based here , and therefore I'll talk a little on the speciality chemicals, of the chemistry industries outlook in India and why it is advantageous , and in given context, how does it make a difference?

India itself is a huge market. Whatever you do, you will able find home for most of your products here in India itself. You have a low cost of labour , which is also very highly skilled.

In last three years, the cost of energy has really been competitive. One of the handicaps for India was the , especially power. In last two or three years, the cost of power has really come down , if you played your cards right.

Also, as a country, we really lagged on the logistics network. Now with logistics park s, dedicated freight corridor, national highways, superhighways , that has really improved, and

can be compared with some of the developing countries. The cost of capital is quite competitive, but the other key point is that we have a very strong IPR regime here in India .

Our legal system stands, and therefore the western customers are very comfortable having a relationship here in India , because IP rights get protected. And of course, in the new geopolitical context, 'China plus one ' , as we call it, another source, an alternate source is needed , to have a robust supply chain and not a broken one is extremely important. So being in India, which has got a very well -established chemical industry , is a sweet spot to have this billion -dollar kind of what I call it a startup.

What's impacting the Indian chemical industry? Import substitution , as India grows , as our consumption grows , we can see that a lot of opportunities in terms of making those products here in India itself, because it is more competitive, and you can actually do it at scale. Sustainable manufacturing, especially with the green chemistry and alternative energy being very competitive in India - that's another advantage. That's a key trend.

Public Of course, customers are looking at de -risking and therefore India is in a sweet spot and that is how it is being looked at as an integrated value chain. And lastly, government support in terms of PLI as a whole industry.

It doesn't matter whether chemicals as a pharma intermediate , or as ag, or specialty . The government is taking right steps in terms of supporting the industry. And that's a good trend. So, I'll take a couple of slides to introduce what Superform is, and what this brand is all about.

But before that, can we play the video, please?

[A minute long video is played]

That's Superform. Why the term ' Superform '? Superform is a combination of two words. It depends how do you look at it.

'Super ' and 'form ' , or 'super ' and 'perform ' . If I look at outside -in view, it's all about supercharging the future, our future by reshaping the chemistry. Form is in shape, scale, difficulty, whatever.

And if I look at inside -out view, it's all about high quality product using high performance culture, high performing team. And that's what Superform is, that's what makes it a great brand. And of course, I'll talk abo

ut the idea behind the brands .

What's the purpose? What's our proposition? Our idea behind the brand was very simple, using, 'chemistry as a change ' .

Chemistry as you know chemical chemistry, but also as chemistry of humans, customers, shareholders, and the community at large, the place where we operate in , and the government. So, using chemistry as a change, bringing that positive change, and therefore change in chemistry, change s everything was our idea, which also became tagline for our brand. The purpose is to reinvent the chemistry, as world's most powerful force for bringing that positive change, not only for our customer, but for the community, for the shareholders, for the, employees, for every soul, which we touch with

And the proposition, this is coming out of a legacy, our 55 years of history, delivering high performance chemistries at scale, and that's what we are known a s, which creates wonderful impact for the world. We have always believed in creating chemistries at scale, and that's what we have been doing for last, 50 years, and that became our proposition. So, while we restructured this as a standalone business, our idea was that, we have always been, we have always invested heavily in our manufacturing assets to be able to support our ag business, and that's how in last 50 years, we have been able to grow our Ag so aggressively.

But now , our focus will not only be at Ag, as our Ag business will continue to grow, we will continue to invest in Ag, but we'll also start developing and applying chemistries in other applications, whether it is pharma intermediates, or mining chemicals, or application in mining, or application in textile, flame retardants, or in lubricants. So, we are looking at applications where our chemistries have strength, and then we are building those technology platforms and having bolt -on products. And this is wh ere we are going to focus on our new capabilities.

Public

Now, since we have created this platform, we are now open to the world, wherein we are going to offer our 55 years of capabilities which we have created, not only the tech platforms, but also the chemistries. Not only in ag, but also outside Ag. So, these are the applications which I talked about. We want to quickly scale up our speciality chemicals business, so that we can unlock the shareholders' value.

And with us having a board and a separate entity, this will help us bringing not only the operational efficiencies, but manage the cost, extremely well, to be able to deliver, comparable, sectoral results. And this is how we are structured. Superform, you know, currently has 75% of our revenue coming from our ag and NPP business, and 25% of our revenue coming from speciality chemicals, animal health, and health and nutrition business.

Now, what is the competitive edge? When we build this platform, very clearly, the scale of operations to achieve global competencies, that, you know, clearly stands as the competitive edge. Our 50 years of experience in taming most hazardous and complex chemistries, that has been, another competitive advantage. Our access to very high quality, and competitive feedstock, that's the competitive, advantage.

And not to forget, our backward integration and downstream applications which we have already created in the last few years. In terms of key chemistries, that's in the last 3-4 years is what, except for phosphorus, we have built. The phosphorus chemistry's competency has been built over last 50 years, which we will reap the benefit of with those bolt-on products.

Application-wise, if you see the whole flame-retardant business, moving away from halogenated to phosphorus-based, that's where, we get, tailwind. In the battery applications, the energy storage applications in lithium-ion battery, we get, that, that's the trend, emerging, and that's where we are going to be. Remember, UPL, used

to make for good 25 -

30 years yellow phosphorus, which is, elemental phosphorus.

Now, because of competency reasons, we stopped manufacturing 15 years back. We want to be back there, into it. The cyanation chemistry's technology in the platform we built in last three years, and that investment we have already done.

Now, that platform being in place, now all the cyanation-based bolt-on products are coming in. Whether they find applications in mining or in chelating agents and many other applications. Our phosgene chemistry platform, that also the investment is already done, and, we have built that plant.

Again, here also, our extension of the products where the growth will come from, right from, paint to pharma intermediates, those products are coming up. And mind you, these technology platforms are not only complex, but they are at world scale. We have already established these, platform at world-scale capacities.

The other chemistries where we have huge competency is the sulphur, the H₂S-based chemistry, where, we are already there in terms of Na₂S and NaSH, but we are also building other applications which go into lubricants and pharma applications as well.

So, what are the highlights? Our year-on-year revenue grew by 6%, but our speciality chemicals business grew by 24%, largely coming from volume growth. We have entered into

Public six binding and non-binding agreements last year, with, on top-end, potential of ₹2,000 crores revenue every year.

We have launched seven products in speciality chemicals and Ag last year. I know some of you would find, Paraoxy sulphur not being there because it was already launched the previous year. We reduced our inventory 24% by almost ₹330 crores last year, so a lot of focus on our working capital management to ensure free cash.

This is a full-year number which I'm presenting because we don't have a comparable quarter number since we came into being only on 1st of December.

For the full year, our revenue was more than ₹10,000 crores, with 6% revenue growth. Our contribution margin contracted by 200 bps because of product mix and our overheads was largely flat.

Our EBITDA, de -grew 7% at 11.2%. I've shown the speciality chemicals number separately at the bottom. You can see our speciality chemicals business grew 24% to ■1,700 crores and EBITDA for the speciality chemicals business grew 16% to ■370 crores.

Thank you very much. I invite Anand to take it forward. Thank you.

Public Anand Vora:

Thank you, Mike , Ashish, Bhupen and Raj. I think they have provided a good insight into how the business performed last year , and also a peek into the future opportunities that they're exploring.

With this, I'll share the guidance for the next year. Considering all the macro -factors, the prevailing geopolitical situation - every day I guess all of us end up first watching the Twitter , and, seeing what's the next thing coming up. So, considering all that, we are guiding for a revenue growth in the band of 4% to 8% and an EBITDA growth of about 10% to 14%.

I would like to add here that we expect Q1 and Q2 to be subdued considering all the geopolitical turmoil. However, we remain confident of delivering the above guidance for the full financial year. So, with this, we will start the Q&A session.

I would like to invite the business heads and Mr. Shroff, on the stage , and we'll start the Q&A session. Give us about two to three minutes to set up the stage. Thank you.

Public Q & A Session:

Somaiah Valliyappan : Hello. Yeah. Hi, sir.

This is, I'm Somaiah from Aventus Spark . Thanks for the update. A couple of questions. So, first thing, on the guidance of 4% to 8% for this year, is there any pricing -led benefit we are making in? That's first. And across geographies, where do we see a higher growth on a relative basis within this 4% to 8%? And what would be the reasons for a one -edge slightly being subdued compared to what we're expecting later? Thanks.

Mike Frank: So, the regions where we would likely to see a stronger growth in 4 to 8% would include North America, Latin America, and potentially the rest of the world region.

There's where we see continued strength. I think you need to think about it, though, in context to the industry. You know, we just saw this past quarter, all our peers report, and for the most part, most companies were flat to down on revenue.

In fact, some companies were down in the double digits. And so , the industry continues to be very challenging. Obviously, we outperformed that in our fourth quarter.

We believe we'll continue to outperform the industry. But our expectation is that the industry overall this year will be roughly flat. There'll be some volume growth and maybe a little bit of price degrowth.

And so that's what we're expecting, and we're going to outperform it. So , that's where we guide it to the 4% to 8%.

Somaiah Valliyappan : Just one follow -up. When we are looking at this current quarter performance, generally, when I look at the global peers, I think North America has been a bit of a tough environment for them, whereas you have done very well in North America.

Whereas in LATAM , they've been able to do relatively better. Is this the impact for us? Is it because of the distribution impact which you mentioned? Or is there anything else between the two geographies? What led to outperformance in one and what led to an impact in the other?

Mike Frank: Yeah, we're quite pleased with the overall performance in Latin America last year, including in Q4.

Our performance in Mexico, Central America, and Brazil all outperformed the market based on our competitive intelligence. Argentina has been a very challenging market all year, including in Q4. We do expect that is going to start turning around as we head into FY26.

But overall, we believe our performance across Latin America was strong. As you said, in North America, we had a very strong Q4. But again, on a comparative basis, the Q4 a year ago was somewhat weak.

Public And so , you really need to take a look over that time horizon. But we've got good momentum across the Americas. Again, as I mentioned, a . lot of our new products, the \$130 million plus of new product revenue, a lot of that is going to come in Latin America.

That would be the number one region from a new product standpoint. Next would be North America, and then finally Europe. And so that's where we're optimistic going into FY26.

Somaiah Valliyappan : Thanks for that, sir.

S. Ramesh: Good evening, I'm S. Ramesh from Nirmal Bang . Thanks for the insightful presentation and your good performance.

If you look at the guidance again, in terms of the pricing pressure that seems to continue, is it possible to share how much of that will come from volume growth and what's your expectation on pricing power going forward in FY26 to 27? And secondly, in terms of your new product share, is it about 2%? If you look at your innovation rate, how do you read these two? Because there's a divergent trend there. So just to put that in context, if you can help us understand the share of new products, you're talking about \$130 million, and the innovation rate of 25%, how do we stack that up? And in terms of the crop prices, if I may ask, they're still trying to find their feet. So , what is your reading on crop prices? When do you see that find some strength? Thank you.

Mike Frank: Maybe we'll have each of the platform leaders talk a little bit about their price versus volume. I would say for the international crop protection business, as we look at FY26 right now, it'll be primarily a volume -driven growth. There may be 1% to 2% price , but we're also expecting some F

X headwinds, specifically from Brazil and potentially a few other countries.

I think from a new product standpoint, so our innovation rate in FY25 was 14%, with the strong class of FY26 plus the ramp up from last year's products, that's where we're expecting about a 17.5% innovation rate in FY26, which means 17.5% of our revenue are products that have been in the market in the last five years. So, it kind of is a refresher, we call it the innovation rate. Again, as we look forward to the end of the decade, based on the strength of our R&D pipeline, we believe that our innovation rate by the end of the decade will be in the mid-20s, 24% to 25%.

So, we're very excited about our new products that are coming through the pipeline.

Ashish Dobhal: For India, I think similar to what Mike has said, the majority will be the volume growth. However, we are expecting at least 1% or 2% of price growth also.

In terms of our innovation rate, we are running at an innovation rate of 20% plus, which in the next three years, the way some of our portfolios are shaping up, we are looking at an innovation rate in excess of 35%.

S. Ramesh: Let me ask a follow -up question on sustainable and differentiated products. So, is it possible to give us some broad ballpark share across the different geographies? We understand the overall revenue breakup, so is it possible to give us some kind of guidance in

Public terms of the breakup of the sustainable and differentiated products you've already achieved across the regions?

Mike Frank: Firstly, one of the reasons we're so excited about our differentiated and sustainable products is because the margin profile, on average, is 600 to 1,000 basis points higher than the post-patent segment.

So, from a profitability standpoint, again, they create a lot of value for growers, and in turn, they create a lot of value for us. We don't split out specifically by geography, but I would say the strongest share of mix would be in Latin America, where our differentiated portfolio would be at or near that 50-50 ratio already. We're driving new innovation across all the regions, and as I mentioned, about 80% of all of our new revenue that we're delivering through new product launches is in the differentiated or sustainable category, and so that's why we're going to continue to move towards that 50-50 mix in that FY27-FY28 range.

S. Ramesh: Thank you, everyone.

Jai Shroff: So, it's not easy to sell the NPP portfolio, but we've launched products and have had tremendous success in Asia, in micro markets, on certain crop value chains, including Europe and Africa. So, across the board, we've seen great traction.

It's an evolving business. It's an evolving understanding, and so you will see the results in consistently improving and our acceptance of all the technologies much more.

S. Ramesh: I had a question on the outlook for crop prices. So where do you see that?

Mike Frank: Well, it's always hard to predict crop prices. If you look at futures right now, there's some strength in corn crops. Right now, the stocks-to-use ratio on corn is very healthy with quite low ending inventory coming into this next year.

Unfortunately, soybeans is the opposite of that, where there's lots of high-ending inventories on soybeans, and so we think the soybean market is likely subdued with some potential strength in corn. So, from a major row crop standpoint, those two will kind of drive it, and then other crops will get impacted based on substitution.

S. Ramesh: Thank you very much.

Abhijit Akela: Thank you. This is Abhijit Akela from Kotak. First one was just on the peak sales pipeline number that was shared in the slides.

The number seems to be about \$4.3 billion. I believe it was \$5 billion last year. So, if you could please just help us understand what's driving the change of that.

Mike Frank: Yeah, good question. The

re're really two things. One is we pulled out, obviously, the class of FY25 that we just launched, and it was a good class with a pretty strong ramp up in peak sales.

Public And then secondly, as we looked at pricing, over the past 18 months, prices have come down across the board in the crop protection space, and so we've scrubbed that aggressively, and we did moderate pricing as we think about peak sales of those products based on the current realities. Now, again, I think this is probably as low as it gets, so there could be some upside to that, but our planning on roughly the \$4.5 billion of peak sales is based on the current market environment from a pricing perspective.

Abhijit Akela: Thank you. And the other one I had was just on the guidance. This time, there's no mention of free cash flow or further debt reduction or net working capital, so if you could please help us with those.

Jai Shroff: So, I think the performance from last year, we've established what we've been able to deliver.

I think all the platforms are completely focused on improving that, and we continue to drive

better business efficiency. We believe the whole industry will take guidance from what we've delivered and improve that. That will help us also to improve our cash generation.

So that continued effort is, I think there was, prior to this year, there was a little bit of discussion about our ability to generate free cash, and I think that is demonstrated, so now it's part and parcel of each of the platforms' KPIs or deliverables.

Saurabh Jain : Saurabh Jain from HSBC.

Congratulations on a good set of numbers, and congratulations, Anand, on your superannuation. And good to know that you will still be associated with UPL, so that's very heartening. My question is again going back to the guidance.

You said the first half is going to be subdued. Can you share more insights? Do you expect to be on the lower side of the revenue guidance, or it can be even worse than that? And also, if that is the case, given the base of the margins that we have in the first half last year, is it going to be a fair assumption that the margins that we might do would be much better than what we did in the first half of last year?

Anand Vora: You saw quarter four, we ended with robust margins, and I think the focus will remain on improving the margins. I think considering what guidance has been given, and if you look at most of our peer group also, they have been all talking about almost flat growth in revenue and maybe one or two percent growth in EBITDA.

While we continue to outperform, and we are quite confident, but at the same time, considering all the geopolitical events and the turmoil, like today you saw both China and US have reached a deal where they've dropped the tariffs to 30%, and so it's highly volatile, and we just would like to maintain our record, which last year we lost that record of always overperforming on whatever we have guided. So, just being a bit cautious. It's not that the team are not going to deliver or work towards showing an improvement or growth, but we just thought if we are going to the investing community, we should just be a bit cautious considering all the turmoil that's going around.

Public Mike Frank: And maybe just to add, I do agree with the comment that the revenue growth in the first half will be subdued, but to your point, our margins have improved as we went through the year, and so I think you could model similar margins to what we saw at least in the global crop protection business in Q4, and we're going to continue to be very disciplined in SG&A. So, while revenue will be, I think, modest, we should see some EBITDA growth, including in the first half.

Saurabh Jain: Thank you. That is useful. But again, when we just try to work out the numbers, your full year guidance on the revenue and EBITDA, that translates to a full year

EBITDA

margins of about 18.5%, while your current run rate is about 20%, and you alluded to that it's a safe assumption to build in as the margins going forward. So, what is the disconnect there? Or you are just trying to be more conservative, and there could be a set risk to what you deliver?

Jai Shroff: There is so much volatility in what is happening on commodity trade flows with China, with Brazil and US. And to predict exactly how everything is going to trend, it's better to be conservative. But we believe that UPL is in a better place to perform than the rest of the industry. Being in such a volatile environment, 1% here and there is better to be safe.

Saurabh Jain : Understood. If one question I may just squeeze in. Your perpetual bond coupon is due to be reset this month, right, which is going to increase the cost for you by a big quantity. Any insights you can share what's going to be the future strategy with the coupon? Are you looking to redeem that or it's going to continue? Any insights would be very useful. Thanks.

Anand Vora: You've seen the interest rates, especially the SOFR going, or the treasury rates moving quite violently over the last three weeks.

Again, India premiums have gone up significantly. Hopefully they should be coming down. We are going to call a short notice board meeting, and we're going to place to the board both the

options of whether we roll it over or we redeem them.

So, we'll take a decision, and you'll hear about it shortly.

Saurabh Jain: Thank you very much and all the best.

Tarang Agrawal : Hi, good evening. Tarang from Old Bridge. Just a couple of questions to Anand and Bhupen. Anand, first, how confident are you to really maintain the working capital numbers that you've come through as on 31st March 25?

Anand Vora: I think this year we really focused hard and I think we ourselves were pleasantly surprised by all the, four business heads, the effort put in to really bring down the working capital, especially manage the inventory and also push aggressively for the collections.

I think from here on our challenge would be to maintain at these levels. It could go up marginally, but I think everybody has seen the benefit of a low working capital and how it can, I would say, even improve the relationship with the distributors. There are a lot of distributors

Public who have been very pleased with what we have been doing, because it gets rid of some of the other marginal distributors as they struggle with the finances.

So overall, we have seen very positive results on both the inventory management as well as the receivables, and we will continue and work towards maintaining at these levels. We could see a few days of working capital going up, but effort would be to maintain at the current levels.

Tarang Agrawal : So, you basically moved from early 80s to about mid -50s now. Would you therefore, as we see you moving forward and also because what I picked up from Mike's address also is generally overall working capital across the channels compressed quite a bit because of the cycle that the industry underwent. So, would it therefore be fair to presume that you guys would be closer to mid -60s maybe, I mean, or you all could probably come back to early 80s?

Anand Vora: I think mid -60s should be something which should be modelled in. We will try to remain at the current levels, but as you know this is really a push that all the four platforms did. So, I would say pen in mid -60s working capital in a number of days.

Tarang Agrawal : Thank you. Jai, you guys have done exceedingly well in terms of overshooting your sustainability targets for financial year 25 and, you know, it does seem like you're going to probably overshoot your mid -term expectations as well.

So how does it overall, I mean, in the current scheme of things, how does it help you conduct your business? It's great.

It makes the organisation more sustainable, but does it help you, you know, are your customers more amenable to transact with you? Does it position you better overall? How does it help in the overall business? We understand that sustainability linked financing is one ploy which helps out, but just wanted to get your perspective in terms of how it's helping you.

Jai Shroff: So, there are different aspects of sustainability we look at.

We look at our manufacturing platform, how do we go to more renewable energy, and that aspect is actually, a bit accretive. So, we make a lot of, we get a lot of advantage, the cost of energy is much lower. So that's helping us on recycling, waste recycling, creating value -added products from our waste so we don't put it in for incineration.

All these aspects are something which our teams in different parts of our R&D development teams are constantly seeing how we can add value from our base, how we can recover more water, how we can reduce the amount of water, how we can use lower cost energy as instead of cooling towers. So, there's a lot of things which are actually accretive to bottom line, so we are implementing those, and it's very helpful, very exciting actually. Love you to come and see what we are doing, the energy cell and some of the other people, they're doing excellent stuff.

Public On the front -end side, on farmers, on, you know, our portfolio of what we call sustainable and differentiated technologies are all value -added, so our approach, as I was saying, comes from pain points.

We see the sugar industry under a lot of pressure, sugarcane industry under a lot of pressure for reduction of water, waste of fertilizer, there's a lot of soft pressure from the central government, from competing industries who need water cities, so all t hose .

The Shashwat Mithas project, the World Bank was here in Lucknow, they were very interested in what we are doing, so an environmental impact of overusing nitrogen, etc., so these are huge challenges which, there is a lot of soft pressure on the industry, and if we believe that some of these solutions, at least t he leadership in the sugar mills are very interested, we need to incentivize that more in terms of heat stress and climate portfolio which we have, as temperatures in February, March increase .

There's a lot of impact of heat stress on wheat and other crops, we have amazing technology which can actually protect the plant from heat stress, so all those things we are piloting, large scale piloting, quite a few farmers have adopted to that and they'r e seeing the benefit of all that high .

Our technology to increase protein content in wheat, if you saw the budget last year, I was so happy to see that one of the big drivers in our government budget in India was about protein production and we can increase protein in wheat, we've seen some fant astic trials in Argentina and other places, so there is a lot of these things , that are all value adding and we will not bring technologies which is not really value adding and increasing the cost because I don't think that farmers in the world are ready to absorb more cost to be sustainable . So, all our portfolio of technologies are adding value, improving farmer resilience, so we don't see that as a burden, we see that as a long term opportunity and as we break through on some of the technologies and they start scaling, we think the benefit of t hat because the profitability is good on these products, much better than as Mike said, than the regular technology, so once we get a breakthrough and we are getting breakthroughs in different value chains, you wil l see the impact of that in recurring revenues from these businesses .

The adoption of other technologies because they're all unique, and there is nothing like, you're not competing on price, you're competing on results and once you get the trust of the farmer

s or the food companies around that, because a lot of pressure is co ming from food companies, saying can you help my farmers give me better quality or better yield, they want, the other thing is they want the farmers to earn more money . So it's much easier that they earn money by increasing productivity rather than paying them less and some of these things are, this is where we are really focused on, so I don't see that as much of a burden on the balance sheet, it's all incremental, obviously we, and just transportation, you've seen we are spending tens of millions of doll ars on transportation, going to EV, we think we can save a lot of money, so all the things we are implementing are value accretive to us and we are getting the credit for that.

Our team is a little more agile than most other companies, so we are a little bit ahead of the curve, but I think eventually a lot of people will catch up and we'll move on.

Public

Anand Vora: Thanks. Raj, you want to add something on manufacturing?

Raj Tiwari: No, I mean, sustainability for us has been a governance and an efficiency tool, I mean it is not that we have to do for the sake of it, and because of the work which we have done and the history behind it . I mean you asked about the traction with the customer, on the Spec Chem side, we do see interest in terms of attractiveness, not in terms of pricing, but in terms of better relationship and better share of business, I mean that's what I can say, but for us, without this we don't exist, so that 's the starting point, so both in governance as well as on environmental front.

Tarang Ag rawal: Just one question on Advanta , during your address you did seem to hint that at some point of time Europe could be a sizeable market for you, would it be in the current suit of crops that you are operating, or you are looking at new crops, number one.

Number two, in FY25 specifically, I think corn was flattish or slightly below FY24 , my sense is

it has to do a lot with procurement which you spoke of in H1, but how should we look at, I mean in FY26, is corn going to be really the big driver for your business and also in Europe? Thanks.

Bhupen Dubey: Thank you and congratulations to you, you could really understand what I was speaking in my presentation, so two comments, on the Europe part I think it's a bit, we started R&D station in Ukraine in 2016, especially Europe, Central Europe and Eastern Europe, one of the important market is sunflower seed, nearly a billion dollar, normally before we identify targeted segment, we just look within our system, what are the competencies which we have, which can help us producing a seed, which has a unique proposition for the farmer, we just don't want to go for the sake of participating in a segment, that is not the philosophy we operate on .

We believe that we have a unique germplasm in sunflower, we have nearly 35-38% market share in Argentina, same germplasm using in this market, we are just adapted for the local disease tolerance, so we started investing in 2016 and 2021, it's a long cycle, you know that, we started getting a me too product and we started advancing in the marketplace commercially and now a couple of products are there which are differentiated, we have R&D in Ukraine, a production centre we decided to put in Romania and unfortunately first truck for the commercial sale moved from Romania into Ukraine and that was 22nd February 2022, Russia invaded, such a disappointing part, so we were at a crossroad, we thought it will go away six, eight, nine months, one year and still we must continue, so we continue that investment R&D, GTM etc.

Now we're becoming too tough, been nearly three years, so in fact before I came here, a week before we had a strategy meeting, what do we do, it's like a sunk cost because we have to deliver and we have more other segment available, should we stick

with it, so our team will

decided that now, we will maintain our expenses under control, GTM under control, so we are moving this R&D activity towards Hungary which is a central part of it, I'm giving little more details to you , so you understand thought behind it, because we do believe that this a

Public billion dollar market, this fragmentation is happening there, many of the European company who are very good in this products in France and all, they are not able to sell to Russia, Advanta is perceived globally as a Indian company and therefore friendly towards that part of the world and therefore we have great opportunity, so we and therefore I still believe that should give us about 15 to 20 % on a realistic basis, could be more, part one, part two, in the geography where we build our position with the sunflower .

We do believe that we have a genetics in temperate corn, all the corn story you have seen right now success coming out of the tropical corn, subtropical corn and we believe now we need to expand the addressable market and we have a small germplasm in Australia, in Argentina and we want to invest in germplasm also, in fact we also acquired some small germplasm company in Italy, very small one but from R&D perspective very important, so we are building a germplasm bank for the temperate corn and in a couple of months we will decide on appointing a breeder etc. and set the breeding there .

So, this two points put together we believe that we can really add tremendous value in this market, so that is part of the Europe story. In terms of India , you observed very rightly, last year we suffered quite a lot, demand was robust, demand is robust and likely to be robust because of the reasons I explained. Currently if you have seen our working capital part, February -March picked up much higher than the last year, significantly, as I speak right now more and more trucks are coming from seed production farmers to our plant as I speak to you today, so we are very comfortable in terms of tropical, subtropical corn which is coming up and we are very well covered compared to last year and compared to the expectation which we have . So, demand is very robust and likely to continue and you have seen Ethomax and we have a differentiated product, so that way , I think that story will continue, momentum will continue quite robust.

Tarang Agrawal : Thank you and congrats to the team on a very strong pullback, super, thanks.

S. Ramesh: Hello, so in terms of your debt reduction, can we assume that the entire interest cost on the debt reduction will flow through below EBITDA or is there some increase in interest cost you should build in because you may see some incremental growth in debt, how do you see that?

Anand Vora: So we have, when we gave the guidance we have, of course we have given up to EBITDA, but we will see some reduction in interest costs as we move forward because of the cash generated during this year, but at the same time geographies like Brazil and some other Latin countries, interest costs are going up actually, so it's going to be volatile. We have built in some higher interest costs, but we expect to end the year at least next year, hopefully if everything goes well, with a reduced interest cost.

S. Ramesh: So, without any intention to put you on the spot, going back to the guidance, it seems to me that if you see the way seed business and UPL SAS is going, they may perform above your 4 -8% growth guidance and maybe UPL Corp may possibly be growing at a slower pace, is that correct?

Public

Anand Vora: Well, we need your good wishes, I'm sure we'll do it.

S.Ramesh : Thank you.

Jai Shroff: I think just to be very cautious, coming from a very tough last year to a very improved year, I think everybody is cautious, I think all the businesses will deliver growth, I believe, and I think we should have a more positive outlook then, can be much more positive.

Anand Vora: Any further questions or we can call it a day? We'll be available for one -on-one discussions, but if there's any further questions, happy to take. Yeah, thank you.

Thanks. Yeah, just before we end, I just want to introduce Bikash , who is going to take over, and before I hand over, Bikash , why don't you just come. Before I hand over the mic to him, I would like to thank each one of you for your support.

Thank you very much.

Bikash Prasad : Standing here today and assuming the role of Group CFO of your admired company is a true honour for me . UPL's journey, remarkable journey of growth, transformation, and innovation really inspires me, and I'm eager to build on the momentum. As I take over the mantle from Anand, I would like to express my heartfelt gratitude for his exceptional contributions to the group.

His leadership has been exceptional and really led to the financial success and growth. As I'm stepping into this role, I'm committed to upholding the highest standards of integrity and professional discipline while driving sustainable growth and value creation. I'm truly excited to join the talented teams at UPL and looking forward to work alongside all the partners like you in navigating the evolving landscape.

I look forward to contributing to the continued success and growth for the group. Thank you.

Anand Vora: Thank you.

Please do join us for high tea.

Call: Aug 2025

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"UPL Limited Q1 FY 2026 Earnings Conference Call "

August 01, 2025

Management: Mr. Jai Shroff – Chairman and Group Chief Executive Officer, UPL Limited

Mr. Bikash Prasad – Group Chief Financial Officer, UPL Limited

Mr. Mike Frank – Chief Executive Officer, UPL Corporation, our Global Crop Protection platform

Mr. Ashish Dobhal – Chief Executive Officer, UPL SAS, our India Crop Protection Platform

Mr. Bhupen Dubey – Chief Executive Officer, Advanta Enterprises, our Seeds platform

Mr. Raj Tiwari – Chief Executive Officer, Specialty Chemistry Platform, SUPERFORM

Mr. Anurag Gupta – Head, Investor Relations, UPL Limited

UPL Limited

August 01, 2025

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Public Moderator: Ladies and gentlemen, good day, and welcome to the UPL Limited Q1 FY '26 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*", then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anurag Gupta, Head of Investor Relations. Thank you, and over to you, sir.

Anurag Gupta: Thank you, Yusuf. Good evening, everyone. On behalf of the UPL Management Team, I thank you for joining us today for discussing the Financial Performance for Q1 FY '26. The Investor Presentation, Press Release, and the Financial Statements have been made available on our website, and we take it that you have read the Safe Harbor Statement.

From the Management Team, we have with us today Chairman and Group CEO – Jai Shroff; Group Chief Financial Officer – Bikash Prasad; CEO of Global Crop Protection Business – Mike Frank; CEO of India Crop Protection Platform – Ashish Dobhal; CEO of Seeds Business Advanta – Bhupen Dubey; CEO of Specialty Chemistry Platform (SUPERFORM) – Raj Tiwari, and other members of the Leadership Team.

Before we begin, I would like to introduce you all to Bikash – our new Group Chief Financial Officer. Bikash has joined UPL earlier this year in January, and officially took over on June 1, 2025. Bikash will be taking us through the overall performance for UPL Limited for the quarter. This will be followed by Mike, who will share his detailed remarks on UPL Corporation, followed again by Bikash who will cover the other platforms in brief. We will have the Q&A session post that.

With that, I now hand it over to Bikash. Bikash, over to you.

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Public Bikash Prasad: Thank you, Anurag. Good evening, everyone, and a very warm welcome

to UPL's Q1 FY '26 earnings call. Thank you for joining us today. Before presenting the financial highlights, I'd like to express my sincere gratitude for the opportunity to serve as the Group CFO of UPL. It is a privilege to join a company with such a distinguished legacy of growth, transformation and innovation, and I am committed to advancing UPL's mission of sustainable value creation for all stakeholders .

Q1 presented a challenging macroeconomic landscape, particularly across Brazil and broader Latin American markets, where lower commodity prices led to farm income stress, higher interest rates, and volatile currencies continued to impact distributor performance. Additionally, ongoing geopolitical uncertainties, including concerns around US tariffs continue to influence market sentiments and trade flows. Further, China oversupply related AI pricing pressure continues to exacerbate overall business climate.

Before we delve deeper into the 'Financial Performance', I'd like to share key updates on our liquidity and ratings developments.

- The first being pre -payment of scheduled \$250 million long -term loan due in September 2025, paid with strong liquidity generation in Q4 FY 2025.
- Second, we exercised redemption of perpetual bonds at the first call, totaling \$400 million in May 2025 earlier this year.
- The third update is the Rights Issue Committee approving payment of the second and final call of Rs. 180 per partly paid equity share aggregating to Rs. 1,688 crores, or \$200 million. This amount represents 50% of the total issue price of Rs. 360 per share , comprising Rs. 1 towards face value, and Rs. 179 towards share premium. The record date has been set as today, i.e. Friday, UPL Limited
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Public August 1, 2025. We expect the proceeds to come in by the end of September, subject to regulatory clearance.

ptember, subject to regulatory clearance.

- The final update is on the recent outlook upgrade by two global ratings agencies , Fitch and S&P , from "Negative " to "Stable ". I am pleased to add, this is a strong endorsement of our financial resilience, strategic clarity, and commitment to sustainable value creation. Our actions reflect our continued focus on capital efficiency, de -leveraging and long -term stakeholder confidence.

Starting with the Q1 FY '26 "Performance Overview ":

We had a strong start to this financial year 2026, delivering a robust first quarter. Our EBITDA reported double -digit growth led by significant improvement in contribution margins. Additionally, we also improved on our leverage ratios while lowering our working capital, underscoring our financial discipline and relentless execution towards operational excellence.

In Q1 FY '26, we reported revenue of Rs. 9,216 crores, around 2% higher versus last year. This was driven by 1% increase in pricing and favorably supported by exchange impact. At the platform level, we reported double -digit growth in UPL SAS, our India crop protection business, which grew by 13% versus last year, and Advanta, which rose by 20%. I am pleased to share that the growth in both these platforms was driven by a mix of volume and pricing, indicating our strong market presence and good acceptability of our products.

Supporting this growth was SUPERFORM , our newly rebranded super specialty chemicals platform, which rose by a robust 9% led by volume. Our global crop protection business , UPL Corp, had some seasonality -related challenges in Brazil, mainly in the insecticide volume, resulting in an overall decline in revenue by 3% versus last year. My colleague Mike will cover this in detail in his remarks.

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Public Among key reasons, growth was driven by India, up 21%, and was

supported by North America and Europe, both of which grew by 8% each versus the previous year. This was partially offset by a decline in Latin America, mainly Brazil, as highlighted earlier, and the rest of the world, where we faced some challenges on seed and crop protection. Both these regions declined by 10% versus last year.

Our contribution increased to Rs. 4,001 crores, a significant 12% increase versus last year. The margin was over 43%, an improvement of around 390 basis points versus previous year. This performance was driven by improved product mix, favorable pricing, apart from higher capacity utilization and lower input costs, mainly in the Crop Protection segment. This also reinforces our commitment to operational efficiency and strategic sourcing, leading to a favorable cost position.

The SG&A expenses amounted to Rs. 2,698 crores, an 11% increase year-on-year. This was mainly due to one of Brazil's distributors restructuring impact. It is to be noted that this is non-cash in nature and will subsequently unwind over the period of recovery horizon. Despite increase in SG&A, we delivered a strong EBITDA of Rs. 1,303 crores, up 14% year-on-year. I am also pleased to share that EBITDA margin stood at over 14%, improved by 150 basis points versus last year, driven by improved contribution margins.

Profit before tax, or PBT, at a loss of Rs. 190 crores, significantly lower versus a loss of Rs. 455 crores last year. This movement was driven by EBITDA at Rs. 1,303 crores, up from Rs. 1,145 crores last year. Depreciation and amortization expenses increased from Rs. 660 crores to Rs. 731 crores as planned. Significant reduction in net finance costs, down from Rs. 740 crores to Rs. 631 crores this year, mainly driven by lower working capital requirements and debt prepayment. Increase in net exchange losses, from Rs. 143 crores to Rs. 178 crores, mainly from higher cost of hedging in Brazil, as a result of increase in local interest rates. Our hedging UPL Limit

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Public strategy continues to provide a risk mitigation tool against extreme currency fluctuations in key markets.

Shares from associates and joint ventures increased from a loss of Rs. 32 crores to a gain of Rs. 18 crores in this period. Additionally, the exceptional items declined to Rs. 9 crores from Rs. 49 crores previous year. Profit after tax, or PAT, narrowed to a loss of Rs. 176 crores, a significant improvement from a loss of Rs. 528 crores last year. Reported PATMI, or Profit After Tax and Minority Interest, stood at a loss of Rs. 88 crores, an improvement of around Rs. 300 crores versus last year, driven mainly by improved EBITDA, lower net finance costs, and exceptional items.

Moving on to Key Balance Sheet Items.

Our net working capital in June 2025 was Rs. 11,025 crores, a significant Rs. 3,300 crores lower versus the previous year same period. This positive development was supported by a continuous focus on inventory management and tighter credit controls led improved collections.

In terms of days, net working capital was at 86 days, lower from 121 days in the previous year, a reduction of 35 days. Inventory days stood at 110 days, a reduction of seven days, while payables were at 152 days, up from 131 days the previous year. The receivables were at 129 days, lower by six days versus the previous year. We also saw a reduction in non-recourse factoring by around \$45 million on year-on-year basis, equivalent to about three days lower in U.S. dollar terms.

Moving on to the Net Debt

As of June 2025, net debt stood at Rs. 21,371 crores, or \$2,492 million, reflecting a reduction of Rs. 6,129 crores or \$806 million, compared to Rs. 27,500 crores or \$3,298 million in June 2024. However, net debt increased sequentially versus March 2025, largely due to the impact of perpetual UPL Limited

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Public bond redemption, Rs. 3,409 crores or \$400 million, and higher working

capital requirements in line with business seasonality.

I am also happy to share that our key gearing ratios, i.e. net debt -to-EBITDA and net debt -to-equity, have shown remarkable improvement compared to Q1 last year. The net debt -to-EBITDA improved from 5.4x last year to 2.6x, driven by strong operational performance and capital efficiency. This ratio was at 1.7x in March 2025 due to seasonality-led higher collections in that period. Simultaneously, the net debt -to-equity ratio improved from 0.9x to 0.6x versus last year.

As I hand over to my colleague, Mike, who will take you through the performance of our Global Crop Protection Business, or UPL Corp, I would like to highlight that our business has shown remarkable resilience in this quarter, underpinned by improved operational efficiency and prudent financial management. Further, our effective capital management, significant reduction in net debt, and improved gearing ratios reflect our continued focus on strengthening the balance sheet and creating long-term sustainable value.

I now hand over to Mike, who will take you through the details of UPL Corp. Mike, over to you.

Mike Frank: Yes. Thank you, Bikash. And hello, everyone, and welcome to our first quarter Earnings Call.

Before we review the quarter, I would like to start by providing some color on the global crop protection market.

We continue to see strong agrochem demand at the farm gate level, despite low commodity prices for row crops. Farmer margins are under pressure in most markets, and this is creating more demand on the post-patent side of our business.

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Public The financial health of our dealers and retailers is generally steady, with the exception of parts of Brazil where a few retailers continue to have liquidity challenges. As we have previously indicated, channel inventory levels for UPL stock have returned to normal levels,

and we are seeing

restocking occur as expected and positively to meet growing demand. As a positive indicator, we currently have a stronger order book compared to this time last year.

So, turning to our Q1 performance:

In the 1st Quarter, we posted slightly lower revenue compared to a similar period last year. However, our contribution margin and EBITDA growth showcase our resilience of our business model and the value of the productivity initiatives that we have implemented.

While our Q1 revenue was down by approximately 3%, I am pleased to report a 13% increase in our contribution margin versus Q1 of last year, expanding our margins by almost 500 basis points. We also posted 23% growth in EBITDA compared to Q1 of last year, reflecting a margin expansion of more than 135 basis points.

Overall, margin expansion was a result of COGS improvement and higher capacity utilization, a proof point that our efforts focused on supply chain efficiency are paying off. The lower revenue versus last year is primarily due to product phasing, along with pricing pressure in the insecticide segment, specifically in the LATAM region.

Other major segments, such as fungicides, posted both volume and robust revenue growth led by mancozeb in Brazil and North America. Herbicides benefited from volume and revenue growth, resulting from strong in-season demand for key products such as clethodim and metribuzin in Brazil, Europe, and North America.

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Public Our insecticides portfolio in the first quarter faced seasonal headwinds due to pricing pressures, particularly in Brazil, and some product phasing closer to use, as I mentioned earlier.

Our NPP business benefited from a mix of improved pricing as well as

higher volumes, led by biocontrol volumes in Europe.

Turning to our SG&A, we continue our strong discipline on discretionary spend. However, as mentioned by Bikash, we had a key distributor in Brazil phase their payment plan as part of an extrajudicial process, which created a \$13 million ECL accrual impacting this quarter's result. This is a non-cash impact, and we do expect it to unwind over the recovery period. Let's now review the Q1 performance for our regions.

In Latin America, our revenue declined by approximately 12%. As already indicated, Brazil was impacted by pricing pressure on some molecules as well as a shift in phasing of some of our products from Q1 to Q2.

We are optimistic that our focus on operational efficiencies through strong execution and adoption of a sell-out model, coupled with our increased customer focus and strong product portfolio we will see a recovery in Q2 in LATAM with good growth in the second half of the year.

In North America, we grew by 6% versus last year. This region continues to experience strong in-season demand for our products with normal to low levels of channel inventories. Our growth was driven by a robust herbicide portfolio with molecules like metribuzin, clethodim and s-metolachlor exceeding last year's Q1 sales. We also posted higher revenue from key molecules such as mancozeb and acephate.

Turning to Europe, our quarterly performance was 5% up over the previous year. Revenue growth was driven by higher volumes in key herbicides such as flufenacet, and supported by fungicides such as

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Public captan, as well as growth in Thiopron®, which is a biofungicide product that sits within our NPP portfolio. We continue to see high growth specifically in Germany, Italy, Belgium, and Spain.

In Africa and Asia-Pacific, we posted commendable growth in markets such as Indonesia, Japan, and both Eastern and Western Africa. However, this was offset with headwinds primarily related to pricing in China and a few other markets resulting in a net 2% lower revenue compared to the same quarter last year.

Turning to our outlook

for the second quarter and the full year. We remain confident in our growth targets for FY '26. And as we indicated in our Capital Markets Day presentation in May, the growth this year will be weighted towards the second half of the year. From an SG&A perspective, we are continually leveraging tools and technology to transform how we operate across all functions, improving our operating model and driving efficiency throughout the enterprise. Our focus on cash generation continues, and we are optimizing our inventories and driving best-in-class working capital management as you can see in the results.

On the marketing excellence front, we continue to strengthen our new product pipeline, positioning ourselves firmly to deliver on our commitment of \$130 million of new revenue from product launches this year, mostly coming in the second half of the year.

In closing, I want to thank our team for their unwavering dedication, and our value channel partners for this quarter's performance. I am confident that we will achieve robust growth in both revenue and margin as the year progresses.

With that, I will now hand it back to Bikash, who will take you through the performance of our other platforms.

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Public Bikash Prasad: Thank you, Mike.

Let me now also provide a quick update on our other three platforms, which are, first, our India crop protection business, or UPL SAS; second, Advanta, our seeds platform; and third, our specialty chemicals focused platform, SUPERFORM.

At UPL SAS, we posted a strong quarter with revenue growing by a robust

13% versus last year, led by a strong 9% growth in volume, and supported by 4% improved pricing. This was driven by herbicides and supported by favorable season. Further, our successful new launches such as , Centurion ® EZ and Canora ® EZ, also supported improvement in product mix.

Our contribution margin was 32.7%, up by around 450 basis points and led by a favorable mix. This also drove EBITDA margin to 22.3%, an improvement of 540 basis points.

Advanta, our seeds platform, delivered double -digit revenue growth year - on-year, fueled by a robust volume expansion of 12%. Key contributors to this growth included corn in India and Thailand, as well as grain sorghum and sunflower in Argentina.

A strong price increase helped mitigate the impact of higher production costs and lower recoveries in Thailand. Despite overall margin pressure and increased investments for new market entries and product launches, our platform EBITDA rose by 5%.

SUPERFORM 's growth was primarily driven by higher volume. Our Super Specialty Chemicals, or SSC segment grew by a strong 21% versus last year. The platform reported 50 basis point improvement in contribution margin at 24.9%, driving its EBITDA up by a strong 7% versus last year.

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Public I would also like to take this opportunity to highlight that our robust financial and business performance have been enabled by our continued focus on sustainable initiatives and actions. We have strongly delivered on our five -year ESG commitments for FY '25, helping create long -term stakehold er value.

Further, we are now setting up an ambitious target for FY '30, in which we target to reduce water consumption, carbon dioxide, and waste generation by 60%. We also remain committed to empower our communities through institutions of excellence built over th e decades and create sustainable livelihood in rural areas. Whether it is endangered species conservation, forestry initiatives, or water savings, we remain committed to protect and uphold our biodiversity.

UPL takes pride in its exemplary governance, driven by a strong and experienced Board, both at group level as well as platforms, and heavily supplemented by an enthusiastic and experienced global leadership team. I am also pleased to sha

re that this is ref lected in creating an initiative -taking and productive workforce as evident from our superior engagement score well above the industry benchmark. Our strong practices have also led to several international accolades including global accreditation by FTSE a nd DJSI and other awards and recognition.

To summarize, Q1 has been a positive quarter, with broad -based improvement in the overall quality of earnings. On the P&L front, our revenue grew by 2%, a strong contribution margin at over 43%, an improvement by 390 basis points. Double -digit EBITDA growt h with margin improvement of 150 basis points, and lower interest expense and exceptional cost led reported profit after tax and monetary interest improvement of Rs. 300 crores. Similarly, on the balance sheet, our working capital days improved by 35, from 121 days to 86 days with a reduction of Rs. 3,300 crores. Improved net debt with a reduction of over

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Public \$800 million, post -redemption of perpetual bonds in May 2025 amounting to \$400 million.

To conclude, we remain cautiously optimistic on Q2, and for the rest of the year, which we broadly expect to be margin accretion -led growth. We maintain FY '26 guidance as already shared during our Capital Markets Day earlier this year at 4% to 8% growth i n revenue, and 10% to 14% EBITDA growth versus last year.

Finally, I would like to thank our team for their efforts, and our valuable

stakeholders around the world for their trust and support. I am confident on delivering our financial commitment in FY '26.

Thank you, and I look forward to your questions. With this, we are now open for Q&A.

Moderator: Thank you, sir. We will now begin the question -and-answer session. First question is from the line of Saurabh Jain from HSBC. Please go ahead.

Saurabh Jain: Yes. Thank you, gentlemen, for the opportunity. Good performance, I would say, in most of the businesses. I have a few questions relating to the recent industry developments. The first thing, recently, China has kind of been looking to introduce certain measures in terms of trying to support the chemical prices, wherein they wish to take some old capacities out of the system. Given that you also have a fair presence in China, what would be your take on the situation? How do you see these measures - can they create a meaningful impact on the pricing? Any views on that would be helpful.

Mike Frank: Yes. Hello, Saurabh. Thank you for the question. It's Mike here. Look, as we are continuing to experience overcapacity from China, and the pricing that we have seen over the last 18 months is also quite similar. There are a few products where we are starting to see, I would say, some green shoots, where either there's been some reduction in capacity or some

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Public consolidation. And so , we are seeing a few products , where prices are starting to increase.

But generally speaking, at this point in time, we are not seeing a significant movement in pricing. Our base plan this year assumes that pricing remains consistent out of China. Obviously, if there are further actions, that would be upside to our business case. As you can see from the growth in our contribution margins, we are very competitive with our manufacturing capability to compete even at these low prices. And if there is any improvement going forward, that will be constructive to our margins.

Saurabh Jain: Can you share some more details over here, which products you are noticing price increase? And if possible, have you taken any price increases in any of your key molecules in China or globally?

Mike Frank: Yes, I would say there are a couple of key molecules in our portfolio where we've seen some increase in price. One example is clethodim, and another is mancozeb, where we're starting to see some prices increas

e out of

China . This is giving us the opportunity to review our pricing globally , which we are actively doing. So, those would be a couple of examples that are important to our portfolio . A third example would be S -metolachlor, which is also a significant product for us. We're seeing price increases from China in S -metolachlor as well . So, these are a few examples where we're noticing what I would call 'green shoots' —early signs of positive market movement coming out of China .

Saurabh Jain: Okay. So, the price increases, is it already a part of your 1Q results, or it has been more of a recent action? It will be reflected in 2Q.

Mike Frank: Yes, I would say a little bit of both. Obviously, Q1 for our global crop protection is a small quarter. It only represents about 15% or 16% of our full year. So, that is one aspect to consider. I would say throughout Q1,

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Public specifically with S -metolachlor and with mancozeb, the prices have strengthened as we have gone through Q1. So, I would say , the opportunity on pricing is presenting itself as we go through the rest of the year, more so than Q1.

Saurabh Jain: Understood. My second question is regarding your seed business. So, in the last transaction, the Advanta transaction, we had raised about \$100 million which was supposed to be funding the future growth of Advanta. So, keeping that in mind, and also thinking about some of the recent news reports wherein one of the global ag major Nufarm, they have explicitly

highlighted they are looking to divest their seed business, which is branded as Nuseed. So, can you give some color, because there was some chatter that UPL has shown interest in terms of looking to acquire the seed business of Nufarm? So, any clarity on that side would be very helpful.

Anurag Gupta : Bhupen, would you want to answer that question?

Bhupen Dubey: Sure. Thank you so much. Thank you for the question. We also heard the same, the chatter on the media. Advanta, very similar to our parent UPL, continues to explore inorganic options as part of our core strategy. You are very much aware about it. Hence, we diligently scout for assets that are a great fit for our portfolio as a routine part of our business. Now that you mention it, Nuseed is an interesting asset, given its geographic spread and portfolio offering. Moreover, it also fits well with Advanta in terms of revenue and cost synergies. However, there is significant litigation ongoing between two companies, which centers around the enforcement of the license agreement and some critical intellectual property.

Advanta remains committed to protecting its IP and commercial rights and are pursuing all necessary legal avenues to protect its assets. The matter is ultimately set for trial, scheduled for next year in the Federal Court of Australia. Lastly, since the matter is currently sub judice, we are

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Public restricted in terms of sharing our further information in this regard. What we can confirm is that we are – (Audio Disconnect)

Moderator: Sorry to interrupt sir, your voice is not coming. You are not audible sir. We have lost the connection for Bhupen sir.

Anurag Gupta: Bikash, can you provide some color to that as Bhupen was mentioning. Could you conclude that with your thoughts?

Bikash Prasad: Sure, Anurag. As Bhupen was saying , the matter is ultimately set for trial. It is scheduled for next year in the Federal Court of Australia. Since the matter is currently sub judice, we are restricted in terms of sharing any further information in this regard. What we can confirm is that we are unable to explore this specific opportunity until the litigation is finalized.

Over to you, Anurag.

Anurag Gupta: Next question please.

Saurabh Jain: So, I had a follow up over here. So, what is the future growth track of Advanta? How

should we see this business growing? And the \$100 million, where you see an appropriate use of that money?

Bikash Prasad: Bhupen, are you there?

Moderator: No sir, his line is not connected.

Saurabh Jain: No problem, I will take it later then. Thank you so much, and I will join back in the queue.

Anurag Gupta: Thanks, Saurabh.

Moderator: Thank you. Next question is from the line of Aditya Jhawar from Investec. Please go ahead.

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Public Aditya Jhawar: Hi, thanks for the opportunity. I just wanted some sense on the recent tariff announcement. That how is UPL positioned from exporting from India to the US market? Which are the categories of our product which would be exempted? And for which category, what percentage of revenue would be impacted? And how is our competition placed, whether in China or in the domestic US manufacturing, on specifically on those products where we are exposed to tariffs?

Anurag Gupta : Mike, could you answer that please?

Mike Frank: Yes, sure. Thanks, Aditya . So, firstly I would say, obviously this is pretty fresh news, the 25% tariff. If you go back to April timeframe, the original announcement was 26% tariffs on India. And so, this was definitely part of our planning scenario. I would say, firstly and most importantly, we do not expect it to have a material impact on our business, either positive or negative. We continue to have, at this point in time, a beneficial comparative tariff rate versus the Chinese competitors and producers, at

25% in India versus, roughly 55% from China. The other thing to take into consideration, as you mentioned, is -- (Audio Disconnect)

Moderator: The line for Mr. Mike got disconnected.

Anurag Gupta: Bikash, I think Mike got disconnected. Could you share your thoughts on this, please?

Bikash Prasad: Yes, so what Mike explained before he got disconnected was that last year the duty differential was 25% between China and India. And after the new duty announcement, the duty differential is 30%. So, still we are better off compared to last year. However, as an organization, we have always anticipated and planned for this scenario. And therefore, this recent announcement doesn't change our financial outcome expectations for this year. For the market, the new crop year prices will be announced in UPL Limited

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Public the coming weeks. And this tariff will be a consideration in our pricing decisions.

Aditya Jhawar: Yes. Bikash, just what percentage of our portfolio of North America is exposed to tariffs, and is there competition outside China where possibly there is a lower tariff whether it's Vietnam or the domestic supply?

Bikash Prasad: I think our exposure will be less than 10%.

Aditya Jhawar: Out of total North America?

Bikash Prasad: Yes, total North America. If you look at our turnover, it's between \$600 million to \$700 million. And out of that, what is getting exposed to this tariff will be less than 10%.

Aditya Jhawar: Fair enough, I will take a follow-up offline. Second question is on impairment on Brazil. So, we have taken an impairment of about Rs. 112 crores in this quarter. So, looking into the subsequent quarters, how is the situation? Should we anticipate more impairment that could potentially come in subsequent quarters as well?

Bikash Prasad: As I spoke during my initial briefing that this impairment was a non-cash transaction and this will get reversed over the recovery horizon. There was a restructuring, that was done for a distributor in Brazil, and many lenders and major suppliers including UPL were involved. UPL remains a preferred partner for this distributor. Various actions have been planned to recover the outstanding amount. There are some discussions and some agreements we have agreed into with this distributor which we will not be able to share as it is very

commercially sensitive information, but what we can tell you is that our exposure compared to what was earlier has reduced. Only from accounting standard perspective, we had to recognize this. But overall, our net credit exposure has been reduced. We have taken this impact, an accounting non-cash impact but we feel that over the period of recovery, this entire amount will get reversed.

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Public Mike Frank: And maybe Bikash, if I can just add another comment on top of that with respect to any other issues. Firstly, from a concentration standpoint, there isn't a significant concentration of customers. So, when we look at the financial strength of the rest of our customers in Brazil, we wouldn't anticipate any further ECL issues as we go through the rest of this year.

Aditya Jhawar: That is very encouraging to hear. That is it for my side. All the best. Thank you.

Mike Frank: Thank you.

Moderator: Thank you. Next question is from the line of Tarang Agrawal from Old Bridge. Please go ahead.

Tarang Agrawal: Hi. Good evening. Quite a few questions. First on the financials, Bikash, we have been consistently seeing a reduction in debt, but it is not translating into reduction in interest cost. So, I understand there are multiple factors. Historically, you used to give us a more granular disclosure. So, if you could please comment, how should we see the interest cost number moving from here on? And a follow-up on that, if you could just give us some sense on how is your costing when it comes to your payables versus

your cost of factoring?

Bikash Prasad: Sure. So, as I discussed earlier that we have done the prepayment of our September maturity and the tightening of working capital has led to a reduction in net finance costs. If you just look at the finance cost which is on the borrowings on the different limits on the working capital and adjusted for the financial income. In dollar terms, our finance cost has gone down by 17% from \$89 million during the last year to \$74 million during the current year. What you see in our published financials, that includes some impact of the exchange losses as well. But the right way to look at it would be to just look at the interest cost excluding the impact

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Public from the exchange losses. The interest cost on borrowing has gone down by 17% compared to the same period last year.

Tarang Agrawal: So, Bikash, I mean because we do not have these disclosures, right, it's difficult for us to probably evaluate what portion of interest cost is on borrowings, and what portion is otherwise. So, I would request you to properly disclose this going forward. That will be very helpful. Second, the number was ballpark of about Rs. 1,000 crores, okay? \$74 million translates to roughly Rs. 650 crores. So, what is this balance Rs. 350 crores?

Bikash Prasad: Yes. So, I can say that the net interest cost was \$74 million. In INR terms it's Rs. 631 crores. In addition to that we incurred an exchange loss of Rs. 271 crores. Bringing the total to Rs. 1,007 crores after adjusting for the interest income of Rs. 105 crores.

Tarang Agrawal: Got it. And we have seen a sharp rise in payables, and we have seen a reasonable reduction in factoring. So, from a financial lens standpoint, which is better and how do you decide when to increase payables and when to take more factoring?

Bikash Prasad: Sure, thanks for the question. That's a very pertinent question in the current economic environment. So, first I will talk on the factoring part, considering the market volatility like soft commodity prices, geopolitical conflicts, tariff uncertainties, elevated interest costs and continued credit concerns. We consider factoring to be a strong risk mitigation tool, as it is on a non-recourse basis. We expect our factoring numbers to be

in a

similar range like last year subject to seasonality, which should be in the range of \$1 billion that we have guided earlier.

This quarter the securitization number or the factoring number has gone down by \$45 million. But it is in line with the seasonality. What happens is, the number goes up during Q4, and then from Q4, the reduction starts

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Public happening. So, once we get into Q3 and Q4, you will see that this number will start increasing and from Q1, the numbers will start going down. So, this quarter, you will see on a like-to-like basis, \$45 million reduction. Compared to March, you will see a reduction of about \$350 million. That's on our securitization program.

Secondly, regarding your question on payables, specifically how we manage pricing and terms, given our strong performance over the past few quarters and continued strength in Q1, suppliers are now offering us better terms. This includes longer payment periods and more favorable pricing. Therefore, we don't see any additional impact from extended payable days. It's more a result of commercial negotiations and the confidence suppliers have in our balance sheet.

Tarang Agrawal: Got it. That helps. Mike, in your opening address, you did call out that you are looking at a stronger order book at this time of the year versus the same time last year. Was it specifically for your Latin America business or is it pervasive across other geographies?

Mike Frank: Yes, good question. So, yes, primarily the order book concept is a Latin America concept. Specifically in Brazil, where typically the dealers and retailers at this point and time of the year are negotiating terms for the

upcoming season and then placing orders. So, that's where we carry a significant order book. And so, yes, it would be geared towards that specific region.

Tarang Agrawal: Okay. In Europe, Mike, if I adjust for the currency depreciation because rupees depreciated materially this quarter, the European business in Euro terms has been broadly flattish. What I understand, Q4 of financial year and Q1 of financial year, these are really the March quarter and the June quarter are the bigger quarters. But if I just look at the June quarter in Euro terms, it's broadly flat. So, how should I look at it? Should I just look

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Public at the June quarter or is it more prudent to look at it on those two quarters together?

Mike Frank: Yes. I think when considering the crop year in Europe, it's more aligned with the calendar year , i.e. products are serving the crop year that's currently being grown. Overall, again, we feel good about our performance in Europe this quarter, and our Q1 in U.S. dollars, we are up slightly. And, as you may know, there's been a lot of hot weather across many parts of Europe, which has had some impact on the fungicide business. But our portfolio performed very strong. And so, I think, on balance, our performance in Europe, both in Q4 of last year and Q1 of this year, has been really good.

Tarang Agrawal: Sure. Just a couple of more on Advanta. Were there any exceptional spends done this year? Because the clip from the gross profit to EBITDA has been relatively narrow. So, just wanted to get a sense on that. And one on SUPERFORM , just wanted to understand what proportion of SUPERFORM revenues are within UPL and what proportion are outside of UPL? Thanks.

Anurag Gupta: Bhupen, are you there?

Bhupen Dubey: Very much here.

Anurag Gupta: Thanks, Bhupen. Could you take the first question, please?

Bhupen Dubey: Yes, sure. Thank you for your question. There are two important elements that contributed to this phenomenon. First, the cost of procuring raw seed has increased . You may have noticed th

is in a few countries, particularly in the non-GM tropical yellow corn segment , where corn prices have remained quite stable.

Second, the recovery rate from raw corn to fresh packed corn has declined . During harvest , some countries experienced rainfall, which

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Public impacted our yield recovery. This phenomenon is reflected in the difference. Going forward, I think things are likely to improve significantly in Q2.

Tarang Agrawal: Yes. Bhupen, that gets captured in gross margin, right? But if you see your gross profit increased by 15%, but your EBITDA growth has been about 5%. So, to give some numbers, your gross profit increased by about Rs. 90 crores, EBITDA increased by about Rs. 12 crores. So, there's about Rs. 78 crores that got spent in between, which is what I was coming to.

Bhupen Dubey: These are the two major elements, the third would be overhead, If you look at that line item, for the new year, recruitment has started. So, that is the third element which comes to my mind.

Tarang Agrawal: Okay. So, would it be more one-time in nature in your view? I mean, how should we see it for the full year, if one were to look at it?

Bhupen Dubey: Okay, the element which I indicated is one time in nature because , that's already taken care of in terms of the finished good inventory, that is ready in our factory . The overhead part of it has two components , permanent employees and seasonal employees. Since the permanent employees are part of our capacity building for the next 3-4 quarters, which is a regular activity which happens in Q1. On the other hand, seasonal employees, who are involved during harvesting , packaging, and other plant operations, will now come down in a month or so .

Tarang Agrawal: Sure. Thanks. Thanks, Bhupen. Last on SUPERFORM .

Anurag Gupta: Raj, could you please take that question?

Raj Tiwari: Yes, sure. So, on SUPERFORM , your question was related to how much the UPL share of the business is. So, our anchor customer business share as a part of the total business is about 75% and 25% is all Super Specialty.

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Public Tarang Agrawal: Okay. Super. Thanks, Raj. That's it from me.

Moderator: Thank you, sir. Next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar: Hi, sir. Good evening. My question is for Ashish first. Yesterday, one of the larger competitors in India have decided to exit the Indian market. Can you throw some color in terms of what kind of opportunities this could open for the Indian market? And how do we see growth going into next year because FMC was one of the largest players in the insecticide markets in India?

Anurag Gupta: May I request Mike if you could take that question instead?

Mike Frank: Sure. No, happy to. Yes. So, obviously, we read the same information just yesterday. So, it's early days. Look, there's a couple of ways to think about it. Obviously, it indicates how highly competitive the Indian market is , and when you look at our results this quarter, and over time, it really shows the durability of our business model and portfolio and team. So, that's kind of one takeaway.

Specifically, with respect to this asset, like any development in the industry, we will evaluate, I would say purely on its merits. We will look at our strategic priorities in terms of deleveraging, as well as opportunities in terms of asset additions, in terms of how it would impact on the long term of our shareholders. And so, I would just say it's so early that we do not have a specific point of view. But it's something, of course, that we are going to look at and see how it unfolds.

Siddharth Gadekar: So, the second question is on the pricing side. We had at the last two -three calls, alluded that the pricing

decline would start getting restricted in UPL

Corp. But going ahead now, how should we see that in the next two, three quarters? Will it entirely be volume growth or will we have some positive pricing impact also going ahead?

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Public Mike Frank: Yes. That's a great question. Look, I think in this quarter, as you saw in our results, we did have a 1% decline in pricing, which is quite modest.

Specifically, as we think about growth in Q2 through Q4, we are expecting growth to come almost exclusively from volume. Again, there's going to be some parts of our portfolio where we will see some price and margin expansion, as I talked about earlier. But for the most part, I think on a blended average basis, the price is going to be relatively flat to pricing that we experienced last year.

Siddharth Gadekar: Just one last question on this quarter and the pricing impact, was it largely to do with the product mix or are you guys seeing a substantial decline in any of the product pricing?

Mike Frank: Yes. Again, the pricing decline was quite modest at negative 1%. And yes, when we look at where the pricing was impacted, there were a couple of products in China and the Philippines that had some impact from pricing. But primarily, it was in the insecticide portfolio in Brazil, where there's are a couple of categories of products that have gotten a bit more competitive. And retailers and dealers are negotiating very hard on those products. And so, we did adjust some pricing specifically in our insecticide portfolio in Brazil. We are going to wait and see how that unfolds through the year, but it did have some negative impact in Q1 on us.

Siddharth Gadekar: Okay, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: Good evening and thank you very much. Sir, if you look at the UPL Corp

P&L, your COGS has come down. So, how do you explain that? Is that something which is sustainable over the next two quarters?

Mike Frank: Yes. Very much so. One of the benefits that we have seen is by reducing our inventory and maintaining relatively lean holding, as we think about UPL Limited

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Public It now, about a three-month forward look in terms of inventory, we came into the year with fresh inventories. Our replacement inventory is at a lower cost than the inventory that we came into last year with. So, with the benefit that we experienced in Q1, we would expect it to carry over through the rest of the year. And so, this margin expansion that we saw in Q1, largely on COGS reduction, will carry as we go into the rest of the year.

S. Ramesh: Okay, so in terms of the utilization rate, can you share what is the benefit you have got in terms of the operating leverage on EBITDA margin and is that also something that will sustain over the next three quarters this year?

Mike Frank: Yes, so the specific benefit of the COGS improvement in Q1 in U.S. dollars was about \$58 million. Approximately \$30 million of that was a result of lower cost of goods. Again, being a new or fresh inventory. The rest of it, approximately \$20 million, was as a result of utilization rates. Again, if you think about last year, as we really managed our inventory down, we were reducing our production throughout the year, but especially in the first half of the year. And so, as we have now started to ramp up our production and our plants back to normal levels, we are seeing the benefits of that come through the income statement.

S. Ramesh: And now on the housekeeping, if you look at the reversal of the mark-to-market on receivables and payables, that's a positive of Rs. 93 crores or Rs. 930 million. So, is that something which is sustainable or will it again go back to a negative number? What is the trend there?

Mike

Frank: Bikash, I will turn that to you.

Bikash Prasad: Yes, sure. So, the FX has two components. The first is a revaluation of the balance sheet, which is mainly the trade receivables, trade payables we have to revalue at the end of each month and each quarter.

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Public The second component is the realized and unrealized losses on all our borrowings or any other loans or inter-company loans. So, there are two components, from the number's perspective, what appears in the P&L is split. Part of it, the balance sheet revaluation, can be seen on the face of the P&L, which is minus Rs. 93 crores, compared to Rs. 45 crores last year. The second component, which is the realized and unrealized losses on borrowings and loans, is included under finance cost. Almost ₹271 crores is included under finance cost.

So, to understand the net impact, we need to combine the two. While the Rs. 271 crores is included under finance cost, Rs. 93 crores credit is sitting on a separate line item. So, my recommendation would be that we should look at it by combining the two.

From an FX policy point of view, we clearly said that we have a very robust FX policy in place. And we cover our short-term FX exposure, the working capital exposure, regularly through the various structures that we have created either foreign exchange covers, or NDFs where direct covers are not available in a country.

The cost of hedging is part of doing business in these geographies and is effectively passed on to the market. So, one leg sits on the FX line, and the corresponding leg or adjustment happens through pricing. However, under Indian accounting standards, we have to report these two separately. From a presentation point of view, most other organizations align FX impact with turnover and EBITDA.

But just to answer your question, there is a debit balance sitting under the finance cost amounting to Rs. 271 crores. And this is always going to be

there. So, FX impact will always be there, it's not just one-time. When you operate in different jurisdictions, depending upon the jurisdictions, the volatility can be different. So, we are, say, present in all the francophone

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Public countries in Africa, the local currency CFA is pegged to Euro, there is no volatility between the local currency and Euro, and Euro, dollar we cover separately.

If you go to Europe, again it's very stable, and we do take cover between Euro and dollar. And when it comes to some of the emerging markets, like LATAM or the anglophone part of Africa or some of the countries in Southeast Africa, when we export stocks to those markets, we create inter-company or third-party dollar payables.

And when we sell, suppose during this period if the currency has moved from the historical rate to, say, a new rate, that will go to the FX line item. However, as a business, we always look at what is the currency appreciation or depreciation that has happened, and that corresponding impact ideally should be passed on to the market through the sales price. There might be a lag, and we might not be able to sometimes fully pass on the impact to the market. But then we will look at it between how we do our pricing decisions, and what is the impact coming at the FX line item. Just looking at the FX line item will not give you a true picture because the corresponding impact is also hitting it through the increased EBITDA line item.

And if you just combine the two line items of FX cost in this particular quarter, it has slightly gone up compared to last year from \$17 million to \$21 million. And this cost has gone up because, the cost of borrowing in Brazil has slightly gone up, and similarly in some of the other emerging markets, the local borrowing costs have gone

up considering the volatility and still higher inflation rate in some of these markets.

This is nothing but reflecting the local cost of financing. Today when we export our products to those countries, the payables are in dollars. Now we have two options, either we continue our exposure in dollars at say, 6%-7% dollar rate or we move to the local borrowing rate. And different

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Public countries will have different rates, like say, Brazil will have now 15%-16%.

There is always a choice between your interest arbitrage between the dollar rate and the local financing rate and the currency devaluation.

In these emerging markets, we do not want to take any exposure, and hence we remain fully hedged. And for remaining fully hedged, we have to pay for the cost of hedging, which is nothing but the interest rate differential between the dollar financing rate and the local financing rate. And then obviously it's consideration while taking the pricing decisions which will reflect in the EBITDA.

I know it's a complex topic, but probably we can take it offline, and we can discuss it much more in detail.

Moderator: Thank you, sir. The line for the current participant has disconnected, so we will move to the next participant. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes. Good evening. Thank you so much. Just a couple from my side. One is within the cost of goods sold line, it seems like there's been a significant increase in the inventory built up, it seems to be about Rs. 2,200 crores, Footnote #8, I am looking at. So, yes, just what exactly was the thought process there and then should we expect that the production rate at our plants will actually, come down a little bit, slow down a little bit in the next quarter or two, have you digested this inventory?

Mike Frank: Raj, do you want to take our question?

Raj Tiwari: Yes, Mike. So, Raj here. If you look at our business, Q1, Q2, and part of Q3 are typically the periods when we build up inventory. Then, during December, January, February, and March, you'll find that inventory gets

sold, as those months coincide with the seasons in some of our larger geographies .

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Public So, nothing unusual is part of our normal business cycle . Also, if you look at our capacity utilization, from our perspective, the best utilization happens in Q1, Q2, and Q3. In Q4, we generally adjust our plant output depending on demand at that time . So again , this is nothing unusual. And we do not have a very large inventory build -up like we used to have earlier. Our forward cover is only about 90 days.

Abhijit Akella: Got it. Thank you. The second thing was just on the impairment loss item, so Rs. 192 crores is shown on the face of the P&L. We have described this Rs. 112 crores item pertaining to the Brazilian distributor, but what will the remaining Rs. 80 crores have been attributable to?

Bikash Prasad: Yes. So, \$13 million or ₹112 crores , as we explained, was related to a distributor in Brazil. The remaining amount is, I would say, broadly similar to what we had last year. We had some ECL provisions in Africa and LATAM.

Abhijit Akella: Okay. Understood. Thank you. And just one last thing, on the debt balance, is there any guidance that you can sort of hold out? I know last quarter we did not for this year, but any thoughts on that front?

Bikash Prasad: No, just to clarify , last year we did not provide any guidance on cash flow , net debt , or leverage ratio because those metrics were quite comfortable. A year ago, the market was concerned about our liquidity ratios when we exceeded 4x. However , after all the initiatives

taken last year , our leverage ratio reduced to 1.7x . So, we felt we were within a comfortable range and therefore did not give any specific guidance to the market.

But as you look at it now, here's what we've done : we have repaid \$400 million from the strong cash position we had at the beginning of the year. Second, \$250 million of the September obligation has also been prepaid . Additionally, we are going to receive \$200 million from the rights issue by the end of September . We continue to drive cash generation from

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Public operations, supported by our disciplined working capital management , which is evident in our Q1 financial results. You can clearly see that. So, considering these factors for the current year, we are quite comfortable with our cash position, and definitely see that our gearings will be at a lower level than last year, even after the repayment of the perpetual bond .

However, as we continue to evaluate various strategic options to unlock value across the platform, our focus will be to significantly deleverage our balance sheet over the next year or two. So, while we are currently comfortable with the levels on a business -as-usual basis, we are extremely focused on further deleveraging and are actively evaluating various strategic options.

At this point in time, we do not have anything material to share with you, but as and when there is something significant , we will definitely share it with you.

Abhijit Akella: Got it. Thank you so much. All the best.

Moderator: Thank you. Next question is from the line of Nitin Agarwal from DAM Capital. Please go ahead.

Nitin Agarwal: Hi, sir. Thanks, just taking off from the point that you mentioned, I was just referring back to the press release comments from Mr. Jai Shroff regarding the restructuring that the firm is looking to pursue. If you can share some thoughts around the option that you are considering on that account?

Bikash Prasad: This is too early. As you would have read in the press release, we are now engaging advisors, and various discussions and options will be evaluated. So, as of now, there is no firm decision on any structure. The idea behind engaging advisors is to explore unlocking value across all platforms. And,

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Public as I said earlier, whenever there is any material development, we will let all of you know.

Nitin Agarwal: Is there a time frame in your assessment right now by when we have some clarity on this way forward on this account?

Bikash Prasad: Well, it depends on how the advisors guide us and which options we choose. The timeline will depend on the choices we make . I think it would be too early for us to comment on this.

Nitin Agarwal: Okay. Thank you so much.

Moderator: Thank you. Next question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V: Thanks for the opportunity, sir. Mike, just wanted to understand, in terms of the season progress, both in the US and LATAM, your thoughts on that, how it's kind of progressing? That's one.

And the second question is on the farm economics. So, this has been a bit subdued almost now , almost a year after CY '22 to CY '23 coming off. Is it because the produce is so high, the supply have been doing well? Or is it because of demand? What is our expectation, maybe six months out, can this reverse a bit, can farm economics start getting better, particularly because of a bit of a pricing problem?

Mike Frank: Yes. Thank you for the question. In terms of crop progress in Latin America and the U.S., I would say , for the most part, as you may know , in Brazil, the crops have already been harvested for this year. Both the soybean and corn crops were strong. So, fr

om a supply -demand standpoint, the additional supply has impacted some of the pricing we're currently seeing in the marketplace.

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Public In the U.S., the corn and soybean crops are also looking quite strong, and the anticipation is for a very large corn crop. Currently, prices on the Chicago Board of Trade for corn , soybeans , and wheat are subdued. It's a bit of a mixed signal , ending stocks are high for soybeans, but relatively short for both corn and wheat. In fact, this is the lowest stocks -to-use ratio we've seen in over a decade.

That being said, the overall segment is currently soft. Looking ahead six months, we're seeing some strengthening in future prices, but still within a range that would keep growers somewhat cautious in terms of investment , well below the peaks seen a few years ago in commodity prices. So, unless there's a major catalyst in the next six months, we expect current crop prices and future indications to remain close to what we're experiencing now as the year progresses .

Somaiah V: Thanks, Mike. Just one follow -up. I think we did mention that there is a bit of a movement from Q1 to Q2 in Brazil. I mean, what would be the reason, I mean, for the shift from Q1 to Q2?

Mike Frank: Yes. Again, as we've discussed , for us, it's not about destocking. For the most part, our channel partners have the right amount of stock. I would say in Brazil, there's ongoing negotiation , specifically in the insecticide portfolio. If you think about the upcoming season, it's the soybean season , which will begin in about 45 to 60 days.

So, a lot of the herbicides have already been committed. The insecticides , which are used later in the season, are still being negotiated, whereas this time last year, there was less, I would say, delay in being able to fill that demand. So, that is part of it. I would say that's kind of a market -backed perspective.

The other aspect is the phasing of when we are shipping some of our inventory into the channel. We have got a strong order book, particular in

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Public Brazil. And so, we are purposely phasing just to manage our working capital. We are phasing some of the business into Q2.

That's what gives us a lot of confidence as we look forward to Q2 and beyond where we can see good growth opportunity in some of these markets that had a little bit of de -growth in Q1 , specifically in Latin America.

Somaiah V: Thanks, Mike. That's all from my end.

Mike Frank: Very good, thank you.

Moderator: Thank you. Next follow -up question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: Thank you for the follow -up. So, if you look at your segment numbers across the various platforms, EBITDA adds up to a number which is lower than the consolidated EBITDA of Rs. 1,303 crores. I get a number of Rs.

1,238 crores versus the consolidated reported EBITDA of Rs. 1,303 crores.

So, if you can reconcile that, that will be useful so that if somebody wants to do a valuation across these verticals, it helps them.

And secondly, if you look at your segment numbers, there is a non - accrual revenue of Rs. 639 crores. Is that part of the external business that you do in SUPERFORM ? What exactly is that?

Bikash Prasad: Yes. So, yes, it's SUPERFORM . Coming back to your first question on reconciling the EBITDA number, you would have noticed that in the press release and other documents also we have given, we have tried to reconcile that and whatever the other part or the corporate eliminations, we have clearly called out and reconciled with the final turnover for the group plus each platform.

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Public Second, in terms of EBITDA, we provided th

e EBITDA number for the four

pure -play platforms. However, in addition to these four pure play platforms, we also have other businesses. One is like , say, UPL Limited as a standalone company, which also has some plants . So, there are certain EBITDA numbers that is booked under UPL Limited. We have DECCO business, which is our post -harvest business. So, those numbers are also consolidated.

Since the focus was primarily on the four pure -play platforms, we have highlighted those and clearly called them out. The 'Others' numbers, after adjusting for any corporate eliminations , are already included in the group -level figures .

S. Ramesh: Okay. So, that Rs. 639 crores difference is mainly coming from the UPL standalone, right?

Bikash Prasad: UPL standalone, yes , which includes UPL standalone plus other businesses under UPL . The majority of that, you could say, is the DECCO business, which is also included under 'Others'

S. Ramesh: Yes. So, one last thought on the deferred tax credit, you have been showing that for some time now. So, how much of deferred tax credit you have still left with you for the next two quarters and when does that end?

Bikash Prasad: No, it's not that it will end. It will be a regular process. New DTAs will continue to be created, and deferred tax liabilities (DTLs) will get unwound. So, this will be ongoing. We cannot say that this balance will become zero. The old balances will be cleared, new balances will come up, but these balances will never be zero.

S. Ramesh: So, how does it work?

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Public Bikash Prasad: Just to call out the major DTAs , adjusted for DTLs, compared to last year — these numbers have come down for Brazil and for the USA. So, in the key regions where we hold these balances, the numbers have decreased.

Another difference that can arise, and I think it's important to understand this from an accounting perspective, is that if inventory levels are higher due to business growth , especially in cases involving intercompany transactions, unrealized margins are eliminated. When these unrealized

margins are eliminated, a deferred tax asset (DTA) is created in the books, which will unwind once the inventory is sold.

So, while these balances appear in the accounts, they don't have a direct commercial impact. I'll have a separate conversation on this and take you through it in more detail. In Q1, our inventory balance was significantly higher, by almost ₹4,000 crores compared to March. Due to this higher inventory balance, around ₹120 crores of DTA were created, largely driven by unrealized margins on the additional inventory.

S. Ramesh: So, what would be the effective tax rate when you start generating or moving towards more profitable operations?

Bikash Prasad: Yes. So, the effective tax rate for the group, if you look at it, is influenced by multiple factors. The first is the geographical mix. There are geographies where we have a zero to low single-digit tax rate, and others where the tax rate can go up to 40%. So, the geographical mix is an important factor to consider.

This mix can change slightly each quarter or each year, and accordingly, our profit and effective tax rate may also vary. However, our consistent guidance to the market has been that, on a sustainable basis, the effective tax rate for the group should be between 15% to 17%. When modeling, we recommend using a range of 15% to 17% for the group.

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Public These numbers can change quarter-on-quarter, but unless there are anomalies in the market, we should look at it within the 15% to 17% range.

S. Ramesh: Thank you very much and wish you all the best.

Bikash Prasad:

Thank you.

Anurag Gupta: Yusuf, do we have anybody else in the queue? I think we had all the participants who had to ask their questions. So, thank you very much. And on behalf of UPL Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines. Thank you.

Bikash Prasad: Thank you, everyone.

Moderator: Thank you, sir. On behalf of UPL Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

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"UPL Limited — Q2 and H1 FY26 Earnings Conference Call "
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Management Team

Mr. Toshan Tamhane Group Chief Operating Officer UPL Limited

Mr. Bikash Prasad Group Chief Financial Officer UPL Limited

Mr. Mike Frank Chief Executive Officer,
Global Crop Protection UPL Corp

Mr. Ravishankar Cherukuri Chief Executive Officer,
India Crop Protection UPL SAS

Mr. Bhupen Dubey Chief Executive Officer Advanta

Mr. Raj Tiwari Chief Executive Officer SUPERFORM

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Public Moderator: Ladies and gentlemen, good day, and welcome to UPL Limited Q2 FY 2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Anurag Gupta. Thank you, and over to you, Mr. Gupta.

Anurag Gupta: Thank you, Renju. Good evening, everyone. I am Anurag Gupta, Head of Investor Relations at UPL. On behalf of the UPL management team, I thank you for joining us today for discussing the financial performance for Q2 and H1 FY26. The investor presentation, press release and the financial statements have been made available on our website, and we take it that you have read the Safe Harbor statement.

From the management team, we have with us today, Group Chief Operating Officer, Toshan Tamhane; Group Chief Financial Officer, Bikash Prasad; CEO of Global Crop Protection Business , Mike Frank; CEO of India Crop Protection Platform, Ravi Cherukuri; CEO of Seeds Business Advanta, Bhupen Dubey; CEO of Specialty Chemicals Platform, SUPERFORM, Raj Tiwari; and other members of the leadership team.

Before we begin, I would like to introduce you all to Ravi, our new CEO for the UPL SAS platform. Ravi joined UPL in February 2025 and has taken over this leadership role in October. His predecessor, Ashish Dobhal, has transitioned into his new role as the Global Sales Head for UPL Corp. We thank Ashish for his outstanding leadership at UPL SAS, where he has played a pivotal role in strengthening the business, building high -performing teams and positioning us for future growth.

In this earnings call, Bikash will take us through the overall performance for UPL Limited for the quarter and half year. This will be followed by Mike, who will share his detailed remarks on UPL Corporation, followed again by Bikash, who will cover the other platforms in brief. We will have the Q&A session post that. With that, I now hand it over to Bikash. Bikash, over to you.

Bikash Prasad: Thank you, Anurag. Good evening, everyone, and a very warm welcome to UPL's s econd quarter and half yearly FY26 earnings call . Thank you for taking the time to join us today. Before presenting the financial highlights for Q2, I want to start by expressing my appreciation and gratitude for your continued interest and support.

Since stepping into this role as Group CFO in June, I have had the opportunity to meet and interact with several of you from the investor and analyst community, who have shared their extremely valuable input s and feedback in terms of market expectations and insights. This has helped us in looking at the business from an outside -in perspective, giving us a better view for evaluating and reporting our performance.

Also internally, we have been working closely, and I'm proud of the momentum we have built together. We delivered a strong first quarter, and I'm thrilled to report an even stronger second quarter, reflecting robust execution, disciplined financial managem ent and the resilience of our business model. In today's call, we'll walk you through the key financial highlights of the quarter,
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Public provide some context on the drivers behind our performance and share our outlook for the full year FY26.

The second quarter continued to witness a stable demand at farm gate level for crop protection products and seeds. Ongoing geopolitical uncertainties, including U.S. tariff-related concerns, continue to affect market conditions and trade flows. Further, lower commodity prices led farm income stress continue to influence over

all agrochemical value chain. Additionally, there were some

weather-related challenges in India crop protection business. On a positive side, reduction in SOFR rates have had a favorable impact on finance costs.

Before delving deeper into the financial performance, I would like to share key corporate updates from Q2. The first one is related to our corporate realignment. In September, we integrated our post-harvest business DECCO with our seeds business, Advanta. Both businesses share a strong service-led culture and a commitment to delivering sustainable science-based solutions to farmers and food producers worldwide.

The move is expected to bring potential upside driven by synergies in adjacent focus areas, guidance from experienced and proven Advanta leadership team, shared back-end infrastructure, overlapping presence in emerging markets and enhanced digitization.

The second update is on rights issue. Our final call of ₹ 180 per partly paid-up equity share aggregating to around ₹ 1,685 crore or \$200 million was called for in September. This amount was 50% of the total issue price of ₹ 360 per share, comprising ₹ 1 towards face value and ₹ 179 towards share premium. I'm pleased to share that the proceeds from the same have been received in September.

The final update is on the recent outlook upgrade. As shared during our Q1 earnings call, two global ratings agencies, Fitch and S&P had upgraded their outlook from 'negative' to a 'stable'. I'm pleased to add that in August, Moody's upgraded their outlook as well from negative to a stable. This is a strong endorsement of our financial resilience, strategic clarity and commitment to sustainable value creation. Our actions reflect our continued focus on capital efficiency and long-term stakeholder confidence.

Now coming to Q2 FY26 performance overview. We continued with our strong performance and improved further in this quarter. In Q2 FY26, we reported revenue of ₹ 12,019 crore, a strong 8% growth versus last year. This was driven by 7% increase in volume and favorably supported by 3% exchange impact, partially offset by some pricing pressure. At the platform level, UPL Corp, our global crop protection business was up by 12%, supported by an even stronger 26% increase in Advanta. I'm pleased to share that both these platforms were driven by volumes, indicating our strong market presence and good acceptability of our products. This also indicates a recovery in our global crop protection business from Q1. My colleague, Mike, will cover this at length in his remarks.

While our SUPERFORM business remained largely steady, the Super Specialty Chemicals segment within it showed a remarkable 18% jump versus last year. This is a testimony of our focus on growing this emerging segment in strong collaboration with global partners.

Our India crop protection business, or UPL SAS, was impacted by unfavorable weather conditions in the quarter with its revenue declining by 10%. Among key regions, growth was led mainly by the UPL Limited

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Public Americas. Latin America grew by 13%, driven by fungicides in Brazil and Argentinian recovery, while North America was up by 63%, led by herbicide volumes. Among others, India was up by 6%, led by seeds and Super Specialty Chemicals, offset by crop protection decline. Europe was steady, while there was some decline in Rest of the World.

Our contribution increased to ₹ 5,041 crore, a significant 21% jump versus last year. The margin was around 42%, an improvement of 420 basis points. This was driven by improved product mix, higher capacity utilization and lower input costs, mainly in crop protection. This also reinforces our commitment to operational efficiency and strategic sourcing, leading to favorable cost position.

The SG&A expenses amounted to ₹ 2,836 crore, a 9% increase year-on-year, in line with our expectations.

I would like to add here that the Q1 non-cash provision related to distributor restructuring for around \$13 million in Brazil was reduced by around \$4.2 million in Q2, facilitated by the recovery plan. As highlighted in Q1, this will subsequently unwind over the period of recovery horizon.

Higher revenue and improvement in contribution margin led to a strong growth in EBITDA to ₹ 2,205 crore, up by 40% versus last year. I'm pleased to share that EBITDA margin stood at 18.3%, up by 410 basis points versus last year. Profit before tax or PBT stood at ₹ 784 crore, up by over ₹ 1,200 crore versus last year. This movement was driven by :

- EBITDA at ₹ 2,205 crore , up from ₹ 1,576 crore last year ;
 - Depreciation and amortization expenses increased from ₹697 crore to ₹771 crore ;
 - Significant reduction in net finance costs down from ₹ 847 crore to ₹518 crore this year. This was driven by several factors, including debt pre -payment of \$250 million in March 2025, favorable SOFR -linked interest rates, which have declined by around 125 basis points since last year, and ratings upgrade -related interest rate reduction and our focused capital management. Additionally, other factors that impacted PBT were
 - lower net exchange losses , down from ₹ 375 crore to ₹235 crore ,
 - lower losses from associates and joint ventures from ₹ 135 crore to ₹54 crore in this period as they have had improved performance during the current year. We'll continue to monitor the performance of these entities closely.
 - Finally, the exceptional items improved from a negative ₹8 crore to a positive ₹142 crore. This was as a result of favorable verdict from Brazilian Supreme Court on a VAT litigation. The gain was partially offset by the restructuring cost for one of our European manufacturing plants. We have also provided a detailed management P&L to better explain the numbers, including net interest and FX costs as discussed during the last Q1 earnings call. We have also included a management balance sheet, which is Slide 20, and the management cash flow on Slide 23 for better reference.
- Profit after tax , or PAT , significantly improved from a loss of ₹585 crore last year to a profit of ₹ 612 crore this quarter. I'm pleased to share that our PATMI stood at ₹553 crore , up significantly by around ₹1,000 crore versus last year, driven by factors as explained earlier. Correspondingly, our operational PATMI i.e., adjusted for exceptional items rose from negative ₹ 434 crore to a positive ₹411 crore , up by ₹845 crore . For H1, PATMI was up by around a significant ₹1,300 crore .

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Public Moving on to the key balance sheet items. Our net working capital in September '25 stood at ₹ 15,463 crore or around 118 days, lower by around 5 days versus an already tightened last year. The amount is higher versus previous year due to improved sales in H1, especially in our seed s business and overall inventory buildup in anticipation of our H2 plans.

Inventory days stood at 124 days, up by around 7 days, while payables were at 151 days, up from 127 days last year. Our receivables stood at 146 days, up from 133 days in the previous year. We also saw a flat non -recourse factoring at around \$553 million versus \$558 million in the previous year.

On the net debt, as of September 2025, it stood at ₹23,802 crore , that is approximately \$2.7 billion, reflecting a reduction of ₹ 3,729 crore or \$605 million compared to ₹27,531 crore , that is \$3.3 billion in September 2024. However, the net debt increased versus March 2025 largely due to the impact of perpetual bond redemption of about \$400 million in Q1 and higher working capital requirement in line with the historical seasonality.

I'm also happy to share that our key gearing ratio s, that is net debt to EBITDA and net debt to equity have shown remarkable improvement compared to September last year. Th

e net debt- to-EBITDA

improved from 5.4x last year to 2.7x, driven by strong operational performance and capital efficiency.

This ratio was at 1.7x in March '25 due to seasonality led higher collections in that period. Adjusted to perpetual bonds, this ratio last year March end would have stood at around 2.1x. Additionally, net debt to eq uity improved from 0.9x last year to 0.6x this year.

On H1, let me summarize the highlights briefly. Our revenue is up by 5% versus last year, with growth led by all platforms, mainly Advanta and UPL Corp. The total contribution grew by 16% at over ₹9,000 crore , driven by broad -based margin improvement of over 400 basis points versus last year.

EBITDA is up by 29% at over ₹ 3,500 crore with robust performance across all platforms and led by contribution margin improvement.

PATMI improved by around ₹ 1,300 crore , up from a negative ₹ 827 crore last year to a positive ₹ 465 crore in H1 this year. Similarly, our operational PATMI improved by approximately ₹1,100 crore , up from a negative of ₹ 769 crore to ₹331 crore this time.

I will now hand over to Mike, who will take you through the details of UPL Corp . Mike, over to you.

Mike Frank: Thank you, Bikash. Hello, everyone, and welcome to our second quarter FY26 earnings call. Before we review the quarter, I would like to start by providing some insights and my thoughts on the current market landscape . The global crop protection market has stabilize d. Channel inventories in all major countries are back to normalized levels. Global demand growth is in the low -single digits and prices have largely stabilized.

With this backdrop, we are well placed to compete. We are sitting on fresh inventory that is at the right level and at a competitive cost, giving us the opportunity to compete aggressively to grow our market share and to expand margins simultaneously. Grow er prices for row crops continue to remain low, pressuring farm margins, which in turn creates liquidity stress on retailers and distributors in some regions, especially in Latin America.

The breadth of our portfolio gives us optionality to serve farmers with post- patent, differentiated and

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Public in post-patent solutions within our portfolio. Looking ahead, we expect this trend to persist into 2025, creating opportunities to strengthen our position in the value-driven segments.

Turning to our Q2 performance. The quarterly performance of our business reflects the strength of our portfolio and the operational advantage of our supply chain. In Q2, our revenue grew 12% year-on-year, supported by strong volumes in North America and Latin America. Looking at the performance of our portfolio, herbicides delivered strong results across North America and Latin America, driven by s-metolachlor, metribuzin and triclopyr. Fungicides led by mancozeb continue to see strong demand in all regions.

Our insecticides portfolio was mainly impacted by increased competitive pressure, leading to price erosion of our premium Sperto

® brand in Brazil, as well as lower volumes of acephate, also in Brazil.

However, this segment is showing a solid recovery driven primarily by our growing Feroce® brand sales whose superior agronomic performance has strengthened its brand presence and demand with growers in Brazil.

Our sustainable solutions portfolio in Q2 saw slightly lower volumes. However, total contribution margin grew on the strength of improved mix. Impressively, our contribution margins overall expanded to 35.1%, growing by over 400 basis points year-on-year. This was mainly driven by improved mix, lower input costs and higher capacity utilization.

Turning to SG&A, we continue to demonstrate a disciplined SG&A approach while investing strategically in growth and trans

formation initiatives. Nevertheless, ECLs totalling approximately \$9 million impacted our results, but to a lesser degree than Q2 last year. These impacts were mainly in Latin America. Finally, EBITDA for the quarter increased by 69% year-on-year, a margin expansion of nearly 500 basis points, demonstrating our ability and agility to compete and drive profitability in this market.

Let's now review the Q2 performance of our regions. In Latin America, we posted 10% higher revenues year-on-year. This growth is attributed mainly to Brazil's robust performance and partial recovery of our business in Argentina. As highlighted during our last investor call, the combination of disciplined execution, a resilient business model, enhanced customer focus and a robust portfolio has driven a strong revenue recovery in this region. We are confident that this positive momentum will continue through the second half of the year as farmers across much of the region are in the midst of planting their first crops for the first season.

In North America, we grew by an impressive 79% versus last year. While Q2 is a smaller quarter in North America, our performance demonstrates the momentum we are building in both Canada and the U.S. Growth in North America was boosted by a strong herbicide portfolio with notable upsides coming from the demand for our post-patent portfolio of key molecules such as metribuzin, s-metolachlor and glufosinate, which delivered significant year-on-year gains in both volume and revenue.

This performance was complemented by key fungicides such as mancozeb. While our post-patent portfolio is performing well in North America, we're also in the midst of launching and scaling several new products, primarily in the differentiated and sustainable categories of our portfolio. This all positions us well for sustained growth in the North America region.

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Public In Europe, we recorded near flat revenues, which declined 1% compared to the same quarter last year. This was primarily due to fungicide sales normalizing after an exceptionally wet season last year. I'm pleased to highlight that we continue to see sustained growth across key markets such as in Germany, Italy, Spain and France.

Unfortunately, the market in Turkey has been impacted negatively by an early season frost, resulting in lower sales, especially in the fruits and vegetables market. We are confident of strong volumes and revenue performance in Europe during the second half with overall growth projected for the full year.

In Africa and Asia Pacific geographies, we delivered good growth across key markets, especially in South Africa, Western Africa and Indonesia, resulting in an overall 12% revenue growth for this region compared to the same quarter last year.

Lastly, on our Q2 results, our commitment to disciplined cash management and operational efficiency remains strong. We continue to optimize our inventories, receivables and payables to achieve sustained and best-in-class working capital efficiency. To this end, I'm pleased to report that we've achieved a strong reduction in net working capital days compared to the same quarter last year.

Turning to our outlook for the third quarter and full year of FY26. Based on our momentum, we are confident in accelerating our growth in the second half of the year. From an SG&A standpoint, we continue to leverage advanced tools and technologies to optimize operations across all functions, enhancing our operating model and driving an enterprise-wide transformation. At the same time, we're strategically focusing our SG&A investments to accelerate growth in key priority areas. On the marketing excellence front, we continue to strengthen our new product pipeline, positioning ourselves to firmly surpass our target of \$130 million revenue from new product launches this year. We are already seeing exc

ellent results from products launched in the first half of the year, especially in Latin America, underscoring the growing acceptance and differentiation of our portfolio in the market. Looking ahead, we expect this momentum to accelerate in the coming quarters, further strengthening our market position and driving sustained growth.

In closing, I'd like to thank our team for their outstanding dedication and our channel customers for their continued partnership, which drove this quarter's successful results. With this solid momentum, I am confident we will deliver robust revenue and margin growth through the remainder of this year.

Thank you. And with that, I'll hand over to Bikash, who will take you through the performance of our other platforms.

Bikash Prasad: Thank you, Mike. Let me now also provide a quick update on our other three platforms, which are our India crop protection business, or UPL SAS; Advanta, our seeds platform, and our specialty chemicals focused platform, SUPERFORM.

UPL SAS revenue declined by around 10% due to lower volumes led by unfavorable weather conditions that prevailed in most parts of the country. Herbicides was the segment that was particularly impacted. However, despite the above challenges, we improved our contribution margin by approximately 500 basis points, driven mainly by improved product mix and recent launches such as Centurion EZ

® and Canora EZ®. The EBITDA margins improved from around 20% last year to

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Public 22.7%, an increase of nearly 270 basis points. This led to an absolute EBITDA growth of 2% despite revenue decline.

Advanta, now integrated between our seeds and post-harvest platform delivered a strong 26% growth year-on-year, fuelled by a robust volume expansion of 14% in the seeds segment. Key contributors to this growth included corn in India, Latin American countries and Indonesia as well as sunflower in Argentina. Our platform EBITDA rose by a strong 57% driven by higher volumes.

SUPERFORM had a steady revenue versus last year. I'm happy to share that our Super Specialty business or SSC was up by 18%, driven mainly by volumes led by contract manufacturing. This strong growth has also helped us improve our non-agchem revenue share to around 25% compared to 20% in Q2 last year. The platform reported a contribution margin of around 25%, up by a strong 370 basis points. This was driven by improved mix and increased share of Super Specialty segment. EBITDA is up by a strong 24% versus last year with 250 basis points improvement led by increase in contribution.

Now on some non-financial updates that I would like to talk about. In line with the previous quarter where we presented our ESG commitments, I'm pleased to add here that our robust financial and business performance are also enabled by our state-of-the-art backward integrated manufacturing and world-class R&D capabilities.

Our global manufacturing facilities spread across major continents enable effective catering to growers and customers' unique needs, offering bespoke solutions, enhancing agricultural results. Our strategically located facilities backed by advanced synthesis capabilities, and skillful and inspired

team provide a favorable cost position versus most of our global peers. Our world-class R&D centers distributed across the globe fuel innovation for our customers, whether through synthesis and formulation or creating process IPs, quality improvement or otherwise. With a strong team within this function comprising PhDs and experienced professionals, we have received over 3,000 patents.

Now to summarize, Q2 has been an extremely positive quarter with several achievements. This quarter has been much stronger versus an already robust Q1 with broad-based EBITDA improvement and focus on overall quality of earnings led by financial discipline. Through this, our first half of

the year looks strong as well on almost all indicators.

On the P&L front, in Q2, our revenue grew by a robust 8% versus last year, a strong contribution margin at around 42%, an improvement of 420 basis points, a strong EBITDA growth of 40% with margin improvement of 410 basis points, and PATMI improvement of around ₹1,000 crore.

Similarly, on the balance sheet, our working capital days improved by 5 days from 123 days to 118 days. Improved net debt

with a reduction of over \$600 million. Adjusting for redemption of perpetual bonds of \$400 million, the net debt reduction is \$1 billion. This also resulted in further de-gearing our balance sheet.

Considering our strong H1 and positive outlook for H2, I'm pleased to share our upgraded FY26 guidance as follows: 4% to 8% growth in revenues, on similar lines to what we presented in Capital Markets Day in May, and 12% to 16% EBITDA growth versus last year, up from 10% to 14% as indicated earlier.

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Public Finally, I would like to thank our team for their efforts and our valuable stakeholders for their trust and support. I'm confident of delivering our financial commitments in FY26.

Thank you, and I look forward to your questions. With this, we are now open for Q&A.

Moderator: The first question comes from the line of Saurabh Jain with HSBC.

Saurabh Jain: Congratulations on a stupendous set of results. First thing I wanted to clarify on your ECL in Brazil.

So how much is the total ECL in first half? Because there was some commentary about 1Q, you booked 13 million and then some of it got reversed. What is the total ECL in the first half for you?

Mike Frank: Saurabh, maybe I'll take that from a UPL Corp standpoint. And Bikash, you can add any commentary you want from an overall UPL perspective. In UPL Corp, our ECL in the first half was \$30 million, and that compares to \$23 million last year, so up \$7 million versus the same half last year. And you mentioned Brazil, that's total. So that's not only Brazil, that's our global ECL for the half.

Saurabh Jain: So can you split it out into the first quarter and second quarter also? Just trying to understand how much was the amount in the second half because you also mentioned about some reversal that is where I'm coming from.

Mike Frank: Yes. So, the net in Q2 is \$9 million. And the total in H1 is \$30 million. So you can say net in the first quarter of \$21 million.

Saurabh Jain: Yes. Okay. Also, there has been a bit of pricing decline in the second quarter amid some reports suggesting some of the products have seen price increases. What would be your assumptions and expectations in the second half? Whatever growth that you're going to deliver, can you split it out in terms of how much would be volume, pricing and forex?

Mike Frank: Yes. So, as I mentioned, for the most part, we're seeing prices have stabilized. So now on the price side, it's primarily a mix impact. Now we did see, as I mentioned, with Sperto

®, which is one of our

high-value branded insecticides in Brazil. This year, we have seen some clones and generics come into the marketplace. And so, we have seen some price declines specifically on that product, which is a large product for us. But on the rest of our portfolio, we've seen very consistent pricing.

So, as we think about the H2, our growth in H2 will be almost exclusively volume-driven. We expect prices to be roughly flat, maybe down like, again, 1% or so in Q3. But overall, in the second half, we expect pricing to be very flat, but volumes to lead the growth for our second half business.

Saurabh Jain: Okay. That is useful. One last question I would ask, and then I'll join back the queue. Given already we have seen 2 quarters and there is good debt repayment that UPL has delivered, there is also a debt repayment obligation, which is coming up in March 2026. I think it would be about \$0.5 billion or so.

Can you also explain to us what is your potential expectations of your debt by when you end this year?

Bikash Prasad: Yes, sure, Saurabh. Thanks for the question. And as you know that we have an opening cash balance of about \$550 million as on 1st of October. We also have unutilized working capital lines of about \$1.7 billion. And significant cash release happens during H2. And the last 2 years, if you look at it, the cash release has been in the range of \$900 million to \$1.1 billion. So, we feel very comfortable with our opening cash that we have. And during H2, the cash release that will happen. So, we are confident to meet any repayment obligations for this year. So, I think that is not a challenge.

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Public The second question is about what is our expectations for rest of the year and the end of the year.

Like last year, we had ended at 1.7x net debt-to-EBITDA ratio and adjusting for perp it was about 2.1x. Post repayment of the perpetual bond, we had made the second and final call on the rights issue for the balance amount of approximately \$200 million, which is also received in September. And our focus is to continue to drive cash generation from operations which is supported by disciplined working capital management, as you can see it in our H1 results as well.

So, we will be significantly lower than the last year at 2.1x on a business as usual basis. And our short to medium-term priority is to deleverage our balance sheet, probably, I would say, between 18 to 24 months' time. So compared to last year of 2.1x, we are expecting somewhere between 1.6x to 1.8x of

gearing. But still, we have H2 to deliver, and we'll see how things evolve. But as of now, we are quite comfortable with our cash position, quite comfortable on our net debt and the leverage ratios.

Saurabh Jain: So does that imply a net debt reduction of about ₹ 1,500 crore to ₹ 2,000- odd crore? Is that the way we should look at it?

Bikash Prasad: Yes. So, we'll see how the working capital pans out in Q4. Q4 is our key quarter from working capital cash flows and net debt perspective. But as of now, we are planning somewhere between 1.6x to 1.8x.

Saurabh Jain: Yes. So, a related question is that the working capital on a Y-o-Y basis has seen an increase, right?

There is a drawdown on the working capital. Would you still believe for the full year basis, there would still be some release in working capital or you would believe that there would be some cash absorption in your working capital needs?

Bikash Prasad: So last year, we had really squeezed on the working capital. And you know that from 86 days, we had reduced our working capital to 53 days. And during Capital Market Day, Mike and others have also commented that our cycle time between, say, 65 to 70 days is what probably is sustainable. And we will be comfortable with that.

So, there might be some increase, although as of now, we are trying our best to see how do we keep optimizing our working capital. But the season is starting now in Americas, and we'll see how does it go. And still there are many global uncertainties and challenges we have to navigate. And then probably Q3 will be a better quarter to give a better update on this.

Moderator: Next question comes from the line of Siddharth Gadekar with Equirus.

Siddharth Gadekar: So my first question is on the strong performance on the EBITDA side in 2Q and the guidance increase.

So, what do we attribute the guidance increase to? And also, for the 2Q, the beat on EBITDA, the strong growth that we have seen, is it largely driven by the differentiated products? Or there is something else also that is driving our EBITDA and the guidance for the full year?

Mike Frank: Yes, Siddharth, maybe I'll take that first just from a Global Crop Protection standpoint. Look, so I would say the tailwinds that were experienced in the first half

are going to persist, we believe, into the second half is, again, inventory levels are normalized. And so, we're able to restock.

Secondly, because we have such a broad portfolio of post-patent, differentiated and biological products, depending on the country and the farmer economics, we are seeing - while we're still seeing strong demand for our high-value differentiated and sustainable products, we're also seeing really

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Public strong demand and accelerated demand with low grower margins for our post-patent products. So, I would say that's giving us the opportunity to simultaneously grow market share and expand margins.

Maybe lastly, our supply chain is really performing well. As we're running with lower levels of inventory as we manage working capital, we're also able to replace inventory with fresh inventory at the market's lowest cost. And we're seeing as the year plays out, because we're running the plants harder, we're absorbing fixed costs through a larger volume, and that is also helping our cost of goods, which is expanding our margins. So, there's - I'd say there's multiple pieces that are driving both our volume gains and our margin expansion.

Bikash Prasad: And let me just add it from other three businesses also. Advanta also, we have a strong FY26 outlook, which will be volume-led growth with EBITDA accretion. SUPERFORM with continued strong prospect for our Super Specialty Chemicals segment with margin expansion. And our India crop protection business with our improved product mix will also drive the outlook for the second half.

Siddharth Gadekar: Got it. Sir secondly, on the India business, how should we think about the inventory levels? And do we expect any large sales return in 2H?

Ravishankar Cherukuri: Yes. I hope you can hear me. This is Ravi. So normal sales and returns is a feature of the business, and

you know this very well. Last year, we had abnormally large returns because like we were turning a corner from very high sales to a more subdued sales environment. But this year, we have been very calibrated in placement of inventories into the channel.

Other than for early season herbicides, which we have to place, you cannot see what the season will be like, where we went ahead and placed, and we had -- we took back most of the returns already in

Q2. We have been extremely calibrated in placement of other stock, other inventories based on the season. So, we do not expect returns to be very high in the future. However, there will be some returns, and they will be well within our normal estimates.

Siddharth Gadekar: Lastly, just on SUPERFORM. This quarter, we have seen the share of non-agchem going up to 25%.

How should we think about the share over the next 2-3 years? And where do we see SUPERFORM eventually being by FY29, FY30 in terms of non-agchem and agchem share?

Raj Tiwari: This is Raj Tiwari. So of course, our ag business will also grow, but the growth of our Specialty Chemicals business will be far higher than our ag growth. And therefore, this overall share of business of super specialty will keep on growing.

How next couple of years pan out would be a matter of estimates. But at the pace at which we are

going now, if we just look at that, then in next 24 to 36 months, around 30% to 35% of our overall business share should be super specialty.

Siddharth Gadekar: Sir, any color you want to give that incrementally, what are we doing to increase the share in the super specialty products?

Raj Tiwari: Well, we have 4 or 5 key technology platforms. We have cynation, phosgenation, phosphorus, and sulfur -based chemistries. Those would anyway excel the growth. But apart from that, our contract manufacturing business will propel the growth in next 36 months' time.

Moderator: Next question comes from the line of Ankur Periwal with Axis Capital.

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Public Ankur Periwal: Congratulations on a good set of numbers. Mike, first question for you. You did allude towards Brazil market wherein there is some bit of pricing pressure in specific products. Your thoughts on the overall competitive intensity and especially given the weakening farm economics, is there a shift from branded or premium products to more on the generic side? Your thoughts there, please?

Mike Frank: Yes. Thanks Ankur for the question. Look, I mean, over the last week or so, most of our peers have reported. And so, you can see from the industry-wide results that the industry is still very competitive. And volume growth is still in the low single digits. Obviously, we're outperforming that, which we're pleased about. And we think it's largely based on our broad portfolio and on our operational excellence in terms of how we're managing inventory and managing our supply chain.

The pricing pressure in Brazil is mostly focused on our one large brand, which is Sperto

®. Outside of

that, we're seeing some price opportunity on some of our portfolio, but most of the portfolio is remaining flat on prices, while our cost of goods continue to improve, which is giving us the margin expansion. So, I would say that's how it's playing out, not just in Brazil, but in the rest of the markets.

And then finally, to your point just on grower margins, as I mentioned, I do think we are seeing some additional demand in what we would call the value segment of our portfolio as farmers are looking for high-quality, low-cost products to solve their pain points. And so, I think that's giving us some additional momentum because of the breadth of our portfolio.

Ankur Periwal: Sure. That's helpful and clear. And second question to Bikash, on the losses from associates. We have seen a sharp decline there. So just wanted to understand how should one look at these numbers? Is this ₹54-odd crore loss sustainable now? Because we were at ₹130-odd crore last year. Q1 was a profit and now there is again a loss. So how should one look at this number on a sustainable basis?

Bikash Prasad: Yes. Thanks for the question. I think during this year, we have seen that our associates and JV's have improved their performance. They are still not there where we want to see them. But nine out of our ten associates and joint ventures have improved their performance in Q2. There is one where there is still an issue, and we are trying to turn it around as well. But going forward, I do see that at least on the nine out of ten JV/associates that we have, will have the steady performance.

Ankur Periwal: Sure. Just a follow-up here. So, if I look at from a full year perspective, this year, this number should still be negative and possibly positive next year onwards or probably the turnaround will take slightly higher time?

Bikash Prasad: So next year, our target will be that it should be positive. This is how we are planning and working.

Moderator: Next question comes from the line of Tarang Agrawal with Old Bridge.

Tarang Agrawal: Congrats on a strong set of numbers. I would just like to take this forum to basically call out that considering how UPL was one of the first ones to call out the stress in the environment, taking the write-offs, I think life seems to have come to full circle, especially given the context in which some of the global peers have reported.

Also sincerely appreciate the improvement in the financial reporting quality and the earnings quality. We really hope this momentum both on reporting as well as business, continues.

Now coming on to the questions, I actually have three. Firstly, on UPL Corp, what should be the steady-state contribution margins for this business? And where I'm coming from is I'm not trying to

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Public look at it on a quarterly basis, but say, what is the target

that you are hoping to achieve, say, in FY27, maybe '28?

And secondly, what's the share of D&S business? I think these disclosures used to be given out. I think for the last two quarters, these disclosures are missing. So, it will help if you could incorporate it going forward. And the rest are relating to Bikash and SUPERFORM.

Mike Frank: Tarang, it's Mike here. Firstly, thank you for the comments on the overall performance. So, the way I would think about kind of what you're calling steady -state contribution margins at least in the near term, it would be in that mid -30s. And so there will be quarterly deviations from that, probably up and down a little bit. But on a full year basis, we would expect our margins to be in that mid -30 range. Obviously, in the post- patent segment, and this kind of gets to your second question, in the post-patent segment, the margins are lower than they are in our differentiated and sustainable segment. We will disclose those numbers at the end of the year. So, we'll continue to report them. We think it makes more sense to report them on an annual basis just because there can be quarterly variations that I think will send maybe not the right message if we report them quarter -by-quarter.

For the year, we would expect that we'll be somewhere in the range give or take a little bit of 60% - 40%. So, 60% of our revenue will be from the post- patent segment, about 40% from the differentiated and sustainable segment. Over time, that will continue to move towards more and more share in the differentiated and sustainable segment. About 80% of our new products that we're launching are in that high- value segment.

And as I mentioned earlier, we've got a strong class that we're launching this year with what we've guided to be at least \$130 million of revenue. And now it looks like we're going to be able to over - deliver on that target. And we have another really strong class coming in front of us. And so those are the things that are going to continue to drive the growth of our high value differentiated and sustainable segment. And again, we'll disclose that speci fically at the end of the year.

Tarang Agrawal: Bikash, how confident are you in continuing to yield the supply payment terms that you're currently yielding? Bikash Prasad: No, I think with our strong performance, it is giving much more comfort to our suppliers. It should continue. I do not see any concerns as of now on getting the similar terms.

Tarang Agrawal: Okay. And last one on SUPERFORM. We've seen a stark expansion in margins for the business. What's driven this? I mean, quite stark?

Raj Tiwari: Yes, Tarang, Raj here. Of course, this is because the Super Specialty business growth has been phenomenal. And there, the margin expansion has been there. And it's a mix -- naturally, when the super specialty growth is much higher as compared to ag, the ma rgin expansions will keep on happening. So, it's a mix issue.

Tarang Agrawal: Got it. So as long as the mix keeps improving, that's the trend that we should look at. There's nothing out of the ordinary. I mean, just to get a sense, whether it's your Super Specialty business or your ag business, there isn't anything out of the ordina ry in terms of the margins that you've reported for this quarter?

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Public Raj Tiwari: No, it is. A nd that will keep on happening because super specialty will keep on growing upwards of, let's say, 20% and ag will anyway s grow 10%. So, till the time super specialty growth is more than the ag, the margin expansion will keep on happening.

Moderator: Next question comes from the line of Love Sharma with JPMorgan.

Love Sharma: Just a couple of questions from me. I think, Bikash, you mentioned earlier in the call about your net leverage target of about 1.6x - 1.8x by end of this year. Just wanted to understand given where we are currently and

the rating improvement we have seen, and I know that the company has come a little bit of a long way from the IG ratings previously , is it fair to say that you would like to achieve those IG ratings back given these deleveraging targets?

And secondly, I think you also talked about this the \$500 million loan coming due next year in March. Also, then there is, I guess, a September payment due as well next year. Any thoughts on refinancing them or are you looking to just repay them, reduce d ebt overall using cash flows?

Bikash Prasad: So definitely, first on the \$500 million, I think, is immediate now in the next couple of months. We are quite comfortable with our opening cash flows. There's cash release that happens during H2. As I indicated earlier, \$900 million to \$1 billion. So, if you are sitting with \$1.5 billion, meeting this \$500 million repayment obligation is not an issue.

Now your second question is on about Q3 and Q4 next year obligations of about \$900 million. I think we still have some distance to cover. But we will first focus on how we look at generating operational cash flow. W e had indicated during Q1 earnings call and press release that we are looking at various options to unlock shareholders' value. And if some of those we decide to take, that would also help in terms of deleveraging the balance sheet.

So, we'll see that how things are progressing in the next 3 to 6 months' time. But as of now, on the immediate repayment obligation of \$500 million, we are well prepared and planned. There are no concerns on that. But we'll update on the Q3, Q4 next year repayment probably in the subsequent earnings calls.

Love Sharma: Sure. And on the rating side, if you could just share any views? I know you have improved a lot. We have seen some decent improvement on the rating side. Are we looking to have more of those coming along?

Bikash Prasad: I think our first focus is to deliver a strong performance this year . Once we have a strong result, we

have a better chance. And we have been in discussion with the rating agencies. We are continuously engaged with them. But besides our financial performance and liquidity, you know that the rating agency also considers overall industry outlook and other factors, which also influence the rating action.

So, what we have in our control, definitely we will try to deliver that, but there are market conditions as well, which will impact the rating action. But we are focusing on delivering strong financials, enhance our capital productivity, operational efficiencies, cash flow and strengthen our balance sheet.

Moderator: Next question comes from the line of Naushad Irfan Chaudhary with Aditya Birla Mutual Fund.

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Public Naushad Chaudhary: A few clarifications. Firstly, congrats on a very good set of numbers. On the seed business side, we

have done wonderfully great if I look at the global peers versus us, I was just wondering if you can be very specific and share what great we have done in the past that is yielding this kind of growth to us?

And what are we doing currently to keep that growth and market share momentum?

Anurag Gupta : Thanks, Naushad. I'll request Bhupen to respond to that question.

Bhupen Dubey: Thank you so much for this question and this observation. As you may know, seed business is a very long-term business. So normal really good product from our R&D takes 8 to 10 years to come out of it. So that is a long pipeline. So, your question is right, what good we did in the past is yielding results.

We have done a very strategic identification of the segment and subsegment within the global seed market where we believe we have very strong germplasm. That is the starting point.

So, wherever you have a strong germplasm, marry with the crop and the geography, and start investing in those areas, from R&D, technology development, marketing a

nd testing, and then GTM.

So that is how it goes. So, if you see in last one decade, year-on-year on quality and health of business, quality of the portfolio, the contribution of our innovation is going up.

Of course, there are internal things which is under our control, but that has to marry with the market opportunities, which reflect in QoQ, YoY, but broadly, it's a robust movement.

Going forward, same will continue for us - the market which we need to enter in through in-house development, or acquiring the germplasm. That is our first area - whichever segment we want to see ourselves growing in 8 to 10 years' time. We are strengthening our germplasm at this point in time, putting our R&D resources because that gives us the moat, seeking ability and sustainability.

Naushad Chaudhary: But on a lower base when we started competing with the global giant who has this multibillion-dollar size in terms of the seed business, their germplasm inventory versus our germplasm how it got us differentiation that led to this market share gain. They would also be sitting on a similar kind of germplasm inventory.

Bhupen Dubey: So, the beauty of our business is -- we have a lot of IP capability. Germplasm is a unique proprietary asset of a company who are R&D-based. So for big organizations, they have 130-140 years of history.

Advanta is also more than 65-70-year-old. So that kind of big germplasm we have, which is our proprietary, and nobody has that in the marketplace.

We keep innovating with facilities and branches, with unique combination of our genomics, marrying with the environment we want to target. So that is the beauty of the seed business based on the R&D compared to the rest of chemical business, which we see here.

Naushad Chaudhary: Okay. And last, on this Super Specialty business, what exactly is this business? And how much -- in terms of value, do we do the business through external sales in this piece? And how much capital we have deployed so far here? And what is the capital deployment plan in this business?

Raj Tiwari : This is basically the manufacturing part of the business, wherein we serve ag and we have two anchor customers, UPL Corporation and UPL SAS, that contributes almost like 75% of our revenue, wherein we manufacture active ingredients for these two anchor customers.

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Public Apart from that, we have the Super Specialty business, wherein we do contract manufacturing, but we also have products which goes into pharma intermediates, lubricant space, personal care, flame retardants and mainly five key technology platforms : phosgenation, cyanation, sulfur, Na

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chemistry, phosphorus chemistries and others. We are backward integrated, and that's where we drive value for our customers, and that's where we are able to also drive growth. So that's the basic outlook, how the business is structured.

Naushad Chaudhary: What is the size of this business in terms of absolute number through external sales only?

Raj Tiwari : Last year, the number would be around ₹ 10,000 crore. Out of that, last year, 80% of the revenue came

from ag and about 20% came from super specialty. So that's the size of the company.

Naushad Chaudhary: I'm asking external sales, sir. You eliminate the...

Bikash Prasad: Rest is all -- so let's say, about \$2,500 crore of sales comes from external customers.

Naushad Chaudhary: Okay. And any capital deployment plan, if you want to share here, how you want to take this forward?

Raj Tiwari : It all depends on the opportunity what we see. Of course, we keep on investing. I mean, last year, if you see at UPL level on the tangible assets, our investment would have been about \$140 - 150 million.

And that's the range which we keep on investing for growing the business.

Bikash Prasad: I may also add here. Now if you look at the SUPERFORM business, fanta

stic from a working capital

deployment or productivity perspective. Whatever credit terms that SUPERFORM offers to its customer, whether it's a third party or our crop protection business, we get similar credit terms from our suppliers. So, largely, it is a working capital neutral business.

On the fixed capital side, it will be between, say, \$500 million to \$600 million between specialty and ag. So, it's a very working capital efficient business and fixed capital will be in the range of \$500 million to \$600 million.

Moderator: Next question comes from the line of Somaiah V. with Avendus Spark.

Somaiah V. : A few questions for Mike. First, in terms of low-cost inventory replacement, is the cycle -- you have come to the full cycle there or there is further headroom based on current raw material prices or utilization levels for second half of this year?

Mike Frank: Yes. So, I'd say we've come full cycle. There's no further headroom. Obviously, as our volumes grow and we continue to run our plants and utilize them at a higher rate, I mean, there is a marginal benefit from fixed cost absorption. But we've liquidated what we've previously referred to as high-cost inventory. We came into the year with about 100 days of forward coverage. So that got liquidated for the most part in the first quarter. And so we are really now selling refreshed inventory.

Somaiah V. : That's helpful. Second question is on Brazil. Considering the growth rate that we have had last quarter, would it be right to think that we have gained market share? That's the first part. Second, in terms of the season, current season in terms of rainfall being in terms of planting, the progress there? And also, any concerns in terms of farm economics that can impact offtake at the later part of the quarter?

Mike Frank: Yes. So, look, obviously, market share is measured on the annual cycle. So, I would say it's too early to declare any market share gains in Brazil on a year-to-date basis. The farmers are in the field right

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Public now, planting. For the most part, they finished planting their first season corn, but there's still lots of soybeans to be planted and cotton.

But we are pleased with the revenue we've achieved this last quarter. Our order book in Brazil right now is up about 20% versus this time last year. And again, I think the market in Brazil is going to likely be up in the low single digits. And so, indications are strong that we're poised to gain market share. Obviously, as I said though, there's a long season to play out there.

From a weather standpoint, it's been a good start to the season. It was unusually wet in the early spring, which is really good. So, farmers were planting into moist soils, which always gets the crop off to a good start. So, I would say that's good for farmers. Also, kind of tees up well for the products that we're selling there in terms of herbicides and insecticides and fungicides. We're expecting strong demand. And so, I would say it's setting up well for a good market.

Lastly, on your question with respect to farmer liquidity. Last year, the way I think about it is farmers in most of Brazil grew a very strong crop. So even though prices were down, they commercialized it at lower prices, but at higher volumes. And so most farmers have liquidity coming into this year.

Again, you can't say that for every single farmer. But generally speaking, farmers, I would say, there are optimistic about this season. It's off to a good start. Prices are where they're at. And so, we'll see how this unfolds.

Again, the Chicago Board of Trade price just in the last 10 days has increased by about 10% on soybeans. And so that will also put a little wind into the sales of soybean growers in terms of how they're looking at future prices.

Somaiah V. : Got it. One last question on the tariff part. I just want to understand in terms of

value chain, how is this getting addressed, whether it's the producer who's taking it or the retailer distributor. It doesn't seem like there is a price increase at the end consumer. If you could just help us understand that part.

And second, also what it means for us, whether we benefit because there used to be a price differential or tariff differential that used to help us maybe ten percentage points. Does that still exist?

Mike Frank: Yes. Thank you for that question. Look, at the start of the year, we probably had about a 20% lower tariff of India imports into the U.S. versus Chinese. And that now has turned around where there's a small disadvantage where there's a higher tariff on imports coming from India. Obviously, as you all know, the tariff rates for imports into the U.S. have been incredibly dynamic like since April. They've gone up 10%, then to 25% and now to 50% on India.

And so, we're not going to give a specific dollar amount because it's still dynamic, and we do expect that the rates could still shift as the year plays out. But our supply chain, our global supply chain team and our local U.S. team have been playing through a lot of scenarios to really determine how do we best operate in this environment.

So, the way I think about it in the first half of the year, most of our U.S. sales were made with inventory that was already in the country prior to the increase in tariff rates. So, there was a small impact from higher tariffs in H1, and that would be approximately a negative \$3 million at the EBITDA line.

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Public But in H2, our imports into the U.S. since the higher tariff rates started, obviously, that will have some negative impact on H2 results, just as you said. That being said, all of that impact is figured into our increase in guidance that Bikash talked about earlier on the call today.

So maybe lastly, just on your point in terms of what are we doing with pricing and supply chain. So, I would say there's probably three areas that we're focused on. Firstly, we're holding inventory that we're currently shipping to the U.S. in bonded warehouses, and we're holding it there as long as we can until we have to release it and pay the tariffs.

And so, for the most part, right now in the U.S., there's not a lot of products going on the ground. And so, we still have, I would say, a month to two months in most of the U.S. before we need to start shipping products to our retail and distribution channel. So, we're staging that product in bonded warehouses in anticipation that there could be a change in the tariff rate between now and when we need to ship it. So that would be number one.

Secondly, our product prices for the new crop year do reflect some of the additional tariff costs.

Obviously, this is unfortunate for farmers as they're going to be paying higher prices for inputs at the same time that their margins are being squeezed. But of course, it's on an active-by-active basis in terms of what our pricing approach has been.

And then lastly, we are exploring all options to minimize the tariff impact through alternative supply options as well as formulating more products in the U.S. and adding more value there before we ship the products to our customers. So that's kind of the overall picture right now and the scenario that we're working through with tariffs in the U.S.

Anurag Gupta: Thanks, Mike. Bikash, would you want to add some color with respect to other businesses as well?

Bikash Prasad: So, I think other businesses are not very material, whether it's Advanta or our post-harvest business from the U.S. tariff perspective, it's not material. Our Corp business is material, and Mike has given a detailed response on that. And from the financial and from the year-end guidance perspective, I will also say that the discussions are ongoing between U.S. and India.

And some of those out

comes are still uncertain, unclear. But as an organization, we are better prepared and plan for this scenario, including like onshore manufacturing, strategic partnership or supply chain optimization, pricing action that we can take.

And therefore, I will say that this doesn't materially change our financial outcome expectation for the rest of the year. And I will say that as of now, as the duty stands, it doesn't change our financial outcome expectations. And those things have been baked into our numbers and the plan.

Somaiah V.: Just one small clarification, if I can. So, we did mention \$3 million was the impact in H1, and we did also say that we have factored that into our full year number. Would it be possible to quantify this number, a very ballpark number what we have considered in the second half?

Mike Frank: Yes. Look, I think it's too dynamic to put a number out there. I mean it will be larger than the impact in H1 if things don't change. Obviously, again, it's super dynamic. And so, if things change, then the impact will change. Again, from a pricing perspective, we're currently pricing our products based on the current tariff rate and replacement cost.

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Public But if that changes, whether it's from competitors in China or from our own imports from India, then the whole dynamic in the market changes. So, it's very fluid, which I think we want to be cautious about putting a number out there.

Moderator: Next question comes from the line of Imtiaz with Barclays.

Imtiaz: I just have two quick questions. One is with regards to your capex. If you could provide some guidance in terms of what you think capex for the current FY26 might be and also for FY27? And how will you be using those numbers? And secondly, if you have had any further thoughts on IPO listing of Advanta and other platforms, if you could just share some thoughts on that?

Bikash Prasad: Yes. So, I think from the group perspective, if you look at it, usually our organic capex is in the range of say, \$200 million to \$225 million and which is largely split equally between our tangible capex and

intangible capex, mainly the product registration. So that is our plan for this year. On the IP for Advanta, probably, I will request Bhupen to add further.

Bikash Prasad: Okay. I think the question was on the IPO. I think we had indicated in our Q1 press release and subsequently also during the earnings call that UPL continues to evaluate various strategic opportunities to unlock shareholders' value across platforms, including restructuring or strategic fundraising, potential liquidity events like IPO.

And you have seen that recently, we have integrated our post-harvest business with Advanta. And if there is something material to share, we will do so in line with our disclosure obligations. But as of now, we don't have anything to share.

Anurag Gupta : I think Bikash has responded to the question which Imtiaz had on the potential liquidity event. So, I think this was the last query that we had. Thank you all. And on behalf of UPL Limited, that concludes this conference. Thank you for joining us, and now you can please disconnect.

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February 02, 2026

Name Designation Company

Mr. Toshan Tamhane Group Chief Operating Officer UPL Ltd
Mr. Bikash Prasad Group Chief Financial Officer UPL Ltd
Mr. Mike Frank Chief Executive Officer, Global Crop Protection UPL Corp
Mr. Ravishankar Cherukuri Chief Executive Officer, India Crop Protection UPL SAS
Mr. Bhupen Dubey Chief Executive Officer Advanta
Mr. Raj Tiwari Chief Executive Officer SUPERFORM
Mr. Anurag Gupta Head, Investor Relations UPL Ltd

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Moderator: Ladies and gentlemen, good day and welcome to UPL Limited Q3 and 9M FY2026 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Anurag Gupta, Investor Relations. Thank you and over to you, Mr. Gupta.

Anurag Gupta: Thank you, Renju. Good afternoon, everyone. I am Anurag Gupta, Head of Investor Relations at UPL. On behalf of the UPL management team, I thank you for joining us today for discussing the financial performance for Q3 and 9 months FY '26. The investor presentation, press release and the financial statements have been made available on our website and we take it that you have read the safe harbor statement.

From the management team today, we have with us Group Chief Financial Officer, Bikash Prasad; CEO of Global Crop Protection business, Mike Frank; CEO of India Crop Protection Platform, Ravi Cherukuri; CEO of Seed business, Advanta, Bhupen Dubey; CEO of Specialty Chemistries Platform, SUPERFORM, Raj Tiwari and other members of the leadership team. In this earnings call, Bikash will take us through the overall performance for UPL Limited for the third quarter and 9 months year -to-date FY '26. This will be followed by Mike, who will share his detailed remarks on UPL Corporation, followed again by Bikash. We will have the Q&A session post that. With that, I now hand it over to Bikash. Bikash, over to you.

Bikash Prasad: Thank you, Anurag. Good evening, everyone, and a very warm welcome to UPL's Third Quarter and 9 Months FY '26 Earnings Call. Thank you for taking the time to join us today. Before presenting the financial highlights for Q3, I would like to express my appreciation and gratitude for your continued interest and constructive feedback.

Your inputs have helped us in improving the quality, consistency and clarity of our reporting, helping us understand your expectations. As a team, we continue to execute with discipline, focus on maintaining robust governance and building momentum for sustainable value creation over the medium to long term.

I'm pleased to share that UPL delivered yet another record quarter, outperforming an exceptionally strong Q3 last year. We have sustained the momentum we built throughout the year, led by broad-based EBITDA growth across platforms, driving improved profit before tax and operating profit after tax and minority interest - PATMI through financial discipline as well as balance sheet strengthening and capital productivity.

This is testimony to our effective execution, prudent financial management and resilience of our business strategy. In today's call, we'll walk you through the key financial and strategic highlights of the quarter, provide some context on the drivers behind our performance and share our outlook for the full year FY '26.

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Before we do that, I just wanted to give a quick update on the macroeconomic scenario . As we enter the fourth quarter, the crop protection value chain continues to remain under some pressure from geopolitical uncertainties, shifting trade dynamics, continued tariff -driven volatility, pricing pressure and softer commodity prices. However, the global crop protection and seeds demand remains stable, supported by robust grower consumption. We continue to see a benign interest rate environment with a softened SOFR. Before delving deeper into financial performance, I would like to share some key corporate updates from the third quarter. The first one is related to recent filing of DRHP for our seeds business, Advanta.

As we have communicated earlier, we remain focused in evaluating various corporate actions for all our platforms, including IPO and restructuring within a period of 1 to 3 years.

I'm happy to share that the aforementioned DRHP was filed on the 19th of January earlier this year and is the first such step in this direction. Given that the process is pending requisite regulatory approvals, we are constrained from sharing any further details at this stage. For information pertaining to the IPO, please refer to the Draft Red Herring Prospectus filed with SEBI and available on the website.

The second update is on our ESG ratings. We continue to be ranked number one among global agricultural solutions companies with a DJSI score of 77, an improvement from the previous year. Additionally, we achieved CDP A rating for climate and A - for water, underscoring our continued sustainability leadership.

I'm also elated to share that UPL has recently been awarded for excellence in governance as well as for financial performance at the National Finance Conclave hosted by Integrated Council of Professional Accountants, or ICPA at Vigyan Bhawan, New Delhi. This is a compelling testament to our focus on governance -led transformation underpinned by accountability and transparency , fuelling us for stronger outcomes, strengthening market confidence and accelerating sustainable growth.

Now coming to Q3 FY '26 performance overview. Despite continued operational headwinds over the year, this was yet another record quarter for us with a strong performance delivered over a strong third quarter last year and have continued to build on the robust last two quarters. For the quarter, we reported revenue of INR 12,269 crores, a strong 12% growth versus last year on a high base of Q3 FY '25.

This was driven by a strong 8% increase in volumes, favorably supported by exchange impact and partially offset by pricing pressure. At a regional level, growth was broad -based with all regions growing versus last year. Impressively, this momentum has continued for Q3 as well as year -to-date, 9 months. Among major regions, growth in Latin America was led by herbicides and corn in Argentina with some pressure in Brazil insecticides.

On a 9 -month basis, we continue to maintain this momentum in LATAM and are up by 6% versus the last year. In North America, our revenue is up by 3% despite continued tariff -related

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uncertainties. On a 9 -month basis, the region continues to outperform with a 15% growth on the base of a strong H1. Europe grew strongly by robust 21% year -on-year for the quarter, driven largely by herbicide volumes as well as NPP BioSolutions portfolio.

This has further helped consolidate the region's strong performance on a 9 -month basis. India revenue was up by 4% in the quarter on the back of a strong performance in seeds, mainly field corn and supported by the Crop Protection segment. On a year -to-date basis, the region continues to perform strongly, driven by a strong first half.

In Rest of World, we reported a very strong growth of 32% versus last year, driven by a robust performance in Crop Protection segment, mainly in Africa and China. Additionally, this was supported by seeds and other businesses.

Let me now also provide a quick update on our platforms, which are our global Crop Protection business, UPL Corp; second, our India Crop Protection business or UPL SAS ; third is Advanta, our seeds and post -harvest platform; and fourth, our specialty chemicals focused platform, SUPERFORM .

UPL Corp, our global crop protection business, grew by 8% in the third quarter versus last year.

The contribution margin expanded by almost 200 basis points, leading to a robust 14% growth in contribution. The platform EBITDA grew by 6% over the last year, while maintaining the margin strongly at around 19%. My colleague, Mike will

I cover this in more details in his remarks.

Our India Crop Protection business, or UPL SAS grew 4% in revenue. This was driven mainly by

improved product mix, including new launches and lower sales return versus last year.

Our efforts in improving business quality drove up the contribution margin significantly by over 800 basis points.

As a result, our EBITDA for the quarter also improved by nearly 750 basis points. This is a clear reflection of our sharper business hygiene and focus, leading to a significant turnaround. We are confident that this will be sustainably maintained going forward.

On a year -to-date basis, we continue to remain positive in our revenue growth despite a challenging second quarter. Further, our contribution and EBITDA margins have also improved significantly on a year -to-date basis.

Advanta, our seeds and post -harvest platform delivered a strong 22% growth versus last year, fuelled by a robust volume expansion of 14% in the seeds segment.

Key contributors to this growth included field corn in India, Latin America and South East Asian countries, grain sorghum in Brazil and canola in Australia.

The platform's contribution continued to remain strong at a healthy 55%. Our volume- led growth resulted in a robust EBITDA increase of 22% for the quarter versus last year. On a 9 -

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month basis, we remain at a healthy 23% growth in revenue and a solid 28% increase in EBITDA, driven by a strong performance across quarters.

Our manufacturing and super specialty arm that is SUPPERFORM also saw a decline of 11% year -on-year, mainly due to phasing -related shifts and impact of lower input costs. However, I'm happy to share that our emerging super specialty business was up by 42%, driven by contract manufacturing and cyanide derivatives.

Overall, the platform recorded a strong 470 basis point improvement in contribution margin, driven by an improved share of specialty chemical business to 27%, up from 18% last year. This also translated to an improved EBITDA with approximately 120 basis point margin improvement and flat in absolute value despite revenue decline.

Now moving on to the group's contribution performance. In line with our very strong H1, the contribution margin in the third quarter expanded to around 43% on the back of improved product mix, higher capacity utilization and lower input cost, a key indicator of our strategic shift in quality of business.

This has translated to 17% increase in contribution for the quarter to INR 5,227 crores. The SG&A expenses amounted to INR 2,792 crores, a 21% increase year -on-year, but in line with management expectations and plans. Our EBITDA growth has been a strong 13%, reaching to INR 2,434 crores, while maintaining impressive margins that we achieved last year.

On a 9 -month basis, we remain strongly poised for 22% year -on-year growth in EBITDA to INR 5,941 crores with an impressive 200 basis point margin improvement. Profit before tax or PBT stood at INR 671 crores, a solid 90% jump versus last year. And this was driven by:

- One, EBITDA at INR 2,434 crores, up from INR 2,163 crores last year.
- Second, significant reduction in net finance costs, down from INR 704 crores to INR 639 crores this year through debt prepayment of around \$250 million in March 2025, favorable SOFR -linked interest rate, which have declined by 70 basis points since the beginning of this year and ratings outlook upgrade related interest rate reduction by the banks.
- Third reason for the improvement in PBT is also the lower losses from associates and joint ventures from INR 278 crores to INR 81 crores in this period. I'm pleased to share that most of our JVs and associates have significantly improved their performance during the current year.
- Finally, the exceptional items related impact lowered from INR 76 crores to INR 56 crores. This year, the exceptional

item pertains to the impact of India's new Labour

code notified on 21st November 2025 and have recorded the corresponding provision in this third quarter in line with the regulatory and the ICAI guidance currently available.

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We have also provided a detailed management P&L to better explain the numbers, including the net debt and total FX cost at the Slide number 10.

Our operating PATMI, profit after tax and minority interest at INR 452 crores grew by a very solid 45% year -on-year in the third quarter, adjusted for one- off non -operational tax provision reversal done in Q3 of last year on account of a favorable order from appellate authority. On a 9-month basis, the improvement was impressive at over INR 1,200 crores in continuation with

the momentum of the first half of the year.

Now moving on to the key balance sheet items, starting with the net working capital. Our net working capital as at December 31, 2025, stood at INR 15,625 crores or around 116 days, higher by about 9 days versus a very tightened last year. Elevated working capital versus previous year is a function of increase in sales on a year -to-date basis and in anticipation for the upcoming Q4 sales, which seasonal ly is the largest quarter for us.

This preparation is factored in our inventory days as well , which has increased by 18 days.

We have also seen some crop shifting in our seeds business, change in regional mix, along with credit terms pressure in LATAM that has impacted the overall receivables, translating to 15 days increase year -on-year.

Our payable days have grown by 24 days, broadly in line with higher inventory and better credit terms versus last year. We expect our March 2026 working capital days to be in line with the guidance given during the Capital Market Day of around 70 days. On net debt, as at December 31, 2025, net debt stood at INR 23,317 crores or \$2.594 billion, reflecting a reduction of INR2,553 crores or \$427 million.

However, net debt increased versus March 2025, largely due to the impact of perpetual bond redemption of about \$400 million in Q1 and higher working capital requirements in line with historical seasonality.

I'm also pleased to share that in line with our long -term strategy and guidance, our key gearing ratios that is net debt to EBITDA and net debt to equity continue to demonstrate improvement compared to December 31 last year. The net debt -to-EBITDA and net debt -to-equity ratio

improved from 3.8x last year to 2.5x and 0.8x last year to 0.6x, respectively. This has been driven by our strong operational performance and continued capital prudence.

I now hand over to Mike, who will take you through the details of UPL Corp. Mike, over to you.

Mike Frank: Thank you, Bikash. Hello, everyone, and welcome to our third quarter FY '26 earnings call. Before we review the quarter, I'd like to start by providing my thoughts on the global crop

protection market. The global crop protection market, as Bikash mentioned , continues to experience a slow recovery with volumes showing modest growth, but persistent pricing pressure in most molecules, limiting value recovery and holding back a stronger rebound.

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This market reality is anchored by continued overcapacity in China and low commodity prices for growers pressuring their margins. However, against this backdrop, in a market that remains challenging, our Q3 and year -to-date results highlight the resilience of our portfolio, the advantages of our diversified regional footprint and benefits gained from our continued focus on operational excellence. This strategy has enabled us to effectively offset headwinds such as pricing pressure in Brazil and U.S. tariff impacts while sustaining momentum across our business.

Turning to our Q3 performance. In Q3, our revenues grew by 8% year -on-year, supported by

strong volumes in Latin America, Europe, Africa and the Asia Pacific geographies.

Looking at the performance of our portfolio, herbicides delivered strong and resilient results across Latin America, North America and Europe, driven by clethodim, flufenacet and glufosinate. Fungicides continued on a strong global growth trajectory, led by outstanding performance of Mancozeb and our Mancozeb mixtures across every region.

Our insecticides portfolio, particularly in the sucking pest segment in Brazil, where UPL holds a leading position has continued to face intense competition pressure, resulting in price erosion of our premium brand, Sperto®. However, the good news is that we're seeing excellent traction with Feroce®, whose agronomic performance is strengthening brand recognition and resonating strongly with growers across Brazil.

Additionally, we're preparing a major new product launch for next year, a new insecticide successor. Our field trial results and the feedback from growers that have visited our trials give us confidence that this product will be a high- impact addition to o ur leading sucking pest portfolio.

Moreover, we've been particularly impressed with the performance of recently launched brands, Propose® and Constel® in the chewing pest segment this year in Brazil. These brands have already made notable market impact and are on track to nearly double from our original forecasted revenue. Their rapid acceptance and proven field performance signal highly compelling grow th prospects heading into next year.

Our sustainable solutions category continues to scale, delivering strong performance, particularly in Europe, and the Asia Pacific geographies. With 11% overall revenue growth in Q3 and maintaining high product margins, this segment is at the core of our g rowth strategy. Overall, our contribution margins expanded to 37.7%, growing by 200 basis points year -over -

year. This was mainly driven by improved mix, lower input cost and higher capacity utilization. Turning to SG&A. We continue to demonstrate a disciplined SG&A approach while also investing strategically in growth and transformation initiatives. Nevertheless, and as alluded to earlier, liquidity stress on retailers and distributors, especially in Latin America, remain

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challenging, resulting in higher expected credit loss provisioning this quarter. ECLs totaled approximately \$ 5 million this quarter, which impacted our results.

Finally, our EBITDA for the quarter increased by 6% year-on-year, demonstrating strong resilience despite challenging market conditions. We also sustained our EBITDA margins at above 19%.

Let us now review the Q3 performance. Our regional performance this quarter showcases the clear advantage of our diversified geographic footprint.

Latin America posted 6% higher revenues year-on-year. This growth is attributed mainly to Brazil's robust performance in herbicides and continued recovery of our business in Argentina. As we highlighted during our last investor call, our disciplined execution, a resilient business model, stronger customer engagement supported by a diversified product portfolio have all resulted in solid revenue recovery across this region.

We remain confident that this momentum will continue through the fourth quarter and deliver strong growth results for us. Our business in North America demonstrated resilience, delivering 3% revenue growth despite deliberately postponing sales due to tariff-related uncertainties. This growth was driven by a strong herbicide portfolio with notable upsides coming from the demand for key molecules in our post-patent segment, such as clethodim and glufosinate. Europe delivered a standout performance this quarter, recording an impressive 17% growth in revenues compared to the same quarter last year.

This growth was primarily driven by strong performance in

key molecules such as flufenacet,

clethodim and cypermethrin. This was supported by our NPP portfolio, which continues to show strong and sustainable growth in this geography. Africa and Asia Pacific geographies continue to deliver good growth across key markets such as South Africa, the Philippines and in Indonesia, posting overall 13% revenue growth compared to the same quarter last year. The strong performance in these geographies was primarily driven by Mancozeb. Lastly, on our Q3 results, we remain firmly committed to disciplined cash management and operational efficiency. We continue to actively optimize inventories, receivables and payables to maintain industry-leading working capital efficiency.

Turning to our outlook for the fourth quarter and the full year. Building on the momentum of the first three quarters of this financial year, we remain fully confident in delivering on our FY

'26 commitments. We expect a strong volume-led quarter, supported by in-season demand of our products in key markets and higher revenues from our new product launches.

From an SG&A standpoint, we continue to adopt advanced tools and technologies to streamline operations across the organization, strengthening our operating model and driving enterprise-wide transformation. At the same time, we are directing SG&A investments toward key areas that will drive our next phase of growth.

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On the marketing excellence front, we continue to strengthen our new product pipeline and are on track to exceed our \$130 million revenue target for new product launches this year. Products launched in the last 9 months are already delivering exceptional results, led by strong traction in Brazil and across LATAM. This encouraging performance highlights growing customer preference for our unique offerings. We expect this momentum to accelerate further in the fourth quarter, reinforcing our competitive position and supporting sustained growth.

In closing, I'd like to thank our team for their outstanding dedication and our channel customers for their continued partnership. With this solid momentum, I am confident we will deliver strong full year FY '26 results and create long-term value for all our stakeholders. Thank you.

With that, I'll turn it back over to Bikash for his comments before the Q&A.

Bikash Prasad: Thank you, Mike. So just to summarize, the third quarter was yet another record quarter for us with a strong performance over a strong last year.

On the P&L for the quarter,

- robust growth in revenue by 12%
- strong contribution margin improvement of 160 basis points at around 43%

- EBITDA margins at healthy 20%, leading to a growth of 13% and stood at over INR2,400 crores
- PBT improvement by a solid 90% versus last year, all leading to improved operational PATMI by a solid 45%
- On a 9 -month basis,
- revenue grew by 8%
- 17% growth in contribution with 320 basis point margin expansion
- EBITDA margin at a healthy 18% with absolute EBITDA growth of 22%

On balance sheet, the net working capital at 116 days are in line with our plans and at par with Q4 outlook expectations.

Net debt reduced by over \$400 million and adjusting for perpetual bonds, resulting in reduction by over \$800 million.

Improved gearing ratios from 3.8x to 2.5x for net debt to EBITDA and from 0.8x to 0.6x for net debt to equity. Adjusting for perpetual bonds as debt, our net debt -to-EBITDA has improved from 4.2x to 2.5x.

Our free cash flow to equity adjusted for change in working capital was approximately INR 2,400 crores.

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As you can see, our 9 -month performance has been healthy, all around and reassuring on most indicators. I would again like to emphasize on the management's comfort and confidence in achieving our full year guidance of 4% to 8% growth in revenue and 12% to

16% EBITDA growth,

given our resilient performance till date in FY '26.

Finally, I would like to thank our team for their efforts and our valuable stakeholders for their continued trust and support. I'm confident of delivering our financial commitments in FY '26.

Thank you, and I look forward to your questions. With this, we are now open for the questions and answers.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Saurabh Jain with HSBC. Please go ahead.

Saurabh Jain: Thank you for the opportunity and congratulations on a very good set of performance. My first question is relating to your top line growth expectations for this year. So when I do my numbers, it implies that on the midpoint of your full year guidance, that would imply a 4Q revenue and EBITDA growth of a small 2% .

And even if I take the high end of your guidance, that would imply a 7% to 8% kind of growth on the revenue and EBITDA, which is a lower kind of a run rate compared to your performance in the 9 months. So how should we look at it? Do you think there is going to be some slowdown

in your momentum in the fourth quarter or we should look at the other way that you might be in a better position to achieve or even more?

And a related question to that would be that Europe and rest of the world, you grew very strongly in 3Q. So how should we look at the 4Q for these two geographies? And will it be compensated by growth opening up in U.S. in the fourth quarter?

Anurag Gupta: Mike, may I request you to answer that question?

Mike Frank: Sure. So happy to. So maybe let me start with the second question first. I think as we think about Q4, we would anticipate that we'll see growth in every one of our regions for different reasons, but we have strong momentum. We've geared our supply chain to be ready for a strong Q4 and we're actively engaging with our customers. January , that just went past reinforced our confidence in our performance here in Q4.

And so , we will expect to see growth across every one of our regions as we land the year and through Q4. Now coming to your first question, just in terms of guidance, as we said, we're maintaining our guidance. Obviously, you can compute the numbers based on our results year - to-date.

Again, the top line is just one component where obviously, we're focused on the bottom line.

We're focused on cash generation. And so on every one of those metrics, including PBT, we're committed to driving very strong fourth quarter results. And so that's how we look at the business and in particular, the global crop protection market.

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Saurabh Jain: That is useful. But U.S. growth, do you think because of all of this confusion around the tariffs, do you think 3Q would have been a bit subdued and there could be a much better growth in U.S. in the fourth quarter? How would you read that?

Mike Frank: Yes, Saurabh, so as I mentioned in my remarks, we did purposely postpone some sales in Q3 in December, in particular. We were, I would say, hopeful that we would see a lower tariff rate, which, of course, hasn't happened as of yet. And so some of the inventory that we were storing in bonded warehouses, we have now released and we're in the process of delivering to customers.

I would say the quantum of that business that we postponed would be in the range of \$30 million. And so I would say on top of what we would have expected to be a growth quarter in

North America in Q4 regardless, there is a little bit more that we pushed from Q3 into Q4 that will also benefit the fourth quarter results.

Now that being said, as of now, we continue to pay 50% tariffs on products that are not exempt that we're importing into the U.S. and clearing customs. And so obviously, that cost is being worked on ; wherever we can, we're passing along higher prices. We're also

looking at other

supply chain strategies where there are some active ingredients that if they're imported as formulated product, you pay the 50% tariff but if you import them as technical grade, you can get an exemption. So we are moving some formulation capability into the U.S. We won't be able to convert all of that business this year , so some of that will have a tail that will benefit us more next year than this year. But of course, that tariff cost is also a piece that we're going to be absorbing some of that into our results as we think about Q4.

Saurabh Jain: That is helpful. And a related question is, what is the kind of behaviour of the dealer network or the distributors in U.S.? Are they doing the trade very, very cautiously? Or is it like already there is a lot of products that remain in the trade channels? How would you read that situation?

Mike Frank: Yes. So let me speak on our position. I would say we have really strong momentum taking place right now across North America from Canada down to the U.S. And it's based on our portfolio. It's based on some new products that we're launching, and I think it's also based on the channels relationships and partnerships that we've built over the last 24 months.

And I think proof of that is in what we typically collect and the industry collects in December, which is something called prepay, where distributors often will give advances on orders that are going to take place in the next 3 to 4 months in the year as the market plays out. And this year, our prepay dollars in the U.S. was at a record high and increased by about 25% over the prepay level of last year. And so, I think that's a solid indication that at least in our business, we've got strong momentum and retailers and distributors are indicating they're going to do more business with us heading into the 2026 calendar year.

Saurabh Jain: This is helpful. I have more questions, but I prefer to join back queue in the interest of time.

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Anurag Gupta: Bikash, would you want to add something to that?

Bikash Prasad: So, if you look at on a YTD performance basis on a 9 -month basis, our revenue is up by 8%. And if you recall, Q4 of last year was extremely strong for us, where our turnover was in excess of \$1.8 billion. So, we have been just cautious , we still have U.S. and LATAM -related uncertainties to handle. So we are just being cautious. And then hence, we are retaining the outlook that we have shared earlier.

Saurabh Jain: Sure, Thank you so much.

Moderator: Thank you. Next question comes from the line of Tarang from Old Bridge. Please go ahead.

Tarang: Congrats on a very strong set of numbers , a couple of questions. One, if I look at the volume growth for 9 months FY '26 for UPL Corp, and I sort of cross -reference it with the volume growth that has been seen in the SUPERFORM business for the 9 months, there seems to be some element of dichotomy suggesting that maybe external procurement has increased for UPL Corp for this 9 -month period. Is that a fair assertion?

And continuing on that, how is the pricing atmosphere currently, but it does seem that the pricing continues to be fairly benign, maybe a notch lower than the same period last year. So

your comments on that would help. And then I have a second question.

Anurag Gupta: Tarang, I'll request Raj to maybe answer and share his perspective on this.

Raj Tiwari: So to answer your first question, I think you pointed out rightly that there is a volume growth in corp. So why there's a revenue degrowth as far as AI is concerned.

So it is very simple. One is that there has been -- for us, it's cost plus [implying revenue is cost plus margins] . So if cost comes down, then our revenue goes down. And in the first 9 months, there has been a very sharp cost correction because of raw material input. But also , because of manufacturing exce

llence has also taken away a few million dollars away from the cost, and that has brought the revenue down. That's one.

Number two is there are certain products. One of the biggest products was Monocrotophos,

which got discontinued. Last year, it was there. And this year, it is not there. So that impact is one of the larger impact as far as S UPERFORM revenue is concerned. But from quarter 4, that gets absolutely normalized, and we'll see that volume growth in Corp will also see a revenue growth here in S UPERFORM as far as Active is concerned. So, I hope that answered the question.

Tarang : Okay. And just a follow-up. How are you looking at the pricing environment? I mean, you did call out on the raw mat, but on the finished goods for the technicals, we were hoping for it to stabilize. Is it stable? Or is it a notch lower than the same period last year?

Anurag Gupta: Mike, may I request you to answer that question?

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Mike Frank: Sure. Yes. So the pricing on our post-patent segment is largely stable. In fact, it's been stable for the last probably 6 to 9 months. And so we're not expecting much change in pricing in that segment. We are seeing some pricing headwinds on particular products that are in our differentiated portfolio.

And the one that I mentioned in particular is one of our large products in Brazil called Sperto®, which is one of our insecticides. And so we are seeing some disproportional impacts on some of those products. Again, overall, if you look at our results year-to-date and in Q3, there was pricing headwinds.

When we look forward to Q4, based on mix and geography, again, Q4 is going to be largely a volume-driven growth. But prices, we would expect to continue to see some level of price headwinds kind of in the same vicinity as we've seen on a year-to-date basis.

Tarang: Okay. Second question, while not getting into specifics on the Advanta IPO, just wanted to get a sense what's the thought process here? How are you looking at value creation for

shareholders here? And what's really driving this decision to list the entity? Because as things stand today, it's a business which is cash surplus. It's doing exceedingly well. So if at all, there's value unlocking, how is value getting unlocked and for who is the value getting unlocked?

Bikash Prasad: So I think as a first the valuation of Advanta is expected to be finalized based on a clearly defined price discovery or book building process as per the applicable law. The final...

Tarang : I'm not looking at the pricing. I'm just trying to understand that it's a business which is cash surplus. It's a business that has been doing exceedingly well. The entity doesn't need cash. So what's the thought process behind listing the entity given the structure of the entity, given the structure of the holding, so to say?

Bikash Prasad: So this transaction is offer for sale. It's not a primary transaction. So the cash is not going to Advanta. It is coming to the selling shareholders, which are KKR and UPL Limited in this case.

As included in the DRHP, KKR has indicated 2.2% and UPL Limited has indicated 7.8%. And there are certain rules and laws around that. So the cash is not coming to Advanta, if that was your question. But it will come to the group largely for deleveraging of the group balance sheet.

Tarang: So it's essentially a deleveraging exercise. Would that be a fair way and giving some element of exit to external shareholders? Would that be the right way to look at it?

Bikash Prasad: Obviously, it is also one of the considerations, but we'll look at the market conditions at that point in time. And the Board will take a final assessment on that. But yes, largely, we can say as we think now, it looks like more for deleveraging.

Toshan Tamhane: Yes. This is Toshan. I think the Advanta IPO has, as Bikash said, three objectives. The

ere is, a) deleveraging for UPL.

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There is b) value unlock for KKR. If you recollect KKR partnered with Advanta more than 3 years back when they put in a check of \$300-plus million into Advanta. By the way, the cash that Advanta generates cash, I think there is also an elaborate strategy of Advanta, both for organic and inorganic value creation, which we have embarked already and we'll continue to do that. And lastly, third, we believe that the needs of crop protection in terms of the cash flows, capital allocation are very different from that of the seeds business.

As you would have seen globally, Corteva has also announced a split between crop protection and seeds because just those two businesses are fundamentally different, and we believe Advanta as the eighth largest seeds player globally has a journey and destiny of its own.

Obviously, a lot of that value unlock finding the right price will happen through the IPO process. And that value does flow through to UPL, both as a shareholder and from a restructuring deleveraging standpoint.

Tarang: So Toshan, just to counter, I take your point and not arguing on it. The only point is from a deleveraging perspective, it makes sense. From the point of view of giving an exit to an external shareholder, it makes sense. But from being a shareholder at UPL, given the structure of how these entities are placed, I'm not too sure how much of value creation will it help for a shareholder of UPL. And that's the limited point that I'm trying to make?

Toshan Tamhane: Yes. I mean we can't comment on how much of that will be because that will also depend on what the underlying pricing will be, what does it mean for UPL limited pricing and so on.

Because, if you look at the valuation that KKR and subsequently Alpha Wave came in at, at least we feel that the full value of that is not flowing through to UPL Limited. And through the private markets, we have unlocked some of that value. We believe through the public markets, we will continue to unlock that value for UPL shareholders.

Moderator: Thank you. Next question comes from the line of Imtiaz from Barclays Bank.

Imtiaz: Congrats on your excellent set of numbers for Q3. I just have one question, could you provide an update on your major debt maturities for the current calendar year 2026 and how you plan to fund these maturities?

Anurag Gupta: Yes, I'll just request Bikash to answer that question.

Bikash Prasad: Yes. So thanks for the question. The first maturity is in March. On 29th of March, we have about \$500 million. And if you look at our balance sheet for this quarter, we have an opening cash balance of about \$570 million. As you also know that we have unutilized working capital lines of about \$1.7 billion plus and Q4 being the strong quarter for us where a lot of cash release happens in Q4. So we are quite comfortable with the opening cash plus the unutilized lines that we have and the cash release that will happen during Q4. So we expect around \$700 million to \$800 million

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of cash release that will happen during Q4, and that will be enough to meet the March obligation. After that, the next obligation is in September of around \$400 million.

Imtiaz: And how do you -- do you have any color in terms of how you would likely fund that \$400 million in September?

Bikash Prasad: So, first is our operational cash because we are generating good operational cash. If you adjust our cash flow for the change in the working capital, which is seasonal in the nature, we are generating each quarter on a cumulative basis also, we have included that cash flow statement in the Investor Deck, we have generated about \$270 million of cash flow and Q4 will be a strong quarter for us. So comfortably, we'll be generating \$400 million of operational cash. So, with the operatio

nal cash, the lines that we have and still, September is, 9 months away, we'll look at what are the best way to handle our capital structure. But we are quite comfortable in terms of our cash position and the cash flow that we are generating from our businesses.

Moderator: Next question comes from the line of Siddharth Gadekar with Equirus.

Siddharth Gadekar: Sir, the first question is again on Advanta. So given that now we have filed the DRHP and we would likely be going ahead IPO, could you just comment on the cash fungibility given that once Advanta is listed separately, will there be any cash fungibility between UPL and Advanta post that?

Bikash Prasad: So, we have a dividend policy today at the group level and also at the platform level and each of the platform have their independent Board. So, the Board at that point in time will decide in the interest of the platform, what is the quantum and the size if any dividend upstreaming has to be done. But it will be purely the prerogative of the Board.

Siddharth Gadekar: Okay. Sir, second question is on the...

Bikash Prasad: Just to add on that, that there are Board members who are common between UPL Limited Board and Advanta Board. So, some of the interest will be quite aligned.

Siddharth Gadekar: Okay. Got it. Sir, second question is on the India EU trade deal. Do we see any benefit from our European operations due to that or any material changes that happens post 2026?

Anurag Gupta: Yes. Mike I request you to answer that question.

Mike Frank: Yes, Siddharth, thanks for the question. Look, we're still analyzing the trade deal. But I would say it's not going to have a material impact. There should be a little bit of benefit that comes to us. We do have quite an extensive manufacturing footprint in Europe right now, but we do import, obviously, some of our active ingredient from our India factories. And so there should be a little bit of benefit, but I would say it's going to be non-material in terms of its nature.

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Siddharth Gadekar: Mike, and just one more question on the U.S. operations. Can you quantify any impact of the tariffs and specifically, which products are we seeing the impact on? And what could be that impact and fall-through in terms of numbers?

Mike Frank: Yes. So on a year-to-date basis, we would estimate the impact that would accrue all the way to the EBITDA line would be approximately \$8 million. Now the total tariffs we've paid is more than that, of course, but we've been able to offset some of the tariffs based on price increases that we've implemented, as well as, as I mentioned in my remarks, transitioning from importing formulated products to transitioning into tech products that we're now formulating in North America.

The impact in Q4, obviously depends on what happens with tariffs. But if tariffs continue to be at the rate that they're currently at, the impact will be the greatest in Q4. Again, we're constantly looking for ways to offset that, whether it be through pricing or through other supply chain strategies.

One of the changes that we've implemented is we're using bonded warehouses. At this point, they've been third-party bonded warehouses, and so we don't have to release product until we really need it. Our largest warehouse in North America, we're in the process of registering it as a bonded warehouse. And so that will give us more optionality and will also help us manage cash even into the future.

And so I would say there's a number of things that we're working on actively to try and minimize the impact. So, it would be hard to quantify the exact outcome. When we get through to our Q4 results, just like I've talked about kind of on a year-to-date basis, we'll be able to quantify it for you. But in Q4 alone, if tariffs stay at 50%, it will likely be in the \$30 plus million range of net tariffs that we may

not be able to offset with some of these strategies that I mentioned.

Siddharth Gadekar: Mike, any specific actives that we are seeing tariffs or it is across the board? Any specific products you want to highlight on this?

Mike Frank: Yes. It's really on a product-by-product basis. So again, some of our active ingredients are exempt if we import them as tech. That would be just over half of the business that we do in the U.S. And then in the other business, again, it all depends on where the competition is coming from.

So if the competition is coming from only China, then we've been able to implement higher price increases in the marketplace. Again, even pricing has been a bit slow. I think obviously, there's some companies that are sitting on old inventory. And so pricing has been, I'd say, uneven.

But once all of the importers start refreshing with higher tariff products, we would anticipate further price increases in the marketplace. And so again, it's a very dynamic situation. And yes, UPL Limited

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there's probably too many active ingredients to go through it one by one, but that's how we're managing at this point in time.

Siddharth Gadekar: Okay. And just lastly, that \$30 million impact you said is for the full year or only for the fourth quarter?

Mike Frank: That would be for the fourth quarter.

Moderator: Next question comes from the line of Dhaval Shah with Girik Capital.

Dhaval Shah: So, my question is with respect to the debt on the balance sheet and the way deleveraging, which we discussed in the earlier part of the call. So I just want to recheck on the numbers. So FY '25, we ended with around INR 23,600 crores of gross debt. And in March, as you mentioned, you have a repayment. So should we be assuming the March '26 exit debt on the balance sheet should be around INR 19,500 crores plus/minus a few hundred crores. Is that the right way to understand?

Bikash Prasad: Well, I will not be able to guide you exactly on the number, closing debt number. But, as we had given or guided the market earlier, we expect our net debt-to-EBITDA to be between 1.6 to 1.8x, down from 2.1x at the beginning of the year.

Dhaval Shah: Okay, fine. But am I thinking in the right direction because the debt should not increase. I mean the amount of deleveraging, the amount of repayment of debt what we have, we should be doing that, and we should not be requiring the new debt because...

Bikash Prasad: Yes. So last year, our opening position was \$2 billion, including perpetual bonds. So, from that perspective, you should compare and the reduction in the leverage ratio as per the guidance that we have given of 1.6 to 1.8x, it will mean that the debt is going to be lower. Yes, you're right.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of question-and-answer session. I would now like to hand the conference over to the management for closing comments.

Anurag Gupta: Thank you all. On behalf of UPL Limited, that concludes this conference. Thank you for joining us. For further

queries and clarifications, please feel free to contact me, Anurag Gupta . You may now please disconnect your lines. Thank you.

Moderator: Thank you. On behalf of UPL Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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Public

“UPL Limited
Q4 and FY26 Capital Markets Day 2026”
May 11, 2026

Name Designation Company

Mr. Jai dev Shroff Chairman and Group Chief Executive Officer UPL Ltd

Mr. Bikash Prasad Group Chief Financial Officer UPL Ltd

Mr. Mike Frank Chief Executive Officer UPL Corp

Mr. Ravishankar Cherukuri Chief Executive Officer UPL SAS

Mr. Bhupen Chief Executive Officer Advanta

Mr. Raj Tiwari Chief Executive Officer SUPERFORM

Mr. Anurag Gupta Head, Investor Relations UPL Ltd

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Anurag Gupta : Thank you everybody, and good evening, everyone. A very warm welcome to UPL 's Capital Markets Day 2026. It is a pleasure to have you with us here today, and we sincerely appreciate your time and continued engagement with UPL.

Before we begin, I would like to remind everyone that today's discussions may include forward-looking statements. These statements are based on current expectations and assumptions and are subject to risks. I would encourage you to review the Safe Harbor statement available in our presentation.

Today is not just about sharing our performance. It is about giving you a deeper, more immersive view of how we are building UPL for the future. This year's theme, “ Accelerating Profitable Growth ”, is both intentional and reflective of where we are in our journey. Over the past year, we have focused on strengthening the fundamentals of the business, driving operational excellence, sharper capital allocation, and enhanced margin improvement.

As we look ahead, acceleration for us is not just about growth at scale; it is about growth with discipline, visibility, and sustainability. Today, we bring together the full strength of the UPL ecosystem: UPL Limited and our platforms, that are UPL Corp, UPL SAS, Advanta and SUPERFORM. Each of these platforms plays a distinct role, but together they represent a more integrated, agile and future -ready business model, one that is designed to unlock value across cycles and geographies.

Let me briefly walk you through the flow of the evening. We will begin with the investor presentation where our executive management team will share the highlights of our Q4 and full year FY26 performance, walk you through the key strategic developments across platforms, and outline our outlook and priorities for sustained profitable growth. Our presenters for today are Jai Shroff, Chairman and Group CEO, UPL Limited, who will set the strategic context and outline our path forward; Bikash Prasad, Group CFO , UPL Limited, who will take you through our financial performance; and our platform leaders: Mike Frank, CEO, UPL Corp; Ravi Cherukuri, CEO, UPL SAS; Bhupen, CEO, Advanta; and Raj Tiwari, CEO, SUPERFORM .

This will be followed by an interactive Q&A session, and we encourage you to engage in it actively.

Kindly ensure your mobile phones are on silent mode during the presentations.

Following the formal session, we invite you to join us for the experience zone, high tea, and networking. For those of you who are joining us in person, I would strongly encourage you to spend time at the experience zone after the presentation. You will find platform exhibits from our four platforms, offering a closer look at the technologies, solutions, and capabilities that are driving our growth. #AFarmerCan initiative, which reflects our belief that farmers are not just participants but heroes in climate action and sustainability.

And of course, the Edible Labs experience, a curated food experience that brings together innovation, sustainability, and essence of our ecosystem in a unique and engaging way. You may also step into the lawn with your favorite gourmet selects to network and enjoy the twilight. We hope this evening gives you a more tangible experience of how UPL impacts farms, food systems, and everyday lives.

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Public With that, let me now invite Ja i Shroff, Chairman and Group CEO, UPL Limited, to take the stage and share how UPL is A ccelerating Profitable Growth. Ja i, over to you.

Jaidev Shroff: Thank you, Anurag. Pleasure to be here and to see a lot of familiar faces. The world gets more chaotic, and farmers are getting more stressed. As you can see that while we have some upsides [in commodity prices] , the cost for farmers is continuously going up and prices are not improving too much. In the last 30 days

or so, we've seen some improvement, but the stress in agriculture continues.

In spite of this, UPL continues to grow. Today, the reason for our success is the hard work of our team and continuous innovation. Today, we lead the innovation index in the world with about a 30% portfolio [IP Protected] , 20% innovation index [in seeds] , and also driving a lot of developments and industry-leading initiatives across so many platforms, whether it's our seed business, our specialty chemical business, our crop protection business, or India business. The innovation rate is driving this great success.

Today, I'm very happy to report the numbers which you have seen. The team has delivered excellent numbers, and we today have achieved our primary focus that was deleveraging the company and continuing to grow profitability.

We have in the last year continued to drive the transformation which we need in agriculture. Today, farmers not only feed us but can also drive climate initiatives. And we have presented at UPL, we are continuously driving the initiative around rewarding farmers for sustainable behavior. We need to make it easier, and that should be the second income stream for farmers. We are incentivizing so many industries like solar energy, EVs, etc. We need to reward farmers, and I'm very happy to say that most governm ents, most countries, most heads of state are agreeing with that.

We have had a lot of meetings at WEF. We recently had meetings in South Africa and in Europe, and we continue to drive engagement with various thought leadership institutions like Oxford University and many other institutions. #AFarmerCan was our campaign which we launched in

COP30 in Brazil, and it was very well received, particularly by our constituents who are distributors, dealers, and farmers and also many of the agriculture ministries and governments where we were talked about how a little bit of init iative, a little bit of reward, and support with technology can drive

a huge transformation in agriculture in terms of soil quality and decarbonization.

We were the first company to be able to get carbon credits for farmers in South Africa, and this was an amazing achievement by our team and we believe that this program will continue to spread. We've had many discussions with governments in India, in state governments as agriculture is a state subject, and they are all willing to reward farmers for sustainable behavior.

And as you know, UPL is a world leader in sustainable technologies. We have a whole portfolio of technologies and we are continuously investing in technologies to make farmers more resilient and sustainable. We are really happy to announce the portfolio of technologies around reducing fertilizer

use, and I was also happy to see Prime Minister's statement this morning about reducing the use of fertilizer. We believe that we have the solutions which can actually reduce 30% to 40% use of

fertilizer across cro ps, and we have launched these technologies in Brazil, Argentina, and many other countries, including India.

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Public And of course, we are ranked #1 on the Dow Jones Sustainability Index [Globally, within AgChem companies] . We have also worked with President Irfaan Ali in Guyan a to launch a crop insurance scheme to really encourage farmers to increase yield. My commitment to him was to cross 1 million tons of rice production in one of the countries which is going to be one of the richest countries in the world, but the President is completely focused on agriculture, and he wants to continue to have that as an important s ubject.

Need for food security continues to remain important. You know, the world is going through so many challenges, and I believe that companies like UPL are much more future-ready than anybody else. And I believe that even though we have these current challenges such as US tariffs, the Iran crisis, and

other s which we don't know are going to come but are going to come for sure, but I don't think any other company is more future -ready than UPL.

So, across all the platforms, we've seen good growth, and you will see from the individual company presentations and their CEOs how we've been able to continue to grow each platform. UPL continues to invest in the future, and we believe that we will continue to lead the growth in the industry. Today, we are probably the fastest -growing company in our sector worldwide, and I believe that we'll

continue to do that with the pipeline we have and with the investments we've made. So, crop protection, we are focused on a sustainable portfolio with our fertilizer substitution, our sustainable technologies around soil health, our seed production innovation, our germplasm expansion, and our DECCO integration. On specialty chemicals, we continue to add different customer platforms like, as we've showed you in the video, we're adding oil industry, the paint industry, pharma industry, fire retardant industry. So, we're catering with our strong manufacturing background and our backward integration. We are able to be completely globally competitive and are able to continue to grow that business, and it's going to be a substantially stronger business going forward. I hand over to Bikash.

Bikash Prasad: Once again, a warm welcome to all of you on behalf of the UPL family. A year ago, same venue, similar audience, I was introduced to you as CFO of UPL Group. I didn't know then that the journey was going to be so exciting, enriching, and purposeful. Over the last one year, I had the opportunity to engage with many of you, from analysts, rating agencies, investors, fund managers, bankers, and each of you have really provided your candid and honest feedback about your expectations and what we can do to improve the performance, reporting, transparency from UPL's side. And I recollect there were five [key] feedback or inputs which were given to us, and I would like to call those feedback that were given.

- The first one was that can we look at financial reporting in terms of consistency, including the right KPIs and bringing the full disclosure?

- The second was that while UPL grows well on the EBITDA level, but below EBITDA, four-line items which were FX losses and gains, exceptional items, net

finance cost, profit and loss from JV and associates, which last year accounted for about 60% of the EBITDA. Last year our EBITDA was slightly up more than

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Public INR8,000 crores, and 60% of that INR5,000 crores were these four line items where market felt that they have a difficulty in understanding the number. So that was the one expectation that how can we work on those four items which are 60% of our EBITDA? And that will also help us to bring that focus on bottom line, which is net income or PBT, PAT after MI, and the net income margin, which is the PATMI margin. It will also help us to improve the returns, whether it's ROCE or Return On Equity.

- And the last one was about the debt and the liquidity for the group. Market was concerned after FY24 impact, our industry performance, UPL performance in terms of our profitability and level of debt going up. Market was also concerned about the liquidity to meet the short-term obligations, and the last two, three quarters it has been consistently raised by the analysts and others during the earning calls about our short-term obligations. And probably it got more momentum after the Middle East crisis where the prices of raw materials and finished goods started to go up, and there were concerns about the increase in the working capital and whether UPL will have the right level of liquidity to navigate these challenges.

In the subsequent slides, I hope we will be able to answer some of the questions and queries that you had and the valuable inputs a

nd feedback that you provided. We took it very seriously and tried to work on most of them.

Starting first with the liquidity because recent phenomenon, after the Middle East crisis, that is really an area to look at. We had \$500 million of repayments due on 30th of March - happy to announce that this entire \$500 million of loan that we had, we repaid it using our internal cash accruals and we didn't have to refinance it. So, it was paid completely out of our internal cash accruals.

We had \$400 million of loan obligation maturing in September 2026. We have successfully discussed and extended this loan by three years. So now the maturity of \$400 million is till March 2029. So, we have now converted this short-term obligation into now long-term. What we have also done, considering that potential increases in the raw material prices, FG (finished goods) prices, and potential increase in the working capital, we have also created cushion in terms of having \$300 million of committed revolving credit facility. That is as a cushion in case cash becomes very critical, or else this also comes as a cushion to meet our next obligation which is there in December of \$500 million.

So, of the \$1.4 billion of short-term obligation that we had for these entire next 12 months, we now have \$500 million to repay, out of which \$300 million of committed lines we have already put in place. With this, I feel that market will feel extremely comfortable with the level of liquidity that we have built in, with the change in the maturity profile of our loans to only \$500 million as a short-term with \$300 million of committed lines. I think this will put the concerns to rest.

In addition to that, what we did during March when the crisis was at its peak, was not just that we

were able to change the profile, we got the refinancing and the additional lines at a better price than what we got when we were investment grade. It shows the trust in UPL by the market, by the banks. It was a club deal and it was executed successfully. Over and above the liquidity throughout the year, we have been very, very disciplined on our cash management, on our deleveraging plan.

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Public Starting May 2025, we had the perpetual bond which was falling due in May. We redeemed that on the first call date. The entire \$400 million of perpetual bonds, we were able to redeem that, and that also through our internal cash accruals. In between, we had the balance rights issue proceeds of \$200 million that we got it. So, during this year, we have been able to repay \$400 million of perpetual bonds and \$500 million of loan, so \$900 million.

So that really helped us to reduce our gross debt for this year by \$850 million and the net debt by \$400 million. So, this is just to give a quick update on the liquidity where many of you were concerned and have been raising questions and concerns about our repayment obligations and how we are going to meet that. And especially after the Middle East crisis, we got many such concerns from all of you.

Moving now to our Q4 results. We all know that last year Q4 was stellar for us. It was exceptional Q4 last year. But again, happy to present to you that over a very strong base of last year, we continued to grow and deliver. So Q4 of this year, we grew our revenue by 18%. We grew our EBITDA by 13%, and we grew our net income, which is PATMI, by 18%. So double-digit growth on all the KPIs.

What is heartening to note that our contribution margin continued to improve.

So last year we had improved our contribution margin on a full-year basis by 500 basis points. During the entire year, we continued to improve our contribution margin, and not just one quarter, but if you look at our quarter 1, quarter 2, quarter 3, all the four platforms have improved their contribution margin compared to the previous year. And that journey continued in Q4 as well, where

we have been able to improve our contribution margin by about 50 basis points.

So while we got a very decent growth both in terms of revenue, contribution, EBITDA, and net income, I just wanted to call out that considering the current uncertainty, farm-level stress, and distributor credit concerns, as a group, conservatively and as a prudent measure, we have provided INR350 crores as provision for doubtful debt, which is part of the SG&A. So you can see that the SG&A has gone up by 27%, and that also reduced the EBITDA growth to 13%.

If we adjusted for the conservative or prudent provision that we have made during Q4, our EBITDA growth would have been 22%, and our EBITDA margin, which ended at around 19.9%, would have been 22%. So very good quality of earnings that we have seen in Q4, and we would like to continue with the same trajectory going forward.

Now we'll come to the full-year results. Just our balance scorecard on a full-year basis. As you would have noticed that our revenue on a full-year basis, against a guidance of 4% to 8%, grew by 11%, largely led by volume. Our contribution grew by 17%. Our contribution margin grew by 220 basis points. Our EBITDA grew by 18% against our initial guidance of 10% to 14% and upgraded guidance of 12% to 16% that we gave during Q2 of this year. Happy to inform and present that we finally closed the year with 18% EBITDA growth. But more importantly, our EBITDA margin also

continued to improve. And that led to have a better performance on the bottom line. So below EBITDA, all the four items that you had talked about when we had meetings with you and engagement with you, again happy to inform you that below EBITDA line items, which was totaling to around INR5,000 crores,

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Public this year we have been able to reduce that same cost by INR1,300 crores in, I mean around 28% of the total cost versus last year, we have been able to reduce, on the four components below EBITDA line item. And that really helped us to improve our profit before tax, which is now almost at 4x versus last year.

We are very satisfied with the improvement in our bottom line. If you look at our reported PATMI, which also grew, which doubled compared to the last year. Our operational net income or operational PATMI grew by over 2.5x. As you recall, last year we had one-off tax provision reversal of INR592 crores. Adjusting for that and exceptional, our operational PATMI improved by over 2.5x.

Last year we talked about our capital efficiency, capital productivity, and we had a significant release of working capital, and that led to a very healthy cash flow. We continue with that journey, and this year also if you look at it, our working capital cycle time has been range-bound. It is marginally up by four days.

If you recall, during the last capital market day, we had called out that while we achieved 52-53 days during the last year, but it's not sustainable. We will be comfortable more between 60 to 65 days

of cycle time. While the team again has surprised us with a much better cycle time than what they had told us. So, this focus on capital and the cycle time will continue, and that will drive our efficiency and the cash flow for us going forward.

Capex - we have always guided the market about for this year about \$250 million. Between tangible capex and intangible capex, we ended at around \$261 million.

We talked about the gross debt, which is lower by \$850 million. From \$3.8 billion which was in FY 2024, now it is down to \$2.3 billion in 2026, a reduction of 40%. Our net debt, which was \$3.1 billion

in FY '24, is now at \$1.6 billion, a reduction of 48%. And that really helped us to reduce our gearing ratio, which stood at 4.6x in FY24, reduced to 2.1x in FY25, and further reduced to below 1.6x, better than the guidance given to you.

And our returns further improved compared to

the last year. We have almost doubled in terms of

Return on Equity. So this is the balance scorecard for us as a UPL Group. You will see it gives me immense satisfaction to report this set of financials to you when we see that we are not just growing on our top line, but we are improving our quality of earnings through the margin expansion. We are improving all the noises below EBITDA line item. That is leading to improvement in our bottom line. We are very disciplined on our debt management. We have significantly reduced our debt. We have significantly reduced our gearing ratios, and our returns are also doubling. So overall, this is the balance scorecard for FY '26.

This is the line-by-line P&L. Broadly, I have talked about the key drivers of the P&L and balance sheet, but you can look at it line-by-line P&L where you can see that on a full-year basis, our turnover improved by increased by 11%. Our EBITDA increased by 18%. Our contribution margin improved by 220 basis points.

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Public The four-boxed item is what I talked about has reduced by INR 1,300 crores or 28% in terms of the cost. And overall, on our operational PATMI basis, against INR 714 crores of last year, we ended at INR 1,860 crores, more than 2.5x.

This are just the more details about the different drivers or the different KPIs in the P&L. If you look at revenue, all the four platforms continue to grow.

Only on the India SAS business, because of the monsoon effect, we have a flat revenue.

But if you look at Advanta, which had a stellar growth rate over last many years, continued with this trajectory, and this year also they grew their top line by 23%.

UPL Corp, which is our global crop protection business, grew their top line by 11% amidst all the global certainty and the macro impact.

SUPERFORM, while you can see a small number in terms of the growth, but as you know that almost 80% of the business is the CMO, and on a CMO we have a cost-plus margin structure. So, while the margins are protected, but with the falling input prices that we have seen during the last year, the revenue also got reduced. It didn't impact their returns or the profitability, but just the top line got reduced because of the CMO model and the cost-plus margin structure.

But overall, I think all the platforms have done very well compared to the last year in terms of the top line.

The UPL Corp growth has largely been led by volume. India SAS business, while we are not seeing it in the numbers, but the new product launches and the product mix has been exceptional during this

year. Advanta continued this trajectory. They are expanding in the new geographies, expanding to new crops, and further consolidating their positions in the dominant countries where they have that presence. And SUPERFORM, a year ago, the mix between ag and specialty was about 70-30. Now this year it has moved to 28% specialty and 72% ag. So, the proportion of specialty chemical as part of this SUPERFORM is increasing, and we are seeing that in many advanced chemistries and downstream derivatives, we have huge opportunity.

And many of the global players are in discussions with our team to secure our capacity for a long term. And this business comes at a much higher margin compared to the agchem where we have a because of the cost-plus margin model, the upsides are limited. So on the ag side, you will see around 12% to 13% margin. However, on the specialty, you will see that the margin profile will be between 18% to 20% EBITDA. And this share of specialty into total SUPERFORM is increasing, which changed from 20% share of specialty now to 28% during this year. And that uplifts the overall margin profile of SUPERFORM.

This is region-wise cut where you will see that all the regions across all the platforms that we have continued to grow, and this year it's a very broad-

based. Each region has grown compared to the

previous year, whether it's a LATAM business or it's North America or it's Europe or rest of the world. All the regions have grown compared to the previous year.

Public So that gives more comfort that it's not dependent on one particular platform or one particular region. It is broad-based across platforms, across region, and hence it is more resilient and sustainable. If you look at the contribution margin, again it's similar trajectory like turnover or revenue. We have seen that each platform has improved both in terms of absolute contribution, in terms of contribution margin.

All the four platforms have improved. Advanta is already at a very strong contribution margin at around 56%- 57%. They have been able to hold on to it and maintain the same margin. But all other platforms also you can see that have also improved compared to the previous year.

Coming to EBITDA, story is again consistent. All platforms have improved compared to the last year, and more heartening is to see the improvement in the EBITDA margin, which is a reflection of the quality of the business that we are building or we have built. So, EBITDA margin continued to improve, and that is leading to absolute increase in EBITDA.

This is just to show you a waterfall on our net income, which was INR 714 crores last year, which increased to close to INR 2,000 crores this year. The two reds that you see, one is on the depreciation and amortization, which was due to the planned capex that we have and the planned increase on the P&L.

The second is taxation because we have made more money, so the tax cost is more in our P&L. And in tax also, while you can see the amount, we have been extremely prudent and conservative while recognizing our DTAs.

So in some of the difficult locations where we have lesser visibility about recoverability, we have been very, very prudent and we have not recognized those DTAs. And those DTAs recognition can be a potential upside for us in the future.

Moving to the balance sheet and the cash flow statement. If you look at the balance sheet, the left side is in the INR, and the right-hand side you can see it's in the US dollar. I just want to call out that this year, the currency has moved a lot. So while on the P&L basis on a weighted average basis, the currency has moved between last year of 84 to 88, a change of around 4 % to 5%, it has not moved much.

But on the balance sheet, the last year closing rate was 88, and this year the closing is 94.5. So almost 10% devaluation on the balance sheet rate. What it does is that most of our functional currency is US dollars, and all the globally the assets that we hold, say fixed assets, it's all dollarized. And those dollar balances of fixed assets are converted into INR using the closing balance sheet rate.

So, this year when we converted the fixed asset at the closing rate of say 94, we got much higher fixed assets amount versus the same asset at 88 during the last year. So that notionally showed you an increase in the fixed asset value. As you can see here, the fixed asset last year was INR 41,000 crores. This year it's showing INR 45,000 crores, an increase of roughly INR 4,000 crores. It's not an increase; it's just because of the currency translation. So if we don't report it in probably properly and the right way to look at it in the constant currency and the dollars, it will be misleading you and it will not give you the right perception.

Public So on the right-hand side, if you look at it, is how you should look at the balance sheet in the current currency turmoil situation where the fixed asset, the balance has gone down because of depreciation and higher depreciation and amortization and very disciplined capex that we had. So overall, fixed asset has

gone down. But if you look at just the INR balance, it will not give you the right indicators.

And same thing can happen for our gross debt and the net debt also because of the conversion. So, the right way I will guide you that you should look at whether it's a debt number or these assets in the dollar terms.

So, balance sheet again very healthy because we could reduce our gross debt and net debt, strengthen our balance sheet. Because of a very healthy net income PATMI, our equity also grew by \$241 million.

As a company, when we reflect on our capital structure and the funding mix, we just want to ensure that all the long-term assets are fully funded by long-term sources of capital so that even in any adverse impact, any adverse macro situations, we are not exposed to capital and liquidity.

So in this case, all our fixed assets and the working capital is largely funded by long-term sources of capital, which is the long-term loans and the equity. The balance, which is cash and some other components of the balance sheet, are only getting funded by the short-term. Otherwise, we have the full resilience of our capital structure and the funding mix. And we will not be prone to any impact

if global macros change and the liquidity dries out.

I talked about our focus on cash management, on working capital and on capital efficiency. So if you look at last year versus current year, we broadly maintained the same level of efficiency at 57 days. Still, I feel that 57 days is very difficult to maintain. It should be somewhere around 65 days of cycle time. But the team is taking the aggressive targets and they are delivering it year-on-year.

We talked about the debt and the gearings where you can see that our net debt to EBITDA dropped from 2.1x to less than 1.6x. And also our net debt to equity reduced from 0.5x last year to 0.4x this year.

And lastly on the cash flow, again happy to report that we have a very healthy cash flow of over INR3,000 crores during this year. The last but one, the line you can see on the right-hand side is for the full year, INR3,226 crores of positive cash flow. And this is the cash available to the equity holders, it's a FCFE.

It looks lower compared to the last year. But last year, as you know that we had a significant squeeze in the working capital from FY24. And FY24 our working capital cycle time was 84 days, and then from 84 days we brought it down to 52 days, and there was a significant release of working capital had happened.

So going forward, we will not see a release of working capital because we are already at a very tight cycle time. So, we will not see a release of the working capital through the second line item, which is the change in the working capital. But what is heartening to see in this cash flow compared to the previous year that all the foundational component of cash flow or the structural component of the cash flow have done much better than last year, whether it is in improvement in EBITDA, which is

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Public by more than INR2,000 crores, or reduction in the interest cost, reduction in tax cost, reduction in other components of the balance sheet of non-current current assets. Every single component in the cash flow we have delivered better than the last year -- we have delivered strongly.

The right way to look at the cash flow also is that we are we have a seasonal business. Now you are seeing the working capital cycle time of say 56-57 days and a level of cash flow release here. But again, in Q1, you will see that the cycle time has gone up, the net debt has gone up. It will further go up in Q2, cycle time will go up, and then Q3 will remain largely flat, and Q4 you will see the release.

If you look at if you look at Q4 cash flow, you will see that almost a billion dollars of cash flow is released each year during Q4 because of the seasonality that we have in

the business. So, the right way to look at cash flow is to adjust it with the change in the working capital and then look at what

is the cash flow that we are generating. That is the right way to review the cash flow. We have given both the numbers. I will leave it up to you to how do you analyze cash flow when you look at UPL.

With this, I will now hand it over to Mike.

Mike Frank: Thank you, Bikash, and thank you, Jai, for those very inspiring remarks and the strong performance.

What I'll do over the next few minutes is give an overview of UPL Corp, our global crop protection business, looking back at FY26, both Q4 and full-year results. I'll then talk about what we see as opportunities in FY27, and I'll end the presentation on our very exciting innovation and our pipeline that we see ahead of us. Bikash started by talking about the last 12 months, and maybe I'll start by talking about the last 36 months.

As I think about the global crop protection industry, it's gone through an incredible cycle over the last 36 months. You know, this time three years ago, as China was opening from COVID, suddenly we could see that there was a situation of overcapacity with many active ingredients, and prices quickly began to fall. And at the same time, because there were constraints leading up to that point, we realized that distributors and even farmers had been overstocking crop protection products in their warehouses and on their farms.

And so, there was an incredible correction that needed to happen, and it took about 18 months for that correction to take place where there was higher returns, there were rebates, there were price negotiations, prices declined, and ultimately distributors destocked to get back into a normal inventory position. And we could see by the really the end of 2024, the global crop protection market began to stabilize.

I would say by then it had hit the bottom and began to stabilize. And in 2025 and in our fiscal year FY26, we began to see many opportunities emerge. Even though the market hasn't rebounded, I would say it's recovered and it's stabilized. But we found many opportunities to introduce new technologies, to serve our farmer customers, and to disproportionately grow in a very challenging market. And so, I'm excited to talk about our results for FY26. In FY '26, our execution centered on operational excellence, working capital efficiency, customer engagement, and supply chain performance, and these efforts combined created an incredible opportunity for us.

In FY26, similar to FY25, we continued our growth trajectory, improving the quality of our business and leading the industry in volume growth and in gaining market share. And in fact, in the last six

Public consecutive quarters, we saw consecutive quarters of revenue, volume, and EBITDA growth that have led the industry in each of those quarters. Our focus on operational excellence resulted in improved capacity utilization and disciplined working capital management. Most importantly, we remained resilient, adapting to new challenges as we experienced every day as Jai talked about, as they emerged in this market, and now we assume market volatility is the norm.

On the innovation front in FY26, we launched more than 300 new products, generating over \$160 million in sales revenue, which exceeded our targets last year that we talked about of around \$130 million. Revenue from these launches alone represented about 4% of our total revenue last year. And we improved our innovation rate from 14% last year to 16% by the end of FY26, which means that 16% of all our sales were products and technologies that we've introduced within the last five years. This encouraging performance reinforces that our strategy to serve customers through innovation and differentiated offerings is really delivering results. And in parallel, we delivered

strong execution

across our regulatory, digital, and organizational priorities. Regulatory performance remained robust with more than 2,500 dossiers submitted through the course of last year and approximately 2,700 approvals globally. On the R&D front, we made encouraging progress with successful development trials on key product pipeline molecules, including Cyproflanilide, our new and exciting insecticide.

And then finally, our enterprise-wide digital transformation continues to scale with the launch of several digital tools strengthening our engagement with the channel and with our grower customers. And at the same time, through our transformation, we also focused our efforts on rethinking our target operating model, streamlining operations, and continuing our journey to transform into a future-ready, high-impact organization.

We now have three operational global capability centers that unlock efficiencies, simplify our business, and allow us to scale our operations in finance, supply chain, HR, and marketing. And we're confident that the success of these efforts has not only strengthened our foundation but will continue to create lasting value in FY27 and beyond. Our fourth quarter results show a strong performance with fourth quarter revenue up 20% versus last year.

This growth is driven by strong volumes across geographies such as Brazil, North America, Europe, and the Asia Pacific. It continues to demonstrate our resilience, reinforcing the strength and effectiveness of our growth strategy.

Our portfolio saw all key markets record significant volume growth, primarily in herbicides and fungicides. Herbicides benefited from volume growth in Brazil, North America, and Europe with key molecules like Clethodim and S-metolachlor.

Fungicide growth was driven by sustained momentum with volumes growing in our fungicide portfolio in every one of our geographies. Also, in Q4, we began to see a recovery in our insecticides portfolio, particularly our Acephate-based brands in Brazil where our differentiated products like

Feroce

® and Perito® and newly launched Propose® and Constel® performed particularly well.

Also, revenue growth in our NPP business was driven by biocontrols and biostimulants with growth in Europe and the Asia Pacific geography. So, despite a challenging market environment, we delivered growth and we delivered a strong contribution margin improvement, improving overall

Public contribution margins by 100 basis points. This margin was a result of supply chain efficiencies, lower COGS and better capacity utilization.

In Q4, our differentiated and sustainable portfolio grew by 25% versus the same quarter last year.

Our sustainable portfolio posted 9% growth in revenue compared to the same quarter last year, driven by biocontrol volumes in Europe and North America.

Our post-patent business also performed strong with growth driven by key molecules across geographies such as Asia Pacific, North America, and Brazil. And on the back of strong volumes and contribution margin, our fourth quarter performance delivered a 13% improvement in EBITDA compared to the same quarter last year.

For the full year, we delivered 11% revenue growth year-on-year, driven by industry-leading volume growth across herbicides and fungicides. Contribution margins grew by more than 250 basis points to 31.5% versus FY25.

Turning to SG&A, we maintained strong discipline on discretionary spend while continuing to invest in innovation, transformation, and growth-focused initiatives. I'd like to mention, as Bikash did earlier, that within SG&A, we did account for a much larger than normal amount of expected credit

loss or ECL's provision in FY 26 and in particular, in the fourth quarter. SG&A was further impacted by FX headwinds, leading to a 20% overall increase versus last year. But even in this environment, we g

rew EBITDA by 20% with margins expanding over 100 basis points.

In Q4, our LATAM region posted an impressive 21% volume-led growth, primarily from Brazil and particularly through the recovery of our insecticides differentiated portfolio. Elsewhere in Latin America, growth in markets like Argentina and Chile helped mitigate the impact in Mexico, which saw their crop protection market shrink by 10% this year. That said, even in the Mexico market, we continue to gain market share and lead this market from an overall market leader perspective.

North America continues to experience strong in-season demand for our products and technologies despite tariffs, which created uncertainties during the past fiscal year. The region reported 21% revenue growth, supported by strong herbicide portfolio, but really strong performance across every one of our categories.

In Europe, revenue was up by 17%, boosted by favorable weather conditions which supported applications of crop protection products, driving volume growth in fungicides as well as our biocontrol products in the region.

In the rest of the world, which comprises really of Asia Pacific and Africa, we delivered a strong volume-driven growth of 23% in that region as well.

So, you can see that in Q4, we had strong growth across every one of our regions. Looking at the performance on the full year, North America led the way with an impressive 18% growth, while Europe delivered a solid 11% growth in the year. In LATAM, our volume growth was partially offset by market pricing headwinds, but we still posted an overall 8% revenue growth in Latin America. And in the rest of the world, Africa and Asia Pacific, we posted a strong 13% year-on-year growth in a very competitive market environment.

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Public Our focus on sustainable growth through innovation is clearly reflected in the strong contribution from new products. As mentioned earlier, new products launched in FY26 generated over \$160 million in revenue. The majority of these launches were in our differentiated and sustainable segment, cutting across herbicides, insecticides, plant, soil, and health products. As an example, on this slide, Nuvita® was successfully launched in Argentina, Brazil, and Thailand with bold differentiated position and as Jai talked about earlier, as a technology that allows plants to more efficiently use fertilizer or nutrients in the ground. This allows farmers to get a better return on their fertilizer investment and in some cases also decrease the amount of fertilizer that they need to put on the farm. We continue to drive strong innovations across all our key markets. Newly launched products generate above-average margins and they're at the core of our growth strategy.

So, moving to our FY27 priorities. We continue to see strong farm-gate demand for our products and technologies and foresee opportunities for continued volume growth. However, as mentioned at the beginning, marketing pricing dynamics continue to structurally limit the pricing upside, especially in the post-patent segment. So, our approach in driving growth in FY27 is through a disciplined multi-pronged strategy. Firstly, we're going to continue to grow organically and gain market share. Our priority is to outpace the market by strengthening customer relationships to gain share in our core markets through strong execution, continued operational excellence, and a disciplined focus on sell-out.

Our mitigation measures against the conflict in Iran and the closing of the Strait of Hormuz include focusing on disciplined sourcing, agile supply chain management, and pricing actions to cover higher costs. To date, the overall market reaction has been uneven, but we are focused on what we can control and that we believe our actions will enable us to adapt to this rapidly changing environment and protect the quality of our business in FY 27

. Our second key strategic focus area is margin expansion driven by innovation and differentiated growth. We are scaling innovation-led growth by accelerating growth and shifting our overall mix towards higher margin differentiated and sustainable solutions, including our NPP and ProNativa® solutions.

This strategic shift not only allows us to deliver more resilient margins in a volatile environment but also positions us structurally for higher quality growth, underpinned by innovation, sustainability, and closer engagement with our customers. We expect our new product launches this year will generate in the range of \$115 million in new revenue with over 100 new products that will be launched across all regions this year.

These new products cut across all segments of fungicide, herbicides, insecticides, including new products in our NPP portfolio. However, just as important, new products that have been introduced in the last 5 years will also grow disproportionately in our mix in FY27, which will lead to an

innovation rate closer to 18% as we close out FY 27.

And finally, our third key strategic focus area is to further build our lean, high-impact organization that's scaled for growth. Following the success of our transformation initiative last year where we simplified our operating model, this year we're building on that foundation, creating a lean, high-

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Public impact organization. We're deploying automation and global capability centers where we are scaling growth and increasing our productivity and efficiency.

Our resilient business model and strong momentum gives us confidence that we can accelerate our profitable growth even in this challenging environment. The Natural Plant Protection business remains one of our top priorities, and it's a key pillar for our sustainable growth. We remain focused on our ambition to grow faster than the market in our sustainable solution segment with an expected CAGR of around 12% between FY26 and FY 31.

This segment comprises biologicals, biocontrols, and biostimulants, and the portfolio carries products that help our farmers improve soil quality, enhance plant health, reduce their carbon footprint, and builds greater resilience in their operations.

Looking ahead, we have 10 new technologies in our Natural Plant Protection development pipeline, and we are pleased to report that we are on track to achieving close to our target of \$700 million in revenue in this upcoming financial year. We're also confident that we can generate close to the \$1 billion target we have in revenue for the segment by FY 31.

As a reminder, our crop protection and sustainable solutions pipeline is built around customer centricity and a balance between traditional crop protection and bio-solutions. Our current pipeline value is approximately \$4.4 billion at peak sales, of which around \$1.5 billion will be actualized by FY30.

What is particularly encouraging is the composition of our pipeline. At peak, around 80% of our pipeline is made up of differentiated and sustainable solutions, with about 20% coming from post-patent products. This reflects a structurally stronger portfolio built around innovation, biologicals, NPP and sustainable technologies that deliver both grower value and attractive economics for us at UPL. We have 27 molecules in our development pipeline with five new entrants since our last Capital Markets Day and 17 new solution platforms.

So, in summary, in FY26, it was a year of strong performance by our global crop protection business in a very challenging market. Our FY26 successes have given us momentum, and we will use this to compete profitably and deliver on our FY27 growth and EBITDA and cash flow commitments.

Looking ahead, our strategy is very clear. We are focused on driving strong organic growth while continuing to gain market share across all of our core markets. A key

pillar is accelerating our NPP
and ProNativa

® portfolio as we shift the mix towards higher value, more differentiated and sustainable solutions.

And at the same time, we're reinforcing our cost leadership through operational excellence, improving efficiency and productivity by leveraging AI and advanced tools across the organization.

This combination supports continued margin expansion, underpinned by strong financial discipline, efficient working capital management and consistent cash generation, ensuring profitability and sustained growth.

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Public Before I conclude, I'd like to thank our highly engaged teams around the world for their dedicated efforts, as well as our valuable channel partners for their continued support, driving together with purpose to help farmers increase their resilience and improve their sustainability.

Thank you.

Ravishankar Cherukuri : Good afternoon, everyone. I hope everyone is having a great time listening to the amazing work that's happening across platforms. My name is Ravi. I've been with UPL for a year and a few months. I took over from Ashish, and I want to give him a vote of thanks to say you have given us an amazing foundation and we are carrying forward the torch that you gave us.

So that's the theme I would like to start with. It is this year that has been a year of continuity; it has also been a year of change. So let's dive into some details. The continuity was in driving operational excellence.

First and foremost, it was on business quality. We improved margins quite a lot with both prudent pricing but also with mix improvements.

While we had sales losses from outgoing genericized older molecules and older formulations, we also drove newer products, more differentiated products with better margins, scaled them up quite significantly. We significantly drove working capital

improvements on inventory, on collectibles

from the market, as well as other operational improvements in terms of returns, etc.

And finally, we completely aligned our sales force to sales becoming collected sales. It was always the case that we had that focus, but we also aligned our incentives internally. But we didn't just work on business quality, we also worked on the portfolio quality.

Like I mentioned, we significantly drove new products to scale up at levels that had not been seen before. That led us to expanding our footprint on newer crops. Corn, sugarcane are lead examples, but we are also working on significantly diversifying our presence. And this is a theme you will recognize from last year's presentation too.

We're driving for excellence in launches and scale-ups. We're also driving R&D partnerships to continue to improve our portfolio and continue to have new and differentiated molecules and formulations in our portfolio.

We are using digital across everything we do. We are scaling up and significantly changing our key retailer reward program, we call it Farmily. But this will become our tool to encourage the right behaviours in the channel, which will hold us in good stead in the future.

Similarly, we are using our internal field force applications to drive more aligned behaviours on the ground, to drive greater success in scale-ups, and to ensure that everyone is working towards the same aligned goals.

Last but not least, we are using AI and ML for things like forecasting -- Mike mentioned that -- but also for predicting default risk and thus making better use of our credit to the market. With all of that stuff, let me talk a little bit about how the year was. Q4 for us is a very small quarter. It's also a quarter

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Public where there's much lesser consumption and a lot more positioning of inventory for the next year. This year, we chose to position inventory closer to the consumption. So that was a deliberate move w

hich

has improved the quality of our business.

In addition, as we started seeing the supply chain disruptions coming through or the cost disruptions coming through, we already took our price moves in the month of March when many other companies were waiting till April.

Despite all that stuff, we did land up with the year remaining flat. I would actually call it revenue preservation. We preserved our revenue in the face of many headwinds.

We had existing revenue pools in formulations and brands which were phased out, close to INR 150 crores' worth. We had a very tough monsoon, especially focused on the markets that are the strongest for us, and that was another INR 100 crores - INR 200 crores. We had revenue pools facing extreme price erosion across all industry participants. Despite all of that stuff, we scaled up the brands that we focused on in a way that we ended up preserving our revenue while significantly improving our contribution by 19% and EBITDA by 24%. This is quality of business which will help us as we continue to scale up and improve the business.

It will help us to start delivering results both in top line and bottom line. And that brings me to the last important point. We are focusing on three pillars to drive our competitive advantage in the market.

Pillar number one is what we call, Launch Big and Scale Fast. It's about taking full advantage of the new and differentiated products that are coming our way. We want to ensure that we are leaving no stone unturned in driving scale-up of those products and driving them across crops. The best part is

all these new products are applicable across crops; they're helping us in our crop diversification effort. We've aligned our team incentives to the strategy, to the strategy of hyper-scaling the new brands.

We're also using our technology or tech digital in our field force in order to measure, make every activity highly accountable, and drive excellence in both digital and influencer marketing.

The second big pillar is deeper channel engagement. It starts with the elite. For all our elite customers, we've launched OpenAg

® Partners. It's a way for us to honor, recognize, and invite our biggest partners to have an even greater skin in the game in our growth. We're leveraging Farmily like I said to not only drive the business but also drive the right behaviors.

And finally, we've begun fine-tuning our distribution network to be to give greater skin in the game for our best partners and slowly, you know, allow for partners who are not aligned with us to move on.

And finally, we are using every asset available in our hand, whether it is the spray machines, whether it is the digital distribution network, whether it is our sustainability program including our carbon programs and our wonderful sugarcane programs, as well as value chains. We're putting all our assets together to become much more competitive in the market than merely the portfolio would allow. And this way, we have a very fond outlook for the future.

With that now, I invite Bhupen to take over.

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Public Bhupen: Thank you, Ravi . Welcome to Advanta . Very, very happy to report to you this year again the Advanta journey of profitable growth continues year after year. The key contributors are leading crop portfolio. You know, you are aware Advanta's strategy has been diversified portfolio and diversified geographies. These are extremely important to protect our growth from the vagaries of nature, which is a common thing in agriculture.

Another important point which last year I reported and want to continue to emphasize, now Advanta is one of top 10 seed company in the world. Like UPL is one of top four, top five, similarly Advanta is one of top 10 and our roadmap to really scale up the ranking from 10 to 9 and 8 going forward is already constructed, roadmap is ready. This is possible because of our

R&D team who is working very hard day in day out. The innovation is our core of our strategy. We have now 900 plus hybrid varieties.

In a couple of years probably we will be hitting about 1,000 plus hybrids across 40 crops.

Second important aspect about strategy is diversified global footprint. Like we have a relatively compared to UPL our parent group revenue is modest, but strategy is global. As a result of that our presence is in all four continents. Advanta is present in Australia, Asia, Africa, Europe, and Americas. So blueprint is ready and we are building up further is for the future growth.

Our presence in multiple high growth geographies, extremely selective in identifying our growth trajectories which we try to link to our strength of germplasm and our people. What is our core is rather than having patchy growth scenario, we look for resilient and consistent growth year after year, which you can see last 10 years track record of Advanta.

Farmer First is a slogan almost all the organization talks about. We try to live in our DNA day in day out right from our Chairman Jai and all our team members, highly plugged in to key markets and key farmers all the time, which help us to get the right pulse and take a right decision on time.

Climate smart hybrid is in need of hour, it's no more a futuristic project now. We already are in April in India we are experiencing historically high temperature. There was some report that globally 20 cities temperature highest, 15 are in India, and we feel it on our similarly the same impact is on the plant. Actually, we have a leg actually we move away from the heat and go to the air -conditioned rooms, but plant cannot do that. Plant, they have to survive in the same land and therefore what kind of plant design adaptation has to be developed is something which our R&D team is plugged in and working day in day out to make sure that, you know, the plants are resilient and can handle this heat and the changes in the atmosphere very fast.

Digital tools again, the digitalization of the processes in various function is accelerating further with the group level initiative at a data and analytics center in Bangalore. Our team is leveraging that capability very, very fast. Started deploying in R &D and in College Station in USA.

In fact, a couple of days back I got a report that we pilot run with the AI, our team in Argentina is running that where we hired first AI engineer in our -- one female AI engineer in our team . And along with our business team they started deploying AI agent in one process, and that process is onboarding UPL Limited

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Public the customer. In Argentina onboarding customer is a long process, and because of this now they can finish in no time and the transaction can start very, very fast. One pilot project example.

Fourth point, important point which is a core of our strategy is innovation- driven R&D platform, as I indicated earlier also, core of any seed company. Seed company want to continue to serve the farmer on and on all the time. It's important that investment in R&D is continuous, which we continue to do that. Integrated global supply chain, we design our product portfolio, we in such a manner that we optimize supply chain.

I'll give you two examples. Let's say in Asia, our prime drivers are vegetables and the tropical corn.

So when we select the product portfolio or the corn product portfolio for Thailand and for Vietnam, Philippines, Indonesia, and India, we try to make sure that out of let's say 10 hybrid in each country, at least 6, 7, 8 hybrids are more or less identical. If this is a kind of screen based on that we take a decision, which allow us to have a 60% plus overlap of the business portfolio.

As a result of that, we are able to manage our business cycle, to use the B ikash 's language, the cash flow cycle, we manage very well. We

build inventory in India, suppose there is a production cost is

lower in India, which is reality in in Asia. In that case, we produce for let's say Thailand, we produce for let's say China, etc., and then we can move it easily. So of course, it's not as easy as I'm explaining to you because there are a lot of permissions are required, the country there is a PPA, a lot of clearance are required which requires three to four year's time, but we have been able to build this entire close -

knit value chain in India in Asia for corn.

Similarly, we are in the process of building that in for Grain Sorghum, in Americas. See, what we produce grain Sorghum in USA is one of the most competitive and high quality, and there we are able to move to Brazil and now move to North Argentina. So entire cycle we are able to build that up. So this is extremely important for us and that role of supply chain is very, very critical.

These are the results of quarter four and full year in terms of INR crore. Quarter four, as you are aware, among four quarter is always heavy contributor historically, which is true this year also it continues. In quarter four, our revenue was INR 2,198 crore, which is 23% growth. Contribution also in line with that, 22%. SG&A fully under control, 12%. EBITDA is about 33%, again one of the most profitable quarter among four.

As a result of that, when you look at annualized picture, revenue is INR 6,837 crore, 23% growth. Contribution in line with it, 22%. SG&A 16%, much lower than that, and EBITDA growth is about 30%. And with this 25% margin, EBITDA margin is about 25%. This is a benchmark we maintain, try to retain there. Some of the comment on the revenue, very well balanced. The growth has come 12% by volume and 6% via price and the 5% is forex.

So that's how this total is adding up to 23%. And in terms of crops, mainly by field corn, India, LAN, Argentina, and Asia. In terms of margin, the volume is biggest contributor to it and also some of the geography we've been able to cut the cost of production dramatically. Terms of geography contribution, in the quarter four you can see all the four continents have contributed, all green lines. America growth is 19%, Asia Africa 21%, Australia highest 39%. As some of you may be aware,

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Public Australia is driven in quarter four by canola, which planting takes place in March and April, May, and then the purchase starts in February.

As a result of that, we have a very record business in Australia in quarter four, 39% growth. Europe small base, over 15% growth. So all the continent contributed very well. And when you look at annualized number, America's contribution is highest this year, 25% growth, Asia Africa 24%, Australia 13 %, and Europe 17 %. So very well balanced by crop and by geography, the growth is very well distributed.

When you look at the contribution of key crop within the revenue, number one is field corn, 40%. Grain and forage sorghum is 16%. Sunflower canola, which is an oilseed primarily, 15%. Vegetable and fresh corn is 10%. Post -harvest is about 17%.

So we operate in five segments primarily, and our R&D, our resource deployment is around these segments, and all are contributed quite handsomely this year. Vision for tomorrow, we continue on the same path which have been delivering a good result to us. Product innovation is core, while core of any seed company is genetics, but in genetics also there are various tools like double haploid came year ago, and then the now the GMO came, and now we have a gene editing coming up.

We collaborate with many university around the world to develop the product using the gene editing tools, and that innovation continues in R&D part of it. We wherever now we have very good product portfolio, we are now developing GTM and deploying resources in GTM to make sure that our penetration is very, very high.

We have identified ; our product portfolio is operating is addressable market is about 75 million hectare. Currently we are covering about 12 million hectare. So still we have a lot of space to cover, and as and when we start deploying GTM resources, we start converting that opportunity into revenue.

Scale post -harvest, a lot of opportunities there, primarily post -harvest is operating in Europe, America, you know, the Chile, Australia. All the learnings which we have, opportunities there to really replicate in the Asia and African countries going forward.

Before I close this presentation, I would like to thank farmers who are continuing to express their support to us via regular purchase of the seed. Our own team, dedicated team of the employees who are working day in, day out with the farmers. Without the contribution by the farmers and our team, results are not possible. Last but not least, of course, the trust of the investors, promoters here towards Advanta. Advanta used to contribute about 5% or 6% of EBITDA few years ago. Right now, the contribution of Advanta is about 20%, and I believe that it will continue to grow.

Thank you very much.

Raj Tiwari : Thank you, Bhupen. Good evening , everyone . Thank you for joining us today. Today I want to take you through SUPERFORM success story, a business that has grown with purpose, with discipline, and with a clear vision for future. A business that is "Accelerating Profitable Growth " in one of the most dynamic segments of global chemical industry. Over next few minutes I will walk you through what we have achieved in FY 26 and how our super specialty chemicals segment is outpacing the industry and why we believe the best is still ahead of us.

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Public FY26 has been a landmark year for SUPERFORM and the numbers tell a compelling story across three key dimensions.

First, the improved business mix. Our super specialty segment or what we call as SSC delivered an industry-leading growth of 20% year-on-year. This reflects a strategic shift towards a higher value, externally sold specialty chemicals. Our specialty chemicals business also crossed INR 1,000 crores in exports from India alone, a testament of global relevance of our industry.

The second is manufacturing and supply chain excellence. We have made our operations leaner and more efficient. We have significantly enhanced the operating capacity of our key active ingredients and now delivering sustainable cost savings that are structurally expanding our margins over long term.

And the third is building foundations for the future. We expanded our lubricant additive capabilities to three times the last financial year. We also forged strategic tie-ups and broadened our offering across various sectors such as mining, nutraceuticals and rubber chemicals. In short, FY 26 was a year where SUPERFORM built momentum, it built scale and built the right foundation.

Now let's look at the financials. For FY26, the revenue comes in at INR 10,298 crore, growing 1% year-on-year at an overall level. While the revenue was largely flat, the quality of the revenue has transformed dramatically. Our contribution margin expanded by 240 basis points to 24.7%, driven by an increased share of super specialty business in our overall revenue mix. And therefore, the specialty chemicals business in the overall revenue mix moved as Bikash alluded from 20% last year to 28% this year. And by improved product cost position through operational excellence, EBITDA grew by 10% year-on-year to INR 1,258 crores with EBITDA margin expanding by over 100 basis points to 12.2%. This margin expansion in a year where the broader chemical industry faced significant headwinds is a clear indicator of structural improvement we have made.

Let us now give you a more granular view of what is driving this performance at SUPERFORM.

Now basically SUPERFORM operates

in two primary business segments. The first one of course is our active ingredient business or we call it AI, wherein we have two key customers, which is a cost-plus model, which is UPL Corporation and UPL SAS. And the second one is the specialty chemicals business, which represents our solutions which we offer outside the group.

For FY26, AI revenue has come at INR 7,403 crore, a decline of 5% year-on-year. This decline, however, is largely attributed to the favorable cost inputs, which is actually a pass-through. So therefore, this is not a demand concern, this is actually a cost optimization story. Whereas the specialty chemical business delivered INR 2,894 crores in FY 26, growing 20% year-on-year. This growth was powered by two key engines: the contract manufacturing in the specialty chemical space, I mean specialty chemical business has two kinds of model, one is the contract, you know, the CMO model and the second one is the solutions model which we offer to our customers.

Wherein in the lubricant additive business itself we tripled our business last year. And a strong demand of our application across sectors such as mining, pharmaceutical, flame retardants, and of course agrochemicals. Remember in agrochemicals we also have a CMO which is non-group, which we do with other key players, other multinationals.

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Public The trajectory of specialty chemicals is remarkable. 20% growth in a year where industry peers struggled to grow in a single digit. This is what sets SUPERFORM apart.

So where do we go from here? Let me share with you our strategic blueprint for FY 27 and beyond, built on three powerful pillars.

The first pillar is vertical integration. We are moving decisively to own the key nodes of our supply chain. By internalizing high-value nodes, we will optimize cost, protect margins, and build a more resilient business that is insulated from external supply disruptions. In the current context with frequent supply disruptions has been the norm, this strategy becomes even more relevant.

The second pillar is new product launches. We are making a deliberate shift from being a chemical company to being a solution-led company. Our pipeline includes exciting growth areas in nutraceuticals, flame retardants, paints, rubber vulcanization, and battery chemicals. All high growth and high value segments. We are backing this with strategic tie-ups for both technology access and off-take commitments, ensuring that our new products have a market before they reach a commercial scale.

The third pillar is building a future-fit organization. Our growth drivers going forward will be contract manufacturing and advanced chemistries. We are strengthening our internal capability pipeline and importantly we are embracing AI adoption to drive value across our operations from process optimization to customer intelligence. Together, these pillars represent a business that is not resting

on its FY 26 achievement but is actively building the capabilities to sustain and accelerate growth into future.

Let me leave you with this thought. SUPERFORM is a business at an inflecting point. We have demonstrated that we can grow our specialty chemicals business at 20% plus growth rate year-on-year, well ahead of industry peers. We have expanded margins while investing in our future. We have built manufacturing capabilities, secured long-term partnerships, and laid strategic groundwork for the next phase of growth. We are not just a chemical business, we are a solutions business, one that is deeply integrated with our customers, value chains across 50 plus industries and growing. We are confident in our ability to deliver sustained, profitable, and purposeful growth.

I now call upon Bikash to take forward the next segment. Thank you.

Bikash Prasad: Just to recap. This year has been a year of transformation, a year of resilience to

show that how we have delivered on all the specific themes of financing, whether it's growth, its profitability, or its balance sheet. I think maintaining a balance amongst all the three are going to be extremely critical.

This year, we are satisfied with the results that we have delivered and the balance that we have maintained between the three of them.

Each KPI are important, but how do we bring that balance is going to be critical for us going forward as well. And again just to summarize that this year, if you look at our revenue which grew from INR46,000 crores to INR 52,000 crores at 11% growth rate, our profitability whether it's a PBT which grew from INR800 crores to almost INR 3,200 crores four times, or operational PATMI from INR700 crores to INR 1,900 crores at 2.5 times.

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Public We have focused on balance sheet this year and that has really helped us to reduce our debt and improve our gearings, and more importantly our return on equity as well. And this focus will continue in the years ahead as well. And again I just want to thank all of you for your inputs, for your feedback, and that will really help us to always strengthen our business, strengthen our performance, and we'll keep getting feedback from all of you.

The last part of this is about giving the guidance for the next year. I know many of you have suggested us not to give the guidance, some of you are optimistic bunch of people also who are asking to give a full-year guidance. It's always like, "the heart wants more". We have to look at what we can deliver, and we are cautiously optimistic about Q1.

We are already 40 days in this quarter. We have some visibility about our Q1 results. Still, we do not know how the Middle East crisis will unfold, how the supply chain disruptions will lead to increase in the price, the cost inflation, and how much pass-on impact will happen to the market. So there are many ifs and buts.

So at this point in time, we are only guiding you for the first quarter FY27 outlook, which is a revenue growth of 10% to 14%. If you would see the last three years, the best revenue growth we had in during Q1 was 2%. You also know that the Q1 usually is our slow quarter. Q3 and Q4 is when Americas start, that's the main the two quarters for us.

Q1 is slow quarter. And the last three years, we have been broadly flat to negative. But this year, we are cautiously optimistic, and we are providing a guidance on a 10% to 14% revenue growth. On EBITDA, with the operating leverage that we will have, we are again guiding you between say 14% to 18%. Again, if you recall last Capital Markets Day for a full year, we had guided about 10% to 14%, upgraded to 12% to 16% during Q2 of this year. And this year for Q1, again which is a slow quarter for us, we are guiding for 14% to 18%. While we are guiding on Q1, we'll remain focused on the key initiatives that we have been driving and will continue to drive, whether it's a rationalization of our portfolio, rationalization of our SKUs, or also looking at some of the countries not performing, if we can rationalize it, change the business model, or if nothing works out, exit those countries.

We are very focused on improving our plant utilizations, and we are looking at each and every plant that how we improve the utilization, can we rationalize that. Those continue to be our focus areas going ahead. All that will lead to improvement in our quality of earnings. So I think that is going to be the key.

This year it has really helped us. Going forward, we'll continue to focus on the quality of earnings, cash flow focus, capital productivity will continue to be our focus area, and having the deleveraging

plan. While we are almost there, we have guided now between say 1.2x to 1.5x in the in the medium term and we are quite hopeful of achieving that shortly. But just point to note that below 1.5x once

we achieve that, we would like to probably stay at that level as reducing it further can impact our return on equity.

So in our capital structure, we will have to look at what is the most optimal capital structure which drives our bottom line through the lower interest cost, have a decent gearing, but at the same time

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Public also have better returns. So, we'll continue to look at evaluating our capital structure and taking the necessary calls as per that.

So, with that, the floor is open to Q&A. Thank you.

I will request if Ja i, Mike, Bhupen, Ravi, Raj can join us on the stage. Thank you.

Management : So, thank you everyone for joining us. We can kick off the questions.

Anurag Gupta : Yes, the first question is from Saurabh Jain from HSBC.

Saurabh Jain: Yes, thank you for the opportunity and congratulations on a very good set of numbers. Obviously, the first question is on the guidance, right? So a bit peculiar way of providing the guidance for this year. Q 1 guidance 10% to 14% on revenue and then increase of more than that on the EBITDA.

Possible to break down in terms of how you are looking at the volume, pricing, and currency?

Because currency there would have been a big factor when you think about the revenue guidance for this. And a related question is while the EBITDA growth looks to be quite impressive for Q 1, but

then when I look at the margins, it i s still sub -15% margins, right?

In the past, we have been doing almost like 20% margins in good years. So when the operating leverage kicks in for you now with this volume growth and other things, should have been the margins better? And does it concern for the rest of the nine months in terms of EBITDA growth kind of

declining to single digit? That's my first question.

Anurag Gupta : Bikash , do you want to answer that?

Bikas h Prasad: So Q1 guidance , obviously there are different platforms. We do see that the India SAS business will have a volume growth. The Advanta will continue to have the volume growth for Q1. Our SUPERFORM business also will have a volume growth. Probably UPL Corp will be more stable

because it's not the main season for them, so in terms of the volume it will be largely flat.

We will have positive price impact coming from most of the platforms. We will have FX positive impact, which will be say between 7% to 9%. So these are the different components of revenue and the guidance that we have given. In terms of EBITDA, if you look at it, our Q1 EBITDA margin is always lower, and as it progresses when the season starts in Q3 and Q4, then we see that EBITDA margin improvement. And on a full -year basis this year also, it's we're close to 19% after considering the one -off provision tha t we have taken this year. Otherwise, we are close to 20% EBITDA margin.

It's seasonality , Q1 because the volume will be lower, the turnover number is lower, the SG&A will fully kick in, and that impact of the full operating leverage you will see it with each passing quarters. But for Q1, some aspect of these factors have been considered while g iving the guidance.

Saurabh Jain: So, if I get it right, 7% to 8% is the currency impact when you think about the 10% to 14% revenue guidance. And what could be the benefit of currency you will be factored in when you think about the EBITDA growth for Q 1?

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Public Bikas h Prasad: So generally, currency reflects more pronounced way on the top line, but when it comes to EBITDA, the impact is much lesser. So, what I'm trying to understand is because of this benefits of currency that is the reason why the EBITDA growth is better than revenue growth or otherwise on a normalized basis t hat would have been bit softer. But at EBITDA level also, you can have a similar impact, so 6% to 7% of currency impact at EBITDA level.

Saurabh Jain: And what about the, y

ou know, so Q 1, Q2 of course are more India heavy and progresses towards the LATAM heavy mix. Last year we noticed that the trade was much cautioned when we think about the LATAM geography. We also booked a ECL of abo ut INR350 odd crores .

How would you imagine the momentum in the LATAM for this year? How are you looking at your advanced orders at a YoY growth as we speak at this point in time?

Mike Frank: Yes, so across the LATAM region, we are expecting FY 27 to be a growth region for us. As I mentioned, in much of LATAM, the growth was muted at the industry level last year in countries like Mexico, largely because of the tariffs that the Mexican farmers dealt with early in the year last year, so that's kind of normalized now.

So we do expect to see growth across the region now. Managing our credit risk is one of our key priorities. We look at concentration of credit, and we're in in some countries, say like Argentina, we're really managing our low -margin products and so that we're only selling medium to high-margin products in some of those countries now. So, we've got a variety of strategies that we're implementing across the region. Of course, it's a multi-country region.

In Brazil, the farmers will once again likely plant a record crop in the next 12 months. And we have a strong position across the region. We continue to grow our business with the co-ops. We continue to grow our direct -to-farmer business, which is our Origeo business, the joint venture we have with Bunge where we're calling on the very large growers and selling a whole portfolio including UPL Crop Protection products.

We do think that the business is going to grow. It's also somewhat de-risked because Bunge is taking the grain as a tool to help manage the credit risk with the growers. And so we have a variety of risk management strategies across the region, but it's something we're paying a lot of attention to.

Saurabh Jain: So how are the advanced orders looking like specifically in numbers on a YoY basis?

Mike Frank: Yes, so I would say we don't take advanced orders like we did maybe two or three years ago. The distribution is buying closer to the season. So as farmers get ready to plant their soybeans in the September-October time frame, the channel is negotiating now for deliveries in July-August.

So some of that will potentially hit us in Q1, but Q1 for us in Brazil is mostly just a small in-season business, it's quite a small business for us. Q2 is when we start stocking for the upcoming season. And so the whole market in Brazil has moved much more to just in-time, and that's how we've changed our business model there as well.

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Public Saurabh Jain: Thank you, that is helpful. One last question if I may. My question is to Raj. Raj, the inventories in the balance sheet seems to be higher than what it was last year. So, is it a function of more finished stocks or more raw material given the current disruptions that we are seeing globally?

Raj Tiwari: You are talking about inventory at the year-end?

Saurabh Jain: Yes.

Raj Tiwari: So, what's the question, sorry?

Saurabh Jain: No, I'm asking the inventories are higher YoY basis. Is it more like more finished inventory that is sitting or more raw material that you might have procured given the uncertain times that we are witnessing?

Raj Tiwari: No, I think it's in the same proportion. If you compare with FY 25 and FY 26. The WIP or the semi-finished goods vis-à-vis finished goods is in the same range. So there's not much of change. And our inventory if you see between the last year and March end is only marginally up, so there is no much change in the inventory.

Saurabh Jain: So imagine a situation that the inventory that we would have procured from March onwards and as we move into the further months, right? And there will be a moment when there is a cost deflation just like

it happened in 2023. So how UPL strategically is thinking about to kind of navigate through the situation so that we don't face the problems that we faced way back in 2023?

Raj Tiwari: So, you know, first of all, our principle has been that we don't have any long-term commitments. We buy today and we live today. First of all, we are also a backward integrated company. So we buy largely the basic raw materials, of course some intermediate as well.

And what we do is that we buy, we do the value add and then sell. So, we don't punt, we don't believe in speculations. And therefore, we should be able to pass on whatever the cost increase has been there. We should be able to pass on. And therefore, when the cost comes down, that's the reason I feel that we should be least impacted as compared to others.

Jaidev Shroff : I think it's a very pertaining question in a very challenging time, but it's no different from anybody else in the industry. And the tendency is to be extremely conservative in our pricing strategy for based on replacement cost and make sure that we don't end up at the wrong end of the cycle and also make sure that any sales we do are committed sales and not on a renegotiable basis.

We learned that very well a few years ago as you rightly pointed out. So I think that we are being extremely careful, as careful as you can be, much more so than I believe other people, and in the end what we have seen is the other supply sources also are being extremely conservative.

So across the board, what we have seen is that there is not enough room for the industry to take any risk. So I don't believe any of our peers are also taking any kind of risk, at least in the big markets where there's large volumes. And at least our instructions to the team are let's make sure we don't repeat that mistake.

Saurabh Jain: Yes, thank you and all the best.

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Public Anurag Gupta : Thanks, Saurabh. I think next question, do I see any raised hands here? Yes, okay, hi. Tarang.

Tarang Agarwal : Hi, good evening. I'm Tarang, I'm from Old Bridge Asset Management. I'm going to probably sit down, it's going to take some time. Okay. So just to give you a backdrop, a lot of us have been tracking this business for a reasonably long time. We've seen it evolve from a regional business to a Latin America plus regional business to a global powerhouse that it is today.

We've actually seen it transcend through each of its journeys of boom and bust. What was really humbling to see this quarter or for the matter-of-fact FY26 is that you've actually delivered your highest EBITDA and at the same time by making sure that you've not really given up on your balance sheet. So congratulations, I think from our vantage, it's fantastic work done.

The place where I'm coming from is UPL today from an Indian context has the largest cash flows as a chemical company, has the largest scale, and is significantly more consumer-focused or consumer-oriented than most of the chemical folks in the industry today, still languishes at the market cap that it is today.

When I'm coming from is specifically from the merger event, the reorganization that was announced about a month, month and a half back. I just wanted to as a holder into the business, we believe that it's fairly detrimental to the current shareholders of the business. So we were just wondering if you guys have had a chance to sort of review it?

Are you all open to alternate structures? Because, there are facets currently, there are structures which are available which could actually make this reorganization far better than what has been proposed right now. So what's your view and are you all open to alternate structures?

Jaidev Shroff: Thanks, for all the thoughtful comments. Yes, actually UPL has transitioned, and if you look at some of our core high-growth, high-margin businesses, you will see in

the next few years the transition of

the more consumer-led, brand-led businesses where we are able to get a substantial premium in markets around the world because of our brands and our IP and all the things Mike talked about and Bhupen talked about.

You will see a tremendous value difference in brands. All these businesses need long-term need a kind of independent life, right? And after a lot of discussion and thought, and all these companies are all high-growth companies. While we see where we are today, our focus has been deleveraging. But in a year or so, we believe that we will be ready for much higher growth rates.

And separating the platforms, we've had a lot of discussions with the all the tax and structuring experts and had a lot of discussion for much more than what you see before the announcements. And we believe that this is going to create tremendous amount of unlocking of value for shareholders.

Obviously, if there is some better ideas, but I'm sure that the team has looked at all different structures. The unlocking of value for SUPERFORM, for Advanta; for I mean SUPERFORM stays with UPL as a manufacturing platform as Limited, and that's a very high-growth company, and you will see the road the plan roadmap which we have which as it unfolds.

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Public These companies are going to grow at least 3x-4x the other players you've ever seen in this space growing. So, when we have to have such high focus and attention for these companies to grow, we believe that having sort of structures which while we can capture the synergies and also the benefits of working together, but be autonomous to a certain extent will drive the right kind of value.

We've also made sure that the as in the past leverage was an issue for which kept the multiple of the company. That is I'm sure gone away now, and I think we will see the unlocking of shareholder value, and with the scheme which we've announced will give the shareholders the option to look at what they want to invest in and what they want to keep or they want to focus on. So, I think it will create a tremendous company.

We believe that in the current environment in the world, UPL can continue to grow and gain market share in almost every platform and in every market which we operate in. We have tremendous customer loyalty, we have tremendous energy among our people, and we have one of the best portfolios of technologies for from any company on whether it's a seed, whether it's SUPERFORM, and obviously on the UPL Corp side.

Tarang Agarwal: Jai, I think we're not questioning the fundamentals of the business here. We're fully on board with it, and that's essentially the reason why we continue to be part owners into the business. But the challenge is that the manner in which that the current structure has been announced, it's likely to trigger a significant HoldCo discount.

And for a person who is an existing shareholder, notwithstanding the great fundamentals of the business, it significantly dilutes our ownership into the business. A lot less for me than for you as a promoter owner of the business. So, while I might be concerned about a sub 1% ownership in the business, there's about 33% from your vantage.

We do believe, having seen the business and having some element, some nuances around the modalities of why this has been done, we do believe that there is an alternate structure which could potentially be a win-win-win situation for most of the folks involved. And if you guys are open for it, I would strongly urge you to review it.

Jaidev Shroff: Sure, happy to have a meeting later.

Bikash Prasad: So Tarang, you know that we have been talking post the announcement, we have been talking to many of the analysts and investors, FIs, DIs over the last two months. We have a detailed tracker of our discussions with each of you, and we have noted the feedback and i

puts and comments from each of you.

And very shortly, we will be presenting that unfiltered to the board. And board will assess on its own merit, considering the all the feedback that we have got from the different investors. However, the purpose of this reorganization, as you know, that it is to unlock value for everyone, whether it's a UPL shareholders or platform -level shareholders.

Jai talked about the growth opportunities for each of the platforms. So once these platforms have their independent capital structure, independent governance structure, it will grow much faster. And

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Public with that growth, and these three are these businesses are completely distinct. So, this will create value for these three platforms.

It will bring that value visibility at each platform level, and the sum of the parts will be much, much clearer than what it is today. You know that even today market is valuing us using a single conglomerate multiple, they are applying on us. Even today if you look at it, we have a huge conglomerate discount which we feel that we have today.

By going to a structure, and before we come to conclusion on this structure, it has been discussed, reviewed by our advisors, and we have looked at least 10 different structures to come up to this structure.

But your inputs and feedbacks are extremely appreciated, important, and just like say you, we have been talking to multiple such stakeholders. And once we present to the board, probably in a month or two, board will take the decide on the next steps.

Anurag Gupta : Thanks, Jai and Bikash for responding. Where do I see the next question from? Yes, okay, hi. Abhijit Akella .

Abhijit Akella : Yes, hi. This is Abhijit from Kotak. Thank you for the presentation. Thanks, you know, for the guidance as well in a very challenging environment. A couple from my side. First, if we could also guide to capex for the upcoming year, your expectation for working capital days, and then the tax aspect. You know, why has there been a sharp increase in tax rate this year and what should we expect next year? Thanks.

Bikash Prasad: So first on the capex, we had in the past we had guided between \$225 million to \$250 million, and this year we ended at around \$261 million. For next year, that now we are much more comfortable with our level of debt, level of gearing ratios that we have, we want to slightly add more capex.

And we do see a lot of opportunity, especially in the specialty chemicals. The number of global players who are in discussions with us for long-term contracts, they want to source our capacity , we do see huge opportunity. Second, we do see a lot of opportunity in terms of backward integration.

So, I think those are the some of those opportunities we'll take it up during this year, which will enhance the overall margin profile for the business, make it more resilient. So, my sense probably this next this year, we will be between say \$300 million to \$350 million or \$325 million of capex.

Not significantly higher, but we have some real good opportunity which can enhance the margins and build the additional EBITDA.

Your second question was on working capital. As we had guided during the last Capital Market Day also, we feel comfortable at a working capital days around say 65. And while we had last two years, we have squeezed it, we have we are getting between say 53 to 57 days, but probably our comfortable level of working capital will be 65 days.

Your third question on the effective tax rate, I think is a great question you asked, Abhijit. On all these ECLs that we have there, and there are conservative provisions that we have taken, we have

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Public not recognized any DTA. And Mike talked about the quantum of the ECL this year. On those on these ECLs, we have not recognized DTAs. Our approach is to be very, very con

servative when it

comes to recognition of the DTA. So, this year we have been considering the current environment, the countries that are getting impacted, so we have been more conservative, and hence if you look at this year's ETR, it comes to around 27% to 28%.

It's slightly higher than what probably we had spoken during Q1 earnings call, but I feel that it's more prudent to be cautionary on recognition of the DTAs. And when situation improves, the macros improves, probably those are the opportunities we will have in our pockets to look at the ETR, and that can that can improve our bottom line when it comes. But as of now, we are just being very, very cautious and conservative in terms of recognition of the DTAs.

Abhijit Akella : So, for next year, what would your guidance be on the tax rate?

Bikash Prasad: Tax rate, I think still I think around say 20% to 22% should be our guidance. And even this year if you look at while our effective tax rate is coming at 27% -28% and in terms of total tax expense in

the P&L, which is a function of current year tax plus deferred tax, it's coming around \$105 million-\$106 million. But our if you look at our cash tax that we have paid, it's around \$60 million. So, we have not increased our cash tax that we are paying in the countries, but it's just because the deferred tax is higher this year, I mean we have not recognized it, you are in the P&L you are seeing a higher tax expenses.

Abhijit Akella : Thank you, that's helpful. I just have two more if I may. The first one is actually with regard to your target for the net debt to EBITDA. You said 1.5x, you intend to keep it there. Now as the business generates cash and, the cash builds up on the balance sheet, what might the possible uses of that cash be?

Would we possibly consider any interesting M&A opportunities that might arise? For example, say, you know, one of our peers which is reportedly shopping for buyers in the US.

Bikash Prasad: Yes, so like this year we have generated around \$340 million of cash flow. And next year I talked about our Capex that will be slightly higher. We will have we will use some of the cash flow generation for deleveraging also because from 1.6 x we want to comfortably be within or less than 1.5x.

Any excess cash that we have, we will obviously evaluate the opportunity sets that we have in front of us, and we are flooded with opportunities. You will know that the number of companies and the players who are there in the market. But we have been extremely cautious about selecting those opportunities, and we'll continue to do so. If something comes on its own merit, it looks very valuable, we will consider that.

Abhijit Akella : Just one last question with regard to the investment in Sinova that we announced on April 25th, the \$86.7 million. Is that entirely a primary infusion? And if so, the implied valuation for Sinova seems to be about \$650 million based on that infusion.

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Public If you could confirm that number, and it seems to be sharply higher compared to last year's infusion which was about at a valuation of \$250 million. So, what exactly is going on there? Are the other partners in Sinova also increasing their stake or is it largely coming from our side?

Bikash Prasad: No, so happy to see that you're close so closely following it, and your numbers are absolutely correct. We have injected \$87 million in Sinova. And as you know that Sinova is extremely strategic to UPL and Sinova is a joint venture between us and a global commodity major.

We make our margins when we supply our agri-inputs to Sinova, and the other player, the global major, has a guaranteed offtake from the growers and they make their own trading margins. So, it's a win-win joint venture for both us and the other JV partner. This is a purely a distribution company, Sinova.

So, it will make a distribution margin, which

is between say 4% to 6% is the margin that at in normal circumstances they will be making. So, we expect them to make 4% to 6% margin, it will never be a very highly profitable entity.

Last, I mean two years, the business had gone through some challenges, and FY24 challenge you all know, it had impacted everyone including UPL as a group. Sinova also was impacted. So, when we looked at the business, we felt that this business has to be well supported, and this business has a huge potential to enable growth for UPL Brazil.

And that was a conscious decision that we have taken along with the other JV partner, and we will closely monitor that. And we'll see that how it performs over the next few quarters. There are management changes that has happened. So, all the necessary changes we have done it structurally.

From the capital structure perspective also, we felt that this is a right capital infusion both from our side and the other equity partners. So, we are we are taking all the right I mean decisions to support the business because this will enable growth for UPL Brazil. But we are also closely monitoring it. I know this amount is high, but probably we feel that the business will be able to turn around.

Anurag Gupta : Thanks, Abhijit, for your questions and thanks, Bikash, for responding. I now see Rohit ready with the mic, so Rohit, please.

Rohit Nagraj: Yes, Rohit Nagraj from 360One Capital. So, first question is on the fertilizer availability. We have seen that it has got compromised plus prices are higher, and probably farmers may get impacted because of this. There are reports that it may culminate into lower food grain production. How do you foresee the impact on agrochemical consumption globally due to this event?

If not this year, will it have a cascading impact next year if the farmer income is, you know, getting impacted this year and maybe next year capability to further, you know, apply agrochemicals may get impacted? Thank you.

Mike Frank: Yes, very good question. So, look, I think with the higher fertilizer prices, even if there is ample supply, farmers are going to do the economics, and we expect some farmers are going to make a switch to crops that are less fertilizer intensive. And so that that'll take place in every region based on agronomics and what the options the farmers have.

Public That being said, we do expect the total cropland in the next 12 months to be at or larger than the previous 12 months. And you know, no matter what crop the farmer puts in, they're still going to have to control the weeds and the insects and the diseases. And so, I think we're well positioned in every geography based on our broad portfolio.

I don't think the switching in crops is going to have an impact on crop protection volumes. And so, we'll be positioned and ready to supply the growers even if they do make that switch. Now that being said, obviously farm economics are challenged.

When we look at our NPP portfolio and products like Nuvita®, these are technologies again that can really help farmers in these challenging situations to get more utilization of the fertilizer that they put in the plants, and so we're really leaning into some of our new technologies and our NPP products, which we think will have an upside opportunity going into this market where fertilizer prices are extremely high.

Rohit Nagraj: Sure, thanks. Second question is on SUPERFORM. Given that this year the entire growth has been led by SSC, how do you foresee a sustainable growth rate for the platform given that we had ambitious targets both in terms of top-line growth as well as margins? And where do we see the margins over the next two, three years in terms of sustainable margins? Thank you.

Raj Tiwari: So, as I said, you know, our two parts of the business, one is AG which we do for Corp and SAS, and the second one is specialty.

AG will keep on growing between anywhere between 6% to 10%, and the specialty will grow upwards of 20%. So, and currently, you know, AG is 72% and specialty is 28%.

So, you can do that math. In my view, because specialty is growing much faster than AG has to, and therefore in next 48 months, we expect it will be 40% and 60%, and that's when we feel that we should be able to touch 20% EBITDA for the business.

Anurag Gupta: Thanks, thanks Raj. Next question is. do I see any raised hands here? Yes, at the back. Yes, if you could get the mic at the back.

Questioner: Hello, good evening, everyone. I have largely two questions. Impairment on financial assets which lays up sharply. Which geographies are driving this and the current rate is new normal or do we like expect normalization in FY27?

And second question specially to Bikash, just circling back to "heat wants more" on FY27 guidance.

My heart is asking for FY27 India business guidance, especially for Seed and SAS? Thank you.

Bikash Prasad: The first question on the impairment of the financial assets is nothing but the ECL, the expected credit loss. That is the component, and we called out that during this quarter, we have booked or we have provided for additional INR350 crores at the group level.

So, if you look at the Q4 financial and I know that you are referring to the newsprint that we submit in SEBI, out of INR379 crores that has been booked in Q4, INR350 crores is pertaining to the provision we have taken at the group level.

Public On a full-year basis, it's INR750 crores, so if you remove INR350 crores from here, it's INR400 crores net. And this year, Mike had talked about the difficult macro environment, largely in Latam and Brazil, so we will say that we talked about it, that ideally our ECL should be in the range of 0.5% to 0.6% of our revenue, and this is how probably we should model it. And this year also if you adjust these provisions, you will get to the same percentage.

The second question about the outlook. yes, India for the guidance. Yes, obviously so they will also have at least for the SAS business will also have the similar impact because SUPERFORM will sell to SAS, if there is a cost inflation coming on the raw materials from SAS, they will invoice at a higher cost.

No just revenue, okay revenue and EBITDA also, no I'm reflecting more on EBITDA now, because then there will be cost push will be there to SAS as well, and then there will ability to pass it on to the market - probably we'll have to wait and watch and see that how does it happen, but if Ravi wants to add something anything, you can.

Ravishankar Cherukuri: The dynamics which limit our guidance for the global business is exactly the same in India. So, I don't think we should be making promises, we should instead promise to drive the business with great agility through these turbulent times. Thank you.

Bhupen: India Advanta guidance, I think the amount of petrol all of you are using and which is blended with bioethanol, more and more you do that, more and more business will grow. So, while before without putting any numbers. I think broadly in India seed drivers, if you look at it, almost all the

crops are driving because hybridization is going up, seed replacement rate is going up, so India is a long-term sustainable growth story for seed.

Any company putting in good amount of money in breeding good hybrids, they have a long-term future here. In terms of let's say this current year if you look at it, going forward corn is driving the business, seed business. Cotton is subdued, we are not into the cotton.

In corn, there are starch, poultry, bioethanol are the segments. All the three segments are pulling in demand, and therefore you must have seen last three-four years' time, if you look at the data available, corn area has gone up from let's say 9 million hectare to near

12 million hectare.

Productivity has gone up from 2.8 metric ton per hectare to about 3.5- 3.6 metric ton per hectare. Global average is about 6 to 7 metric ton per hectare. So, we have miles to go and all this delta is available for good seed companies to breed good hybrids and release to the marketplace. So very robust future ahead going forward.

Ravishankar Cherukuri: Maybe I too will share some thoughts on why India is such an attractive market without specifically talking of this year's guidance, I think that's futile. Fundamentally India is a very fragmented market and farmers face a lot of information asymmetry.

So, in this context, any company that can deliver consistent quality as UPL has, and which has brands that are trusted as UPL has and is building, will continue to gain the trust and affection of UPL Limited

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Public farmers. So, we are in a very good plane here and our strategy is exactly tuned to serving those needs.

It's extremely unlike large farm farmer markets like US and Brazil. The second thing is there is a very large informal sector, right? There's a very large informal turnover, and that will change over time as farmers get savvier, that will change. So, there's a very large value that should eventually shift to more formal trusted brands, and our job would be to accelerate that. So I'll leave it at that.

Thank you.

Anurag Gupta : Thanks, thanks Ravi. In the interest of time, we just have scope for one further question if there's any. So, in case if there are any raised hands... I don't see any. So, thank you, all ladies and gentlemen for joining us in person or remotely through the webcast.

Thank you for your insightful questions and going through the presentation that we presented today. Thank you, the leadership team, of UPL for answering the questions, and we hope this has been a very fruitful, insightful session for you all. Please join us outside for high tea and networking. We hereby conclude the main event today. Thank you.